

Happiest Minds Tech. (HAPPSTMNDS)

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Call: Jul 2022

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July 25, 2022

Listing Compliance & Legal Regulatory
BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Stock Code: 543227 Listing & Compliance

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai 400 051

Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on July 22, 2022

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on July 22, 2022 post announcement of financial results of the Company for the quarter ended June 30, 2022. The transcript is also uploaded on the Company's website <https://www.happiestminds.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 19

"Happiest Minds Technologies
Q1 FY2023 Earnings Conference Call"

July 22, 2022

MANAGEMENT : MR. ASHOK SOOTA - EXECUTIVE CHAIRMAN

MR. JOSEPH ANANTHARAJU – EXECUTIVE VICE

CHAIRMAN AND CHIEF EXECUTIVE OFFICER (PRODUCT
ENGINEERING SERVICES)

MR. VENKATRAMAN NARAYANAN – MANAGING

DIRECTOR & CHIEF FINANCIAL OFFICER

MR. RAJIV SHAH – PRESIDENT & CHIEF EXECUTIVE

OFFICER (DIGITAL BUSINESS SERVICES)

MR. RAM MOHAN C – PRESIDENT & CHIEF EXECUTIVE

OFFICER (INFRASTRUCTURE MANAGEMENT AND SECURITY
SERVICES)

MR. AUROBINDA NANDA – PRESIDENT (OPERATIONS &

DEPUTY CHIEF EXECUTIVE OFFICER) - PES

MR. SRIDHAR MANTHA – CHIEF TECHNOLOGY OFFICER

MR. SUNIL GUJJAR – HEAD OF INVESTOR RELATIONS

ANALYST : MR. RISHI JHUNJHUNWALA – IIFL INSTITUTIONAL
EQUITIES

Happiest Minds Technologies

July 22, 2022

Page 2 of 19 Moderator : Ladies and gentlemen good day and welcome to the Happiest Minds Technologies Limited, Q1 FY2023 Earnings Conference Call hosted by IIFL Institutional Equities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you

to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rishi Jhunjhunwala - Lead Analyst, IT Services from IIFL Institutional Equities. Thank you and over to you Sir!

Rishi Jhunjhunwala : Thank you, Faizan. Good morning ladies and gentlemen. Thanks for joining us today on the Q1FY 2023 Earnings Call of Happiest Minds Technologies Limited. On behalf of IIFL Institutional Equities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call.

Today we have with us Mr. Ashok Soota - Executive Chairman, Mr. Joseph Anantharaju – Executive Vice Chairman & CEO, Product Engineering Services, Mr. Venkatraman Narayanan – Managing Director & Chief Financial Officer, Mr. Rajiv Shah – President and CEO - Digital Business Services, Mr. Ram Mohan – President and CEO - Infrastructure Management and Security Services, Mr. Aurobindo Nanda – President - Operations & Deputy CEO, PES, Mr. Sridhar Mantha – Chief Technology Officer, Mr. Sunil Gujar – Head of Investor Relations. I would like to hand the call over to Sunil for safe harbor statement and to take the proceedings forward. Thank you and over to you Sunil!

Sunil Gujar : Thank you Rishi. A very good morning to all. Welcome to this conference call to discuss the financial results for the Q1 ended June 30, 2022. We trust all of you are keeping well and staying safe. I am Sunil, Head of Investor Relations. The financial statements, quarterly fact sheet and press release are available on our website. The agenda for this call is as follows:

Ashok will begin the call by sharing his perspectives on the business environment and our results, Venkat and Joseph will then speak about our financial performance and operational highlights after which we will have the floor open for Q&A.

Before I hand over let me begin with the safe harbor statement. During the call we could make forward-looking making statements. These statements are considering the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically. Now let me pass it on to Ashok.

Happiest Minds Technologies

July 22, 2022

Page 3 of 19 Ashok Soota: Thank you Sunil, and a very good morning to all. I am happy to inform you that, Happiest Minds has begun the fiscal year with very good set of results in Q1. I am happy also to report that we have shown industry leading sequential growth in revenues of 6.9%

in

constant currency. In my prior interactions with all of you, I had shared that in our 10-year vision statement, we have set a goal to become a billion-dollar company by 2031. In line with this goal, based on the growth we are experiencing and continued demand for digital services, we are increasing our revenue guidance for FY2023 to 25% while also targeting to grow at a CAGR of 25% over the next five years.

I would also like to draw special attention to our Q1 EBITDA of 26.4%. The sequential growth of 7.6% is once again an industry leading number. More importantly at 26.4% we are on par with the biggest players in the industry, many times larger than ourselves. I would also draw attention to an index I have been highlighting i.e., year-over-year growth plus EBITDA percent. At 60.9% we are much higher than all over our domestic peers. We have continuously strived to improve our corporate governance and reporting practices as the company. Our annual report for FY2022 was our first edition based on more detailed integrated format of reporting. Similarly, we have introduced included therein our first edition of business responsibility and sustainability report a year prior to it becoming mandatory. We continue to do well on our ranking in service conducted by the great place to work institute and for the fourth year in succession we have found our place in GPTW's India top 20 best companies to work. This is a validation of our efforts over the years to build an institution which is people focused with an inclusive culture and a great place to work.

The first quarter has set a good base for the rest of the year, we believe technology interventions, we are including newer technologies, continue to permeate every industry's sector or functions within an enterprise. Businesses are reaping the benefits of digital through new revenue strengths providing superior customer experience and driving efficient operations. Our past experience has shown that even during economic slowdown technology spends remain resilient as they contribute to higher market shares, new business segments, cost efficiency and productivity improvement.

Accordingly, we remain confident of global demand for technology in spite of macro-economic situation in various countries, geopolitical conflicts, and supply chain constraints. With this I will conclude and pass it to Venkat, to give you an overview of our financial and

operational highlights.

Venkatraman N: Thank you Ashok, and a very good morning to all. Indeed we have had a great start to the year and I am very happy to report a good set of numbers both on growth and on Happiest Minds Technologies
July 22, 2022

Page 4 of 19 profitability. We continue to harness opportunities presented to us across all verticals of our focus and the demand we see within them for digital adoption, transformation, security, automation, and other core digital offerings. This quarter continuing the trend up until now all our business units, centers of excellence, geos operate in and across all our service offerings we have seen growth in performance. The fact that we have revised upwards our guidance for FY2023 and our aspirational targets for the five succeeding years is a testimony to this and our confidence to deliver on a fundamentally strong demand environment.

Coming to the financial highlights for the quarter, we clocked revenues for the quarter of \$42.2 million showing a growth in constant currency of 6.9% on a quarter-over-quarter basis and 29.5% year-over-year. Operating revenues in dollars grew sequentially by 5.9% and 27.4% year-over-year. The same number in rupees grew 9.4% and 34.5%. Our total income for the quarter was ₹1,333 Crores.

Talking about margins, we continue to maintain a strong margin profile and very similar to our previous quarters. Our EBITDA for the quarter was Rs.88 Crores which is 26.4% co

mpared to 26.3% in the previous quarter. Growth in EBITDA was sequentially 7.6% and 33% year-over-year. Profit before tax came in at Rs.76 Crores, 22.7% of total income showing a sequential growth of 8.2%.

Similarly, profit after tax was ₹1,56 Crores at 69.9% of total income showing a growth of 8.1%. As you will see we have been able to capture the growth in revenues at profit levels as well. Our cash generation continues to be strong with almost 99% of our EBITDA flowing into our balance sheet as free cash. Cash and cash equivalence at the end of the quarter was ₹670 Crores.

Now, coming back to free cash and flows we will have to see how to present this number for the next quarter given the large purchase of facilities we concluded earlier this week. On the purchase itself as detailed in our press release it has been largely funded with borrowings in a manner such that the effect on our P&L is positive, while from a cash flow standpoint it will be largely neutral in the medium-term and positive in the long-term. Key point to the transaction is that EMI on borrowings and rentals balance themselves nicely leaving a valuable asset on our balance sheet at the end of the tenure. Our capital return ratios remain healthy with ROCE of 39.1% and ROE at 31.5%, these are industry relating numbers and we continue to focus on them.

Coming to some operational highlights, we had 211 active customers at the end of the quarter. Our count of \$10 million customer increased by one taking it to a total of two. Our Happiest Minds Technologies
July 22, 2022

Page 5 of 19 average revenue per customer continues to increase, it was US \$810,000 compared to US \$796,000 of the preceding quarter continue to reflect well on our land and expand strategy.

Number of customers who are themselves billion-dollar corporations has become 56 showing an increase of 2 from the previous quarter. We ended the quarter with 4188 Happiest Minds. We expect to onboard, as per our campus recruitment program about 500 campus graduates in the next quarter with about 300 of them expected to join us during the first week of August. In anticipation of this large addition we were slightly slow on hiring off campus and lesser experienced people in the current quarter.

Our utilization for the quarter was 79.1% compared to 79.4% in the previous. Our trailing 12 months attrition has inched up to 24.4% this quarter compared to 22.7% in the previous. We continue to work fervently to control this number and not drastic. As I mentioned earlier my personal take is that this number should trend down from the second half of this fiscal.

Our back to Smiles program to welcome Happiest Minds back to offices is progressing well and currently we have about 40% of our teams working from our offices across locations in Bengaluru, Noida, and Pune. We intend to operate on a hybrid model which strikes a balance between work from home and office.

As mentioned to you in our prior earnings call, we plan to strengthen our delivery channel through expansion of our delivery capabilities across existing centers and tier-2 cities. In line with this initiative, we purchased a fully built up ready to use commercial property with a super built up area of about 240,000 square feet in Bengaluru for a consideration of ₹101 Crores. This increases our seating capacity and will augment our delivery and in-house

training capabilities.

I had given you all an overview of the finance construct of this transaction earlier, with adding seats in our delivery centers in Noida and Pune and are making good progress on setting up of our delivery center at Bhubaneswar which should be completed by the end of this calendar year.

In conclusion the results for the quarter, has set a good base for the rest of the year. We will be rolling out salary increases covering a large part of our Happiest Minds family effective July 1, and

this could have a temporary effect on margins to be made up through volume and value improvements. As mentioned by Ashok and reiterated by me while we are revising our revenue guidance for FY2023 and growth targets for the five following years I will continue to hold on to sustainable, medium to long-term EBITDA margins of 22 % to 24%.

Happiest Minds Technologies
July 22, 2022

Page 6 of 19 With this I conclude my commentary and hand it over to Joseph.

Joseph Anant Haraju: Thank you, Venkat. Good morning and a warm greeting to everybody in the call today. We had a great start to the fiscal year reporting a solid set of numbers both on the growth and profitability fronts.

Our performance continues to lead the industry with these results demonstrating the relevance of our services and our trusted customer and ecosystem partnerships. Our performance was broad based cutting across all markets, services, and industries. The demand continues to remain strong as enterprises navigate a multi year digital transformation cycle through cloud adoption and migration, data engineering, analytics, and intelligent automation engagement.

A major part of the technology intervention happening today unlike in the past is not discretionary but imperative. For instance, we have been chosen by a large bottling company in North America as a trusted advisor to help them with the large scale implementation of business, intelligence, transformation engagement to drive better business decisions.

For a reputed amiable management solutions company in the AMC region, Happiest Minds is providing engineering services to improve amiable performance as well as drive better customer experience. Our customers are executing bold programs with accelerated timeframes which often span multiple parts of the enterprise simultaneously. For instance, we have been chosen as a digital technology partner for a large British based construction and infrastructure company to build an IoT and Analytics platform to deliver the data led insights for improved operational efficiency, sustained competitive advantage and customer experience.

With our specialized offerings of best set OPS model spanning security, automation, and IT operations we help our customers move seamlessly to a cloud infrastructure and ensure customer data centers, cloud infrastructure and applications, a safe, secure, efficient, and productive. For example, in a recent win with a non-profit organization in the US we carried out a consulting led engagement to provide discovery, assessment and designed services for the infrastructure migration to the cloud.

In another instance, the global tech led mobility company chose us to provide advice on running, managing, and improving their third-party risk assessment program using next-gen digital tools. Such engagements are a testimony to the confidence that our customers have on digital and more importantly in Happiest Minds ability to build, transform and sustain initiative which prepares them to be a more resilient enterprise.

Happiest Minds Technologies
July 22, 2022

Page 7 of 19 I would like to now share my thoughts on the demand environment based on conversations with customers. The demand continues to be strong and the market is convinced of the value digital brings to the table. Our conversation with customers do not indicate a curtailment of spends or postponement of projects; however, concerns and prolonged geopolitical conflicts and macro uncertainties have been expressed by a few.

We strongly believe in the promised digital holds transform the way we will have an interact and our unique positioning as a Born Digital, Born Agile company which puts together is a portal post to enterprises to unlock value to the engagements with us. The revised guidance which Ashok alluded to reflects this confidence.

With this I conclude my commentary and we can

now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first

question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Ka chhadiya : Good morning everyone and congratulation on a robust set of numbers. I have a few questions Sir. Since listing you delivering the good set of growth since 2020 I want to understand which underlying factors and the cylinders you feel will going for support for this aspirational 25% CAGR kind of growth for next five years and also for the next ten years you said a vision of that a billion -dollar enterprise kind of entity. I want to know more on that.

Ashok Soota: That is a very broad question and obviously the numbers and let me start with the longest term where we said it is a billion -dollar target. It is obviously not an overly grand target in itself that it requires this 25% compounded growth and therefore see the underlying practice obviously the one point that we keep stating is the fact that we have had a past trend for over three years and where we are really projecting from the strength. The second one is the continued momentum on digital and the fact is that we are the only 100% digital company amongst the domestic players, there are what we call is the EET companies and looking at their growth also indicates that there is head space to continue to grow faster. Having said that I should also highlight even if their growth is higher than ours, our profitability is way higher, so we have actually got the right combination with a view to being able to support their growth. Because you can never get growth at the cost of not making very good margins, in the end that is where the market is also going to assess you upon. So, I would say these three or four and then a few fundamental philosophies of the company, we are always on the forefront in new leading technologies. So, when something comes in markets starts developing for that, we get on to it on the ground floor and start building capabilities which we can then take to our customers.

Happiest Minds Technologies
July 22, 2022

Page 8 of 19 Chirag Kachhadiya: Just one more clarity on the same line like whatever order or contract we receive in from the customer, what proportion is from annuity or more than one year kind of horizon if any bifurcation you can provide?

Ashok Soota: Actually Venkat, I think we do not really now a day's report that, I can give a feel and flavor but really and maybe both you and Joseph may want to add to that. What typically happens is that, in the IMSS business when you do sign a contract and you are supporting security or infrastructure all of those are multi -year engagements where the position is such or not they will invariably continue. The second aspect I would say here is that even if the order is not indicated as being annuity the fact is that you build long -term relationships, so if you see all of our customers , I would imagine something like 80 or 90% comes from customers we have had to several years, our repeat business is now running at about 90% and therefore we have longevity. We have got customers who go all the way back from the year that we started. To my mind that is the real definition of annuity rather than saying here contract was signed on saying it was for three years. Because you may sign a customer relationship then you take our projects and the business continues to grow through the series of projects and of course then you continue to sustain application. So, in a sense if you ask me all the business barring the accounts which either we work with it because we want to keep on improving and move away from smaller accounts or the order account which has no further requirement. If you really look at the essence of the business I would say all over eternity.

Chirag Kachhadi

ya: Sir, and to achieve this kind of growth is there any acquisition strategy put in place that we may acquire certain company going forward to boost up revenue target?

Ashok Soota: It is not that this year 's guidance is based on that let us be clear. We have always stated that acquisition will be an important part of our strategy which certainly be an important of our \$1 billion goal. At this point of time , we are sticking with this, we are not making a distinction between organic and inorganic growth and there is no immediate acquisition which you could say we are ready to close in the next three months or more. So, beyond that I would say that of course acquisition's will be there, we keep looking opportunities, we are very selective about what we will go ahead with and therefore it is not per se included in the numbers when we make the guidance.

Chirag Kachhadiya: Sir, if I see your employee strength is relatively lower compared to the other tier -2 and tier -1 companies. So, are we going to aggressively do hiring going forward to meet with the turnover and guidance?

Joseph Anantharaju: We have beefed up our talent acquisition team and being very aggressive in bringing talent on board. We have campus batch of around 300 people that would be joining us in another

Happiest Minds Technologies
July 22, 2022

Page 9 of 19 three works time and we expect this batch and the set of people to help us with our growth for the next six to twelve months and each of the BUs and the centers of excellence taking responsibility for bringing more talent on board and also up-skilling and multi-skilling our people because a part of being able to meet demands is ensuring that we have people who are able to work on multiple platforms and technologies so as to bring some flexibility into our ability to execute and deliver.

Chirag Kachhadiya: Thank you. Best of luck.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Thanks for the opportunity. A couple of questions from my side, one of the key questions that our wherein investors and analysts minds is we are looking at a scenario where at the end of this year or early next year we will see developed market macro becoming weaker and there are lot of concerns in terms of how IT spending will as a result play out and within that will there be a significant impact on discretionary spending. Given that the kind of work we do which is more at the forefront of digital transformation. How do you think some of these macro drivers might play out in our favor or against us and how should we prepare when we look at the growth playing out for the next four quarters given the strong guidance you have?

Ashok Soota: I actually touched on this Rishi, in my opening statement, where I said firstly based on past experience there is no better thing than seeing what has happened in past slowdowns or recessions and I do not think this is going to be like many of the other things where you really hit into bad recessions. There are concerns on macroeconomic, but what we always seen is that IT demand actually gets even higher when there is a slowdown and this is even more so in the digital age because at that time people might have been saying how do I improve efficiency and productivity through IT. But now IT is opening up new markets, new business segments, completely new business lines and in that sense we do not see these factors really having an impact on overall growth. In a manner of speaking it is not just that, we have given high numbers, high means they are very realistic numbers, it is just we have articulated what we should, we are logically heading towards and we have said the market should know this. But there is a positive trend even in most of the others in terms of their growth projections. So, overall

not concerned how do you prepare I think that is a part of everything we do, whether in good times or bad you always be prepared for the future. So, you will always working, I would in fact say in good times you prepare for the bad and the bad times you prepare for the good and that is a part of the business strategy at all times. Happiest Minds Technologies

July 22, 2022

Page 10 of 19 Rishi Jhunjhunwala: Very clear Sir. The second question is on hiring, while you touched upon beefing up the talent acquisition team and looking to hire a lot more. What we are also possibly undergoing today, if some your peers who are closer peers of yours like EPAM are aggressively hiring in India as a result of the kind of situation they have seen in their operational geographies. So, is that making hiring the right kind of talent a bit more difficult for you, given that you directly have similar kind of capability requirements and is it something that we should be aware of in terms of how it potentially increase the replacement cost for us?

Joseph Anantharaju: Rishi, so far we have not seen any change over there to start the market for talent has been quite hot and it continues to be hot. We have not seen any shift in the last six to nine months after the development with EPAM and the other that you referred to. What we are hoping is the next maybe as Venkat mentioned in the second half of this year with the campus batch coming in and the peak of the demand that we saw last year moderately we should see the talent situation and the recruitment situation become better and that is what we are anticipating but because of the EPAM and the other competitors the situation they are facing and they moved to India, we have really not seen any direct impact that we can co-relate at least from a recruitment perspective.

Ashok Soota: Just to add to what Joseph said, we are going to set up AGR Center in Bhubaneswar which will start becoming operational from October and the moment you open a new location you will definitely get a certain peak of talent which is happy to be living around those areas, because you choose places with good talent so, that certainly going to add to it. I would even say our expansion in Bengaluru in Electronic City where it is the largest center for us today is Ma diwala there is a lot of residential accommodation which has come up there. So, you will attract people who would say I do not want to necessarily go and work elsewhere but this is a convenient location to me. So, I said this expansion in our geographical presence is also going to aid our ability to add to our numbers.

Rishi Jhunjhunwala: All right, thank you Sir. I will fall back into queue.

Moderator: Thank you. The next question is from the line of Vimal Goel from Alchemy Capital. Please

go ahead.

Vimal Goel: Thank you for the opportunity and it is extremely heartening to see you have upgraded the guidance not only for this year but for the next five years given the macros that you are in.

Sir, my question is around that guidance and the long-term strategy of the company. We all are aware of now the advantages at the Indian IT sector and Happiest Minds in getting because of the whole shift to cloud and the whole technology spending getting re-oriented. But my question is slightly at more long-term in nature, what after that, I mean the service Happiest Minds Technologies

July 22, 2022

Page 11 of 19 delivery is of course going to change, we could probably be requiring more consulting capabilities to be added because most of your applications is extra all of that will happen on cloud and how are we looking at that and plus just an extension to the previous question, how will you make sure that annuity business does not lose relevance in that space. That is question number one I have just one follow up for that?

Ashok Soota: That actually sounded two

or three questions, well let me take them up and then I will pass

some of this over to Joseph. When you talked about I hope your annuity business does not slowdown. There are two responses I have to that, one is if you look at our annuity business after all these are the things which keep businesses running and there is an element in that annuity, what we went on saying annuity is really let us give our interim security in the broader sense then or in the more conventionally accepted sense let me say. But security is everybody's concern, every day in and day out and that need is not going to go down, the environment is getting more challenging by the day for that, so that will not slow and if you would look at the definition I really gave in response to the first question on annuity. I say if you look at people's businesses, how a contract is structured is not relevant. It is now long relationships last. They are all annuity businesses, so whether you got 90% of our business coming from repeat customers obviously it is most customers carrying over year-after-year-after-year that is one. Your question on consulting is really very relevant and I believe it is a very important part of our strategy. We have done a lot of work on it and I will ask Joseph to amplify the approach maybe even Rajiv may want to add to what we are planning on the consulting front.

Joseph Anantharaju: Just to add to what Ashok talked about the annuity revenue Vimal, with most of our customers has become an integral part of the platforms and the applications that you are building and these do not finish they have life of their own and you continue adding features, we continue re-imagining them, your customer requirements keep changing and so we become multiyear engagement, for instance one of our largest customers we started around the same date ten years back and we are still working with them it is multi-million dollar customer we have several such customers, we see them as annuity revenue. In terms of consulting, there are two aspects that what next, so from a technology perspective as again Ashok mentioned, we continue looking at the next set of digital technologies which will change the customers road map, IT landscape and we continue investing in that whether Blockchain, Metaverse, we have a feature organization that is building POCs that understanding of this technology already working with customers to get a few of the use cases out. On the consulting that is a very relevant point, we have started building depth in our domain and we have multiple domains in which we have domain heads that have come on board in the last couple of years and they have been hiring domain experts who can sit with our customers, have an understanding of the customers business and able to understand their business objectives and translate that into their technology roadmap or other initiatives

Happiest Minds Technologies

July 22, 2022

Page 12 of 19 that need to be kicked off and we started also tracking the consulting led revenues and reporting it starting this quarter and this will be a number that we will be closely looking at as how we can increase it because that will reflect the value that we are adding to our customers and participation on the business side.

Rajiv Shah: I think Joseph covered both the technology consulting as well as business consulting side of that and which plays the critical role in us building the capabilities within the organization as well.

Vimal Goel: One more question, just trying to correlate your hiring number. Of course we have hired quite aggressively in the past few quarters and given that hiring that we have done this quarter does that build in to the future a bit more non-linearity in our revenues, is that the case or do you believe that hiring that we have done in the past few quarters will suffice at least for maybe the next couple

e of years or so especially in the case where attrition is expected to come down and lastly just one more thing on, when you say acquisitions they will be an important part, what going to be your inherent philosophy there are we looking at more technology led assets or are we looking vertical specific capabilities?

Ashok Soota: Once again you have a knack of saying one more question you ask three of them, so there is no objection we are happy to answer all that. Start with your last one, there is a broad range of requirements that we could fill in, when it comes to acquisitions, so therefore it is not that we will do A versus B, it could be technology for a new technology which is evolving and where it is far better for us to accelerate through the process of an acquisition, we are doing everything ground up, we will keep building capabilities but some times you take a leapfrog with that. Second could be as you said vertical, and again when you look at the verticals there is a requirement in each, so it is a question of looking at the business which we are seeking to acquire and how it shapes up and therefore the choice at times is confusing because we got to see how well, it plays for us as a company across multiple parameters and we examined that very carefully. So, yes the answer is it could be both. It could be in the third type of category. You got technology which is all horizontals, verticals which are largely domains and it could also be more consulting led type of capabilities. So, it could be anything, it just really depends on the given fit of both the company and the business with all things and obviously certain fundamentals in terms of size. We are no longer going to look at small companies, not that we have done any so far but we will up the ante in terms of the size of entities that we would look for. That is one. Your other question on does our hiring indicate that there will be either non-linearity or otherwise and the fact of the matter is the approach on linearity versus non-linearity, our numbers are based logically on what we feel we need to be able to grow, to be able to meet customers' demands without excessive lead times with getting started in projects. On a calculated basis we would like to bring down utilization levels from about 80% to maybe 77%, 78% that Happiest Minds Technologies
July 22, 2022

Page 13 of 19 maybe stated here as a goal for you but obviously when you are running at those levels it takes sometimes a little time to give the respond to each and every demand. We would like to get better and quicker of the block, so we have figured out the total number of people who we require based on which we have drawn up the hiring plans which have been shared with you by Joseph and even also with Venkat in his opening statement. However, on non-linearity as a function of multiple things and let us say there is a process in which the whole company and the whole industry continues to work on invading the grades and actually one has to address that in a very big way, I think we will probably need a separate session just to answer this question on non-linearity. But I will tell you one important area for us as a company and that is what I will call is replicable sales. It has got an opportunity and this is where our domain heads are coming in who Joseph talked about. The spot one opportunity executed sale on that front and then you see how can I take that solution over to multiple players. That is what really when gives very good nominee at least, but there are many other ways and many companies are working on those ways.

Vimal Goel: Thank you so much. This was very helpful and all the very best.

Moderator: Thank you. The next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Thank you for the opportunity. Thank you for the long-term guidance which is very

encouraging. Ashok Ji, I just wanted to understand what kind of sales changes have we started making to achieve this whole of becoming almost 7 to 8 times from the current levels in next ten years that is the first part. The second part again a related question, do you think the current organizational set up is scalable to achieve the goals or do you need to make any incremental changes the way you are structured right now?

Ashok Soota: Your first question I will turn it over to Joseph and Rajiv and even maybe Ram if they would like to address it regarding sales and set up. On the organization set up let us be clear that is the key for us and we have stated it repeatedly now. The key for us is the executive board, the executive board is always got an eye for description and that is what they are working towards that is what they are planning. Obviously, the short-term results is not ensured at least for three - or four -year period ever since the day the executive board came into existence that you see the continuous uptake in our results, so you would say it is certainly working and the very fact that all the objectives and in fact that the very fact will be drawn up to ten years vision, indicates that we are really planning and looking towards the future. We are also saying that the industry ten years from now maybe looking very different from the industry today and that is what the executive board is working towards. We do not see any need to change that structure whatsoever. Now, underneath you make it strengthening and adding new domains or adding whatever. What changes we want to make Happiest Minds Technologies

July 22, 2022

Page 14 of 19 to the sales, organization let me pass this over to first Joseph and Rajiv and Ram you would also like to add by all means.

Rajiv Shah: From the sales structure perspective, there are three ways that we look at, we have strategy of land and expand which is really driven by our account managers and account managing structure and they have all the supporting structure to help them grow to stay integrated entire service offering of Happiest Minds to the customer. The second part of it is the new logo acquisition which is a dedicated set of hunters who really grow after and acquire logos of consequence. The third component of the sales structure is the partnerships, like how do we work with the larger technology players or consulting or services organization for us to pivot that. So, I think the basic structure of accounts and expenditure, new logo acquisition partnerships will not change, how do we continue to keep them relevant with new sets of technologies, new sets of tools, new sets of offerings in the marketplace is going to be really the key for us to achieve the growth aspirations that we have with our organization.

Ram Mohan: I just want to add from the infrastructure perspective or security perspective it is important to note that the customers give their valuable assets, they have security needs to organization like Happiest Minds. So, it is not easy to get that immediately, so our strategy is in terms of consulting led assignments because we start with the consulting, we prove how we can deliver and slowly build the trust to the customer and then expand. So, land and expand strategy in infra and security space is very important and that is how we are structuring our sales in terms of moving more and more towards land and expand strategy and as Ashok mentioned it is more annuity-based business which happens in infra and security space. Land and expand is a very important strategy and that we adopt in all geographies. The second important being in infrastructure and securities in terms of partnership, so that is another area a partnership of consequence should be in the area of strength for us and those are the partnerships and those are the alliances which we are going to do

and with that help of the technology we are going to grow into the new accounts where we can go and start. So, as Rajiv said it is typically land and expand, new logo acquisition, alliance, and partnerships but it is different for each of the business units in terms of how we adapt. For example, even in terms of geography for the next couple of years from the infra and security space we are going to put more thrust on United States area. So, like that it changes a little bit in terms of each BUs but by large these are the three strategies which adapt.

Abhishek Bhandari: Thank you so much and all the best. Thank you Ashok Ji.

Moderator: Thank you. The next question is from the line of Dev from Investyadnya. Please go ahead.

Happiest Minds Technologies

July 22, 2022

Page 15 of 19 Dev: Good morning to all of you. Thank you for providing the opportunity and congratulations for Happiest Minds for producing good results once again. Sir, I wanted to ask you that in infrastructure services you said that you have multi-year engagements. So, can you through light on how are the contracts in the other business units like product engineering services and the retail business unit?

Rajiv Shah: If you look at what we do for the customer is really playing and driving the digital transformation in the customer organization. I think Joseph touched upon this earlier, where we look at helping the build in next generation platform, help them integrate and expand, it helps them run the digital ready application. So, from that perspective when you look at the entire ecosystem of the digital transformation journey that we take upon along with the customer it is somewhat of an annuity-based business because one set of objectives building the platform to integrate to something else and running it is an entire ecosystem and it is very much a long-term relationship. If you look at where we get, we have close to 91% of our revenue which is a repeat customer, Joseph touched upon it earlier as well and to me there is really annuity type of a services, the product engineering or digital business services it is really annuity because it is long-term relationship to drive the two-or three-years program with the customers headwork.

Joseph Anantharaju: I think you have covered Rajiv. The only other point I wanted to add was the average revenue per customer the key numbers has been consistently increasing and it has increased from 796K to 810K during the quarter, so that is the other number that we need to also keep a close watch on which is reflective of the repeat business.

Ashok Soota: I think the point which Joseph brought out earlier about platform to very key, once you have actually created a platform for one of the customers, what happens is newer and newer applications come on which that platform can support and that is a big difference in what you see as the old days and the new days, because today literally everything is platform based.

Dev: Sir I have one more question. You have told that organic versus inorganic growth you have not given bifurcation but at least for the next five years that you have told about 25% CAGR, can you give some rough idea organic will be how much and inorganic will be how much?

Ashok Soota: That is an impossible question to answer and neither we would want to answer even if knew it. How can we tell you that? It depends on opportunities we get, we are confident we will grow and we are not making a distinction, supposed for any theoretical reason we do not do any acquisition, we are still sticking by our guidance so, let us see how it goes and then we will determine that?

Happiest Minds Technologies
July 22, 2022

Page 16 of 19 Dev: Sir you do not provide TCV value, so would like to provide in the future?

Ashok Soota: What is that TCV?

Dev: Total contract value?

Ashok Soota: No, we do not provide it because frankly I am not even sure why you need to do it, we do not give even partnering data for that matter and neither do we intend to share it.

Dev: Okay. Thank you.

Moderator: Thank you. The next question is from the line of V. P. Rajesh from Banyan Capital Advisors. Please go ahead.

V P Rajesh: Thanks for the opportunity and congratulations. Two questions, first question is that with respect to the margin guidance and the current margin, the delta of 300, 400 BPS could you just explain where that is going to go or you just investing more in facilities and travel etc., just if you can give some color on that?

Venka traman N: Rajesh, as you must have heard me while I did the opening remarks, I am still holding on to the 22 % to 24% margin. In transparency we have our margins numbers include other income as well if you know that EBITDA number we have been including other income. This quarter we have had some fluctuation in other income given the way the interest rates have moved and the way it got made up partly through exchange variations which was in our favor and the volume growth that we have shown. So, there are some bit of these changes which we would like to make sure that we do not go wrong and that and which is why I have been always guiding you to a careful number or a long-term sustainable number of between 22 % and 24%. Also, the second thing is we have got some of with back to smiles which is we are welcoming Happiest Minds back to our offices. We will see some of the cost benefits that we have seen in the last one and half to two years reversing, we have to expand our facilities, and some time cost will also add to the P&L. Travel cost like you rightly said would go up, it was about half a million a quarter and just likely to come back to that numbers slowly. So, with all of this I do not want to pitch at the current margin rate of 26.4%. More importantly next quarter we have pay increase that is coming up like I said in the commentary, that is also something that we have taken into account given the attrition scenario and the demand for talent, it would have marginal impact, I hope it is marginal and that is also been accounted for when I gave you that 22% to 24% number.

Happiest Minds Technologies
July 22, 2022

Page 17 of 19 V P Rajesh: Thank you, that is very helpful. My second question is for Ashok Ji, I believe I was reading somewhere that you have launched a wellness company as well. So, how will change your time commitments towards Happiest Minds?

Ashok Soota: Can you say that again, I am afraid, I have never heard you?

V P Rajesh: I believe I have read somewhere that you are launching a wellness company or nutritional company as to get exactly which category?

Ashok Soota: That is a different issue altogether, it is not a nutrition company anything it is called Happiest Health and it focuses on providing knowledge for both health and wellness.

V P Rajesh: Right, so my question was that how does that change your work time commitment towards Happiest Minds?

Ashok Soota: I have sent a mail to some of our stakeholders so far because we are really only very gradually increasing the numbers that we have sent out in terms of mails to our audience in Happiest Health. There are two very important things I want to highlight out here, the first it makes no difference on the commitment. I continue to be Executive Chairman here, I am not or the role will be other entity at all, so I am directing it like a mentor. Second thing is I think it is very important when we have said that the executive board is really the key driver for our ten-year vision. I also give them a little space to continue to work out all their daily thing, so there is a certain amount of things which in any cost of time, any executive should do is to see what can I keep on passing on for people to do and therefore not get involved

ved in

such operational or even strategic areas which can be taken care of by this leadership which is really doing an admirable job . I will point out a third thing, actually I have created two entities in the healthcare space, one was my completely not for profit research center called SKAN which was launched last year and it is working on really leading edge technology areas which require everything today you cannot do any work on any front without spending 10 -20% of that money particularly in research on IT. Happiest Health is health and we have been talking of platforms, so who has created that platform on the basis on which we are just recently launched Happiest Health and we have been talking of annuities streams, I do not have to give them on audio which says that it will last for three years that is in a fact the long way of looking at businesses. But one thing will lead to the other this platform will support multiple applications, two things are happening here I must tell you first that every work that we are doing in either SKAN or Happiest Health through Happiest Minds is all done under board approved arms -length agreement. So, there is no favor to either side it must be fair, it must be in line with the margins where the business gets for doing comparable work elsewhere. So, that is point number one and point number two you can see very clearly how this work will add to the potential or potentially will add huge Happiest Minds Technologies

July 22, 2022

Page 18 of 19 amount of capability with this other spin of benefits for Happiest Minds in terms of the healthcare space. So, you might say it is a complete win -win for both parties and since you are really coming into this from Happiest Minds angle I say it is a huge new capability opportunity which can get replicated for other entities in that space for the healthcare domain.

V P Rajesh: Well thank you. That is most helpful. That is all.

Moderator: Thank you. The next question is from the line of Saurav Thadani from IIFL Institutional Equities. Please go ahead.

Saurabh Thadani: Thank you for the opportunity and congratulations on a good set of numbers. I had one question on the vertical wise performance for the quarter while our growth has been pretty broad based the high -tech vertical has seen two straight quarters of sequential decline. So, just wanted to understand a bit over here is this driven by some project or client specific project completions or is it more a broad based slow down to let it to the mobilization of growth at about the hyperscalers ?

Ashok Soota: Joseph, you want to take this up, but I have a feeling the answer is more lying in absolute numbers have not gone down, but you can just cross check that and communicate.

Joseph Anantharaju: You are right. The absolute numbers are almost the same, between Q4 and Q1 there is a marginal variation. I believe we would have expected a growth and there are two reasons why we did not have that growth ; one is one of our customers where we were doing a Pimcore implementation we are close to completing it and this was a fixed price and therefore there is a little bit of a drop off while we figure out what to do next with that customer and the second, one of our customers is a late stage venture funded company and they are really cautious on their spend, so when they saw the macroeconomic situation, the geopolitical situation they did take a step back and reduced their spend a further but what we seeing is that same customer is coming back now because they have new customers coming on all the times and asking for additional features and functionalities and having worked with us, we have been with this customer from day one and we have been the original engineering team, they had just a CO and CTO, so they have come back to us and we should see an increase and expansion in this account. So, next quarter we

should see the

High -Tech vertical show a percentage as a revenue growth as well as an absolute growth.

Saurabh Thadani: That is very helpful. That is it from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to Mr. Rishi Jhunjhunwala for closing comments.

Happiest Minds Technologies

July 22, 2022

Page 19 of 19 Rishi Jhunjhunwala: Thank you. On behalf of the entire IIFL Institutional Equities team we would like to thank the management of Happiest Minds Technologies for giving us the opportunity to host this call. I am going to now pass it over to Sunil for any closing comments.

Sunil Gujar: Thank you Rishi and thank you all for joining us today. We thank IIFL Institutional Equities for hosting this call on our behalf. We look forward to interacting with all of you . You can reach out to us on ir@happiestminds.com . Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of IIFL Institutional Equities that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Please Note: The transcript has been edited for readability and does not purport to be a verbatim record of the

proceedings

Call: Jul 2022

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July 11, 2022

Listing Compliance & Legal Regulatory
BSE Limited

Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001
Stock Code: 543227 Listing & Compliance
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai 400 051
Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of 11th Annual General Meeting held on June 30 , 202 2

Please find enclosed the transcript of the 1 1th Annual General Meeting of the Company held on June 30 , 202 2. The Transcript has been uploaded on the Company's website

<https://www.happiestminds.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Transcript of Annual General Meeting (" AGM ") of Happiest Minds Technologies Limited held on June 30, 2022 from 4.00 PM (IST) to 4.57 PM (IST) through video conferencing

Directors and KMPs present

Mr. Ashok Soota Executive Chairman & Director (Bengaluru, India)
Mr. Joseph Anantharaju Executive Vice Chairman & Director (Bengaluru, India)
Mr. Venkatraman N Managing Director & CFO (Bengaluru, India)
Mr. Rajendra Kumar Srivastava Independent Director (Hyderabad, India)
Ms. Anita Ramachandran Independent Director (Prague, Czech Republic)
Ms. Shubha Rao Mayya Independent Director (Bengaluru, India)
Mr. Praveen Kumar D Company Secretary & Compliance Officer (Bengaluru, India)

Other Invitees in attendance

Mr. Vikas Bagaria (Partner)
Mr. Girish Bagri (Partner) M/s. Deloitte Haskins & Sells
Statutory Auditors (Bengaluru, India)
Mr. Kamlesh Dash (Director)
Mr. Gaurav Gujrati (Associate Director) M/s. KPMG Assurance and Consulting Services LLP
Internal Auditors (Bengaluru, India)
Mr. V Sreedharan (Sr. Partner)
Mr. Pradeep B Kulkarni (Partner)
Mrs. Devika Satyanarayana (Partner) M/s. V Sreedharan & Associates
Secretarial Auditor/Scrutinizer (Bengaluru, India)

Members present : A total of 56 members attended the meeting

Proceedings:

Chairman Dear members and invitees. Good evening. I am Ashok Soota – Executive Chairman , Happiest Minds . I have joined this meeting from the registered office of the Company at Bengaluru. On behalf of the Board of Directors, I take pleasure in welcoming all of you to the 11th Annual General Meeting of the members of Happiest Minds Technologies Limited. I trust that all of you and your families are safe and healthy .

This is the Second General Meeting of the Company after we listed on NSE and

BSE. As of record date, happy to say that the Happiest Minds family of investors is at an incredible 7,25,000+ which is more than double when compared to our last AGM. I would like to extend a warm welcome to each of you.

The Company has taken all feasible efforts under the current circumstances to enable members to participate through video conference and vote on the items being considered for the meeting.

Now, with the requisite quorum of shareholders being present, I call this meeting to order. We also have with us representatives from Statutory Auditors, Internal Auditors, Secretarial Auditors and the Scrutinizer.

I would now request my colleagues on the Board to introduce themselves and confirm the place from where they are attending this meeting.

I would like to start with Anita who I thought had requested for leave of absence, but I notice she is there so Anita please do start and then Raj and Shubha and the Internal Directors.

Anita

Ramachandran This is Anita Ramachandra, Independent Director attending the meeting from Prague, but I normally live in Mumbai . Thank you

Rajendra

Srivastava This is Rajendra Srivastava, Independent Director attending the meeting from my office in Hyderabad at Indian School of Business

Shubha Mayya Good evening, I am Shubha Mayya, Independent Director attending the meeting from my residence in Bengaluru . Thank you

Joseph

Anantharaju Good evening. I am Joseph Anantharaju, Executive Vice Chairman attending the meeting from the registered office of the Company at Bengaluru

Venkatraman

Narayanan Good evening. I am Venkatraman Narayanan, Managing Director & CFO attending the meeting from my residence at Bengaluru

Chairman With introductions over and confirmation of attendance done, I now request the Company Secretary, Praveen to provide general instructions to members regarding participation.

Company

Secretary Thank you, Ashok . Good evening to all. I am Praveen Kumar Darshankar – Company Secretary & Compliance Officer.

I am joining this meeting from the registered office of the Company at Bengaluru. Members may note that this meeting is being held through video conference in accordance with the circulars issued by MCA and SEBI. Facility for joining this meeting through video conference has been made available for members on a first -come -first serve basis. All members who have joined are by default placed on mute by the moderator. When the session on question and answer commences, the speaker member will be unmuted by the moderator.

Members may also note that the Company reserves the right to limit the number of members asking questions depending on the availability of time.

The Register of Directors and Key Managerial Personnel and their Shareholding; the Register of Contracts or Arrangements in which the Directors are interested and the Certificate from the Secretarial Auditors of the Company under the SEBI (Share Based Employee Benefits) Regulations , 2014, are available electronically for inspection by the members during the meeting. Members seeking to inspect such documents can send their requests to investors@happiestminds.com

We had provided facility to cast your votes electronically on all resolutions set forth in the Notice. Members who have not cast their votes will have an opportunity to cast their votes upon declaration by the Chairman about the commencement of e -voting at the meeting through insta -poll. Members may

click on the "Vote" sign on the left -hand bottom corner of their video screen for voting at the meeting.

Members are requested to refer to the instructions provided in the Notice or appearing on the video conference page, for seamless participation through video conference. In case members face any difficulty, they may reach out on the helpline numbers given in the Notice.

Now, I request the Chairman to start the proceedings. Over to you, Ashok.
Chairman Thank you, Praveen

Dear Stakeholders, the completion of Happiest Minds first decade happily coincided with outstanding year both in terms of financial results and organizational excellence, I am delighted to inform you that where Happiest Minds deliver industry -standard leading growth with a superior profit profile. Our growth was 40.9% in constant currency while we achieved 26.1% in EBITDA.

The growth was broad -based with all our business units, operating geos and centers of excellence delivering excellent results. These results were enabled by the contributions of our delivery teams, technology and domain groups and the support of all our corporate functions under the leadership of our Executive Board .

We are proud to be recognized by the Great Place to Work® Institute (GPTW) to be amongst India's Top 15 Best Workplaces in Health and Wellness and this cuts across all industries . We continued to receive other recognitions from GPTW such as India's Top 25 Best Workplaces in IT & IT -BPM and India's Top 50 Best Workplaces for Women for the 3rd consecutive year .

The Institute of Directors (IoD) recognized us as winners of the Golden Peacock Business Excellence Award for the IT industry . We were also recognized by Asiamoney as the Best Company for the Most Outstanding IPO in India .

Customer Satisfaction, as measured by our internal survey showed a Net Promoter Score (NPS) of 53 and overall satisfaction level of 7.7 on a scale of 9.0. We believe these numbers to be in the top tier along with comparable companies .

The rapid adoption of digital technologies is forcing companies cutting across industries to innovate rapidly and take advantage of newer technologies and paradigms to significantly enhance customer experience. Our deep expertise in the building blocks of Digital such as IoT, AI, Cloud and RPA, along with next -gen technologies such as Blockchain, AR/VR and Robotics has made us a strategic

partner of choice to many of these companies, leading to robust demand and deep long -lasting relationships.

During the first decade, we set our goals through two 5 -year cycles of our Vision statements, each with well -defined measurement criteria.

I am now happy to share our Vision statements – that form the acronym DELiGHT – for the next 10 years and beyond and these will be the guidelines which propel us in our future Direction :

- Design Happiest Minds for Perpetuity and you see the symbol of Perpetuity on our Annual Report cover
- Accelerate Profitable Growth
- Build & Sustain a World Class Team
- Be the Ambassador of Happiness
- Be Recognized for Thought Leadership in our focus areas of Technology

& Solutions

- Be known for our ESG standards

We have placed sustainability at the heart of our business approach. Our goal is to be carbon neutral by 2030, establish Happiest Minds Foundation this year and be recognized for Corporate Governance by leading industry bodies.

Our culture of giving defines our social responsibility programs. You will be happy to know that we have donated towards 4.04 Mn meals to The Akshaya Patra Foundation. We have also contributed to Sri Jayadeva Institute of Cardiovascular Sciences and Research where a molecular testing lab has been set up along with ICU beds at their Bengaluru facility.

We are increasing our delivery capacity this year much higher than we have ever done in any previous years. Our campus hiring is expected to be 300 joiners by August 2022 and will double to 600 for the next year. We are also expanding capacity in each of our locations – Bengaluru, Noida, and Pune, and we are adding Bhubaneswar as a major new delivery center.

As we look ahead to the future, we are optimistic and excited about the tremendous opportunity that awaits us.

I would like to express my gratitude to our customers for their continued faith and trust in Happiest Minds. I am also grateful to all Happiest Minds for their commitment and dedication to enable the happiness of our customers. I am grateful to our Board of Directors, our Shareholders and all other stakeholders for their wishes, guidance and support that help us accelerate our digital and agile journeys.

Let me close by wishing all of you good health and happiness and now I would request Mr. Venkatraman to make a presentation to the members on the performance of the Company during the financial year ended on March 31, 2022.

Venkat Thanks, Ashok. Good evening to all present at our 11th AGM. Trust all of you are safe and keeping well. The next few minutes, I will cover some highlights on our financials for the year that ended as on March 31, 2022. You can find a very detailed investor presentation on our website and I request all of you to go through that. Coming back to the highlights, we had an excellent year from

a financial and business standpoint. Happy to say that we have shown industrial leading growth and on most financial related parameters, we are on the top when compared with comparable IT service companies or peers. We close the year with operating revenues of \$147 Million that was showing a growth of 40.2%. In rupee terms, our total income was Rs. 1131 crores versus Rs. 798 crores in the previous year, showing a growth of 333 crores and 41.8%. EBITDA for the year was 26.1% of the revenues. What was heartening was a robust growth in our EBITDA of 36.9%. We close the year with EBITDA of 295 crores. Happy to note that almost 98% of our EBITDA dropped to the balance sheet is cash and we added almost 290 crores on that account. Our capital return ratios continue to be very healthy and again leading among peers. Return on capital employed was 39.8% and return on equity was 27.3%. A good demand environment on which we

could deliver helped us in

putting up the strong growth that your Company saw in FY22. We do see a continuation in the demand scenario and we are preparing for the same. We are strengthening our talent acquisition strategy both on-site and offshore while expanding our presence in India. We are expanding our presence in existing locations in Noida, Pune and Bengaluru, while also expecting to open our presence in Bhubaneswar by Q2 of FY23. Coming to margins, while we have delivered industry-leading EBITDA of 26.3%, given the people supply situations and many of the credits that we have got on account of Covid and Work from home, rolling back, we expect some reductions in margins or what we call sustainable margins. We expect this to be in the range of 22-24%. We close the year with cash and investments of 647 crores, active customers of

206 and 4168 happiest minds . Finally, on the basis of our performance, solid cash generation and after review of our capital allocation strategies, happy to report that the Board had recommended final dividend of Rs. 2 per share which will see a cash outflow of approximately 29.4 crores. Including this final dividend, the total dividend for the year will be R s. 3.75 per share. The final dividend recommendation is subject to shareholders' approval in today's AGM. With this , I conclude my brief commentary and hand over the session to our Chairman .

Chairman Thank you Venkat. I now request the Company Secretary to provide a summary of the Auditors' Report.

Company

Secretary Thank you, Ashok . The Statutory Auditors, Deloitte Haskins and Sells and the Secretarial Auditor, V Sreedharan & Associates, have expressed an unqualified opinion in their respective audit reports for the financial year ended March 31, 2022. There were no qualifications, observations or adverse comments on financial statements and matters, which have any material bearing on the functioning of the Company. Copies of the Statutory Auditors' report and Secretarial Audit report are enclosed as part of the Annual Report. Thank you. Over to you, Ashok.

Chairman Thank you, Praveen . As the Notice and Annual Report is already circulated to all the members, I take the Notice, Statutory Auditors' report, Secretarial Audit report and Board's Report as read. We will now take up the resolutions as set forth in the Notice .

Item No.1 - To receive, consider and adopt the Audited Standalone Financial Statements of the Company for the financial year ended March 31, 2022 together with the Reports of the Board of Directors and the Auditors thereon.

Item No.2 - To receive, consider and adopt the Audited Consolidated Financial Statements of the Company for the financial year ended March 31, 2022 together with the Report of the Auditors thereon.

Item No.3 - To declare a final dividend of Rs.2 per share on equity shares for the financial year ended March 31, 2022.

Item No.4 - To appoint a Director in place of myself who retires by rotation and, being eligible, offers himself for re-appointment.

Since all the Resolutions have been already put to vote through remote e-voting, there will be no proposing and seconding of the Resolutions and that there would be no voting by show of hands. At the end, 15 minutes further will be provided for voting.

If any member desires to ask any questions pertaining to any item of the notice, he or she may do so now. Members are requested to keep their questions brief and specific. The moderator will facilitate the question and answer session and with this let me hand over to moderator.

Moderator Thank you, Sir . Will call the speakers in the order, the speaker has to unmute themselves and if possible, share their camera and start asking the questions.

The first speaker is Celestine Elizabeth Mascarenhas.

Celestine

Elizabeth

Mascarenhas Respect

ed Chairman Mr. Ashok Soota, other member of the Board and my fellow shareholders attending this virtual meet , I am Celestine Elizabeth Mascarenhas and I am attending from Mumbai.

First of all, I thank the Company Secretary Mr. Praveen Kumar Darshan and his team , especially Suhas for sending me an E-Annual report and also registering me as a speaker at my request and seeing whether I can enter the meeting or not, Thank you once again. Now I come to the working of the Company , definitely working good . We have completed a decade now and we are going to the second decade. The second decade has just begun, and I don't

know where we will go in the next nine years . So, with all the workings , we are enjoying a dividend of Rs 2 per share which is very good, and I congratulate you for the same .

Our market capitalization should raise and that is the most important thing because some investors will come running like in the case of Mindtree . They will come running to acquire our shares. Even if the dividend may be a little less, our market capitalization should be good.

I again congratulate for all the awards and accolades mentioned in the Annual Report and also for the good CSR work initiated which is very commendable. On ESG, I would like to know whether we are going for ESG rating and if so

what is our ESG rating and which is our rating agency because nowadays , mutual funds are supposed to invest where the ESG rating is very good so that more investors invest in such companies .

Sir, my query is that we are a 'Mindful IT Company ' enabled digital transformation for enterprises and technology by delivering seamless customer experience, business experience and actionable insight. Our Company does this by the spectrum of disruptive technology such as Artificial Intelligence , Blockchain , Cloud, Digital process, Automation, Robotics, Drones and Securities. Sir , which mode is the most effective and which of these modes gives us the most margin and which will be the next generation . Could you throw some light on this?

Secondly , how many customers were added in this quarter and third , what is the next three years' growth plans especially organic growth and also inorganic growth through acquisition of some digital IT companies. Sir, our mission is 'Happiest Peoples . Happiest Customers ' and I would also add here very happy shareholders as I see your vision from 2021 for the next 10 years i.e 2021 to 2031.

Why I say this is because we know how you created great value in Mindtree and as LTI acquired them, the shareholders got a good valuation . If you give the same valuation here which we will have to wait and watch . Patience is the most important tool we should have. I support all the resolutions and I wish my Company Happiest Minds as the name suggests 'Happy ' so we will be always happy for your good health and for your full team and also Happiest Minds will grow in strength to strength so that we will be a great digital Company . Thank you for the patient hearing.

Chairman Thank you, Elizabeth . I am taking the liberty of addressing you by your first name, you have already become an old friend because you asked some good and pertinent questions even in the last shareholders meeting . You asked where we are likely to be at the end of the second decade and in our vision statement, we have articulated that we will be a billion -dollar company and that's the target. It's not a forward -looking statement simply because it's shared with everybody as a part of our vision and hopefully, all of these will also lead to happy and happier shareholders coming to your very last point as we grow on a profitable basis. Coming to the specific questions you asked, we will not attempt to answer your question on what will be our growth either organically or

inorganically because that would become a very specific forward -looking statement and some of that we will address when we announce our Q1 result but in terms of some of the other things that you asked for, I will ask my colleagues to pitch in. You asked for a number of customers added this quarter which either Joseph or Venkat could provide. We have got a question on the ESG rating and where our standards are going to be, we have already indicated that we will be carbon neutral by 2030 but if you really ask for certification etc and on that front , maybe my colleagues can tell you this. I will address one more important thing here ; I am glad to notice that you have understood all the new technologies that we are offering and the next level of

neo technology which are coming in. I would like to tell you that the positioning of our Company or nature of our Company, the DNA of our Company is to be on the leading edge of all new technologies, the adoption show our expertise in them, develop proof of concept in them and take our solutions thereby to the market so that would remain our philosophy for the next decade so with this let me hand this over to whomever like to ask and respond to the question on number of customers whether it is Joseph or Venkat and also the question on ESG standards and rating.

Venkat Yes, I take the ESG rating question. We are in the process of empaneling a set of consultants on the ESG rating. Last year, we started FY 21 Annual Report by giving quite a bit of inputs on our going green and ESG aspects of doing business and we got an even larger section in FY 22, as you rightly noticed in our Annual Report and we are now taking it to the next level by getting an external rating agency to go through our ESG practices and rate us on a comparative basis. On the total number of customers, we are 206 (Two Hundred and Six).

Chairman Venkat, I want to stop you for a moment because her question was in this quarter how much we have added and I don't think we should answer that, since we announce those results in our next board meeting this quarter is only just finishing and we should only announce that along with our result.

Venkat Yes, I just want to say that we have 206 customers as at the yearend madam and we added in the fourth quarter of last year about 11 customers.

Chairman Ok, can we get the next question.

Moderator Sir, the next speaker is Mr. Gautham Kedarprasad Tiwari. He is not available sir.

Chairman Ok

Moderator The next speaker is Mr. Raja Raghu Ram Guthikonda, Mr Raghu Ram Guthikonda, please unmute yourself, on your camera and speak sir.

Raghu Ram

Guthikonda Hello Ashok sir and to the management and my fellow shareholders, myself Raghu Ram from Hyderabad. I am a proud shareholder of Happiest Minds and I thank the management for first sending me the Annual Report. My question is that, currently, we are dealing with attrition issues. How Happiest Minds management is dealing with the attrition rate at the present moment since highly skilled employees are migrating to other companies? So how are the Happiest Minds dealing with it?

My second question is that most of the Happiest Minds customers are US customers. So, are there any plans in adding Indian customers and clients? Any views on it and I also have a suggestion. Last year, I and a few of my friends applied to Happiest Minds but we didn't get any response from the hiring team, so my suggestion would be to give some priority to the shareholders who applied as employees. Then my second suggestion is to please allow the shareholders to visit the corporate offices so that it will be helpful for the new aged employees /new aged investor like us to come and visit the Company from a real company point of view experience rather than only accessing the information given

on the Company website. I would like to thank the management for giving me this opportunity.

Chairman Sure, I will just take one or two questions and then pass on these questions to my colleagues specifically again to may be Joseph and Venkat. You know there is one point you mentioned about Indian clients. Actually, there is no Indian IT company which has a higher percentage of sales, I am talking about those who sell in the global market, there is some who really don't have a global business but those are smaller people who can't address those markets but as a percentage of sales were in about 11% approximately ballpark for the last year and it is growing may be even 12% that number. So absolutely nobody has got a number like that as a percentage and that is because from the very beginning we were also focused on the Indian market and we say that do today leading -edge work even in India we are leapfrogging the solutions that are available in the west and everybody wants that so that the very useful thing placed into our strengths and we are exceeding list from Indian market, which is a very good thing. You talked about the attrition; I may ask may be Joseph

can add but I want tell you one thing to a certain extent there is a global phenomenon going on hiring on very high attrition. It will change . I have gone through four cycles of this in my life . Whenever there is a peak in demand, we had a bad year for everybody in terms of growth during the first pandemic year and the next boom year that followed , there is huge demand, so people have resigned . There is a little resistance also because of the fact that we been telling people come back to work and that again is a phenomenon across the industry . Having said that , the bulk of the attrition taking place in that category or people who only joined during the pandemic have not built bond with the Company and we don't know what practices they were following so in a way it is something that you have to say , alright , those who don't want to join and those who are not committed to the Company and don't want to come back to work , they must live to their will . I don't think you can fight that beyond a point. Other than that, we were excellent practices, our team has put into place many ideas and may be Joseph can tell you that and I will add I just see this as a phenomenon which will fade away during the gossip this year of this high attrition rate . However , what we are doing to compensate for that and that we mentioned to you, I mentioned , Venkat mentioned , is we increasing our delivery capacity like we have never done before. So, if we add on all the numbers we are planning , that takes care of our customers demand and then we live and manage the attrition as best that we can. Joseph, do you want to add anything more on action for attrition control ?

Joseph Sure Ashok . Thanks. Taking quite a few steps Ashok mentioned, one of the trends that noticed is much higher with the people who joined post pandemic, so we increased the people engagement activities, both virtually and trying to get people to office and engaged with them. We try to look at the benefits and especially during the Covid time, multiple benefits we offer including compassionate scheme, vaccination, wellness, providing oxygen cylinders to build the connect with the Company , we are looking at how do we provide our people with a career path and help them with learning and development, giving them challenging assignments so that they feel they are adding values themselves and don't get tempted to look out . So, several such initiatives have been taken and we do have quite a few of our people coming into office . We hope to engage with them, get them into Happiest Minds culture and build a connect with them so that they would continue with us for a long time.

Chairman And there is something about sending applications from which they have never heard back, do you want to address that issue ?

Joseph Take a look at this specific one Ashok . By large , we try to and we do respond to all the application that we get. Not sure what happened or the system issue or something like that but we will take a look at this issue.

Chairman I would also say to Mr. Raja Raghuram that though you asked for the priority for shareholders , you must appreciate that everything will be on merits. Now, having said that , we should really have been able to get back to you and I will say, you specifically should send out the mail, if you like to Joseph and again enclose your resume , they will look at it on merit. That is not the optimality we could afford to anybody else. But take a look at it and then we will see if it meets the requirements in terms of some of the skills and things that we have in short supply or those which are growing in demands where we need those skills . By all means , feel free to or may be offline, you can find out his email id to send your profile too.

Can we take the next question. ?

Moderator Yes sir, the next speaker is Mr. Rajesh Kewalram Chainani , please unmute yourself .

Mr. Rajesh
Kewalram

Chainani Respected Chairman, highly distinguished Board of Directors , my fellow shareholders . My name is Rajesh Chainani , first of all, I thank the secretarial department, as they sent me the Annual Report on time and I was very happy, I got the call from the secretarial department whether I am joining or not so. I really appreciate that. Sir, I am very happy. Company as Happiest Minds but as a shareholder I am very happy with the price of the shares because I got the

share at IPO price sir. I am holding on it. No doubt, I am little bit disappointed because it has come down but due to the market condition, I am not ready to sell because lot of people telling me this is going to be next Infosys. So, I am really holding on and I just want to know what are the future plans of the company? We are doing very well so if you could throw the light because I would love to see my company like Mindtree. I support all your resolutions and I have full faith in you sir and your entire Board Sir, and I told you I am very happy and I want to be much happier and with the Company in your hands, is going to be the best for all the shareholders. Thank you Chairman Thank you, Rajesh, for all the points and I think where we are heading for the future. We have already indicated what we have stated in our vision statement. We would like to become billion-dollar company by end of this decade. Thank you for your support, its valuable to us. So, the goodwill that we sense in your question as well as in the earlier statements made by Elizabeth and Raja Raghuram is of great importance to us and we look by it and appreciate in turn and we will continue to do our best to make sure that all our stakeholders that we have with us should also be the happiest. Next question, please.

Moderator The next speaker is Mr. Kaushik Narendra Shahukar. Mr. Kaushik Narendra Shahukar, please unmute yourself and ask the questions.

Kaushik
Narendra

Shahukar Good afternoon, sir. Hope I am audible. Good afternoon, everyone. First of all, I would like to thank the Board of Directors for giving me this opportunity to speak in this forum. Many of you may remember my conversation in past

years so I will skip both my introduction and ask brief. Hope I am clearly audible. Myself Kaushik Shahukar from Mumbai, a Practicing Chartered Accountant. I have been suffered from Dys tonia, infected my right hand, right leg and my speech. While I have not let that come in my way of becoming Chartered Accountant and practicing. I do

request your support in helping me continue to be self-reliant. I hope I am clearly audible till now.

Venkat Yes, you are.

Kaushik
Narendra

Shahukar Thank you, sir. I was expecting after our conversation we had last year about me working for our organization on certification work, including form 15CB. However, nothing has progressed since, while I understand things may not have progressed due to pandemic situation last year. I do hope that after our conversation, today our organization would start engaging me in this area as soon as possible. Once again thank you for the opportunity to speak today and I hope to see a positive response from the Company.

Chairman Joseph. Do you want to address the issues raised by Mr. Kaushik? Venkat Ashok. In fact, Mr. Kaushik had reached to our investor relation team, spoken to Sunil and he had sent his resume and profile. We are internally evaluating possibilities of enrolling him to help with certifications. We are seeing how we can accommodate Kaushik.

Chairman So again, I would say Kaushik one of our philosophies is wherever possible and where people meet a certain requisite standard, we will try and give priority to what are called as differently abled persons and in fact that's one of the things I planned to discuss both of you tomorrow where we have role in internal meeting, you might just remember to bring it up. We keep it in mind, its already there, all the best to you and in any case, you become more and more self-reliant and fine as your life proceeds. Can we have the next question?

Moderator Sir, that ends the questions

Chairman There are no further speakers?

Moderator No sir.

Chairman No further questions? Okay. Then I would like to thank all the members for their queries and views. As mentioned earlier, the members who have not already cast their vote by means of remote e-voting, may do so now through insta-poll which will be available for the next fifteen minutes. V Sreedharan and Associates, Company Secretaries, have been appointed as the Scrutinizer to report on the combined voting results of remote e-voting and the insta-poll.

The results will be declared and submitted to the stock exchanges within 48 hours from the conclusion of this meeting and disseminated on the Company's website along with scrutinizer's report. I authorize the Company Secretary, to do the needful. Resolutions, as set forth in the Notice, shall be deemed to be passed today subject to receipt of requisite number of votes.

With this, the 11th AGM comes to an end. I am grateful to all the members and to our Board of Directors who have taken time to join this meeting. With your permission, I hereby declare the proceedings as closed. Thank you very much. Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2022

Happiest Minds Technologies Limited
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October 26, 2022

Listing Compliance & Legal Regulatory
BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Stock Code: 543227 Listing & Compliance

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai 400 051

Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on October 21, 2022

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on October 21, 2022 post announcement of financial results of the Company for the quarter and half year ended September 30, 2022. The transcript is also uploaded on the Company's website

<https://www.happiestminds.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 12

"Happiest Minds Technologies Limited
Q2 FY 23 Earnings Conference Call "

October 21, 2022

MANAGEMENT : MR. ASHOK SOOTA - EXECUTIVE CHAIRMAN

MR. JOSEPH ANANTHARAJU - EXECUTIVE VICE

CHAIRMAN AND CEO OF PRODUCTION

ENGINEERING SERVICES

MR. VENKATRAMAN NARAYANAN - MD AND CFO

MR. RAJIV SHAH - PRESIDENT AND CEO OF

DIGITAL BUSINESS SERVICES

MR. RAM MOHAN - PRESIDENT AND CEO,
INFRASTRUCTURE MANAGEMENT AND SECURITY
SERVICES

MR. AUROBINDO NANDA - PRESIDENT ,
OPERATIONS AND DEPUTY CEO, PRODUCT
ENGINEERING SERVICES

MR. SRIDHAR MANTHA - CHIEF TECHNOLOGY
OFFICER

MR. SUNIL GUJJAR - HEAD OF INVESTOR
RELATIONS

MR. PRAVEEN DARS HANKAR - COMPANY
SECRETARY AND HEAD OF LEGAL

MODERATOR : MANIK TANEJA - JM FINANCIAL

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY'23 Earnings Conference Call of Happiest Minds Technologies Limited, hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manik Taneja. Thank you. Over to you, sir.

Manik Taneja: Thank you, Jaishree. Good morning, everyone. Thank you for joining us today on the Q2 FY'23 earnings call of Happiest Minds Technologies Limited. On behalf of JM Financial Institutional Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call. Today, we have with us Mr. Ashok Soota, Executive Chairman; Mr. Joseph Anantharaju, Executive Vice Chairman and CEO of Production Engineering Services; Mr. Venkatraman Narayanan, MD and CFO; Mr. Rajiv Shah, President and CEO of Digital Business Services; Mr. Ram Mohan, President and CEO, Infrastructure Management and Security Services; Mr. Aurobindo Nanda, President, Operations and Deputy CEO, Product Engineering Services; Mr. Sridhar Mantha, Chief Technology Officer; Mr. Sunil Gujjar, Head of Investor Relations; Mr. Praveen Darshankar, Company Secretary and head of Legal.

I will hand over the call to Sunil for safe harbor statement and to take the proceedings forward. Thank you. Over to Mr. Sunil.

Sunil Gujjar: Thank you, Manik. A very good morning to all. Welcome to this conference call to discuss the financial results for the second quarter ended September 30, 2022. We trust all of you are keeping well and staying safe. I'm Sunil, Head of Investor Relations. The financial statements, quarterly fact sheet and press release are available on our website for your review. The agenda for this call is as follows, Ashok will begin the call by sharing his perspectives on the business environment and our results; Venkat and Joseph will then speak about our financial performance and operational highlights. After which, we will have the floor open for Q&A.

Before I hand over, let me begin with the safe harbor statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of

uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically.

Now let me pass it on to Ashok.

Ashok Soota: Thank you, Manik and Sunil. Good morning to all of you. I am proud and happy to share that in all parameters of revenue growth, EBITDA and others, Happiest Minds continues to be number one or number two amongst all listed companies who have so far declared results. Our EBITDA margin is only behind one company in the top ten IT services companies. Moreover, for ten quarters in a row we have delivered more than 25% EBITDA, indicating the consistency of our earnings and the strength of our value proposition.

During this quarter, we completed two years of being a listed company. I would like to express my gratitude to all the stakeholders for their continued trust and confidence placed in us. We won the prestigious Golden Peacock Award for Excellence in Corporate Governance for the year 2022 within two years of our IPO. This is a validation from the institution of directors of our efforts over the years to build an institution for our stakeholders with a very strong foundation.

To address the growing needs of our customers and in line with our strategic expansion plans, we have increased our capacity across our delivery centers. This
Happiest Minds Technologies Limited
October 21, 2022

Page 3 of 12 includes purchase of an additional facility in Bangalore, expanding our center at Noida and our Bhubaneswar center is expected to be operational by end of November. In the US, we have two new offices in New Jersey and Seattle. This unprecedented expansion of our delivery capacity is an indication of our confidence in sustaining future growth, in-line with our articulated vision statement. The demand environment continues to be strong, and we will continue to focus on initiatives that further give impetus to our already strong organic muscle.

I'd like to give all of you best wishes for Deepavali. and I will now hand over to Venkat, who will give you all the numbers to support my above statement. Thank you.

Venkatraman Narayanan: Thanks Ashok. Good morning to you all on the call. Happy to be presenting a good set of numbers for our second quarter of FY '23. It's been a good quarter and a good half year from all fronts. In dollar terms, our revenues were at about \$44.3 million, showing a sequential growth of 5% and a year-over-year growth of 23.8%. Our growth in constant currency was 5.7% on a sequential basis and 26.5% on Y-o-Y. With this quarter, we've had 9 successive quarters of 5% plus growth in dollar terms. In rupees, our total revenues for the quarter were about ₹359 crore, showing a sequential growth of 8.9% and year-over-year growth of 31.1%.

Our EBITDA for the quarter was ₹94 crore, which is 26.3% of total revenues. And as Ashok referred, we are one of the top listed IT services companies with respect to this number and the growth parameters that I talked about. Volume growth, operating leverage in terms of better utilization, rate increase, increase in other income and a favorable exchange rate helped us set off a large part of the pay increase that came in this quarter, while helping to maintain our profitability levels, hence deliver the above margins.

With this quarter, we have had ten successive quarters of which EBITDA is 25% plus. So that's an interesting metric that we'll be putting forward. We ended the quarter with profit before tax of about ₹80 crore, which is about 22.3% of revenues compared to ₹76 crore and 22.9% of revenues in the previous quarter. Profit after tax was 16.5% and about ₹59 crore compared to the 17.1% and ₹56 crore in the previous quarter. E

PS was at ₹4.09, showing a sequential growth of 5.4% and a Y-o-Y growth of 33.7%. Our effective tax rate has remained steady at 25.5% over the quarters.

A few highlights of our performance for the first half of the year are, dollar revenues stand at about \$86.6 million, showing a growth of 25.5% on a year-over-year basis. Operating income in rupees was about ₹684 crore versus ₹509 crore for the previous half year, showing a growth of 34.4%. EBITDA was ₹182 crore versus ₹16 crore, showing a growth of 33.6%. So, you can see good growth in revenues, total income and consequently EBITDA.

Our performance in the first half of FY'23 has shown significant growth in revenues and profits and is in line with the annual guidance of 25% plus that we had stated earlier. Some of the operational highlights on our performance for the quarter while supply side constraints remain, our attrition numbers have started slowly trending down. And on an LTM basis, it stands at about 23.5% compared to the 24.4% in the previous quarter.

Our attempt to keep these numbers in check and trending downwards is what we will be continuously focused on as we move forward. Utilization levels continue to be high and was at 80.6% compared to 79.1% in the prior quarter. Like we have mentioned earlier, we would like to ideally keep this in the range of 78% plus, but however, as you know, supply and demand situation has warranted us to have this utilization run at the high levels of 80% plus.

We have added 393 Happiest Minds during the quarter on a net basis. This number

had a decent number of campus hires, which is about 247, who joined us this quarter. Our diversity metric was at 27.6% of women Happiest Minds compared to the 26% in the previous quarter. As you know, this is a number that we focus on, and it finds its way in our vision statement as well.
Happiest Minds Technologies Limited
October 21, 2022

Page 4 of 12

Revenue share of verticals has shown increase in almost all the verticals, except for a slight drop in retail and industrial. The primary reason for this has been completion of projects with a couple of large customers that we have been dealing with. Repeat business continues to be 91% of our revenues, and this stands testimony for the land and expand strategy that we have been following with our customers. We ended the quarter with about 40 million-dollar customers and count amongst them about 54 billion corporations who have revenues of more than \$1 billion. That means we have got 40 million customers and a total of 220-plus customers and out of which about 54 corporations have revenues of more than \$1 billion and essentially large corporations. We continue to generate healthy cash flows. And for the quarter, free cash flow was about ₹86 crores, which is about 90% of our reported EBITDA.

As mentioned on the call last quarter, we have deployed about ₹128 crores in the purchase of office space in Bangalore, funded primarily through long-term fixed rate debt of ₹120 crores. Looking at the interest rates today, the fixed rate of 4.2% on the loan makes the deal very sweet. We have significant other operating leverages coming out of the transaction, and I had covered this in detail on the last call. And it also lends itself as a natural hedge to us. The impact of this loan and this purchase is positive from a P&L standpoint, on a cash flow impact standpoint versus a rental arrangement that we would have ideally had for this building.

Cash and cash equivalents at the end of the quarter stood at ₹670 crores and our capital return ratios continues to be very healthy. Return on capital employed at the half year stands at 35.2% and return on equity stands at about 31.3%.

1.3% . Happy to say that keeping in line with our progressive dividend policy and capital allocation discussions, the Board of Directors of the company have declared an interim dividend of ₹2 per equity share with a record date of November 3, 2022. Cash outflow on this count will be about ₹29 crores.

Finally, as you may have read in the press, the Board of Directors of the company at its meeting held on October 5, 2022, has approved and enabling resolution to raise capital of amount not exceeding ₹1,400 crores. We have now reached out to our shareholders for their consent and the postal ballot process is in progress. Post shareholders' approval, the Board and our designated committee of the Board will decide the next course. The main use of funds will be to fund our inorganic growth aspirations of the company. Ashok did briefly touch upon the Golden Peacock Award that we were awarded this quarter. Extremely proud to say that we have been able to win this at such a young stage of growth of our company.

With this, I conclude my commentary, wishing all of the participants on the call a very Happy Diwali and Dhanteras. I'll now turn it over to Joseph for his comments.

Joseph Anantharaju: Thank you, Venkat. A very good morning to all. We continue our march with a strong set of numbers, which reflect our ability to grow profitably and at scale. Growth cut across business units, centers of excellence, geos and verticals, reflecting the relevance of our services to our customers. We are executing bold programs for our customers in their journey to drive growth, cost optimization or both and to build a resilient enterprise. Our proven land and expand strategy is helping us make deep inroads into our customers' digital journey by increasing our wallet share, which is validated by our average revenue per customer, consistently trending up. In the reported quarter, it is at \$812,000 compared to \$783,000 a year ago.

Our three business units, Product Engineering Services, Digital Business Services and Infrastructure and Security Services between them serve 226 customers, out of which 55 are billion dollar enterprises, with 40 customers contributing more than \$1 million in revenue. Through an efficient sales organization and sound account management practices, we're able to seamlessly take our offerings across these three

business units, resulting in 42% of revenues being cross Business Unit . Enterprises are running compressed transformational initiatives leveraging the power of digital. For a U.S. -based food retailer, we have been chosen as a strategic partner in their journey to drive e-commerce initiatives. Our customers are deploying outstanding customer experiences across various touch points to increase customer confidence, happiness, brand loyalty and advocacy. For Happiest Minds Technologies Limited
October 21, 2022

Page 5 of 12 example, a n Europe -based mature startup in the real estate tech has chosen us to enhance their digital platform to map their entire customer journey from sales to aftermarket. Cybersecurity continues to be more important than ever. Through our integrated security capabilities from identity to threat intelligence to manage security services, we're helping our customers intelligently assess, manage, detect and respond to cyber risk. For example, a leading fashion clothing and accessories brand in the ANZ region chose us to assess their cybersecurity risk, identify threats and gaps and implement remedial measures.

Our breadth and depth of capabilities help us to drive value across customer's business lines. For example, using intelligent automation and superior data visualization techniques, we're able to help a US based global energy

company drive efficiency and take timely decisions across their strategic lines of business. Digital most often than not is a force multiplier for enterprises. An impactful proof of concept (PoC) engagement done for a business unit, can soon open doors for much larger engagement within the customer's ecosystem.

For example, this FMCG major chose us to implement Microsoft Power Automate platform in its Southeast Asian territory to automate the order entry and purchase acquisition processes based on our success in other regions with the same customer. Our compelling people engagement program and the vibrant career paths that we provide offers a value proposition that is unmatched . During the quarter, we welcomed 393 new Happiest Minds which includes 247 campus graduates. Great Place to Work institute has yet again recognized us in the top 50 best workplace for women, and we are ranked 68th among best workplaces in Asia.

We have grown to 4,500 plus smart and innovative Happiest Minds, who are adding tremendous value to our clients for their strategic initiatives. We're also continuously evaluating acquisition opportunities to fill gaps in our offerings, strengthen our focus in the markets we operate and position us on the leading edge of technology.

Coming to the macro , technology permeates every part of our customers' businesses. They are accelerating growth and transformation agendas while continuing to build a strong digital core to drive agility, efficiency and resilience. So , in spite of a longer than usual inflationary period and extended geopolitical conflicts causing a little bit of anxiety, demand remains strong and as of today, has not resulted in any major curtailment of spend, nor any postponement of projects. Our strategy will be to keep a close watch on the market to anticipate our customers' needs in advance, enhance any needed technical and domain capabilities and be our customers' partner from strategy to execution, to solve their business problems and seize market opportunities while remaining laser focused on quality delivery.

With this, I conclude my commentary, best wishes to all for Deepavali . Operator, we can open the floor for Q&A.

Moderator: We have a first question from the line of Karan Danthi from Jetha Global. Please go ahead.

Karan Danthi: Could you explain what proportion of projects are related to cost takeout or optimization? Because that seems to be where incremental projects are coming from based on what your peers are saying. I just want to understand what that proportion is? The second question would be if you think about your customer base and the exposures you have and how you're growing, certainly, there's some customers, i.e., start-ups, which see some headwinds, some enterprises in Europe as well, maybe. And then there are other customers where digital spending will be the last thing they cut. So , if you could just frame a little bit of, puts and takes across your customer

base, that would be helpful.

Joseph Anantharaju : So we've not been tracking our revenues across cost takeout and growth and other areas, because for several of our customers, some of these initiatives are actually contiguous especially if you look at the mid-sized customers. We're not being differentiating or tracking this. But in terms of start-ups and Europe enterprise, our exposure to start-ups is on the lower side, probably would be in the single-digit as a percentage. So, the impact has not been much.

Happiest Minds Technologies Limited

October 21, 2022

Page 6 of 12

In the Product Engineering Service space, most of the customers that we work with are either mid-sized product and platform companies or most of them are

larger

product companies, which has been a strategic choice that we've made because the spends with these customers is much larger. We do have a few start-ups that we work with and the impact out there has been minimal. In terms of Europe, we get around 10%. This quarter, it was 9.5% or so of revenues from Europe. We've seen a little bit of a lengthened sales cycle out there. But given that our exposure to Europe is in the single digits, again, we've not really had much of an impact. Rajiv, do you want to add anything, Rajiv?

Rajiv Shah: Yes, a couple of things. Karan, if you look at what we serve our customers is driving the digital transformation in the entire ecosystem, which into product build, to integrate, to run digital-ready applications. So, it's really thinking about utilization of new technologies, adoption of new technologies or disruptive technologies which really help them drive the change in their business model as well as their approach to the customer. So that I think that's first part of the question. But when you look at some of the newer investments we have made in the areas of low-code environment, which looks at how do we help you reduce your not only get your platform out in the market faster but in the long run, it reduces your support and maintenance cost as well.

So it's not really a cost takeout, but it's a cost optimization activities that we get involved in by implementing new sets of technologies and new sets of disruptive digital-ready platforms in their environment. Specific to Europe, I think that our large accounts which continue to grow, and we continue to see the momentum. But at the same time, the sales cycle are a little bit longer and continues to be a cautiously optimistic market for the entire IT services industry.

Karan Danthi: That's very helpful. Maybe just a quick sub follow-up on the low-code, no-code. Are you building proprietary platform?

Rajiv Shah: We have set up a center of expertise for a low-code environment as part of our digital process automation initiative. And within that, we tend to use a set of technologies, whether it's Microsoft platforms, Outsystems, etc., but the approach we have taken is, how can we look at the current environment that they have or current initiatives that they have, re-look in helping them build those platforms out in the market earlier than what they had planned for, help them reduce their support and maintenance cost. So yes, we do have set of technologies that we work with, at the same time, it is a change management and consultative engagement that we go through to truly identify the opportunities. Because some of the applications will not be ready for low code kind of an environment.

Moderator : We have our next question from the line of Manik Taneja from JM Financial. Please go ahead.

Manik Taneja: Just wanted to pick up Ashok's thoughts on the fact that right now, everybody is worried about the macro volatility. And given the experience of what we've seen in 2008-09, do you think a company of our size and the fact that we have spread ourselves across multiple verticals as well as multiple segments players like us may be at a disadvantage if customers look at vendor consolidation exercises? The second question was with regards to our long-term aspiration of getting to \$1 billion in revenues how much of that essentially bakes in organic component given the recent development on raising outside capital?

Joseph Anantharaju: So I'll take the first part, and I'll ask Venkat to chime in on the second part of your question, Manik. The fact that we are operating in multiple verticals in a way acts as a risk mitigation and diversification. If you notice, we've not got into every vertical. We prioritize some verticals within the ones that we are currently focusing on and reporting

where we built much deeper capability and expertise.

Now going to the risk from consolidation, if not for all of our customers, we are an integral part of their digital transformation journey. With many of them we start off working in a very early phase of their digital journey, helping them with some of Happiest Minds Technologies Limited
October 21, 2022

Page 7 of 12 their proof of concepts, validations, figuring out the right kind of technology stack. Therefore, we are an integral part to understand what they're trying to achieve. Therefore, the risk from a consolidation exercise carried out is much lower, given that we are critical to their journey. Venkat, do you want to take the second part of the question?

Venkatraman Narayanan: Yes. So Manik, if you recollect, we have talked about the 20% organic growth for the medium term and then maybe 15% after that in the previous quarters. And then the last quarter, we then decided to merge both organic and inorganic and said that we want to grow 25% for the next "x" number of years so that we can touch that \$1 billion number. So the difference between the 20%, 15% organic growth and the 25% consolidated growth over the next "x" number of years by 2031 to reach the \$1 billion number has to come in through acquisitions.

And if my numbers are right, if we had done about 20%, followed by 15% for the next 3 or 4 years, we would have touched a number of something like \$750 million, \$780 million by 2031. So effectively, if we had to make that aspirational number of \$1 billion, we would have had to add about \$250 million in the last year of the 10-year horizon or the 10-year period that we are talking about through inorganic means, which means, we have to acquire one or two companies or maybe even more or it could be good bolt-ons, which will add to that number over this period from today to 2031. Does that answer your question, Manik?

Ashok Soota: Can I just add a little bit also, Venkat, has given quite a lot of information. I think, Manik, as you know, an acquisition is a lumpy process in the sense it will add a solid amount of revenue. It may happen in one year. It may not happen in the next. Though we've increased our guidance to 25%, fact is that all of the current year's growth is really organic. So, I don't think that we can make that artificial distinction. There will be a fair share of acquisition, and there will be continued strong organic muscle growth. So basically, that's the way we are working. And in that way, we will certainly keep in mind our vision, which we expect to achieve.

Manik Taneja: Sure. And if I can prod you a little bit on that acquisition pursuit, if you could help us understand what are the kind of targets that you're looking at? What are the typical revenue or margin trajectory for the targets that you're looking at? And then subsequently, I have a couple of follow-up questions related to the operating performance of the quarter.

Ashok Soota: Venkat, I guess, on this question, we really can't make any forward-looking statements, but you can address it please?

Venkatraman Narayanan: Right. The first question, we are looking at pure digital assets, like in , Salesforce, areas of security, certain key verticals into which we would like to grow further and maybe there are horizontal technologies, which will serve to certain key verticals, like Pimcore was for us when we did that acquisition a couple of years back.

So that's the area that we are looking at, and it will be pure play digital capabilities, digital assets because we don't want to dilute our positioning, which is about 97%, 98% digital business that we are doing today. That's on the identification of the target. There is one more angle

e to it , Geography. We are looking at companies, U.S., Europe, India. If there is capabilities on the deliveries front , U.S. companies with India or, let's say, offshore delivery capabilities, it could be in India, it could be in Philippines or it could be in another area from the offshore delivery capabilities are typically built. Same thing goes for the U.K. We are not looking at pure play 100% in on-site companies as of now, but I think that is something (like Ashok mentioned) as we progress, we could look at it in course. So that's on the landscape of targets that we are looking at. We are working very closely with sell-side bankers, buy-side bankers on this internally, and we've also appointed bankers for that purpose. So that's something on the acquisition front.

With regard to profitability , we have been delivering 26% EBITDA numbers. So , when we look at acquisitions , we'll be mindful of the fact that we do not want to dilute that too much. Obviously, there are puts and takes on that. If it adds capabilities, you are willing to and there is a huge growth possibility, you have to

Happiest Minds Technologies Limited
October 21, 2022

Page 8 of 12 factor that. So , it's not that we are stuck to the 26% number, but we also do not want to take a loss-making company where we need to turn around the operations and the like from there. Thus, we're looking for capabilities of strategic imperatives when we make an acquisition, and that's what will drive us forward when we look at companies.

Moderator: We have a question from Karan Danthi from Jeetha Global. Please go ahead.

Karan Danthi: I'd love to understand why you win business. It'd be helpful to understand what is the reason you win digital business vis-a-vis your peers? Is it specific competencies, which are hard to recreate elsewhere? I just want to understand what are these dynamics that justify you as a pure play versus being as part of a large organization?

Joseph Anantharaju: Karan, in different scenarios, there are different reasons, but some of the reasons why we went digital business from our customer is that the strategies has really worked well for us is the The land and expand strategy and as I alluded in my previous response, with many of our customers, we get involved in the early stages of your digital journey, and its here that some of our strengths really play out well.

The focus that we have on the digital space and the depth that we have in digital technologies allows us to help our customers to bridge the gap between their business, objectives, and the technology landscape. And being a relatively smaller company and being a born digital born agile company, we're able to be very nimble in how we work with them and adapt to their compulsion .

And once we've established ourselves as a partner of choice and they take these initiatives into implementation phase, we become the partner that they go along with. So, depth in digital technologies, the agility, the quality of our people both in terms of the technical capabilities and their attitude as borne out by in the "Happiest People Happiest customers " mission , and off late the domain capabilities that we've been building up and the consulting approach that we take to our customers is what has allowed us to compete in the marketplace and win business.

Ram Mohan C : Yes. Adding to that, Joseph, I just want to give a couple of other points. Our focus in terms of agile infrastructure are in terms of multi-cloud adaptations or multi-cloud management and migrations and full circle security, right? And these are some of the areas which we specialize in, apart from analytics or digital process automation. And those also puts us

a little bit ahead as a specialized service provider capability.

Rajiv Shah: To say a couple of things as well. So I think that one area that makes us unique is our ability to invest a head of the forecast, as all of us appreciate the technology disruptions are taking place at a much faster pace. So how much ahead of forecast that we have continued to invest to really help our customers take advantage. So like blockchain or drones or even a low-code environment, etc. we continue to invest quite aggressively before the real need is identified. The second one, I think, is really we continue to carry a high Net Promoter Scores customer satisfaction. So , a lot of our business comes from repeat set of customers, more than 92% of our business repeat customer.

And the third aspect is customer referenceability. We continue to get good references from our existing customers or customers who have moved to a new location or a new company, they continue to attract us as well. So we continue to deliver good stuff, continue to look at the investments ahead of the forecast and maintain the set of customer relationships, which help us well.

Moderator: We have a next question from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

Nilesh Jethani: Sir, my first question is to understand on the acquisition piece. I don't need any specific numbers, but typically when we're looking out of the acquisition, what is the size in a broad range, can you explain? On similar lines, margins, I believe we are at a high number today. So, target would be at lower numbers. What would we do after acquisition in a year or two to scale up the margin? What's the thought process on Happiest Minds Technologies Limited
October 21, 2022

Page 9 of 12 this? Because I would believe we have a decent size by ourselves, considering the number of ₹ 1,100 crore, ₹ 1,200 crore of planning to raise.

Venkatraman Narayanan: Yes. Nilesh, on acquisitions itself, we have been looking at the landscape available with the qualification criteria that I just talked about a couple of questions back. The company size (in revenues) is range from anywhere between \$10 million to, let's say, it goes all the way up to \$50 million or even \$80 million. So that's the range at which we get targets nowadays. And digital assets typically tend to be slightly more expensive than your typical older technologies or traditional technologies. Both go hand in hand when you talk about the amount of money that needs to be deployed. So, one it's a digital asset and the size of the acquisition.

Most of the companies that we are looking at, are in the range of 20% plus in terms of profitability, 20%-21% profitability either on a stand alone or on an adjusted basis. To answer your question, we are not getting any of those loss-making companies or the ones which require us to do a lot of turnaround and all of that. So that's the landscape. And the size is anywhere between \$10 Mn to \$50 Mn. And if you look at it, a \$50 million company would require a little bit of outlay. And this money that we are seeking to raise is just maybe not for one acquisition. It would be kept aside, and we would do, let's say, one or two for that matter.

The idea is to make sure that we raise capital ahead of time, be ready. It shows seriousness in the process. It also sends a signal out into the market. Second is also the need to ensure that we deploy that capital raise quickly enough to make sure that we don't hurt our return on capital employed or equity and all of that. And at the same time, also add to the business muscle that's required. But while doing all of this, nobody is taking their eye off the organic growth. And like I've

said in the past

as well, that our organic muscle is distinctly stronger than most companies that are around when we are looking at acquisitions or when we look at other companies around us.

Nilesh Jethani: Got it. And on the target, broadly wanted to understand. Today our offshore, on-site mix is skewed towards 95% and 5% broad range. So, if the target is more of a company into a foreign location, would we look to convert more offshore? Or we would make it run into an on-site location only going ahead also? If you, acquire a company in a foreign location?

Venkatraman Narayanan: That would be a strategy that will be laid out along with the acquired company, the target company. But what I have been saying in the past is this 95%-5% has happened because we are working on digital capabilities in an agile manner, which lends itself for lots of offshoring. That's not something of a number that we are married to. So tomorrow, if we get a great asset, which happens to be, let's say, 50%-50% or 75%-25%, because it's not 95%-5% or heavily leveraged to offshore, we will not say that is not something that we will not look at acquiring. So, what I'm trying to say is the number of 95%-5% is there, but it does not hold me from looking at a target, which is doing good profitable business, has growth capabilities, and along with us will grow to become a larger enterprise.

But these are the things that we will look at rather than say what we have to look at the company, which has got 95%, and that is the metric that cannot be distorted. This is very similar to average. We were very proud of the fact that our average revenue per customer has been trotting up. We are at about \$812,000 today. When you acquire a company with capabilities and with a set of customers, there is a possibility that number can go down. But that is not going to be the determinant for me to say that I can't acquire. The metrics are what we are putting out to show you or to display the capabilities, the land and expand that we are doing, but rather than that becoming a bottle neck for me to do an acquisition. It was a long answer, but I hope I've answered it.

Nilesh Jethani: Yes. That was really helpful. Second question was on the high-tech segment. So, post two quarters of some degrowth, we have upside on that. So wanted to understand, a lot of IT companies are talking about some slowdown into the segment after a huge or very strong base of last year. From Happiest Minds perspective, where are we, how do we see this segment going forward? Is it one-off reversal? Or Happiest Minds Technologies Limited
October 21, 2022

Page 10 of 12 you believe the strong base will keep impacting the growth rates? Any thought process on that?

Joseph Anantharaju : If you see the high-tech vertical actually exhibited a strong growth in Q2, and we expect that this trend will continue. I know we did see Microsoft making an announcement, and there is some caution in this space, but we've not seen any pullback so far, except for some initiatives or programs get over and they reach a logical conclusion. And then the team size, obviously, gets reduced once the initiative is implemented. So far, we've not seen any signs of pullback in this segment because the end customers are still making investments and digitizing and moving their applications to the cloud, they're leveraging SaaS applications more than ever.

They need to use analytics tools and move to adopt various big data platforms. All of those are playing out. You need to automate using some of the tools and frameworks available. All of these things are playing out. Security is a huge area and an opportunity for the high-tech space. In the last 1-1.5 years, we

've signed up 3 or 4 pretty large customers in the security space. So, the various parts of high-tech where there's enough demand, and there continues to be spend.

Nilesh Jethani: Got it. And one last question from my side across segment, be it from EduTech to manufacturing, industrial and the work we do, I believe digital is largely now core to most of the clients, but if I want to just bifurcate at the discretionary and non-discretionary. I'm asking this because there's a thought process of impending recession going forward. Can you bifurcate or help me understand what percentage of overall revenues you can bucket into our discretionary and non-discretionary on a very broad scale?

Joseph Anantharaju : See the very definition of discretionary and non-discretionary, this is a conversation we have internally and sometimes with the customers. That itself I think is undergoing a change. For most customers, their digital application and infrastructure has become core now. And in fact, what we are seeing is that customers are trying to pull money out of their BAU or business as usual technology and infrastructure landscape. In some cases, to fund their digitization journey. And therefore, the previous way of looking at discretionary, non-discretionary, I believe, has undergone a change.

Nilesh Jethani: So, let me ask this question in a different way, over the last six months, have we seen any delays in conversation with clients or approvals for a particular project, because 80%, 85% is repeat business to us. Any deferment what we have observed?

Joseph Anantharaju : Nothing that is out of the usual, right, even in the last few years, at times, you would have seen, based on the company and the business unit that you're working with, your performance. There would be some times when a project or initiative could get delayed by a few months or some, and very often, if it's slated to start, let's say,

November or December, it could get pushed out in to January. So those are the kind of things that we're seeing. As we've mentioned in both Ashok's and my initial comments, we've not seen any major pullback or delays of programs or initiatives. And in Europe, we're seeing a slightly lengthier sales cycle, which is understandable given some of the churn that you're seeing out there in that geo. But again, as Rajiv and I mentioned earlier, it's a smaller part of our business.

Moderator: We have a follow-up question from the line of Manik Taneja from JM Financial. Please go ahead.

Manik Taneja: Just wanted to get your thoughts around the fresher addition that we saw this quarter. It appears that the fresher addition was much lesser than what you had initially envisaged. So, if you could help us understand what drove that and also talk about the fresher hiring plan for second half of the year? And the second question was related to that. Despite such an overall net addition, what drove the higher utilization?

Joseph Anantharaju: Sure. As we mentioned in our press release, we've had 393 net additions out of which 247 are campus graduates. We would have liked this number to be a little higher. Happy Minds Technologies Limited
October 21, 2022

Page 11 of 12 higher, but we did have a few dropouts. Our fresher addition is broken up into two categories. One is the campus hires. And we also go to finishing schools, especially on the IMSS, the infrastructure space where the skill set required is a little different and specific. And in this quarter itself, we've had around 40 to 50 such freshers, who come from training schools inducted into the IMSS business unit.

In addition to augment this, on a quarterly basis, depending on the kind of skills that we need, and which are deficient

we go to finishing schools, we have a few of them that we work with, and we bring people on board which is what we would be doing over the next three months or so as and when required. The campus graduates that we brought on board are going through the induction and training program and would be available for absorption into projects by end of November. And the focus would be on ensuring that we are able to get them into projects, get them ramped up and billable. And if there's any deficit, we would go to the finishing schools.

Moderator: We have our next question from the line of Chirag Kacharia from Ashika Institutional Equities. Please go ahead.

Chirag Kacharia: Sir, I joined the call a bit late. So just again, if you can share like what are the macro-economic conditions impacting your distribution with client and also the order intake process. Is there any delay or deferment you are facing at this moment?

Rajiv Shah: Yes, Chirag, of course, we are closely watching the macroeconomic environment. But at the same time, I think that we continue to get involved with the customers, with the discussions on the digital transformation journey. There are pockets like Joseph highlighted, in Europe that there are some longer sales cycles compared to what it was earlier and rightfully so with all the changes that are taking place, which are happening on a real-time basis.

But overall, we have not seen any significant change in the level of discussions that we are having with the customer or closing of the contracts or collecting money from the customers either. And nowhere in the contracts that we have been asked to even renegotiate the price. Instead, we have been able to go and get the higher rates for some of the specialized skills. So overall, we continue to be cautious, at the same time, haven't seen real impact on drivers for our growth, which gets reflected in the numbers that we just presented.

Chirag Kacharia: So, will it make any impact in the near-term target of the turnover, which we put like as a part of our strategy?

Joseph Anantharaju: We will continue to hold on to whatever guidance that we have provided earlier.

Moderator: We have a next question from the line of Karan Danthi from Jetha Global. Please go

ahead.

Karan Danthi: Yes. I just very curious. There is this kind of top-down view if one thinks to it that software is a deflationary force. If we're going to get out of this inflation spiral, you sort of need investments. We're seeing some deal delays, but the composition of the deals, as you mentioned, you have low-code, no-code should support sustained levels of activity in certain areas.

Where are you seeing acceleration of interest and investment? And let's assume this environment does not change for the next 1.5 years, I hope it does, but let's assume it does not. Which pockets of software you think will attract investment and which pockets of software do you think will detract investment?

Ashok Soota: If I may just say, I'm just saying you need more of an economist to respond to your question. It is very broad. Firstly, I must tell you I don't agree with you that it is an inflationary force. That is the starting point. Having said that, okay, let's go straight away into your second part of your question, which is what are the segments which will grow faster or which are the ones which are going to continue to attract more attention.

Happiest Minds Technologies Limited
October 21, 2022

Page 12 of 12 In a growing economy, frankly, everybody needs IT and its indispensable. It is wrong to think it's inflationary. It is bringing down costs all the time. Look at the gains that you get out of it versus the

investments that you make. So, productivity improvement is far higher than any inflationary thing that you require. I do disagree with you on your observation. My short answer would be the every segment will continue to grow, and it's fairly evident what are the high-growth segments, but Joseph may want to add a little bit more and maybe even Rajiv.

Joseph Anantharaju: Sure. Again, I think there'll be two broad areas which will benefit IT service company, especially focused company like Happiest Minds. One is there continues to be a paucity of technical talent in most of the markets. And so that will continue to drive demand for services from companies like Happiest Minds. And the second is if this inflationary trend continues and customers must optimize their cost, they will look at offshoring as a way of still getting work done while managing their costs, both I think are pro-offshoring and in favor of a company like Happiest Minds. And again, within each industry, you will see specific areas that will draw attention. For instance, in the industrial space, most customers are looking at adding connectivity and looking at how to pull data out, how to have cloud platforms into which they can get this data and then post that, analytics becomes a huge piece.

Some of them are a little more advanced in the journey, others are beginning the journey. At the same time, they're looking at how do they make their devices also more intelligent. So, the two broad trends over it. If you get into manufacturing, they're looking at how to digitize the plants, how to adopt some of the newer technologies, how to adopt things like e-commerce and then remote monitoring, just given the challenges they had in COVID. And I can get into other verticals. I'll take a couple of examples because each vertical has something specific that is being impacted by the digitization trends, which affords opportunities and that need to be done by customers. Rajiv, do you want to add anything,

Rajiv Shah: Yes. So just a couple of things. I think that customers will continue to evolve new business models, and it's our responsibility to continue to help them find new ways of doing things, right? While the technology landscape will continue to change, and I think just picking up Joseph's example on manufacturing, ERP was a standard flag bearer for a lot of organizations when they were establishing. But now we look at manufacturing or industrial or retail CPG world, connected devices, how to utilize data, etc.

From that perspective, technology landscape or utilization of technology will continue to evolve. And within that, maybe specific set of technologies might become redundant and come into play. But our ability to continue to look at new ways of doing things and take advantage of the new technologies that's continues to

be challenged. So just wanted to differentiate it, yes, the technology will have all shelf-life, but continue to innovate and finding ways for them to become more efficient and effective is not going to change.

Moderator: I would now like to hand the conference over to Mr. Manik Taneja for closing comments. Over to you, sir.

Manik Taneja: Thank you. On behalf of the entire team at JM Financial Institutional Securities, we would like to thank the management of Happiest Minds Technologies for giving us the opportunity to hold this call. I'm going to pass over to Sunil for any closing comments. Over to you, Sunil.

Sunil Gujjar: Thanks, Manik. Thank you all for joining us today. We thank JM Financial Institutional Securities for hosting this call on our behalf. We look forward to interacting with you. You may want to reach out to me at ir@happiestminds.com. Best wishes to all for Dipawali. Good day.

Moderator: Thank you, sir. On behalf of JM Financial, that concludes this conference. Thank you for joining

g us, and you may now disconnect your lines.

Please Note: The transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Jan 2023

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January 23, 2023

Listing Compliance & Legal Regulatory
BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Stock Code: 543227 Listing & Compliance

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai 400 051

Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on January 19, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on January 19, 2023 post announcement of financial results of the Company for the quarter and nine months ended December 31, 2022. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

This is for your information and records.

Thanking you

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 18

Happiest Minds Technologies Limited
Q3 FY '23 Earnings Conference Call
January 19, 2023

MANAGEMENT : MR. ASHOK SOOTA – EXECUTIVE CHAIRMAN
MR. JOSEPH ANANTHARAJU – EXECUTIVE VICE CHAIRMAN
AND CHIEF EXECUTIVE OFFICER – PRODUCT ENGINEERING
SERVICES

MR. VENKATRAMAN NARAYANAN – MANAGING DIRECTOR
AND CHIEF FINANCIAL OFFICER

MR. RAJIV SHAH – PRESIDENT AND CHIEF EXECUTIVE
OFFICER – DIGITAL BUSINESS SERVICES

MR. RAM MOHAN – PRESIDENT AND CHIEF EXECUTIVE
OFFICER – INFRASTRUCTURE MANAGEMENT AND SECURITY
SERVICES

MR. AUROBINDA NANDA – PRESIDENT , OPERATIONS AND
DEPUTY CHIEF EXECUTIVE OFFICER – PRODUCT
ENGINEERING SERVICES

MR. SRIDHAR MANTHA – CHIEF TECHNOLOGY OFFICER

MR. SUNIL GUJJAR – HEAD OF INVESTOR RELATIONS

MR. PRAVEEN DARSHANKAR – COMPANY SECRETARY AND
HEAD OF LEGAL

MODERATOR : MR. MANIK TANEJA – AXIS CAPITAL

Happiest Minds Technologies Limited
January 19, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Happiest Minds Technologies Q3 FY '23 Results Conference Call, hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manik Taneja from Axis Capital. Thank you, and over to you, sir.

Manik Taneja: Thank you, operator. Good evening, everyone. Thank you for joining us today on the Q3 FY '23 Earnings Call of Happiest Minds Technologies Limited. On behalf of Axis Capital, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call. Today, we have with us Mr. Ashok Soota, Executive Chairman; Mr. Joseph Anantharaju, Executive Vice Chairman and CEO of Product Engineering Services; Mr. Venkatraman Narayanan, MD and CFO; Mr. Rajiv Shah, President and CEO of Digital Business Services; Mr. Ram Mohan, President and CEO, Infrastructure Management and Security Services; Mr. Aurobinda Nanda, President, Operations and Deputy CEO, Product Engineering Services. Mr. Sridhar Mantha, Chief Technology Officer; Mr. Sunil Gujar, Head of Investor Relations; and Mr. Praveen Darshankar, Company Secretary and Head of Legal. I'll hand over the call to Sunil for the safe harbor statement and to take the proceedings forward. Over to you, Sunil. Sunil Gujar: Thank you, Manik. Good evening to all participants in the call, wishing everyone a very happy New Year. Welcome to this conference call to discuss the financial results for the third quarter ended December 31, 2022. We trust all of you are keeping well. I am Sunil, Head of Investor Relations. The financial results, statements, quarterly factsheet, investor presentation and press release have already been uploaded on our website.

Please do go through when you get a chance. The agenda for this call is as follows: Ashok will begin the call by sharing his perspectives on the business environment and our results; Venkat and Joseph will then speak about our financial performance and operational highlights; after which, we will have the floor open for Q&A. Before I hand over, let me begin with the safe harbor statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically. Now let me pass it on to Ashok.

Ashok Soota: Thank you, Sunil, and good evening, friends. Thank you, Manik, for hosting the call. Let me convey my best wishes for the New Year to all the participants in the call. I am happy to share with you that Happiest Minds has delivered yet another quarter of excellent performance on all fronts. Our year-over-year growth of 26% in constant currency continues to be industry-leading. The solid growth in revenues is accompanied by our superior margin profile, which Happiest Minds Technologies Limited
January 19, 2023

Page 3 of 18

continues to be strong at 26.3%. On revenue growth plus EBITDA, a metric which we closely track, is at 55.2%, which reflects our ability to drive consistent profitable growth. We remain on track to achieve 25% year-over-year growth for FY '23 in terms of our guidance. During the quarter, we have had many significant milestones. We inaugurated our new development center in Bhubaneswar, Orissa, with a seating capacity of 150. This center will strengthen our delivery capabilities across our business units with a new pool of talent from the region.

on. We are simultaneously procuring land in Bhubaneswar to expand our capacity for our own campus in due course. Secondly, Happiest Minds was selected the winner of the Best Governed Company in the Medium category for 2022 by the Institute of Company Secretaries.

We also won the Golden Peacock Award for Corporate Governance last quarter. This dual sweep shows how deeply corporate governance is ingrained in the DNA of Happiest Minds. We were yet again recognized amongst India's top 25 workplaces in IT and IT-BPM 2022 by the Great Places to Work Institute. This is the fifth year running that we have been in the list of best places to work. We continue to get recognized for our disclosure and annual reporting practices with Happiest Minds winning gold for its 2022 Integrated Annual Report at the League of American Communication Professionals, Spotlight Awards for 2022. Venkat and Joseph will share with you both the financial highlights and our business positions. Looking to the year ahead, we continue to see strong demand. We have positioned ourselves better to fulfill this demand by enhancing our delivery capacity in every location. Our traditional areas of strength, such as edutech, hi-tech and retail continue to show sustained growth. We are increasing our presence in health care and BFSI with a view to sustain our industry-leading growth rate. With this, I conclude my observations, and I will now pass this

over to Venkat. Thank you very much.

Venkatraman Narayanan: Thank you, Ashok. A very good evening to all on the call and best wishes for the New Year. In the next few minutes, I'll share with you financial and operational highlights for the quarter and the nine months ended December 31, 2022. Starting with the quarter. Our revenue for the quarter were about \$45.3 million, which showed a growth of about 2.1% on a sequential basis and about 20% on a year-over-year basis. In constant currency of US dollar, the growth was 2.8% and 22.6%, respectively.

As you all know, Q3 is generally a seasonally weak quarter, mainly due to leave and furloughs. And on top of this, we also had an unusual increase in vacations and leave taken by Happiest

Minds. I would call this unusual increase as work-from-home effect as many of our Happiest Minds have come back to office and now are working from office at their base location.

Having worked from home for more than a year, at every instance they get, they are more likely to return home to spend time with family.

So that's what I refer to as a work-from-home effect. Then we also had one lesser working day in the current quarter compared to the previous quarter and the previous year. Loss of revenues due to the above unusual circumstances, which is that one less working day and the leave was

Happiest Minds Technologies Limited

January 19, 2023

Page 4 of 18

about \$1.5 million. If you adjust for that, our growth would have been well above 5.5%. Total income in rupees for the quarter was INR 375 crores, which showed a sequential growth of 4.3% and a year-over-year growth of 28.2%. EBITDA at INR 97 crores remained strong and steady at 26% of our total revenues. Growth in EBITDA was sequentially 3.1% and 26.5% on a year-over-year basis. We managed to address certain increase in costs, mainly people-related, through increased volumes, billing rates and, of course, a favorable exchange rate. Between EBITDA and PBT for this quarter, we had an exceptional expense for the quarter, and this was on account of the fair valuation of warrant liability in our balance sheet.

As you will recollect, we had issued warrants based on performance-based earn-outs for the PGS acquisition that we did in January of 2021. We had recorded original liability of these warrants at about \$7.25 million, payable over three years on achieving certain revenue and profit targets and then valued it on a fair valuation of \$5.1 million as per Indian A

ccounting

Standards and recorded the same in our balance sheet. The same Ind-AS requires us to evaluate the performance of the acquired assets and revalue the warrant liability based on the probability of payment. The original liability of \$5.1 million was recorded in the balance sheet. While any subsequent changes to the same, based on actual payout or improved probability of payment, needing to be routed through the P&L. Based on the performance of FY 2021, that's for the last year, we had paid out earnouts identified for that year in full. And we had taken that impact in Q2 of last year as an exceptional item. Now we are happy to state that based on the performance on the earnouts for FY 2022, we have also become payable in full. While we are very happy that earnouts are payable in full as it reflects the good performance of the acquired asset from an accounting standpoint, the difference between the actual payout and the fair value of original liability must be taken as a charge to P&L.

This is what we have done now and have taken an exceptional charge of INR 6.34 crores. The exceptional item has had an impact of approximately 1.5% on our PBT. The above adjustment for the last year was in Q2, which I referred to earlier. So, our PAT numbers on a quarter-on-quarter basis, such as Q3-over-Q3 is not fully comparable. We continue to generate healthy cash flows with almost 95% of our EBITDA finding its way into our financials as free cash. Free cash flow for the quarter was about INR 93 crores and our cash and cash equivalents were at about INR 690 crores at the end of the quarter.

Our financial return ratios continue to be very healthy. ROCE and ROE are at 34.9% and 29.4%, respectively. Coming to our performance for the nine months period ended December 31, 2022, our revenues in constant currency of US dollar grew by 26%, while our EBITDA was at 26.3%. As you can see, both these are in line and ahead of our guidance on revenue growth of 25% and EBITDA range of 22% to 24%, respectively. Our revenue growth and

profitability continue to be industry-leading, and we continue to beat our own expectations on margins. Some of the operational highlights for the quarter and the nine months are;

We ended the quarter with 4,611 Happiest Minds, that's our people, a net addition of 30 for the quarter and 443 for the 9-month period. Our utilization levels continue to be steady at 80.1%.

Happiest Minds Technologies Limited

January 19, 2023

Page 5 of 18

Attrition levels are trending down and is now at about 20.9% compared to the 23.5% in the prior quarter, considered on a trailing 12-month basis. Diversity and inclusion ratios at the end of the quarter stood at 27.7%. And on the business front, all our verticals and geographies continue to do well. We had a slight reduction in the share of BFSI, primarily on account of the loss of billing days that I referred to earlier.

We ended the quarter with 230 active clients, 40 of them were million dollars plus clients, 92% repeat business and average customer revenues of about \$792,000. In this quarter's presentation, we have included a data point, which correlates revenues versus length of client

relationship. Interestingly, 50% of our revenues come from customers with whom we have had a relationship of more than five years. So it proves that we have been able to hold on to our customers, and we have been able to go deeper into them.

Before I conclude, I would also like to address the question many of you may have on the enabling resolutions we had taken from our shareholders on raising funds through a QIP process. Work is still in process on this front, and we'll keep you updated in case of any progress. In conclusion, we had a good quarter despite certain unexpected fluctuations as explained earlier, attrition trending down reflects easing in supply side constraints. We continue to attract and add talent both on

offshore and onsite. We have also strengthened our delivery capabilities like Ashok mentioned, both within Bangalore and at Bhubaneswar. I now request Joseph to share his thoughts on customers and the demand environment.

Joseph Anantharaju : Thank you, Venkat. A very good evening to all. Best New Year wishes to everyone on the call.

I'm pleased to share with you all the results of another quarter of good performance for Happiest Minds. Our business units, centers of excellence and operating peers continue to grow even in a seasonally weak quarter caused by furloughs and leaves. Without these furloughs and leaves, as Venkat mentioned, our growth would have been much higher.

We continue to show progress on our customer metrics with billion-dollar customers increasing by 1 making a total of 55 billion-dollar customers. We added nine new logos during the quarter, ending the quarter with 230 active clients, of which 40 were more than a million dollars in revenue. At a broad level, from a demand perspective, clients continue to invest in their digital initiatives while ensuring priority to projects with strategic and immediate returns. Across verticals as well as within verticals, we see companies showing different strength

proclivities based on the success of their strategy and performance. For example, a retailer may have greater propensity to spend on quicker ROI areas like driving efficiency in the supply chain or a better user experience. On the other hand, a manufacturing customer would prioritize how to recalibrate the broken supply chain or plant automation. The sensibility and scalability play a very important role when it comes to identifying and winning digital engagements. About six months back, we created a value proposition and solution to increase the efficiency of the order management system for a large bottling plant in North America.

Happiest Minds Technologies Limited
January 19, 2023

Page 6 of 18

The impact of this engagement was so deep and strategic that we have been called by players and multiple other geos to help solve their order management problems. We were also chosen by another leading bottling company in North America to set up the center of excellence leveraging the Microsoft Power platform. Our depth in edutech is helping us solve some of the most challenging problems our customers are facing. The sector experienced significant disruption due to pandemic and we have been developing various digital solutions using technologies like analytics, AI, Computer Vision, NLP and ML to increase the adoption and efficiency of online student engagement and learning.

Customers are also exploring newer technologies like Metaverse, Web 3.0 auto to give better student experiences and provide hybrid and immersive learning. Last quarter, we won a deal to help a workforce development company to build a platform for exclusively connecting with mentors for personalized career guidance. Our CTO organization started building expertise in the low-code/no-code space a couple of years ago. We now have built strong capabilities both in Microsoft's Power Platform and OutSystems, which are in the leadership zones of leading industry analysts.

Last quarter, we signed a deal with a leading labor and employment law firm in North America to automate and drive efficiency in their workforce deployment processes using a low-code/no-code platform. In another instance, Happiest Minds is digitally transforming the trading platform, again, using low-code/no-code platform for a Danish bank. Looking forward, our pipeline is very strong with several large deals in discussion.

We continue to get called for engagements such as, helping formulate digital strategies, platform engineering, transformation, modernization and enabling connectivity needs through

IoT and 5G, customer experience and analytics AI. As Ashok alluded, we are confident of meeting our

venue guidance on growth, based on a strong pipeline and deals signed in Q3.

With this, I conclude my commentary, and we can now open the floor for Q&A. Over to you, operator.

Moderator: The first question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: Just wanted to get more clarification regarding the annual growth outlook that Ashok reiterated, given the moderation in terms of growth that we see in the third quarter and Venkat called out that there were certain one-offs around higher holidays as well as lower number of working days. But even if I were to take that into account, for us to get to a 25% growth for the full year in constant currency terms would mean that the fourth quarter has to be much stronger on a sequential basis. So just wanted to understand the visibility that we have on that front and then I'll come back on the queue for further question.

Ashok Soota: Venkat, go ahead.

Venkatraman Narayanan: Manik, we have considered the leaves that are lost, as they don't come back. So that impact has also been considered. We have looked at our pipeline and it's on that basis that we are still

Happiest Minds Technologies Limited

January 19, 2023

Page 7 of 18

holding because right now, we have 26% and our guidance is 25% with respect to the top line number. So, we are reasonably confident of meeting that number.

Manik Taneja: Sure. Just one clarification on that. The front 25% is in CC terms and in the first nine months, what was the Y-o-Y CC growth that we've achieved?

Venkatraman Narayanan: 26%.

Ashok Soota: So, we do have a little cushion in effect still, but we don't think we'll even need the cushion to tell you the truth.

Moderator: The next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Happy New Year to the management team. Sir, I just have one question. Our margins are tracking much ahead of what we thought, 22% to 24% band. And with supply side easing, likely there'll be more positive flip on it. Have you considered dropping the margins and investing in sales to possibly accelerate growth over the medium term? Why or why not would you take that approach?

Ashok Soota: Sure. I'll just take this first. I don't think these are neither of our issues. We are generating as much as we can and we're investing as much as we need to. So, if you see our strategic discussions, all the time we are looking for new areas in where we can make strategic investments. And if you look at it over the years, look at the things we've added.

We create and incubate new technologies. We don't get a return immediately on those. Even in this last year, as Joseph pointed out, we've invested in LCAP, MCAP, no-code, we invested in Metaverse and so on and so forth. So, we are always doing new things. We were amongst the earliest to get into IoT and then we did blockchain. So we keep developing new capabilities.

When we build them up to a certain level, we move them from an incubation mode into a center of excellence, and we create new centers of excellence and that process has not stopped.

So, we are not saying we are looking at margins. And if we reduce something for gaining something else that may be a wrong thing to do.

If you think you can get more business just by reducing your price, I think you will hurt yourself terribly. But if you can use your margins to keep on investing, which is what we do, then you're in a good place, you're in a happy place, and that's exactly where we are.

Joseph Anantharaju: And just to add on to what Ashok said, there are a couple of other areas where we've continued investing. In the last couple of years, we've been building up our domain capability, and we've brought onboard seasoned domain heads and they've been building their business analyst team because we've seen that in the next phase of digitization it is going to be extremely

important

to understand and speak in customers' language and have these business analysts who can be interpreters for our technical team.

Happiest Minds Technologies Limited

January 19, 2023

Page 8 of 18

So, we are not hesitant to make that investment. And again, from a sales annual, we've been bringing on board client partners and account managers to help grow our accounts. So

Abhishek we'll continue making investments.

Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management Private

Limited.

Vimal Gohil: Sir I just wanted to understand a bit on our costs this quarter. Now if I were to look at our employee cost and we deployed or rather we hired quite a few freshers over the last few quarters. And we do see that as a percentage of sales or the quarter-on-quarter growth in employees has been slightly faster as compared to revenues despite the fresher addition. I do agree that our margins are trending well ahead of our own expectations or guidance. But do we see this as an additional margin lever going forward, given the fact that the more freshers will get deployed and that could see some benefit on the margins?

Venkatraman Narayanan: Vimal, we've added about 215 to 220 freshers in the last quarter. And typically, they go through a standard training cycle and it takes anywhere between 9 to 12 months before they can touch billability. So that cost gets absorbed for the next, say, two more quarters. They would be going through the training sessions. So that's not going to impact profitability in the next two quarters, whereas there will be a cost to both training and their salary cost.

But yes, you're right, post that, slowly, they will get into the billable workforce, and we'll soon be able to find jobs and positions for them and bill them. So, in the long run, that's a way to manage our pyramid. This is after about a gap of three or four years, we are going and getting so many numbers of freshers and trying to build a pyramid based on the competition chart.

Ashok Soota: And also, Vimal, don't forget that the last two quarters, on one side, we have hired freshers so the cost of our pyramid has improved, but it's also the two quarters where we gave very generous increments, and we've absorbed that and still kept our margins in the same level. So, one thing is balanced with the other.

Vimal Gohil: Sir, I just wanted to check on product engineering services. It's one of the largest portions of our business. If you could comment on how client product roadmaps are panning out. I have been asking this question to other peer product engineering companies as well. They have given quite a positive review. Just wanted to get your sense as to how our clients are looking at product development projects given the current macro environment, if you could just highlight that? Thanks.

Joseph Anantharaju: So, I think I addressed this question last time as well, Vimal. We have seen, maybe in the second quarter, one of our companies that was more in the early stage, they took a little bit of a precautionary measure and ramp down. But outside of that, we've not really seen any of our customers affecting major ramp downs.

We've seen some seasonal trends in November-December, in terms of activity easing up because of holiday season. But we're again seeing an uptick, and as I mentioned in my earlier
Happiest Minds Technologies Limited
January 19, 2023

Page 9 of 18

commentary, the pipeline continues to be strong, cutting across all three BUs. But what customers are doing is that they're keeping a very close watch on what we're investing in and how it would be used by the end customers? How quickly they'll be able to monetize it and therefore, prioritizing features, functionalities, and modules, which will help them get quicker revenues or make a bigger impact from a customer acquisition standpoint.
Vimal

Gohil: And sir, last question, if I may, from my side. If you can just quantify how much we will be spending on our acquisition of land and delivery center from – how much of a balance sheet cash outflow could we see over there? Any idea there?

Venkatraman Narayanan: Yes. That's a state sponsored scheme, so where they are given the land under SEZ in Bhubaneswar, so we have been allotted. That's an in-principal allotment. We are going through the terms and conditions. But it's at a favorable price. It will not be a significant cost in terms of land, and it will be a 99-year lease kind of an arrangement. To give you a number, they have said about INR 40 lakhs for an acre. But there are other costs that you have to add on with it.

Vimal Gohil: We won't be able to give a number sir at this point, a total number?

Ashok Soota: It is not appropriate. We haven't even signed the deal. We've seen plots. In fact, I have seen a plot or two when I went to Bhubaneswar for the lovely inauguration we had with the Chief Minister. The very pleasant people out there very eager to get us in. And it will take us a few weeks.

I would imagine maybe a month or two, to finalize the specific plot and with that, we'll get the idea of what the exact cost is. So, it's not going to be a cost which is material in context of any of our future plans. The sort of money we may have to spend on future acquisitions will obviously far outweigh anything we spent on this. There is no comparison at all.

Moderator: The next question is from the line of Faisal Hawa from HG Hawa.

Faisal Hawa: So, sir, this question is for Mr. Ashok Soota. Which are the two or three adjacencies that you would like to fill up through an acquisition or whatever it takes where you feel that the company is clearly lacking?

Ashok Soota: See, I'll tell you that is a beautiful part of where we are. We could fill up and strengthen a vertical. We could fill up and strengthen a horizontal which we believe is growing. We could

go and fill up a geo where we don't have adequate presence. So, the requirements or the potential is more a question of getting the right target.

Actually, in any of these things, be it a vertical, be it a horizontal, be it a geo, if we got the right target and we're able to close at an appropriate price and we feel there's a good culture match, we would just go ahead. So, we have plenty of potential choices, but to get the right choice in an acquisition is always the challenge.

Happiest Minds Technologies Limited

January 19, 2023

Page 10 of 18

And as I mentioned before, you start with 15, you bring it down to a short list of 5, and then you will be able to manage one, or maybe two. And that's the process we're on. I must say, we have taken a little time. We are able to achieve this year's growth rate so far. Really, it's organic growth but I'm sure we are approaching close enough to say, hopefully, we'll conclude some deals as we go ahead.

Faisal Hawa: And sir, you are almost of the elder statesmen of the industry, and I always see so much youthfulness and so much enthusiasm in you. So where do you feel your experience is really proving to be invaluable in this industry which is so rapidly changing?

Ashok Soota: Yes. Well, I'll tell you one thing. Our whole approach is to track change. And if you notice when we defined our vision, we said that this industry will go through more change in the next 10 years than it has done in the previous 10, which is making a very sweeping statement. Because when you look at the degree of change in these last 10 years, look at the things we've had. And I've already enumerated the new technologies which came in, the new solutions, which came in and so on and so forth. The new business models they must create. So, we are saying we will plan and prepare for that change. And that is why we've created that 10-year vision we're looking ahead.

I can't give you the specifics of it. Firstly, because they're not going to get articulated in a few months. Also, we'll consider multiple scenarios where the change will take place. Then within that, we'll select a few potential opportunities, then we'll go ahead and zero-in on what we think will be the business plan to meet that change. I think when we do it, we are doing this as a methodical process.

I believe we'll be ahead of the industry in examining that because we are anticipating. We're saying, where is the change?

Where will it be proactive about it? Just as we have been as when

we started Happiest Minds. We then became the first company which could say we are born digital. And in the same way, we want to be on the forefront of what we think is going to be the next future change.

Faisal Hawa: So, in your opinion, is it possible to create another behemoth in the IT industry in the next 10 years itself provided you track the things constantly and execute it very methodically?

Ashok Soota: What do we mean by behemoth?

Faisal Hawa: Something like a Wipro or TCS.

Ashok Soota: Frankly, we are not going to be a TCS. It takes time. And I'm not sure that we're even saying here that's what we are targeting. Today, with many of them, I don't have to name the companies, there's only one out of all those companies whose profitability is a little higher than us.

Happiest Minds Technologies Limited

January 19, 2023

Page 11 of 18

And when you consider all the factors, their size and ours that means operationally, we are making as much as them. So, in a sense, that is what we really need to do, continue to sustain as a high-value company, commensurate with our size and not yearn after growth for the sake of saying, "hey, we want to make billions of dollars".

Yes, we have set a target of saying by the end of this 10-year vision, we would like to be at a billion dollars. That doesn't sound very ambitious also. But then at the same time, if we can do better than that, that's even better. But if we go and set a number and then start trying to achieve that number, and for that, if we do things which are not functional, then it may turn out to be a disadvantage. So, we've set a vision and like in the past, we'll try and improve on that.

Moderator: The next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: So just wanted to pick your brains around our operating metrics performance and the performance that we see in certain verticals. So, given what one is hearing around hi-tech vertical and the reattendance going in that vertical, how do you see this vertical performing for both us and the industry in the next 12 to 14 months?

There is an expectation that we might probably see significant amount of large cost optimization in this segment, so if you could help us understand what your thoughts are on this

front ? And the second question was, at a broader level, the industry faced significant labor cost pressures and was able to pass on the labor cost pressures in terms of higher pricing given the customers were also seeing higher inflation in their own markets? How do you see that situation evolve when you think about calendar year '23 and calendar '24?

Ashok Soota: On the first question on hi-tech, I think the best person to really answer that is Joseph, but I'll give you one or two perspectives. On how those various macro factors may affect margins, I think Venkat is the better person to respond. I may add to it after his reply. But here, let me lead with this. See, I'll tell you a lot is made of the play of what's happened to the large hi-tech companies. They grew enormously during the pandemic, maybe disproportionately. Everybody suddenly seems to be in need to get on to Teams calls and Zoom calls and travel were stopped. Now travel, by the way, is booming. So, it's a vertical that we should all be looking at.

You can see this from the way the planes are running jam-packed, at full capacity. So markets change. We were never in the market that these guys were. We were using some of those platforms to deliver our solutions, but that wasn't our business anyway. So, we are not impacted, like, the top five hi-tech companies, and they have a disproportionate impact on what you may call as the technology index.

The way I see it, our technology businesses are driven by start-ups. All of them in one form or the other are creative platform. And that platform then becomes the means to deliver the solution and that's all hi-tech. So that has not slowed down. If anything, it's accelerating every

Happiest Minds Technologies Limited
January 19, 2023

Page 12 of 18

day. So, we are not seeing any of the slowdown in that sector at all. But let me turn this over to Joseph, who will give you perhaps a more lucid answer also.

Joseph Anantharaju: I think you've covered a fair bit. Just providing a little bit more clarity to the first point that Ashok made. If you see some of the large hi-tech companies, they have made disproportionately large investment in terms of headcount or some new initiatives, which really haven't taken off in the market. And I think that's one of the areas that they're rationalizing.

And the second is all these companies, they have an annual process of moving out or weeding out a percentage of their workforce, and that's also getting reported out here. But if you look at the company specific sub-segments of hi-tech, whether it's networking companies or security companies, there are several sub-segments where they continue to invest and continue building their products because there's still demand out there.

And as I mentioned earlier, we've not really seen a flag-off in demand. It's just that companies are being very strategic and careful about where and how they invest. In terms of cost optimization, the cost optimization that we are seeing is that when companies are reducing their workforce, they are looking at their partners or their offshore centers to actually continue because the work is still there and needs to get done.

They're looking at their partners or offshore centers to continue delivering and there's been a lower impact in some cases, they've increased their team sizes. So, we've not really seen a huge cost optimization exercise. We've seen more of moving to lower cost centers, and that, in a way, is helping some of our customers helping Happiest Minds out.

Venkatraman Narayanan: On the margin s front, Manik, you talked about how the price, and its connection to inflation. We have largely moved away from a cost-plus pricing, or a people cost plus pricing model. It has been demand-based pricing right from the start based on the technology and the demand for that technology. And sufficed to say, we have always been at the premium compared to a cost-plus pricing model may be followed by our bigger brothers around. So that's on the pricing model.

So, it's never been negotiated saying, this is the cost of the person, and we charge a margin on that front, unless there is some small sort of infra deal or something like that. But for a large part of our business, it's been demand-based pricing. With respect to inflation and how it affects us, until now, we have seen it being positive because we are largely offshore, 95% of our people continue to be offshore.

So, to that extent, when there is a huge cost increase in the US, the largest geography where there is an inflation of 8% to 10% in wages, and there is a huge number increase on the wage cost. Obviously, the offshore center in an ODC model or work with an offshore service provider looks that much more attractive. So that's continuing. And even if it eases, I think all the other positives of working with offshore partner s will continue.

Happiest Minds Technologies L

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January 19, 2023

Margins on top of these two levers, there are so many other aspects like the competency, the pyramid, the onsite -offshore mix, geography mix, all of them, we're building on what we have until now. And so, we don't expect a margin shock from that side, except for maybe the exchange rate, the way the rupee has moved has been favorable for the export industry from India and it continues to help all of us. Manik, does that answer your question?

Manik Taneja: Yes, thank you for that detailed response. So, I also wanted to understand, given the underlying macro volatility, how should we be thinking about these impacting players of our size given the fact that we're spread across multiple verticals and multiple segments? That was question number one. And the second question was, do you think while you've talked about a 25% CAGR in line with our \$1 billion revenue target over multiple years, do you think there is a possibility that our growth rate in the near term essentially end up being lower to that frontline growth?

Ashok Soota: Okay. Shall I just take that at an overall level first, then Venkat can come in. Let me take your second question. See, I'll tell you when we guide towards, billion dollars by 2031, and we also say we'll grow compounded 25%, there's one factor, which we never state. You might say it's like the elephant in the room, but it's there, and that is what is the impact of acquisitions in that. So far, we've been able to do this with marginal contribution from acquisitions.

Going ahead, there will always be a lumpy impact. So, when you say, will we go lower, but if we do a good acquisition, we may go higher. I don't think we can predict like that saying year-to-year. We are not seeing a slowdown in demand. Therefore, we are not saying that we see a slowdown taking place even in organic growth, but there may be adjustments. But at the same time, those adjustments we will more than make up by the acquisitions we will do. And, fortunately, we've been able to sustain it on a virtually organic basis.

Then there was a question on volatility, which maybe Venkat, you can respond to.

Venkatraman Narayanan: Yes. On volatility, we have to look at the repeat business, Manik. 92% of our business is repeat business. The second thing is the metric that I talked about, 50% of our business coming from customers who have been with us for greater than five years. So, when we look at our customer base, we have to look at the number of global corporations, 55 of them; million-dollar customers, 40 of them; customer with a relationship of more than five years giving you 50% of our business; average repeat business is 92% and our average revenue per customer is about \$790,000 to \$800,000.

So, all of this shows how we are closely working with our customers, customers who are of a certain consequence for us and how we are growing with them. So, volatility will be there within your customer base of 230, you could have ups and downs, you could have issues with a certain customer. But I think the way the sales teams work, the BUs work, they are quickly able to cover it up with a new customer on the pipeline, not trying to eke-out growth from an existing customer. So, we're not saying that everything is hunky dory and everybody is growing.

Happiest Minds Technologies Limited
January 19, 2023

There are cases where there can be adjustments in one customer, which is there in the number of customers that drop off on a quarterly basis. So, volatility is there, we manage it with the relationship that we have with existing customers and the new pipeline that we create.

Joseph Anantharaju: And just to add to what Venkat mentioned, Manik. And if you look at many of our customers, we've been working with them for five years. 50% of our revenues come from customers who have been with us for more

than five years, and our repeat business is 92%. And what this means is that we've been working on multiple versions of their platform. And so, there's core knowledge and IP that our team has built, which is critical and essential for them to continue adding functionalities and delivering what their customers need. So that, in a way, leads to stickiness in terms of the team and the revenues.

Moderator: The next question is from the line of NGN Puranik from Enam. Please go ahead.

NGN Puranik: I have a question on your size, scale and strategy on building the billion-dollar goal. How do you create annuity towards building billion-dollar goal. So, in terms of services solutions that you have, what more you need to add? Because the old school of scaling was very different. So, you used to have AS/400 mainframe, then you have the ERP systems. So many of those things, help them to get into \$100 million quickly. So, what's your strategy? Because Venkat mentioned that there are relationships which are greater than five years. So, are you happy with the way their growth rates have scaled? Is there anything that you need to do better? Because you have a strong horizontal, you can build good verticals from that foundation.

Ashok Soota: Sure. A lot of fundamental things you've asked in that question. One is, of course, as you yourself are noticing the definition of annuity changed. All those so-called multiyear contracts, barring IMSS, they have virtually disappeared. An annuity may be in the context of a project which may last for long. But more importantly, it is in context of how long you kept your customer. And you know how long that business grows.

Venkat could give you an average for how much percentage of our business comes in five years, but there are many customers we've had for 10 years for that matter. So, it's not that any of these customers come and disappear and some of them are amongst our largest customers.

So, we've got tremendous continuity in those customers. And that, to my mind, is the best form of annuity. And our share in IMSS has, of course, been continuing to grow. And there, by definition, it's like the old definition of annuity, which said all that, you can get to a multiyear contract. Venkat or Joseph, do you want to add to that?

Joseph Anantharaju: No, Ashok I think I've also touched on my previous response sort of also gives the basis for annuity, the fact that when you start building platforms, whether it's in the hi-tech space or cutting across, because most of the customers are building platforms now, if you look at it from a digital perspective. Unlike SAP implementation, you don't build a platform and stop. We've got to keep adding new features, functionalities because the demand from customers and employees and other stakeholders keeps coming in and they keep changing. We have newer technologies that the pace has increased. And you must adopt these technologies. So, Happiest Minds Technologies Limited

January 19, 2023

Page 15 of 18

there's constant work going on, on successive versions of platform. And once you build a platform, you have the IP and the knowledge and the working relationship, which allows you to keep working on successive versions and the relationship continues, which in effect, becomes annuity.

Ashok Soota: Absolutely. Yes, that's exactly it. The key difference Puranik, from the old days is really the fact that Joseph mentioned, the business has moved into platforms. And once you start, you never stop. There are new features, the new models, the new applications sitting on the platform, and it continues.

NGN Puranik: So, when you say platform, is it the generic platform or is it the monetizable platform you're talking about?

Ashok Soota: No. Joseph, you might want to just clarify with few examples.

NGN Puranik: I just want to understand are there powerful platforms, which can be significant

revenue

earners over time? Are there any \$100 million platforms?

Joseph Anantharaju: Just to answer that question, Mr. Puranik. The customers that we are working with and building platforms for, many of them are platforms that are generating \$0.5 billion, \$1 billion, \$3 billion in revenue and the customers are building it to monetize and to make revenues of them. Most of them are in the SaaS model.

So, you can have a wide range of customers, the implementation cycles and the implementation cost involved is lower. So, you'd be able to onboard customers more quickly

and customers would have a higher propensity to adopt these platforms.

And as Ashok pointed the work doesn't stop. You need to keep adding new applications, new customer experience and things like that. So, you are constantly working with the customer on engineering and building additional functionalities into the platform.

NGN Puranik: So, these are the customer-specific platforms, they're not replicable platforms?

Joseph Anantharaju: Yes. I'll give you two, three examples Mr. Puranik that would help. One of our customers in their tech space, providing content and various other educational materials to nurses, including precertification, assessment, etcetera. And they built up an end-to-end platform that will help them to build the content and deliver the content to these nurses and they tied up with the nursing institutes. And they have to capture all of this data that the way the nurses are going through, the test results, etcetera, into a data platform, which would then allow them to give feedback back to the nurses, help them in their learning journey. So that was a platform out here, right? That's one example.

Another example is a customer that we're working with. They built a platform to help measure whether in online advertisement, the efficacy of the advertisement, whether there's fraud happening and they go back to the companies that are posting these advertisements, whether Happiest Minds Technologies Limited

January 19, 2023

Page 16 of 18

it's CPG, retail or any other company, again, that's a platform which all of these advertisers would be able to use to make sure that their ad strategies are efficient and there's integrity in it.

That's how I'll take a couple of examples to give you, what kind of platforms we work with.

NGN Puranik: Sir the interesting thing is that what you can pick up from this experience is to design and architect the platform of your own for different industry.

Ashok Soota: That's a different issue. That's a completely different business. Puranik let me just address this. You're asking our numbers, can it generate revenue of \$100 million, \$500 million, etcetera.

Actually, Joseph answered that. Our customer may generate \$100 million, \$500 million, even become a \$1 billion entity. Let's assume, in our case, the platform we develop for the customer leads to revenues which ranges from \$1 million to \$8 million or \$10 million or whatever, but let's assume the average is \$5 million, it lasts us for 10 years. Then from that single platform we are generating \$50 million of revenue as we keep enhancing it.

The customer may go and generate \$100 million, \$200 million, \$500 million. That's where this is. But can we create a platform which we can sell, you're virtually saying as a platform -as-a-service. That's a different business altogether. And you must appreciate that when you do this, these platforms in today's day and age, is the customers' crown jewel. They are not wanting you to go and sit around. You can make a platform -as-a-service. It could be a new business altogether. But then we would be doing this not with a given customer, but we will be doing it with a view to saying, hey, are we entering that business? And that's a different issue altogether.

NGN Puranik: So, you don't have any plan to develop your own platform...

Ashok Soota: They're all

our own platforms. The way I see it, in every business we are doing nowadays is a platform.

NGN Puranik: My question is a little different because you have your own platform with customers where the services can be sold to many customers, it's replicable in terms of application.

Ashok Soota: Yes, then it would be a different business altogether. We really have to examine that...

Rajiv Shah: One more thing Ashok if I can add.

Ashok Soota: Yes, please.

Rajiv Shah: So, we do have what we call the solution accelerators for IP, where there are several platforms we work on the digital content management for various large research company, which is replicable across other research. So, there are sets of solution activities as well as IPs or smaller sets of platforms that we have, which are replicable across customer organization. And as you look at from our numbers itself, about 10% of our revenue comes from those solution accelerators for IT business.

Happiest Minds Technologies Limited

January 19, 2023

Page 17 of 18

NGN Puranik: Excellent. And do you license it out or how do you use it as a productivity tool or directly you're licensing?

Rajiv Shah: We provide it as a service.

NGN Puranik: Provide it as a service. How do you bill them? What's the way to monetize that?

Rajiv Shah: Yes so, the example I gave you for digital content management entities based on the number of reports we generate.

NGN Puranik: I see. So interesting. So, you're in a platform path already?

Ashok Soota: Yes. That is true.

NGN Puranik: Multiple executive creators can create a platform, large platform.

Ashok Soota: Correct.

NGN Puranik: So, you have a separate platform team or a team for a particular vertical who generates all this?

Ashok Soota: Again, Joseph, Venkat, Rajiv, if you want to speak, either of you.

Joseph Anantharaju: So as part of the overall organizational structure, we do have a small R&D team that will continue to explore what we can develop as our own position accelerators. This team will constantly keep looking at and identify white spaces as Rajiv has explained, and we keep looking each year what more new solution accelerators we can build and how do we enhance just like a product roadmap. Each of them will have their own roadmap.

NGN Puranik: And this can be eventually a be platform as a service as you develop your own?

Joseph Anantharaju: Yes, that's true. Like it is strongly tied with our annual strategies and each year, we'll be looking at them. And sometimes the collaboratively can work together. And as Rajiv shared, we can actually take it as a 60% prefabricated and with the remaining components and features as client requires.

NGN Puranik: One question I've been wanting to ask you Ashok is about why you aren't present in BFSI?

Ashok Soota: If you heard me out here, I have said that we've been able to sustain our growth through very strong presence in a few verticals. And I added that there are a couple which we are now going to focus on a lot more, one of them is BFSI and the other one is Healthcare. And in both, we've added very strong domain presence, and we believe that this will now become the focal point to take us forward through it.

NGN Puranik: Because it's a very large vertical...

Ashok Soota: I know. That is true. Yes, very true. They are both two large verticals. Healthcare is growing at a rapid rate. BFSI has been very, very large and obviously the largest. At the same time, the
Happiest Minds Technologies Limited
January 19, 2023

Page 18 of 18

newer opportunities require a very specific strategy because we are not in the game of we have 500 people working for X bank, and 1,000 people working for another. That's a different business altogether.

NGN Puranik: But why you are late in the BFSI vertical?

Ashok Soota: Firstly, we are not interested in the market. Let's be clear. That is not our

digital strategy. There

top business is very difficult to penetrate when we came in. Now we've built capabilities where we can take these to the market through the fintech offerings that we are developing.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Manik Taneja for his closing comments.

Manik Taneja: Thank you operator. On behalf of the entire team at Axis Capital Limited, we would like to thank the management of Happiest Minds Technologies for giving us the opportunity to host this call. I'm going to pass over the call to Sunil for any closing comments. Over to you, Sunil.

Sunil Gujjar: Thank you all for joining us today. We thank Axis Capital for hosting the call. We look forward to interacting with you. You can reach out to us on ir@happiestminds.com. Have a good evening. Bye -bye.

Manik Taneja: Thank you everyone.

Ashok Soota: Thank you.

Moderator: Thank you. Ladies and gentlemen on behalf of Axis Capital Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Please Note: The transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2023

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May 12, 2023

Listing Compliance & Legal Regulatory
BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Stock Code: 543227 & 974728 Listing & Compliance

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai 400 051

Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on May 08, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment)

Regulations, 2021, please find enclosed the transcript of the Earnings Call held on May 08, 2023, post announcement of financial results of the Company for the quarter and financial year ended as on March 31, 2023. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

This is for your information and records .

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

"Happiest Minds Technologies Q4 FY23 Earnings
Conference Call"

May 08, 2023

MANAGEMENT : MR. ASHOK SOOTA - EXECUTIVE CHAIRMAN
MR. JOSEPH ANANTHARAJU – EXECUTIVE VICE CHAIRMAN
& CEO (PES)
MR. VENKATRAMAN NARAYANAN – MD & CFO
MR. RAJIV SHAH – PRESIDENT & CEO (DIGITAL BUSINESS
SERVICES)
MR. RAM MOHAN – PRESIDENT & CEO (IMSS)
MR. AUROBINDA NANDA – PRESIDENT (OPERATIONS) &
DEPUTY CEO (PES)
MR. SHRIDHAR MANTHA – CTO
MR. SUNIL GUJJAR – HEAD OF INVESTOR RELATIONS
MODERATOR : MR. MUKUL GARG- MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

Happiest Minds Technologies
May 8, 2023

Moderator: Ladies and gentlemen, good morning and welcome to Happiest Minds Technologies Q4 FY23 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukul Garg from Motilal Oswal Financial Services Limited. Thank you and over to you, sir.

Mukul Garg: Thank you, Tanvi. Good evening everyone, and thanks for joining us today on the Q4 FY23 Earnings Call of Happiest Minds Technologies Limited.

On behalf of Motilal Oswal, I would like to thank the Management of Happiest Minds for giving us the opportunity to host this Earnings Call.

Today we have with us, Mr. Ashok Soota - Executive Chairman, Mr. Joseph Anantharaju - Executive Vice Chairman & CEO (PES), Mr. Venkatraman Narayanan - MD & CFO, Mr. Rajiv Shah - President & CEO (DBS), Mr. Ram Mohan - President & CEO (IMSS), Mr. Aurobinda Nanda - President (Operations) & Deputy CEO (PES), Mr. Shridhar Mantha - CTO, Mr. Sunil Gujjar - Head of Investor Relations.

I would now like to hand over the call to Sunil for 'Safe Harbor Statement' and to take the proceedings forward. Thanks, and over to you Sunil.

Sunil Gujjar: Thank you, Mukul. Good evening to all participants in the call. Welcome to this Conference Call to Discuss Financial Results for the 4th Quarter and Year Ended March 31st, 2023. I am Sunil, Head of Investor Relations.

We have published our 'Financial Statements, Quarterly Fact Sheet and Press Release' onto your website. Please have a look at it.

The agenda for this call is as follows:

Ashok will begin the call by sharing his perspectives on the 'Demand Environment and our Results'. Venkat and Joseph will then speak about our 'Financial Performance and Operational Highlights' after which we will have the floor open for Q&A.

Before I hand over, let me begin with the safe harbor statement:

During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically.

Happiest Minds Technologies

May 8, 2023

Now let me pass it on to Ashok.

Ashok Soota: Thank you, Sunil. Thank you Mukul and Motilal Oswal for hosting this call. Good evening to all participants in this call.

I am pleased to announce that Happiest Minds has delivered outstanding results for FY23, with 23.7% revenue growth in constant currency and 26.2% EBITDA margin. We have missed our revenue growth target by 1.3%, mainly due to the right-shifting of some Q4 revenues. This has been compensated by delivering EBITDA margin of 26.2% exceeding the upper band of guidance of 22% to 24%.

In view of our strong business pipeline, we are also planning a record addition of 1,300 people.

Accordingly, we are retaining our FY24 revenue guidance growth of 25%.

While Joseph and Venkat will provide you details of our Results, I want to provide you a perspective on our Results in context of the Indian IT industry and where Happiest Minds is today.

Many of the larger companies with whom we benchmark ourselves have reported sharply lower guidance for FY24 and reported ramp downs in accounts. We have been able to sustain our growth guidance because of a very strong pipeline. The challenge, of course, is of a different order. If you look at a \$10 billion company to grow at just 5%, it has to create more than one Happiest Minds. At our size of

about \$200 million to grow at 25%, we need only \$50 million of new business. And this is something which we see well within our reach considering our pipelines.

I should also highlight that we've been able to sustain #1 or #2 position in comparison with all our peers on EBITDA percentage, growth percentage, or on an index of EBITDA plus revenue growth on year-over-year basis.

This year we have chosen the highest levels of corporate governance as our theme for our integrated annual report. At Happiest Minds, we established corporate governance practices well before the Company was listed in 2020. Fundamentally, striving to function like an exemplary public entity since our inception,

we have been able to achieve benchmarks. As part of our vision to be known for the best corporate governance standards, we have made continued strides to deploy leading-edge technology for the dissemination of information and educating our stakeholders. Through this we've been able to drive sustained growth and also build a reputation for transparency and disclosure, which is higher than anybody else in the industry. I would like to highlight a few of the recognitions we have achieved for corporate governance and the awards, which have been conferred on Happiest Minds:

- Golden Peacock Award for 'Excellence in Corporate Governance'.

Happiest Minds Technologies
May 8, 2023

Page | 4

- 2022 ICSI 'Best Governed Company' in listed segment for the medium category.
- ICAI for 'Excellence in Financial Reporting'.

You can see we've made virtually a clean sweep of all of these, and Happiest Minds stands for excellent corporate governance, and this is a triple confirmation of our disclosure, transparency, and governance practices. Venkat was recognized by CII as a Leading CFO for the Year 2022 at their 'CFO Excellence Awards'. I was humbled on being conferred ICSI's 'Lifetime Achievement Award for Corporate Governance'. I have accepted this on behalf of all the Happiest Minds who have helped me to create this great institution. In addition, the other area where we are continuously recognized is in 'Great Places to Work', which Joseph will tell you about. To conclude: Happiest Minds growth was broad-based with all our business units, operating geos and Centers of Excellence delivering excellent results. These results were enabled by the contribution of our delivery teams, technology, domain groups and the support of all of our corporate functions under the leadership of our Executive Board. With this, I conclude my commentary and pass it on to Venkat. Venkatraman Narayanan: Thank you, Ashok. Thanks Mukul and Motilal Oswal Team for hosting us on this call. A very Good Evening to all and in the next few minutes, I'll take all of you through some of our 'Financial, Operating and Business' highlights. For the year, our operating revenues have grown about 24% in constant currency. This was slightly lower than the 25% guidance we had provided at the beginning of the year. A surge in vacations in Q3 and a right-shift in revenues in Q4 were the primary causes for this. Coming to profitability: This is the 12th successive quarter where we have delivered EBITDA of more than 25% and 26% for the quarter and 26.2% for the year. We have beaten our guidance of 22% to 24% handsomely. Looking ahead for FY24, as mentioned by Ashok, we are guiding on a revenue growth of 25% and EBITDA continues to be in the range of 22% to 24%. We are looking at a good Q1 based on our deal closures and healthy pipeline. Coming to the specifics on the quarter and the year: Happiest Minds Technologies
May 8, 2023

Page | 5

For the quarter, we reported revenues in dollar terms of \$45.9 million. In constant currency revenues that was a growth of 1.3% and a year-over-year growth of 17.6%. In rupees, total revenues were Rs. 386 crores, a growth of 3% sequentially and 24.5% year-over-year. EBITDA stood at Rs. 101 crores and that was 26% of revenues while showing a year-over-year growth of 23.3%. We've been able to maintain a strong EBITDA profile while taking an increase in people costs and absorbing campus joiners and trainees into our fold. Our EBITDA numbers continue to place us amongst the top league of comparable companies. PBT was Rs. 79 crores that was 20.4% of revenues, while PAT was Rs. 57.6 crores and 14.9% of our revenue. Our cash conversion ratio continues to be strong as in the earlier quarters, we generated free cash flows of Rs. 99 crores, which is about 99% of EBITDA. During the quarter, we raised debt through the issue of non-convertible debentures to the extent of Rs. 45 crores and we have a pipeline totaling another Rs. 80 crores which should be done before the end of this quarter. On our QIP, our Board and shareholder approvals are valid till October 2023 and efforts on that front continue and we'll keep you updated on that progress. Finally, our results for the quarter include that of SMI, the Company we acquired in January 2023: For the year operating revenues were \$178 million, showing a growth of 24% in constant

currency. Operating revenues in rupees showed a growth of 31%. Total income was Rs. 1,450 crores, showing a growth of 28.3%. We closed the year with an EBITDA of Rs. 380 crores, which was 26.2% of total revenues showing a growth of 29%. As mentioned earlier, we continue to be the top league of comparable companies on this metric when taken on a yearly basis as well. PBT for the year was Rs. 310 crores. This was 21.4% of total revenues showing a growth of 26%.

Finally on PAT for the year, we closed with Rs. 231 crores and 15.9% of revenues showing a growth of 27.5%.

Diluted EPS for the year was at 16.01, showing the growth of 27.5%.

Coming to our capital return ratios, they are comparable with the best in the industry. Return on capital employed and return on equity were 33.1% and 28.1% respectively. We ended the year with cash and cash equivalents of Rs. 790 crores and our billed DSO was at a very healthy 54 days.

As briefly mentioned earlier, during the quarter, we acquired 100% equity interest in Sri Mookambika Infosolutions Madurai. SMI (Sri Mookambika Infosolutions) brings in deep Happiest Minds Technologies

May 8, 2023

Page | 6

domain capabilities in and around our Healthcare vertical and aligns very well with our Product Engineering business (PES) and not only that, it also takes us into Tier-2 locations of Madurai and Coimbatore.

During the year, we increased our capacity across our offshore delivery centers in Bangalore, Noida, Bhubaneswar and Madurai. In the US, we added 2 new offices, in New Jersey and Seattle. We ended the year with 237 customers. That was a net addition of 31 for the year. Our average revenue per customer for the year was \$803,000, which has been consistently moving up and it was about \$630,000 a couple of years back. This is a steady increase, and this is a testament to our 'Land-and-Expand' strategy.

Our total headcount at the end of the year was 4,917 and net additions for the year was 749.

Our utilization for the quarter was at about 74.6% compared to the 80.1% in Q3. As we had mentioned, we had onboarded 250 campus joiners. They have become part of our billable workforce and that was the main reason for this drop on a QoQ basis. For the year, our utilization is at about 78%. As we had mentioned in earlier calls, we were running at the high-80% and we would like to typically be in the range of about 77% to 78%.

We are seeing an easing in the supply side constraints and attrition on a trailing 12-month basis has dropped to 19.8% compared to 22.7% in the previous year. We expect this number to further trend downwards.

Happy to state that keeping in line with our progressive dividend policy and capital allocation discussions, our Board of Directors of the

Company at their meeting held today have recommended a final dividend of Rs. 3.40 per share subject to shareholder approval. This would take our total dividend for the year to Rs. 5.40 per share.

Looking ahead, We will continue to make investments in our people and capabilities. We'll be adding about 450 campus graduates this year. We'll continue to expand our delivery centers in India with an immediate focus on Pune and Noida.

Thank you all for your continued support and we look forward to the same during the year. Over to you, Joseph.

Joseph Anantharaju: Thanks, Venkat. Thanks Mukul and Motilal Oswal for hosting this call. Good evening to all of you.

As can be seen from the numbers, overall, we had an excellent year as reflected in our broad-based growth across our business units, Centers of Excellence and focus markets. The numbers reflect our continued ability to operate on our strengths and to position Happiest Minds as a 'Trusted Partner' for our customers' strategic initiatives.

Happiest Minds Technologies

May 8, 2023

Page | 7

We had our first \$20 million customers created in this current quarter. Our total clients in the \$5 million to \$10 million group have increased by 2 to a total of 6 and in the \$1 million to \$3 million category, we have an increase of 5 which takes the number to 13. These metrics validate our effective 'Land-and-Expand' strategy. Our Internal Customer Satisfaction Survey showed a Net Promoter Score of 60 and an overall satisfaction level of 7.86 on a scale of 9. We believe these numbers to be in the Top-Tier among comparable companies. The results of this survey indicate our efficient and quality delivery, engineering excellence and prudent account management practices.

On the people front, we are also delighted to be recognized by the 'Great Place to Work

Institute'. For the second time in a row, Happiest Minds was recognized among the Top 10 India's 'Best Workplaces in Health and Wellness 2022'.

We continue to receive recognition from GPW as one of 'The Most Attractive Employers'. We were named among the 'Top 25 India's Best Workplaces' in IT and IT/BPM 2022 and Top 50 'India's Best Workplaces for Women 2022. These recognitions, along with the Excellent Customer Survey result, reflects the commitment of each and every Happiest Minds to our vision of 'Happiest People, Happiest Customers'.

I will now talk a little bit about some of our wins during the reported quarter:

For a large Ed uTech company which supports learners and institutions, we were chosen as a strategic partner to provide a broad range of digital engineering services. In the reported quarter, a large loyalty program provider in the ANZ region chose us to provide consulting, support and implementation services to enhance security and privacy environments around their data and cloud. We are being chosen to provide engineering services leveraging 5G for the connected card program of an Indian headquartered global automotive company. We continue to make investments in technologies which are either becoming mainstream or will become mainstream in the next 2 to 3 years. These include – Generative AI and ChatGPT, Metaverse and Web 3.0, Analytics, and AI, Low -Code/No -Code Applications and Quantum Computing. We believe that ChatGPT and Generative AI will be transformative and offers huge potential and opportunity for technology service companies like us and to our customers. We have initiated a taskforce under our CTO to look at building solutions and ChatGPT and develop use cases for different verticals are already in discussion with multiple customers to help them leverage this technology. On the Environmental, Societal and Healthcare commitments front, Happiest Minds sponsored 1.9 million meals for school children under the Akshaya Patra Program during the year. Since our inception, we have contributed 6 million meals.

We also partnered with an

environmental agency to Plant 163,000 tree saplings. Happiest Minds also partnered with an NGO to extend medical support to underprivileged young children between 1 to 15 years of age, battling Type -I Diabetes.

Happiest Minds Technologies

May 8, 2023

Page | 8

I'll talk a little bit about the current demand environment:

During the quarter, we saw an improvement in business sentiment as customers digested various macroeconomic and geopolitical factors into their plans and budgets. Decision making that typically would have happened in December around budgets got pushed out into Jan-Feb, resulting in revenues getting right -shifted as pointed out by Ashok.

Our pipeline exiting Q4 is very strong with several large opportunities in an advanced stage of the sales life cycle. We have already seen a couple of large deal closures in the first half of April, leading to a good start to this fiscal year. The areas where we are seeing spend are all strengths of Happiest Minds – migration to cloud, modernization of legacy applications and platforms, monetizing data by building customer data platforms and applying analytics, AI to turbocharge analytics initiatives, automation of various processes to extract cost savings and leveraging IoT to increase connectivity and data collection.

With this, I conclude my commentary and open up the floor to Q&A.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Vimal Gohil from Alchemy Capital. Please go ahead.

Vimal Gohil: Congratulations on an excellent quarter and very heartening to see the guidance. The first question is on the guidance itself. If you could just highlight, out of this 25%, how much of that will come from inorganic initiatives. If I were to look at the ask rate that comes very close to 8% every quarter. So, just wanted to get a sense of any inorganic acquisition that are being built in.

I have one more question after that. Thank you.

Ashok Soota: Sure. Vimal, thanks for your question. One thing I should clarify that even if you see the year which has just gone by, 98% of our growth has been all organic. So, when we give guidance, we really in a way stick out our neck and say whether we do an acquisition or don't do an acquisition, we'll achieve that. So, the current guidance is based on the fact that we have got a good pipeline and therefore we expect we'll achieve the number. Does it mean there will be no acquisition which will happen? Maybe, but we can't factor that in because acquisitions are uncertain. They are very lumpy and you don't know when you'll do a deal. We haven't done much, as you know, in the last 3 years. In one sense, we can congratulate ourselves because valuations have come down and we'll get cheaper opportunities. But we are very selective and therefore in that process when we get the acquisition, we'll achieve it. If we do or we don't do our guidance remains 25%.

Vimal Gohil: One of your closest peers, on Friday highlighted the discretionary spends almost drying up with some of their clients and the industry. How do you look at that environment because your guidance clearly indicates that there is no dearth of work. So, there are two very, very opposing

views and the market for cost takeout projects seems to be heating up, how are we positioned over there?

Happiest Minds Technologies

May 8, 2023

Page | 9

Ashok Soota: I will pass this to my colleagues to answer, but I think the essence of this is follows . 1) We are not seeing any decline. The growth is available to us. 2) We're in a digital business. It's not that we don't do cost takeouts for our customers, but we are transforming their businesses at all times. 3) To be a little humble about it is to say that 'look, the challenge of a \$10 billion company to grow it even 10% or 5%, means virtually growing another Happiest Minds'. We've got t

o get

only \$50 million of business. With our organization with our field force, with our leaders, with our COEs, with all of them, I see that we have no difficulty in getting to that capability and level.

So, I can get both Joseph and maybe Rajiv to add to that.

Joseph Anantharaju: Just couple of additional points, Vimal, the first point is what we are seeing is that the areas that we are working on the digital initiatives of our customers, they're not discretionary anymore.

They are core part of the technology that they use to deliver services to their customers, to engage with their customers or to provide services to their employees and therefore they need to sustain

these platforms, these applications, that they've already built and it's not discretionary in nature. And the second is as I highlighted in my commentary little earlier, we've seen a good build up

in pipeline in Q4 and as we speak in the first half of April, we had a couple of closures which

are already contributing significantly to the Q1 growth and we see the pipeline moving faster than it did maybe in Q3 or the earlier part of Q4, which is giving us the confidence to provide this guidance.

Rajiv Shah: Vimal if you look from the industry perspective, customers are looking for two ways of managing their business. One is their revenue growth and the second one is becoming more

profitable and within that context, I think that we do implement digital-ready platforms to help

them become operationally efficient to take out the cost and give you an example that we have invested significantly in the 'Low -Code/No-Code' environment and we have grown quite a bit

over the last year. Now that helps them with getting their platform built faster, at the same time, helps them reduce their long -term maintenance cost as well. So, from that perspective, there is

a cost take out play that you can talk about, but it's becoming more and more efficient. At the

same time the spending itself is also getting reprioritized , for example in BFSI sector, while

there was more focus on risk and compliance, it is moving more into risk and control. So, there

is more and more operational risk. There is credit risk, etc., the spends are going up in that

segment as well. So, overall, we continue to see growth as Ashok, Joseph, Venkat had

highlighted. The pipeline is strong, and we continue to make impact in the customer environment

to help them grow their revenue at the same time become more efficient.

Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal. Please go ahead.

Mukul Garg: Just follow up to Vimal 's question. When we are talking about the demand environment, you mentioned that there was a bit of a right -shifting which happened this quarter. Any sense whether

that is something which is more industry-specific and also in terms of the pipeline which you

are seeing, are you seeing different kind of client behavior across industries? So, it was a bit

surprising to see your growth in Hi -Tech this quarter because that's one area where a lot of

Happiest Minds Technologies

May 8, 2023

Page | 10

companies are highlighting concerns. So, if you just give some sense on how we should think about different industries moving forward?

Ashok Soota: I'll again begin this and pass it on to my colleagues. The first thing Mukul is that after all, what is the right -shifting we are talking about it is really 1%. We are that close to our guidance for

the year and that's literally because as the year began, a few entities have not cleared their budgets or frozen their budgets and therefore not released new orders. It's nothing dramatic in

terms of saying, 'hey! there was a downturn, or some segment is slowing down', it has nothing

to do with any of that . You will see this reflected in the fact that we are sustaining our guidance

for FY24. We don't give quarter -wise guidance, but again, hop

efully you'll see numbers which

might reflect a little bit to that right-shifting also there. Now with these small details, I think I'll

pass it over to Joseph and Rajiv.

Joseph Anantharaju: About your question on whether there's anything specific industry wise and some of the revenues

or opportunities that got moved out or delayed. They cut across industry, so I really wasn't able to draw any correlation to a specific industry. I think it was more of customers waiting till the last minute to make sure that they're factoring all the factors that are out there and developments into their budgetary decisions. I think that's what was driving this.

Rajiv Shah: As Joseph said, I think that we haven't seen any specific incident of any industry segment that has shifted. I think a couple of examples that I can provide is that one of our customers had a delay in launching their own platform, which affected us and really going after and implementing in some of the customer environment and that has nothing to do with budgetary constraints but at the same time, they wanted to include some of the newer technology tools in their newer platforms and that just delayed some of the revenue recognition that we were planning to get as well. So, overall, there is no shift.

Ram Mohan: Even in the case of infrastructure and security, that's what we have seen. We have seen a couple of right-shifts but that has got nothing to do with any business environment or market situation. It is more on the timing of the RFP. There was some delay in the RFP, there was some delay in terms of the meetings which our customers had in terms of deciding on the RFPs. So, those were the reasons what we are saying, a right shift and it has got nothing to do with the market condition, at least on the Infrastructure and security side.

Joseph Anantharaju: And just talking about Hi-Tech, as Venkat pointed out SMI is aligned with Product Engineering Services and most of the revenue is in the Hi-Tech segment which has contributed to the increase in the Hi-Tech segment. Other wise, you would have found the numbers to be consistent with the other verticals.

Mukul Garg: And just a follow up to this, is it fair to imply, given your excellent guidance that the visibility on the demand side continues to remain as strong as what you guys have been seeing for last two years again the associate addition and the plan seems to indicate that the visibility is quite good, but would love to hear some thoughts on how the demand visibility is out there?

Happiest Minds Technologies

May 8, 2023

Page | 11

Joseph Anantharaju: If you look at the demand environment as I said it continues to be promising and strong and what is giving us the confidence to provide this guidance is that many of the deals that we have closed in the pipeline are quite large in size and spanning across quarters which ensures that we have visibility of revenues into the entire year and if you continue converting some of the opportunities that we have it will contribute to this growth that we have, that we have been talking about.

Rajiv Shah: Again, on the demand side we have not seen much of a drop. If you look at how we approach the customer it is about helping them put together a proof of concept, start with the consultative engagement, help them really drive the outcomes and everybody in the customer environment that we have today continues to look at what business outcomes are we driving and from that perspective I think that we have not seen much of an impact from the demand market and that is why we are quite optimistic about guidance that we have provided as well.

Mukul Garg: And my second question was on the sales investment side there was a slight moderation in this quarter, how should we think about investment into SG&A for FY24 especially given the aim to deliver a 25% growth in a tough year are you still penciling in a 22

% to 24% operating margin

easing of from this year is more because of the growth aspirations or is it something which will stay around credit levels?

Venkatraman Narayanan: No, the 22% to 24% has been the guidance that we have given over the last two years, and we are holding on to it. As I have been mentioning the year before last it was COVID and we had credits and that came as a good surprise. Last year we had a benevolent exchange rate scenario between the US dollar to rupee which helped us. Right now, we have considered that both have kind of played out to its full. We have taken into account those factors and also the investments that like you said that need to be made in technology competence and as required in domain heads and that is why we are still maintaining the 22% to 24% guidance while obviously the intent is to continue to do better.

Rajiv Shah: I will just add one more point. If you look at the last six months, we have added quite a bit of sales capacity and capability in the US markets. So, we are hiring significant number of hunters in the US market. We continue to add more and more capabilities to our business analyst community as well and we continue to enhance our technology architecture pool as well. We continue to look at all aspects of how we really approach the customer and how do we really put together a value proposition for us to convert the deal.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta : I just had two data related questions, how much SMI acquisition has contributed in Q4 and how many employees get added because of the transaction?

Venkatraman Narayanan: About \$2.4 million of revenues has come from the SMI acquisition for the quarter. As Ashok mentioned 98% of our business is organic and it is less than 2% which has come from SMI for the quarter. On the people side, we have added 356 people including the non-billable people also to our headcount from the acquisition.

Dipesh Mehta : Organic number appears to be weak even on YoY basis. Your revenue growth likely to be slipping to closer to double digit around 10 odd percentage, so just want to understand now if one look organic performance seems to be slowing down now you are guiding for acceleration in organic revenue growth, so can you provide what is changing compared to last couple of quarters?

Venkatraman Narayanan: So, if you look at how Q3 went, we had clarified that was due to vacation impact which had come in. So that was one impact and then when we came to Q4 it was that right shifting which has happened which is what Ram, Rajiv and Joseph talked about. So, we made up a part of that through the numbers that have come from acquisition of SMI. We had mentioned that 25% growth guidance for the current year was fully organic. We had said that we did not have anything in the earlier quarters, we did not have any acquisition on our radar. So, we hold it as growth from either way, and at the end of the quarter there came this nice acquisition which fitted very well into our business and that is how we went ahead and closed that. So, that is same reason why I talked about how our Q1 pipeline looks like now as we stand in May that gives us the confidence to give us an outlook for Q1, Q2 and for the year.

Ashok Soota: Also, the key thing to remember is that we are saying our guidance is quite irrespective of whether we do an acquisition or we do not do because we cannot predict that and if we make an acquisition, that may change the numbers. If we do not get it, then we should still target to get 25% without that.

Moderator: Thank you. The next question is from the line of Dinesh Kudache from Technowell Web Solutions.

Dinesh Kudache : I have one little question about assessment utilization percentage in Q3 23 it was 80.1

% whereas

in Q4 23 it is now 74.6%, can you please put some light on it?

Aurobinda Nanda : So, we hired around 300 trainees last year. They came in and joined us in the months of August and September. They were backed as trainees and their training got over in the month of December, so they were not counted under billable utilization. They moved into Billable people for Q4 and that is why there was a drop in the utilization numbers.

Moderator: Thank you. The next question is from the line of VP Rajesh from Banyan Capital Advisors. Please go ahead.

Happiest Minds Technologies
May 8, 2023

VP Rajesh: My first question is more of a clarification, so when are you guiding for 25% revenue growth in fiscal year 24, should we just assume that is going to be organic and anything that comes on top from an acquisition or more of those that will be on top of that?

Ashok Soota: No, we are being silent on acquisition, which means we are saying we want to make a commitment to the market. We do not know whether we will do an acquisition, or we would not do an acquisition, but we will commit the 25%. So, I think that is the exact statement.

VP Rajesh: And then given the confidence you have around this guidance, are there any lumpy deals in your pipeline that is driving this guidance?

Joseph Anantharaju: So, as I mentioned earlier Rajesh, we have seen a buildup in the pipeline as the quarter progressed Q4 and this has continued into Q1. We had several closures as pointed out in our press release as well as I mentioned earlier all in areas that customers will need to sustain for a long period of time, we are helping them with some of the core digital platforms and which gives us a long term visibility and again as I mentioned we have already had a couple of closures from the pipeline that we had in the first half of April that will provide significant revenues in Q1 itself and we have visibility all the way to the year on these projects and initiatives. The conversations, the kind of opportunities or needs that they have been discussing with us have given us the confidence to commit to a 25% guidance.

VP Rajesh : But my question was slightly different what I was trying to understand is that if there are a few large deals which are driving this growth guidance or this is like business as usual, lot of small and medium sized deals in the pipeline which is giving you the confidence that is what I was trying to understand?

Joseph Anantharaju: We do have several large deals, one of them closed in Q4, couple of them have closed in the first half of

April and we are in the process of ramping up all of these opportunities and that is what is giving us the visibility to provide this guidance along with the usual business deals that we are getting.

VP Rajesh: And last question is on the margin now that the cost pressures are seem to be coming down in the industry, so your guidance of 22% to 24% , are you sort of making any investment, is that how you have been concentrating on the guidance because if you are going to grow at 25% one would expect that your margins will also expand.

Venkatraman Narayanan: While there is an overall improvement in the attrition and people and supply scenario, we work on specialized technologies and there is a demand for those people . Maybe earlier Mr. X would have had five offers but today he is having two offers . That is the way I would look at it. So, for good people there is I think a good demand and the other thing is when things get a little murky in the market people also tend to stick on and not move , then you need to do that much more of work to get them to move and these are the reasons that really come into play when you are discussing compensation with prospective candidates. So, that continues to be similar to the last

Happiest Minds Technologies
May 8, 2023

Page | 14

year. This year we are al

so adding 450 campus joiners . It was 250 including trainees last year , and this time it will be 450 plus another 50 trainees, that will be about 500 people. So, we are going to stick to those commitments, and we will continue to honor them. So, if you look at it really there is a good pipeline which also means that we will have to look for those people who can help us deliver our commitments to our customers and that wil I mean that cost pressures may not be as bad as it was maybe a couple of quarters back, but it is going to be there . Dollar versus Rupee there was a depreciation of almost 8.4% last year. So, that is not going to come through this year. So, we will have to plan for that as well.

Moderator: Thank you. The next question is from the line of Sumeet Jain from ICICI Securities. Please go ahead.

Sumeet Jain : So, actually first question is on your guidance, can you quantify the size and the nature of the deal what you have won which is giving you the confidence of a strong growth in Q1 because typically whichever companies are supported till now, all of them have been guiding for a significantly weak Q1 because of the banking crisis and the various other reasons we are seeing at the macro level, so can you quantify the nature of the deal what you have gone in which area

it is and how it will impact, which industry or which service line basically?

Ashok Soota: I think the way to answer this one is by taking companies who have been dealing with the traditional banking industry. they are the ones who got most impacted because the whole environment there has slowed down and there is a lot of cautiousness. Now we are lucky that none of them were our customers. Another type of environment which is affected are some tech companies, but our tech growth is very strong and has always been for that matter. We did not have, for example, Twitter as an account. Now when you look at it, I would say it was the absence o f negatives be cause other than that we are not projecting anything different from the past. We are saying we grew 24% last year, we will grow 25% this year and the overall pipeline is strong. It is really continuing to grow in the segments where we are strong, increasing our presence in segments which we were not relatively strong . Healthcare is one such area. So, it will suddenly appear on the radar as a specific industry which we will start reporting on. It is things like this which are adding to the momentum and giving us the confidence to say that we can sustain these numbers on a larger base.

Rajiv Shah: I think that our whole strategy has been 'Land-and -Expand'. So, 92% of our business comes from repeat customers and based on where our customers are and where their spend, desire as well as the initiatives they have, I think that gives us a good visibility going forward as well.

Sumeet Jain : And what risk do you see to this guidance if the macro situation deteriorates in US or Europe particularly, do you think there w ill be any risk to this guidance going forward or probably in the second half and also how are you factoring in the growth during the quarter, are you seeing a ramp up in the second half of the year because at least all your competitors who are more banking focus or maybe hi -tech focused are clearly guiding for a ramp up in the second half after

Happiest Minds Technologies

May 8, 2023

Page | 15

a slowdown in the first half, so are you also factoring in any pickup in the second half or is it going to be a steady growth every quarter?

Venkatraman Narayanan: Sumeet the way to look at it is repeat business at 92% continues to be strong. So, like Ashok mentioned the 25% growth would be exited with about \$ 177-178 million which is about 42 -43 million dollars in terms of additional business that needs to come. So, you are looking at \$10-12

million coming from new business and about \$ 30 million coming in from your existing

customers and pipeline. So, if you ask me about the risk, it will be with respect to our existing customers and something not going wrong with them because that especially will not give you time to quickly book, build and also recognize. So, that is the risk that we see because what is happening is we are looking at a Q1, we have looked at Q2. We know where our current pipeline is going to take us and where our customers will take us in the next two quarters and that is the confidence on which this 25% number has been given out. So, if you ask me what is the risk, it is customer specific because you got four \$3 million customers and one \$ 20 million customer, six number of \$5 million plus customers and we are in discussion with them and constantly building up our supply to meet their requirements. Like Ashok mentioned in hi-tech, one large company if they had Twitter as an account, as a customer if that goes down South it is going to impact you and there is an element of luck that have had until now. So, I was talking about this, when COVID hit our exposure to travel and tourism was 0.5% we thanked our lucky stars, but anyway after that came the next question of why aren't you in Ukraine, why aren't you in Eastern Europe. So, frankly we were looking at Europe and then suddenly Ukraine war happened,. So, again thanks to our lucky stars. Now last year the banking and the traditional BFSI got hit. We at about 10% and our business in BFSI is not a traditional banking, it is about mid-size banks or large sized banks, but they are looking to change the way they do banking and the way they digitize themselves to do better banking. So, this is not discretionary it has an absolutely required amount of work that needs to be done so we did not get hit. Third time lucky. These are things which we have to keep looking out. In our IPO document, the number one risk is obviously customer risk or geography risk or currency risk those are the risks we have to obviously keep in the back of my mind, but guidance typically does not take into account something which has not happened as of today.

Ashok Soota: Something untoward well there is always a high probability of one risk or the other coming and hitting you in this world that is a fact. Though you can't say that I can pinpoint that this will go wrong, for example, nobody anticipated COVID, nobody anticipated Ukraine war, nobody anticipated that all these banks will certainly fail and yet the probability of something happening is high that is true. So, we better always be aware and be nimble to act when such an event happens.

Joseph Anantharaju: Just adding a couple of additional points to what Ashok and Venkat mentioned. One is you talked about how many of them have the growth in the second half. So, we made sure that we have not backload our growth and that has been uniformly distributed with a little bit maybe front loaded actually because we wanted to make sure that we do not put too much pressure in the second half of the year. The other point is if you look at our percentage of India revenue is at 16%
Happiest Minds Technologies
May 8, 2023

Page | 16

among the highest of all Indian IT service companies and we are doing this business at a good margin and at the rates that we would like to do business at and this market is growing and there is quite a bit of demand out here. As we see cutting across the industry verticals because it is banking, whether it is industrial, manufacturing, pharma, there is fair bit of auto, there is fair bit of demand out here all of them are embarking on digital initiatives and we will focus more on India that will act as a de-risk to anything that happens in let us say Europe or in US.

Sumeet Jain : My second question is around your M&A strategy, so can you elaborate on your M&A strategy, will it be driven by scale or around capabilities or entering into a new geograph

hy, so can you

please elaborate on that?

Joseph Anantharaju: So, we sat together as the executive board and came up with several criteria for our acquisition and we have said that we want to acquire a company that is mostly if not purely digital that is profitable. We do not want to get into a turnaround story and along with that we want to make sure that we get a strategic differentiator, we would like to get a company that would give us

depth or capabilities in a certain vertical, in a technology where we are light currently or give us entry into a few large accounts in specific areas that we are targeted and that is what we are

looking to do with each and every M&A candidate. We weigh against these characteristics, look at their profitability profile, the growth that they have had and then take a decision because we want to make sure that we get this right and do not have a drag on our performance.

Moderator: Thank you. The next question is from the line of Faisal Hawa from HG Hawa and Company. Please go ahead.

Faisal Hawa: So, sir we are giving a guidance of 25% in rupee terms, but in the last two to three years we are almost doing like 35% to 40% revenue growth, so are we being a little more conservative than necessary ?

Venkatraman Narayanan: Yes, Faisal we are giving our guidance in constant currency in dollars , whereas it is the revenue in rupee s which has been growing at 30%.

Faisal Hawa: Yes, but even rupee we are growing almost like 38- 39% last one year.

Ashok Soota: Yes, that is true.

Faisal Hawa: So, you feel that with the rupee dollar equation be ing in our favor we could continue with that kind of a situation?

Venkatraman Narayanan: So, that would not happen, and we are not budgeting for it.

Faisal Hawa: And our capacity utilization of people is falling, so any trend that could be read into it or it has fallen?

Happiest Minds Technologies

May 8, 2023

Page | 17

Venkatraman Narayan : It has just fallen for this quarter.

Joseph Anantharaju: So, as Nanda had pointed out earlier, we inducted around 320 Happiest Minds from campus in August and they were undergoing training till Jan. So, they were not inc luded in the billable headcount which we base our utilization on. These folks came into the billable headcount number in February and that is why you see the drop in utilization on the other hand what you see is over the next few months as we get these peo ple b illed, they would all contribute to revenue while the cost would remain the same which would give us a little bit of advantage or leverage from a margin perspective and also improve the utilization.

Faisal Hawa: And sir how do we see the opportunity of Ed uTech playing out because a lot of these players may not be now having the funds from VC or PE funds to really fund their further projects, so will that still continue because that is a fairly big segment of our revenues that is one and secondly sir we are getting projects from across the board and it is so many verticals , where do you see the big traction coming from?

Joseph Anantharaju: So, if you look at Ed utech Faisal , we do not work with any of the startups and most of our customers except one and that too is a large B2B education provider who is based out of India and so therefore they are pretty stable from a financial perspective, we do not have any other customers in India and even in US we do not have any startups in the education space, they are all companies that are either public or owned by PEs and so the cash and other things are well funded. So, cash is not an issue. Many of them have been running strategic initiatives and I did mention a couple of them in my commentary about the wins that we have had they are pretty large wins actually, they are all significant wins and we continue to see a decent pipeline in this space because there is a lot happening actually, the way the expectation of stud

ents, what

professors want o n their systems and technology they have all of that is changing and so education technology providers have to keep adapting themselves as well.

Faisal Hawa: So, since we are one of the fastest adapters to new technologies, how fast do you feel that we can adap t to ChatGPT to automize most of our software solution then really let go of a large part of our workforce or retain them?

Joseph Anantharaju: That is not a feasibility right now. If you look at ChatGPT , there are maybe some industries where you could have them replacing people, but in the technology space it is more of an enabler and the productivity enhancer it will help make the life of a developer a little easier and help them look at some of the more complex challenges that they have, look at how to ad d more value to customers and ensure that the quality of whatever technology, core platform they build is better and that is the advantage that you will get from a technology perspective.

Faisal Hawa: So, are we already looking at retraining people to use ChatGPT as an enhancer and really cut down on the hours that we take to complete any kind of a project?

Happiest Minds Technologies

May 8, 2023

Page | 18

Joseph Anantharaju: As we speak, we have couple of task forces. One is looking at more of from a customer perspective how we can adopt this technology. We have a few POC and solutions that we built. We have identified use cases specific to each domain and we are in discussion with a few customers to help them adopt this technology and leverage it. From an internal perspective we have been looking at C odePilot and Codex which are more oriented towards the development environment to see how we can leverage these internally and maybe even for some of our customers to enhance productivity of developers, all this is work that is underway.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sunil Gujjar for closing comments.

Sunil Gujjar: Thank you for joining us today. We thank Motilal Oswal Financial Services for hosting this call on our behalf. We look forward to interacting with you. You can reach out to us on ir@happiestminds.com. Have a good

evening. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Please Note: The transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

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Dalal Street, Mumbai 400 001
Stock Code: 543227 ,974728 & 974820 Listing & Compliance
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai 400 051
Stock Code: HAPPSTMNDS
Dear Sir/Madam,

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ub: Transcript of Earnings Call held on August 09, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on August 09, 2023, post announcement of financial results of the Company for the quarter ended as on June 30, 2023 .
The transcript is also uploaded on the Company's website
(<https://www.happiestminds.com/investors>).

This is for your information and records .
Thanking you,
Yours faithfully,
For Happiest Minds Technologies Limited
Praveen Kumar Darshankar
Company Secretary & Compliance Officer
Membership No. F6706

Page 1 of 16

"Happiest Minds Technologies
Q1 FY2024 Earnings Conference Call"

August 09, 2023

Analyst : Mr. Sumeet Jain - ICICI Securities

Management :
Mr. Ashok Soota Executive Chairman
Mr. Joseph Anantharaju Executive Vice Chairman and
Chief Executive Officer
(Product Engineering
Services)
Mr. Venkatraman Narayanan Managing Director & Chief
Financial Officer
Mr. Rajiv Shah President & Chief Executive
Officer (Digital Business
Services)
Mr. Ram Mohan C President & Chief Executive
Officer (Infrastructure
Management and Security
Services)
Mr. Aurobinda Nanda President (Operations &
Deputy Chief Executive
Officer) - PES
Mr. Sridhar Mantha Chief Technology Officer

Mr. Sunil Gujjar Head of Investor Relations
Happiest Minds Technologies
August 09, 2023

Page 2 of 16 Moderator : Ladies and gentlemen good day and welcome to the Q 1 FY2024 Earnings conference call of Happiest Minds hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Sumeet Jain from ICICI Securities. Thank you and over to you Mr Jain.

Sumeet Jain : Thank you Nishant . Good morning, ladies and gentlemen. Thank you for joining us today on Q1 FY2024 earnings call of Happiest Minds Technologies Limited. On behalf of ICICI Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call. Today we have with us from the Happiest Minds management , Mr. Ashok Soota - Executive Chairman, Mr. Joseph Anantharaju – Executive Vice Chairman and CEO, Product Engineering Services , Mr. Venkatraman Narayanan – Managing Director & Chief Financial Officer , Mr. Rajiv Shah – President & CEO, Digital Business Services , Mr. Ram Mohan – President & CEO, Infrastructure Management and Security Services, Mr. Aurobinda Nanda – President - Operations & Deputy CEO of Product Engineering Services , Mr. Sridhar Mantha – Chief Technology Officer, Mr. Sunil Gujjar – Head of Investor Relations and with that introduction I will hand it over to Sunil for safe harbor statement and to take the proceedings forward. Thanks, and over to you Sunil!

Sunil Gujjar : Thank you Sumeet . Good morning to all participants in the call. Welcome to this conference call to discuss the financial results for the first quarter ended June 30, 2023. I am Sunil, Head of Investor Relations. You can review our financial statements, quarterly factsheet and press release, which are uploaded on our website. The agenda for this call is as follows. Ashok will begin the call by sharing his perspectives on the business environment and our results. Venkat and Joseph will then speak about our financial performance and operational highlights, after which we will have the floor open for Q &A. Before I hand over, let me begin this with the safe harbor statement. During the call we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically. Now let me pass it onto Ashok.

Ashok Soota: Thank you Sunil and thank you Sumeet and ICICI Securities for hosting this call. A very good morning to all the participants on this call. I am pleased to share with you the results for the first quarter of fiscal 2024 for Happiest Minds which has consistently and yet again delivered industry-leading performance both on total income growth

and profitability at
Happiest Minds Technologies
August 09, 2023

Page 3 of 16 4.7% quarter serial growth and 25.5% EBITDA. Our EBITDA margins have surpassed the upper band of our guidance band for thirteen quarters in a row . The performance reflects our strong value proposition which we bring to our customers . During the quarter, we achieved and crossed many significant milestones. Our headcount crossed the 5,000 marks during the quarter and we are now 5,048 strong Happiest Minds . I thank all Happiest Minds for their continued commitment and dedication over the years. I also express my gratitude to over 200 Happiest Minds who crossed a decade of association with us in this quarter . We closed a very successful Qualified Institutional Placement or QIP issue of ₹ 500 Crores with strong support from reputed institutions across both domestic and international . I thank the financial community for their continued trust and support. As shared with you in my earlier conversations , we have set forth the goal of achieving US \$1 billion in revenues by FY2031. Our guidance of 25% growth is based on that premise. We are on course to achieve that goal. I would like to reemphasize that the guidance of 25% does not make a distinction between organic and inorganic contribution. Our organic story continues to be strong as can be seen from the positive swing from the prior quarter. As we speak, our pipeline also remains strong , and Joseph will cover more on this in his remarks. On our inorganic pursuit, our pipeline looks good with multiple opportunities. We have not been able to take any one of them to closure as yet. Hence, if need be , we will update our revenue guidance later in the year depending on the progress we make on the M&A front in the next few months. With this I end my commentary and over to you Venkat.

Venkatraman N : Thanks Ashok. Good morning to all . I will in the next few minutes take you through certain financial highlights and hand it over to Joseph for a business update. Our operating

revenues for the quarter was U.S. \$47.6 million and this was a Q-o-Q growth of 3.6% and year over year growth of 12.7%. In constant currency growth was 3.5 Q-o-Q and 13.8% Y-o-Y. Our growth numbers are good and that showed a strong positive swing from fourth quarter of last year. In Rupees our total income was ₹ 405 Crores which has showed a sequential growth of 4.7% on a quarter over quarter basis and 22.6% on a year over year basis. Both EBITDA and resulting cash flow as we define it for the quarter breached the ₹ 100 Crores mark and stood at ₹ 103 Crores and ₹ 101 Crores, respectively. As Ashok mentioned, this is the thirteenth quarter in succession we have delivered 25% plus on EBITDA. At 25.5% of revenues, our EBITDA continues to be in the top deck when compared to almost all other industry participants. Our EBITDA has grown 17.4% over the previous year. I would like to believe that strong profitability numbers are a validation of our value proposition and disciplined execution. Our profit before tax was ₹ 79 Crores and that stood at 19.4% of revenues and while that after tax was ₹ 58 Crores and at 14.4% of revenues. We have grown 3.5% on this metric over the same period last year. Our capital return ratios continued to be strong. Return on capital employed (RoCE) is at 33.1% and return on equity (RoE) 26%. Our cash conversion ratio also continues to be strong at 98.4% of EBITDA. We ended the quarter with a cash balance of about ₹ 809 Crores, which now

Happiest Minds Technologies
August 09, 2023

Page 4 of 16 after the QIP has moved up to ₹ 1,200 Crores plus. During the quarter, we raised ₹ 45 Crores through issue of NCD's and a ₹ 500 Crores QIP raised by placing equity shares with qualified institutions, we received strong institutions support for our QIP and I thank all our stakeholders for

their continued support and trust in us. The capital issue was predominantly to support our working capital requirements and fund growth opportunities.

Coming to certain other highlights for the quarter, extremely happy to report that during the quarter the Happiest Minds family has crossed 5,000 with a net addition of 131. Utilization for the quarter stood at a steady 74.6%, while attrition levels have been nicely trending downwards and we saw that at 16.6% on a trailing 12-month basis. As we speak, that number has come down to below 14%. During the quarter, we expanded our Pune and Noida centers. During the quarter, we also added 18 new logos and 2 billion-dollar corporations into our 55 existing billion-dollar logos, taking the total to 57. Our repeat business was 86%, signaling the good growth that we are seeing in new business. If you recollect, we had signed up 16 new logos last quarter and 18 new logos this quarter and that is contributing to the good growth in new business. We ended the quarter with 243 active customers with an average revenue per customer of about \$793,000 and this is kind of being constant and has been trending very close to this number over the last few quarters reflecting on our land and expand strategy. In conclusion, I believe we have had a good start to the fiscal with industry-leading growth. On a metric that we closely track, which is revenue growth plus EBITDA margins, we are consistently above all other industry participants and players. For Q2, we will be rolling out pay increases covering a large part of our Happiest Minds family, which will be effective 1st of July, and this could have a temporary effect on margins. As mentioned by Ashok, we will provide an update on revenue guidance during or after Q2, while we continue to hold onto our EBITDA margin guidance of 22% to 24%. This concludes my update and over to you, Joseph.

Joseph Anantharaju : Good morning to all the participants in this call. I am very pleased to share with you the results for the first quarter of the fiscal year 2024. At 4.7% quarter-on-quarter growth in total income our performance continues to be the best in the industry. This growth was led by product engineering services and analytics, Americas and India geos and BFSI and EduTech vertical. At these times and businesses are looking for compressed timelines for execution and faster results. Our results demonstrate that we continue to be a partner of choice in their journey to stay relevant and enhance efficiency in their operations to our customers. I am proud to share with you that we now have our first customer contributing more than US \$20 million in revenues. We have been working with this customer for the past eight years and this is a validation of our land and expand strategy as well as the quality of our execution. What started as a product engineering work for their platform is now well entrenched into all our business unit offerings and leveraging our CoEs of Analytics, Artificial Intelligence (AI), and Automation. We now work with 57 large

Happiest Minds Technologies
August 09, 2023

Page 5 of 16 enterprises that have more than US billion dollars in revenues. This count has increased by two in the last quarter itself. In the past quarter, we have acquired 18 new logos to add to the 16 new logos from Q4 of last year, which has driven up our share of new business. It is gratifying to see that several of these new logos are already on a million-dollar run rate.

Now to give you a flavour of conversations we are having with customers starting with the US geo. The edutech industry continues to leverage digital to channelize their efforts to the changing needs of their stakeholders. In the reported quarter, we were the beneficiary of a vendor consolidation exercise with the US client that is a leader in the K-12 space who chose us to

be the sole provider for end-to-end product engineering services. We started focusing on healthcare and life sciences a couple of years back and to build expertise that we had already gained from providing engineering services to some of the large reputed and global companies. From this quarter, we have started calling out this vertical separately in a fact sheet. In the reported quarter, we were chosen to provide cloud-based Product Lifecycle Management (PLM) solutions for a global leader and innovator in the bioscience industry. The acquisition of SMI in January has provided further impetus to our growth story in this space. In the Europe geo, we did see some impressive wins during the quarter. For example, for a global high tech engineering group based in Europe, we were chosen to design and implement their modern data platform on Microsoft Azure. In another instance, a global talent fulfilment enterprise chose us to implement Microsoft Power Platform to improve employee experience and provide actionable intelligence for decision makers. In the Middle East, we work with some of the large businesses out there. In one instance, Happiest Minds was chosen to provide consulting lead Operational Technology(OT) solutions for a large enterprise in the oil and gas industry. We continue to get called for strategy initiatives by large enterprises in our home turf. Through our consulting led approach, we are helping a large automobile service company in India to build and deploy their B2C platform. In another instance, we were chosen by one of India's leading education groups to build a platform for medical student post graduate(PG) test preparation. On Generative-AI (GenAI) which is highly strategic area for us, we are setting up a Gen AI division with the charter of driving significant Gen AI business by building organisational capability on open-AI and developing multiple use case in each domain putting together Go-to-Market(GTM) to take these offerings to market and working with customers to implement these use cases. We are building an initial team of 100 plus people with deep expertise in GenAI, which we expect to scale further shortly. Apart from helping customers realize the full potential of this technology, these engineers will be building our own solutions. We have already engaged with multiple customers on various use cases and helping them to take advantage of Co Pilot for productivity improvements. We are also deepening our partnership with a large hyperscaler like Microsoft, Google, and AWS in the space. We believe that technology can have a positive impact in three areas, Automation to improve processes and enhance employee productivity, Transform to enhance customer experience, Disrupt to create new Happiest Minds Technologies
August 09, 2023

Page 6 of 16 business models by leveraging large language models on proprietary data. With a deep domain knowledge and technology depth, I am confident that Happiest Minds will unlock the full potential of GenAI for our customers and that engineers to be better programmers. Moving on to other updates, our integration of SMI is now complete. I am happy to share that we were able to cross leverage teams and capabilities in both directions and achieve synergies together as one entity. Now to give you some flavour on the demand environment. Our pipeline remains strong and as we speak, we are chasing several large opportunities cutting across geos. Our clients remain focused on executing compressed transformations to achieve cost optimization, stronger growth, more agility, and greater resilience. We believe in the world we live in all strategies lead to technology and it being at the core of decision making. We are all ears to our customers changing needs and being relevant across the enterprise from the frontline to core operations to corporate functions.

I strongly believe that our ability to advise, shape and deliver value led transformation, leveraging the breadth of our services across all industries, geographies markets is what differentiates Happiest Minds. With this, I would like to end my commentary and open the floor to Q&A.

Moderator : Thank you very much. We will now begin the question-and-answer session. We will take the first question from the line of Sumeet Jain from ICICI Securities. Please go ahead.

Sumeet Jain : Thanks. Congrats on a good growth this quarter. My first question is actually on the margin side. If I look at your employee cost that is a bit elevated this quarter despite no wage hikes announced in the quarter. So any particular reasons for the elevated cost of revenue this quarter?

Venkatraman N : Hi, Sumeet. We had a slight increase in our onsite people cost that is one reason because you know the mix changes quarter to quarter. The campus joiner cost also has come in. Some of that cost has also come in at its full force this quarter. Other than this, we have not

seen any other change Sumeet. In fact we are optimizing on the subcontractors reasonably well and that is being the reason.

Sumeet Jain : Got it. Can you also comment around your hiring outlook for the year. I guess you mentioned around 1,300 fresher hiring for the full year, and I think contrary to the other IT company we have seen at least the head count growth for you so can you just comment around both fresher hiring target as well as lateral hiring based on the demand.

Venkatraman N : While I just give the overall number, I will ask Joseph to add to this because we had talked about a 25% growth guidance as Ashok had referred to in his commentary earlier and which translated to about 1,300 people to be added during the year. In that addition, we had a Happiest Minds Technologies
August 09, 2023

Page 7 of 16 pipeline of fresher's as well which was about 400 plus, 240 plus will be joining this month as we speak, and the rest is scheduled over a period going over the financial year. Again, I should caution you that our growth of 25% has both an organic and inorganic element to it. So, the number of people that we hire will also function of the people that we add from the company that that comes in to our fold. For example, last year in December our numbers went up by 400 coming in from SMI and this year we are progressing well on the pipeline that we talked about earlier and that will add to the number that will add to the Happiest Minds family overall. So we had talked about 1,300. It will be a function of laterals, campus joiners and the new additions or members we will add to the family through M&A.

Joseph Anantharaju : Just a couple of more points I wanted to add the re, Sumeet. We will be looking at increasing the utilization and therefore some of the additional business would come from the pool that we currently have and secondly we also want to take a little bit more of agile view because there is a fungibility of skill sets required and we want to make sure that the numbers that we hire and the skill sets we take a more agile and nimble approach to our headcount addition.

Sumeet Jain : Got it. Thanks. Thanks for the clarity. I think another question is on more for longer term strategic outlook. When you gave a target of around \$1 billion by FY 2031. Just want to understand how much you want to grow by mining existing clients where you already have 240, 250 customers and how many number of more clients you want to add and within that client context if you can also give us some brief highlight as to how many Fortune 500 or G2000 clients you have which you can scale up substantially over the next 8 to 10 years?

Venkatraman N : Sumeet, I will just give you certain data points after which Joseph can add. We have got 55 billion-dollar corporations in our

client roster right now. We have added to two more to that count this quarter. So, the number of clients that we have in the billion-dollar corporations which has got that deeper pockets to spend on IT is consistently on an increase. The second is when you scale up to a billion dollars you have to have more of the \$10 million dollar, \$20 million number of clients and as Joseph remarked the first client of ours has moved to the \$20 million bucket whereas we have added a nice list of clients to the one to three million dollar bucket which is about 31 right now and those clients have to now increase and they have to get into the 3 to 5, 5 to 10, 10 to 20 kind of a range and at the same time we should aspire to add that 50 million, 100 million, 150 million client as we progress in this journey of billion dollar mark. Existing client business, repeat business is about 86% like I said, so mining your existing clients so that they grow to become these larger clients and towards your revenue contribution is something that will be the area of focus and that is nicely planned out in our long term planning, we look at the account development plan and how each of the clients contribute to the pipeline and to that we will add the inorganic part that we have been talking about.

Happiest Minds Technologies
August 09, 2023

Page 8 of 16 Joseph Anantharaju: Yes, just to add to what Venkat said. We will have to obviously focus on both mining our existing business and new logos and the new logo focus will be on the billion dollar corporations or Fortune 2000 that can give us the ability to mine and grow further once we invest in acquiring these logos and while the percentage of repeat business could fluctuate a bit, but we would like to see it at 90 to 92% which will ensure that we have enough new logos and business from new logos coming in which will allow us to mine these accounts and grow them and as you would have seen from my commentary the couple of examples that I gave where both customers that have been around for eight or nine years where we have successfully implemented a land and expand strategy and that will continue to be an area that we will invest and focus on by acquiring new logos and ensuring that we put in place the right processes and approach to mine these accounts and I think that is what will allow us to meet the billion dollar goal that we have by 2031.

Sumeet Jain : Got it and just last question from my end is the scaling up of the results, how will be your

focus on different industry verticals given that EduTech is the biggest vertical for us right now but if you look at the global IT services space, this is very small vertical overall and the BFSI and the retail verticals which are very big globally, but are still small for you. The competition is very high but then the scalability opportunity is there for you but just wanted to understand, how you want to scale up your individual industry vertical segments and they are if any inorganic opportunity you get, what will be your focus on the M&A side?

Ashok Soota: Well, let me take this one to start and then hand it over to the two of you. You know, Sumeet one of the things that I would like to highlight is that as you grow, you also begin to expand different verticals and I won't give you the exact numbers here, but you can see how healthcare has taken off for us in the current year. This becomes really significant maybe Venkat someone can give you the exact percentages and therefore it is a huge growing area to start with and clearly a new platform for us in terms of adding to whatever organic growth that we had. As far as M&A, you know it is really much more question of saying, really speaking there are opportunities everywhere. We are not saying we want to do the M&A to increase our presence in just say BFSI. We would have to look at

the opportunities

as they come and see to what extent it is a strategic fit and anybody with a very strong technology offering which cuts across multiple verticals is also a very good candidate and then maybe over to Venkat and Joseph to see if they would like to add and maybe even Rajiv might want to have a comment on this.

Venkatraman N: So just wanted to give healthcare number, we have done a little bit of reclassification, thanks to the new customer that we added from the last quarter, it is currently at 12.9% of our revenue. So, you see how it has become substantially a large part of the vertical focus
Happiest Minds Technologies
August 09, 2023

Page 9 of 16 and it was always there and we had not called it out separately and we have started calling it out from this quarter as we had mentioned in the last quarter.

Joseph Anantharaju: And just to add to that Sumeet, over the next eight years or so till we get to 2031, I think we will be looking at trends in each of the industries to grow and as the opportunities present themselves and we make investments and acquire business, you would see movement of revenue shares of different verticals going up or going down. You know, for instance, healthcare and life science we see a lot of potential and some of the capabilities that we are building in are on the leading edge and that would allow us things like bioinformatics and medical devices and that will allow us to differentiate and get businesses. That gives us an opportunity. You talked about BFSI we put in place a strong team of domain experts to focus on that area and as we speak, there is lot of Go-to-Market (GTM) activity and a couple of new logos that we have acquired. So this will be something that will be more of a journey and you know in this fast-paced world we have to look at opportunities, disruptions taking place in each of these verticals and jump as quickly as possible onto these, for instance 3-4 years back it was EduTech and that is how we are able to grow significantly by helping the customers in this space traverse from more of a paper based approach to a digital approach and now the next step would be adoption of GenAI and other technologies that this vertical would benefit from. Rajiv, if you want to add anything, please?

Rajiv Shah: Just one more thing as well. Joseph talked about the BFSI industry group and capabilities that we have built, we did the similar thing for retail CPG as well, so we bought a very senior person, industry leader to head up that unit in the last quarter. At the same time, I think that we have been very focused on the areas that we are strong in, right so like in the BFSI world what can we do with security services, what can we do with the risk management side of it, what can we do with using the newer way of looking at generative AI or Chat GPT, etc., in that market segment. I think that we are very focused on utilizing the newer technology. Also, disruptive business model, especially in the retail side, how do we work on connected devices etc. So by adding the abilities with the industry group leader at the same time stay focused on the niche technology areas that we are strong in I think will continue to grow those businesses as well.

Sumeet Jain: Great. Thanks a lot for taking my questions. Thanks a lot.

Moderator: Thank you. We will take the next question from the line of the Dipesh from Emkay Global Financial Services. Please go ahead.

Dipesh: Thanks for the opportunity. Couple of questions. First about the Q1 performance. Whether it was in line with what management expected because last time you said some kind of right shifting of revenue which impacted Q4 performance and you expected Q1 performance to
Happiest Minds Technologies
August 09, 2023

Page 10 of 16 be in line with your full year guidance, so just want to get sense about it and

d if I would not

exclude acquisition then Y-o-Y growth seems to be in single digit, so just want to get your perspective whether Q1 played out the way you expected. Second question is about just want to get our perspective on your HiTech and travel media and entertainment vertical, seems to be some kind of softness, partly HiTech has impacted because of reclassification, but otherwise also it seems to be weak, so if you can give some perspective and the last question is about top two to five client seems to be weak. Last time also I think it was showing some kind of softness, but it seems to be temporary, but I think that weakness persists so if you can give some insight. Thank you.

Ashok Soota: I guess Venkat, you could give first and the last part and then on the specific vertical oriented again, both Joseph and Rajiv?

Venkatraman N: If you look at it Dipesh, repeat business has come down to 86% and it was 90% plus. So we had signed up 16 logos, had 18 logos this quarter, 16 logos it takes time to ramp up build the muscle, build the team around it and then start billing so that is what we had referred to a certain right shifting and that has shown up, 86% is what our repeat business has come down from 91%, which means a new business is picking up from this quarter which is what we had referred to. With respect to year over year growth that tends to happen. We added about two and a half million in the last quarter from the acquisition and that continues to be part of our topline this quarter. So it gets adjusted and like I have said earlier we look at these acquisitions which are more capability based and focused on clients as organic growth than inorganic.

Joseph Anantharaju: So the Hi Tech vertical as you rightly pointed out Dipesh there was a reclassification because many of our health tech accounts were previously classified under HiTech and so that is the reason why you see drop in the Hi Tech percentage of revenue. Now on travel media entertainment, most of the revenues is from the media entertainment space and one of our customers in that segment especially the area that we are focused on which is streaming media is going through a little bit of recalibration right now. So one of our largest customers, which is a movie and parks company is going through an internal recall and re-strategizing, that has delayed some of the decision making and there were some optimized cost, but this is also throwing up opportunities for us and we expect that over the next couple of quarters for some of this trends in the Travel, Media and Entertainment (TME) space to reverse. Rajiv do you want anything on any other verticals?

Rajiv Shah: I think the question was HiTech, media entertainment, right? So I think it was the top 20 accounts if I recall correctly and that growth is compared to the previous quarter is picking up and I think you see quite a bit of progress on the top 20 accounts as well. While there was a little bit of right shifting in the last quarter the good news is there is no cancellation of Happiest Minds Technologies

August 09, 2023

Page 11 of 16 contracts, there is still little bit of delay in signing, but overall, the acceptability of the solutions we provide continue to see good positive voice from the customer.

Dipesh: Understood. Last question is about the demand environment compared, to last few months any improvement you are witnessing or you are still witnessing more or less same kind of client behavior in terms of elongated sale cycle as well as clients being very cost sensitive in terms of spending. So if you can give some perspective. Thank you.

Ram Mohan: So if you really look demands from the infra and security perspective we are seeing a continual growth in terms of security. As the threats have increased people are looking at ring fencing their environment with the security

related services and tools. So we are seeing the growth there. With respect to cloud, we are seeing consolidation has happened and many customers have already moved to cloud, but at this point of time they are looking at cloud optimization and multi cloud environment managing. That is what we are seeing growth in terms of multi-cloud management. The third area where we are seeing growth is in automation where enterprises are looking at automating their operational aspects so that means their IT operation automation is another area where we are seeing some growth coming from US.

Joseph Anantharaju: Just to get at the broader level, I think there are a few areas where customers continue to invest. If you look at the broad digital space, customers are optimizing money from other areas and investing in digital and as I mentioned last time as well, it is a strategic imperative and they need to continue to invest in their digital infrastructure to just stay on pace with your competition and in that a few areas that where we are seeing increased interest as one is on the modernization space where they are looking at taking their existing applications and converting the old model to platforms on the cloud. The second is in terms of analytics and usage of AI. Lot of data platforms being built, and data science being applied to leverage this data. We are also seeing customer interest in low code, no code to optimize some of the development costs, and other area is on the process automation space where again they can extract some savings that can be used elsewhere. In the last six months, we

have had quite a few customers start exploring the potential of Gen AI and that is an area again that we are engaged with our customers, and we feel very bullish about opportunities that are coming and will come in this area as well.

Rajiv Sah: So just a couple of things to add to this,. So while we continue to be vigilant on the macroeconomic environment there are just in terms of numbers and I think Venkat mentioned we did signed 18 new logos this quarter, 16 logos previous quarter so our ability to sign new logos and selling the digital transformation services continue to be attractive.

So just adding couple of areas analytics side, especially in the predictive analytics side, we continue to see traction. We have signed at least three customers over the last three months
Happiest Minds Technologies
August 09, 2023

Page 12 of 16 or so on the ESG side, helping companies become not only ESG compliant, but at the same time looking at the different ways of doing business. So, this is just adding to what Ram and Joseph said.

Moderator: Thank you. We will take the next question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi thank you for the opportunity. While on the revenue growth guidance, you said that you will simply look to update us after second quarter numbers. My question was with regards to the way we should be thinking about the medium-term outlook for our margins given the fact that in Q1 FY2024 itself our margins are probably down about 350 basis points on year-on-year basis and we are yet to implement wage increments. I do understand there is an element of investment in freshers, I am really thinking about our medium-term operating margin outlook.

Ashok Soota: I will just make comment and pass it over to Venkat. The key thing here is while margins may have some variations here and there because of some things we pointed out going ahead the compensation increases and so on, the fact is we have sustained our EBITDA margin and we remain second only to one obviously very large company in the entire industry. With that overview for more details, I think it is a good idea to pass this to Venkat.

Venkatraman N: Thanks Ashok. So Manik we have conducted those

simulations and that is how I am

holding on to the margin guidance of 22% to 24% there can be ups and downs and like you have been saying there were quite a bit of credit that we used to get during COVID and post COVID because of work from home and all of that. Just mentioning that we have got a substantial part of our people coming back to work, which I covered in my commentary as well we are adding to our centers in Pune, Noida. We expanded in Bhubaneswar. We are seeing people come there and we are trying to make investment to get more people to office there as well and as we speak we are also seeing expansion in Madurai. These are all things which could cost in the form of rentals and a associated cost which was not there during the COVID time and people were working from home and that is what we were talking about 22% to 24% margin bracket. The real health of the business from a margin is on the gross margin around the contribution from business front and that expect for these wage increases and the 1% to 2% that goes up and down we have been reasonably consistent on that front Manik.

Manik Taneja: Sure and the second question was in regard to just clarification on the way number of days essentially impacts our sequential growth given the fact that almost 75% of the business eventually on T&M billing, what impact did it have in Q1 and simultaneously how should we think about the higher number of working days in September quarter?

Happiest Minds Technologies
August 09, 2023

Page 13 of 16 Venkatraman N: Yes, very valid point. In fact if you remember, in Q3 we came back and said that we had more than expected holidays the election day and everything which really played spoilsports Q3 of last year so compared to that we have got 61 days in Q3 of this year so we have to plan in advance to see how we can take away that variability in our revenue streams because as we grow larger each day is a million dollar. I am just giving you a number and so it is important to manage that and plan the sick leave, calendar and all of that, it has to be managed a lot better, so huge amount of focus needs to be there on the operations front, so yes there is going to be a Q3, we know there could be potentially one billing day less and we need to plan ahead for that. Q2 hopefully will continue to be the same number of 62 to 63 days that we had traditionally seen.

Manik Taneja: Sure and would there be one higher working days on sequential basis between July, August, September, and April, May and June?

Venkatraman N: No it is one lower right. For Q3 it will be one lower Manik.

Manik Taneja: I am saying July, August, September which is the Q3 fiscal year.

Joseph Anantharaju: In fact, I think Q3 will be 60 days actually.

Manik Taneja: Sure. Thank you for the clarification.

Moderator : Thank you. The next question is from the line of Utkarsh Katkoria from PGIM India Mutual Fund . Please go ahead.

Utkarsh Katkoria : Sure. Thank you for taking my question. I am sorry if I have missed the first few minutes in the beginning. I just wanted your thoughts on your long-term revenue growth outlook where we see the company let say five years from now, and what the drivers would be , which verticals and how we try to get there. Thanks.

Ashok Soota: Sure. I will just take the first part and which as you said you probably missed the beginning and I stated that we have a \$1 billion goal by 2031 and we are very much on target to achieve that. I did also make a distinction that our guidance's have not made a distinction between organic and inorganic growth. Obviously at our size even an organic growth can be very lumpy and therefore it is very difficult to be able to state those numbers . However, we also did say we may restate that guidance for the current year based on the way M&A progress and so far, we have not been

able to do a deal. That does not mean it won't happen, we have got a good strong pipeline, but we must be very selective in selecting our deals. It does not overly concern us simply because we are still very much in target for achieving our long-term goals. Then, we have got the verticals where we have addressed
Happiest Minds Technologies
August 09, 2023

Page 14 of 16 that quite a bit in the earlier part, but I can get Joseph and Rajiv again to speak a little bit about that. I do want to highlight that as we progress, we do continue to grow new verticals in a way and then they begin to get focused on and healthcare where life sciences one example. It has come on now to our fact sheets and it is has grown very significantly . It will be a new growth driver because we have got many segments within that where we believe we can take a unique positioning . So, with this let me turn this over to Joseph and Rajiv.

Joseph Anantharaju : Thanks Ashok and the first part I would like to make is that the last couple of years we have been building depth in some of the domains that we are present in and the Ashok talked about healthcare that we started two years back , recently Rajiv mentioned that we brought a retail CPG head a seasoned industry veteran in EduTech and media entertainment as well we have built a team of Business Analysts(BA) to understand the domain and this will be a driver for our growth going forward taking the lead and getting a more upstream engagement. Having said that, I think we will have to continue looking for disruptions in each of these industries and they may happen at different points of time and therefore to name a specific vertical right now that would sort of sustain us for the next five or ten years would not be right. I think we must take a nimbler approach . Ashok did talk about healthcare as we speak there are multiple opportunities, in different sub segments of healthcare and if you look at all the verticals, they are still depending on the company there either starting some of the business initiatives or midway and so there are opportunities in all these verticals. If you look at Analytics , AI, if you look at automation and I think GenAI will touch all these verticals and the studies that you are putting in place will allow us to take our offerings with a twist of domain capability into all these verticals so I think that the growth will be broad based. The revenue share of different verticals could vary depending on where we get more success and where we are able to expand quickly. The third point I would like to make is that account expansion and I and and expand will continue to be critical strategy for us . We will continually try to break into accounts with very fine -tuned offerings and then make sure that we use our land and expand strategy to grow these accounts and as we mentioned we have 57 billion dollars customers right now and we will continue adding more. This will be another avenue for growth.

Utkarsh Katkoria : Got it. Thank you so much for that. Thank you.

Moderator: Thank you . We will take the next question from the line of Rithvik a freelancer . Please go ahead.

Rithvik : Hi, good morning everyone. It is an amazing quarter, as the results have shown consistency. My question is that this SMI(Sri Mookambika Infosolutions), so will it have any positive impact on the bottom line of Happiest Minds as a whole?
Happiest Minds Technologies
August 09, 2023

Page 15 of 16 Ashok Soota: Two things we have clearly seen in the first quarter after that acquisition and you have seen that we have sustained our position as being the second highest in the entire industry in spite of the fact that there are many multibillion -dollar companies and we have been able to sustain that at EBITDA . That is one point . Second is that overall, when you look at the size of the acquisition , it is really very small . So, either way it could not have an impact ,

thirdly we look at the entities which deliver good margins for acquisitions. We never look at loss making companies, we do not look medium profitability, so we are looking at companies who are typically in the range of say 20% even if they are 35 and therefore on a percentage basis we do not expect any dilution when we do these acquisitions maybe a marginal 1% or something, but we have always kept that cushion by saying that our guidance is really 22% to 24% though we have been delivering above 25%, so we are in a good shape as far as that recent acquisition is concerned and also our plans for future acquisitions. Joseph, I do not think you need to add anything more. Do you?

Joseph Anantharaj u: No. The only point I would have made is that there are synergies that we are already extracting out of the acquisition in terms of healthcare and supply chain expertise that will help us in acquiring more business that is the only other point.

Rithvick : My second question is what is your take on the dedollarization of the world economy on Happiest Minds books? So many countries are doing away with the US dollar so how does it take an impact and I have seen the first quarter, so you have made an 8 Crores profit on the currency hedge. So how do you see the dedollarization of the world economy ?

Ashok Soota: Is Venkat back on the line.

Moderator : Yes. He is available now.

Venkatraman N: Sorry. I do not have an immediate answer. This is something that we are tracking, the Indian IT industry has always benefited from the way dollar has moved versus the rupee and that has been something that has been factored into our model as well, so dedollarization I am not too sure how to answer because 72% of my business comes from America, so it has to be dollar. India is 15% so that gives me the balance on the rupee front. But other than that, I do not know.

Ashok Soota: Venkat, I do not see how this can impact us. If you just look at our sales within dollar which is clearly dollar trade, looking at our sales in rupees which is huge we sustain our profitability despite doing such a large percentage of our business in rupees that is most other large Indian IT companies do not get this percentage and therefore all of this is really not linked to how world orders changes. There is a change but that but that is much more in Happiest Minds Technologies

August 09, 2023

Page 16 of 16 terms of people sorting out to lot of bilateral deals are saying we will do trade with X, Y, Z country in their currency or our currency, frankly we are not even in that business.

Rithvick: I have a last question; my last question is on the take on the Blockchain technology. So, you have spoken about automation, you have spoken about having the dedicated workforce in the Chat GPT segment AI, so what is your take on the Blockchain technology, any plans for that?

Ashok Soota: Sridhar you want to take that ?

Sridhar Mantha : Yes. So now of course with blockchain we started working on the blockchain around four to five years back and at this point in time our point of view as a technology blockchain well proved. However, it has more of a narrow set of use cases compared to AI, which had much broader set of use cases. Whenever there is a distributed ledger and trust is required in those kind of use case and architecture we continue to use blockchain and it will continue to be one of the disruptive technologies that we are focusing and will try to incorporate based on the architectural needs and the client needs, wherever there is a trust and the distributed ledger is required as part of the solution we are incorporating. So, it will continue to be part of our arsenal as a disruptive technology.

Moderator : Thank you Sir. The participant has

left the queue and that was a last question for today. I

would now like to hand the conference over to Mr. Sunil Gujjar from Happiest Minds for closing comments. Over to you sir.

Sunil Gujjar : Thank you all for joining us today. We thank ICICI Securities for hosting this call on our behalf. We look forward to interacting with you. You can reach out to us on ir@happiestminds.com. Thank you.

Moderator : Thank you member of the management. Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2023

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October 23, 2023
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Bandra East, Mumbai 400 051
Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on October 18, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on October 18, 2023, post announcement of financial results of the Company for the quarter and half year ended as on September 30, 2023. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

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This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

P

Raveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 15

"Happiest Minds Technologies Limited
Q2 FY '24 Earnings Conference Call"
October 18, 2023

MANAGEMENT :

Mr. Ashok Soota Executive Chairman
Mr. Joseph Anantharaju Executive Vice Chairman & CEO,
Product Engineering Services
Mr. Rajiv Shah President and CEO, DBS
Mr. Ram Mohan C President and CEO, IMSS
Mr. Venkatraman Narayanan Managing Director and Chief Financial
Officer
Mr. Sridhar Mantha Chief Technology Officer
Mr. Sunil Gujjar Head, Investor Relations

Moderator: Sumeet Jain, ICICI Securities

Chorus Call Host : Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Happiest Minds Technologies Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumeet Jain from ICICI Securities. Thank you and over to you Mr. Jain.

Sumeet Jain: Thank you operator. Good morning, ladies and gentlemen. Thanks for joining us today on Q2 FY24 Earnings Call of Happiest Mind Technologies Limited. On behalf of ICICI securities, I

would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call. Today we have with us from Happiest Minds Mr. Ashok Soota, Executive Chairman. Mr. Joseph Anantharaju, Executive Vice Chairman and CEO, Product Engineering Services. Mr. Venkatraman Narayanan, Managing Director and CFO. Mr. Rajiv Shah, President and CEO, Digital Business Services. Mr. Ram Mohan, President and CEO, Infrastructure Management

Happiest Minds Technologies Limited
October 18, 2023

Page 2 of 15

and Security Services. Mr. Aurobindo Nanda, President, Operations and Deputy CEO, Product Engineering Services. Mr. Sridhar Manta, CTO, and Mr. Sunil Gujjar, Head of Investor Relations. With that, I will hand it over to Sunil for safe harbor statement and to take the proceedings forward. Thanks and over to you, Sunil.

Sunil Gujjar: Thank you, Sumee. Good morning to all participants in the call. Welcome to this conference call to discuss the financial results for the second quarter ended September 30th, 2023. I'm Sunil, Head of Investor Relations. You can review our financial statements, quarterly fact sheet and press release which are uploaded on our website. The agenda for this call is as follows. Ashok will begin the call by sharing his perspectives on the business environment and our results.

Venkat, Joseph, and Rajiv will speak about our financial performance and operational highlights, after which we will have the floor open for Q&A. Before I hand over, let me begin with the Safe Harbor Statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty, because of which the actual results could be different. We do not undertake to update those statements periodically. Now let me pass it on to Ashok.

Ashok Soota: Thank you, Sunil. A very good morning to all the participants in the call. I am happy to share with you that Happiest Minds has continued to deliver industry-leading performance, growing 3.6% sequentially in constant currency. On a revenue growth plus EBITDA, we were at 38.9%, which is another quarter of superior performance. Our EBITDA margin at 24.4% has been well above our guided range of 22% -24%, and this is now for the fourteenth quarter in a row. We crossed two significant milestones during the quarter – We completed 12 years as a company, and we completed three years as a public entity. I would congratulate all the stakeholders who have contributed to and been a part of this journey and express my gratitude for your continued support.

During the quarter, we raised capital through a QIP, and I also sold a small portion of my equity at Happiest Minds. Both these events led to a small dilution of my equity interest. The latter was primarily done to fund the capital requirements of S KAN, the not-for-profit medical research

entity that I started, and also to enhance the capital structure of Happiest Health. This capital infusion for these two entities should take care of their capital requirements for the medium term.

As part of my commitment and belief to have Happiness Minds exist in perpetuity, my controlling interest in Happiness Minds will not be allowed to go below 40%. I should also clarify that my current shareholding percent of 50% is safely well above this threshold.

While many companies in our industry are seeing a declining headcount numbers, we in the quarter have added 237 Happiest Minds to our teams, in line with our commitment to work and execute on our larger vision to be a US \$1 billion enterprise in sales by FY '31.

In Q1, we had given a revenue growth guidance of 25% without making a distinction between organic and inorganic growth. Based on an assessment of the market dynamics, we are revising this growth guidance for the year to 12% on an organic basis. Additional growth, if any, due to

Happiest Minds Technologies Limited
October 18, 2023

Page 3 of 15

acquisition will be over and above this guidance. We retain our EBITDA guidance of 22% to 24%.

I'm now happy to announce a major new organizational and strategic initiative for Happiest Minds.

In order to avail the transformational opportunity being presented to the entire industry, through Generative AI, we are creating a new business unit called Generative

AI Business Unit, which

will be abbreviated as GBS. This will become a new engine of growth and it will require a lot of collaboration because the sales will take place through the entire organization and through every industry group. Accordingly, we have selected Sridhar Mantha as the President and CEO of GBS. Sridhar is a Happiest Mind stalwart since inception and the best person to lead this in view of the interactions and collaboration that are required. The initiative will be led further by

Rajiv Shah as a member of the Executive Board. While we are doing this, we are also integrating our existing PES and DBS businesses into one combined business called PDES and this will be under Joseph Anant haraju who has led our most successful business unit up till now. There will be no change in IMSS. Therefore, we will retain our three BUs, PDES, IMSS, and now the third one will become GBS. We believe these three engines of growth will take us forward to our future goals.

I do want to emphasize again, though, that since it will take time to build up the whole organization in GBS, there will be no meaningful revenue until the beginning of the next

financial year. And accordingly, we will only start reporting their numbers once that new year begins as a part of a plan that we will draw out. Let me conclude my commentary by wishing all on this call a very Happy Navratri and with this over to you Venkat.

Venkatraman Narayanan : Thank you Ashok. A very good morning to all of you on the call, wishing you and family a very Happy Navratri. The next few minutes, I will take you all through the financial performance and certain key operational highlights for the quarter and the half year ended September 30. For a start, amidst all that's happening in the world, I'm very grateful for the place we are in. Coming to the financials, I am very happy to share that our total income for the quarter for the first time has crossed the US \$50 million mark.

Total income for the half year at the same time has crossed the US \$100 million mark. Now coming back to the quarter, operating revenues at US \$ 49 million grew sequentially by about 3.3% in dollar terms and about 10.8% year over year. While in constant currency, this growth was 3.6% and 11.6% respectively. Clearly, our results demonstrate our ability to do what is right for our customers and stay relevant and agile to their needs. Total income for the quarter was ₹ 429 crores, showing a sequential growth of 6% and 19.3% year-over-year.

EBITDA margins for the quarter stands at 24.4%, compared to 25.5% in the previous quarter.

The 100 bps impact was mainly due to wage hike that was rolled out to a major part of our people effective July 1

start of this year. It's important to note that we continue to beat our margin

guidance of 22% to 24% despite above industry pay increases, payment of variable pay, and net addition in people, all areas where we have seen divergent approaches taken by other industry participants.

Happiest Minds Technologies Limited

October 18, 2023

Page 4 of 15

After taking the increases as said, our EBITDA for the quarter stands at ₹ 105 crores, showing a sequential and year-over-year growth of 1.8% and 11.1% respectively. Profit before tax was ₹ 79 crores, which is 18.5% of revenues, and showing a growth of 0.6% sequentially. The marginal decline of 1.2% on a year-over-year basis was primarily due to the amortization of intangible assets that came about from the acquisition of SMI that we did in January of last fiscal. We are taking a quarterly hit of about ₹ 7.5 crores on this count. Profit after tax was ₹ 58 crores, which is 13.6% of revenues.

Now switching to our numbers for the half year, like I said, our total income for the first half of the year crossed US \$100 million. Operating revenues grew 11.7% to US \$ 97 million, while in constant currency, the growth was 12.7% half year-over-half

year. Total income stood at ₹ 833 crores, which was a growth of 21%.

We continue to demonstrate good cash flow conversion with almost 98% of our EBITDA coming in as free cash flows. We ended the quarter with about ₹ 1,300 crores of cash and cash equivalents, which includes the ₹ 500 crores that we raised through QIP and the ₹ 135 crores that we raised through issue of NCDs. I'm grateful to all market participants for their continued support to the company.

Talking about a few operational highlights, at the end of the reported period, we have 5,285 Happiest Minds, a good addition of 237 over the previous quarter, which include joiners from campus. Our utilization has improved from 74.5% in the previous quarter to 76%.

Attrition levels on a trailing 12-month basis have trended down nicely, and now it's at about 14.4% compared to the 16.6% in the previous quarter and a significant reduction from the 23.5% we saw a year back. As expected, our return on capital employed has dropped to 23% from the 33% in the previous quarter, primarily on account of the capital raise that I talked about earlier. It will be our endeavor to improve the capital return ratios by deploying capital into growth avenues like the new GBS Business Unit that we are creating as Ashok talked about earlier and also through acquisitions.

I request all of you to go through the investor deck on our website, which has much more details and operational highlights.

Finally, in line with our progressive dividend policy, the board of directors of the company have recommended an interim dividend of ₹ 2.50 per equity share. The record date for this payout has been fixed as October 30th. Cash outflows on this count will be about ₹ 38 crores.

With this I conclude my commentary and over to you, Joseph.

Joseph Anantharaju: Thanks Venkat. A very good morning to all the participants in the call. We have yet again delivered industry leading growth in the second quarter, which reflects the continued confidence of our customers in our value proposition. During the reported quarter, we acquired seven new logos, with many of them being large Fortune 500 enterprises. Our continued ability to open doors across these large high-tech companies, energy conglomerates and retailers emphasizes our value proposition.

Happiest Minds Technologies Limited

October 18, 2023

Page 5 of 15

We continue to execute on a land and expand strategy as reflected by the consistent increase in the average revenue per customer, which is at US \$ 804,000 now. We were also able to increase the number of large customers as evidenced in an increase of in US \$ 5 Mn - \$10 million customer cohort during the quarter.

Now I would like to share a sense of the conversations we are having with some of our customers. I'd like to share that a leading global online retailer and hyperscaler chose Happiest Minds as the engineering partner to design interactive user interfaces and to provide automation services for the IoT platform based on our IoT cloud automation and product engineering DNA. With our mindful 4D framework which is Explore, Envision, Engineer, and Enhance, we have been assisting companies in the innovation and digital transformation journey. For a multi-billion-dollar enterprise in the energy distribution sector, we leverage this framework to transform their document management systems for automated retention, intelligent search, and faster retrieval, thereby improving customer experience.

Our comprehensive and integrated suite of solutions are helping our customers secure their distributed IT environment 24/7. During the quarter, a leading warehouse club operator in the United States chose us to provide security assessment services on threat modeling and application security.

Companies are reinventing every part of the enterprise using technology, data, and AI to optimize operations and accelerate growth. For a large U

S-based utilities company, we have

been chosen as a key partner to provide data engineering and governance services. We are working closely with the Alliance partners to deliver the benefits of digital technologies and in one of a common customer, we are helping an industrial internet platform provider to build a

data platform for their farm-to-table process using a deep IoT data and AI capabilities.

Speaking a little bit about the demand environment, multi-year digital transformation initiatives are being broken down into shorter, composable engagements. This creates the right kind of opportunities for a company like Happiest Minds to exhibit agility, create value faster, and gradually expand into other related areas.

However, in the face of macro and geopolitical uncertainties, customers are getting more prudent and seeking more bang for their buck and taking longer to take decisions. To accommodate this shift in preference and uncertainty, we have decided to revisit the guidance as alluded by Ashok earlier.

With the creation of the Gen AI BU, I'm happy to share that we are merging PES and DBS business units into one Product and Digital Engineering Services (PDES) business unit as a first step in our strategy to work life and better leverage synergies and capabilities as part of our US \$1 billion goal by 2031.

I'm excited to be given the responsibility to lead this integrated business unit and draw learnings across customers, better focus on white spaces and take our land and expand strategy to the next level.

Happiest Minds Technologies Limited

October 18, 2023

Page 6 of 15

With this, I would like to end my commentary, wishing all of you a happy Dussehra, and I will now hand over to my colleague, Rajiv.

Rajiv Shah: Thanks, Joseph. I'm really excited to guide this new function of GBS and work with a fantastic team led by Sridhar Mantha, President and CEO of GBS. At Happiest Minds we are known to take technology bets well ahead of time. Take for example IoT, which we started building capabilities well ahead of time around 2015 before it became a mainstream area of investments for the customers.

We've been working since 2018 on the earlier form of Gen AI as part of our AI focus. With a strong base of AI and analytics capability, the dedicated focus to GenAI will open significant opportunities for Happiest Minds. Over the next few months, me and Sridhar will

1. Define processes and timelines to ensure that all our 5,000 plus Happiest Minds get exposed to the practical application of Gen AI in their line of work. The charter includes training on GenAI and develop teams to engineer business solutions.
2. An outreach to our existing customers to showcase our prowess in the space. We are already working with 20 plus customers in the Gen AI area.
3. We will strengthen and forge new partnerships in the Alliance ecosystem, including working with Microsoft, OpenAI, Google, AWS, etc. , and other open source platforms .
4. We will develop a broader go-to -market strategy to the addressable market with our value proposition.
5. We will s tart tracking the financial parameters of G BS going forward and we'll be announcing them for the next fi nancial year as highlighted by Ashok.

To conclude we foresee that generative AI can be a significant revenue source for us in the years ahead and help us reach our vision of becoming a billion-dollar enterprise by 2031. With this I end my commentary and we can now open the floor for Q&A.

Moderator: Thank you very much sir. We will now begin the question-and -answer session. We'll take the first question from the line of Ashish Dash from Mirae Asset Capital. Please go ahead.

Ashish Dash: Hi, Good Morning. Thank you for the opportunity. So, my question is on the guidance. Y ou have made a cut in organic revenue growth guidance. I wanted to know what happened during the quarter so that you got this

guidance directly, from 25% to 12%. And also you ment ioned last quarter that there is a recovery in the demand you are expecting a recovery in demand in 2H. What is your view on that right now?

Ashok Soota: Venkat, shall I just address the point overall on the guidance and then I guess really all the busines s people can talk about what they see about demand vis -a-vis any other statements we may have made. And you're right in one sense that we've never differentiated in the past between organic and inorganic growth.

We were certainly expecting to close a large acquisition which should have got reflected in our results. And therefore, the numbers that we had projected were not out of line to the extent that Happiest Minds Technologies Limited

October 18, 202 3

Page 7 of 15

this revise guidance will indicate. On the other hand, we also know that getting an acquisition through is sometimes a bit of an uncertain event .

You really don't know whether the deal will go through or not. This deal we are talking of actually has not gone off the table even now. And yet we don't expect we'll get any revenue out of that assuming we even clos e it this year . So that is the major dramatic item which has led to the difference in this guidance.

Overall, there's no question that the markets has had declines. You see this in the results of all the entities who've been declaring their results. And in that respect, I'd say our result continues to be an industry-leading performance. Some of the issues in terms of giving color to this, as well as the demand outlook, my colleagues will take up for you, and I think it's best if each of the three business units gives you their response to this particular point that you raised.

I do want to add that we do see a need for giving a further thrust to growth. And that is one of the reasons why we have created this GenAI business uni t. It's a major change. We believe nobody's taken a change of this sort towards addressing this opportunity. It won't yield results overnight, but we believe that this will certainly play an important role – not only medium and long run but also in terms of taking us on to our declared vision of achieving a billion dollars by 2031.

So, with this let me pass this over to Joseph, Ram and lastly Rajiv because he can then also talk about the new business area.

Joseph Anantharaju: Thank you Ashok and before I tal k about the overall demand environment, I just want to give a little bit of context on Q3. I think all of us have to be cognizant that Q3 has a lower number of working days, which is around three days lesser than the other quarters because of D ussehra , Diwali, and Christmas holidays.

And we're trying to work our way through that. So I just want to put that as a context. Now, if you look at the broader demand environment, I see customers having enough needs and initiatives that they need to get done to digit ize their processes, their offerings, and the way they interact with customers.

So that's at an Uber level and I think that demand is there. What we also are seeing is that just given some of the macroeconomic, I would say, a little bit of uncertainty, but more importantly, at repeated intervals some geopolitical developments . let's look at what's going to happen - instead of having large initiatives that they would typically have started, they're looking at doing things in multiple smaller packages.

As I mentioned earlier, this works out to Happiest Minds a dvantage because we're not looking for US \$ 200 million kind of engagements. We're looking at engagements where you can go and work closely with the customer, validate some of their assumptions, doing P oCs, pilots, and then take it to implementation. While it elongates the sales cycle a bit, it actually works to our advantage as a company that's more agile, that's nimble, and more of a partner than a vendor. And that's what w

e are seeing in terms of demand .
Happiest Minds Technologies Limited
October 18, 2023

Page 8 of 15

Ram Mohan: As Joseph mentioned, there will be holiday season and lesser number of working days in quarter 3, but that is also a period where lot of budgets are going to be finalized for the subsequent year. And we believe that the beginning of the next year will be much better and that is something which we are seeing in the market.

Apart from that, what I am excited is about our integration of PES and DBS business, which actually makes the IMSS a horizontal across all the verticals and thereby enhancing our land and expand strategy. And also, the GBS business which will also bring a lot of Generative AI capabilities in the IMSS space as well, whether it is in terms of service desk automation or in terms of security and infrastructure operations where Gen AI can be very easily integrated to provide better solutions for our customers and that is what customers are also looking at. So, looking ahead with the integration of PES and DBS and creation of GBS, I believe that there will be much better opportunities for us to land and expand in our existing customers and go after new business.

Over to you Rajiv.

Rajiv Shah: So just adding to what Joseph and Ram said, there is some sort of uncertainty that continues to happen and there is a pressure on the macroeconomic environment. But given that, I think, the kind of work that we perform for our customers and the value that we deliver, we continue to see a level of traction . Though, they're still under continuous cost pressures customers still want to take advantage of the newer technologies, Open AI, Chat GPT, Generative AI, etc. And with our platform of integration of low-code, data, and AI , I think we are in the right space for us to provide, create value for our customers.

At the same time, you have larger integration opportunities as well. That is, customers are looking at optimizing their own environment, monetize their own set of investments. This continues to see more and more integration opportunities. So, from that perspective, , the reason

we set up the GenAI unit is to really work with the customer, to help them drive how to set up their own organization, how to increase consumption in their own environment, at the same time drive consumption in their own environment to become more efficient and effective as well.

So yes, there is pressure, there are disruptions that are affecting all of us but fortunately there is no cancellation of contracts or no real price pressures that we are experiencing

Ashish Dash: Okay. So one follow-up question on that . You are saying there is no cancellations and no pricing pressure , so are we thinking that the inorganic contribution would have been more than 10% but as it got delayed so that contribution is not coming? do you see that also you cut down your own organic growth guidance to 12%? Just wanted to know your view.

Ashok Soota: Yes. Venkat, I'll take it and maybe this time you may want to add a little bit. So , the first really important thing is to say that actually there was never any distinction in our guidance between organic and inorganic. We ourselves didn't internally say so much will be organic, so much will

be inorganic ,largely because we were to visualize that when a company of our size is planning even a decent size acquisition. Let's assume it's a company with US \$ 50 million. That's going to contribute to our growth story in a very significant way, but if you take a multi-billion dollar Happiest Minds Technologies Limited

October 18, 2023

Page 9 of 15

company, even if they do \$100 million as an acquisition, it doesn't matter. They don't need to make the distinction. They may get a US \$100 million account or they may get that acquisition. Either way, it will become a part of their growth story. Whereas in our case,

it's a very distinct difference. It must make a distinct difference. And it's another matter that in the previous years, we managed to reach the guidance number although we did very few acquisitions . Negligible, I would say. Here obviously, while we were hoping for one, it isn't that we made the distinction even this year. So to that extent, it's difficult for me to say that because we had planned to say X percent, but now we've reached 12%, that's a

reduction. That is not the case. It was a composite total, and that is why we are now giving you a non-composite total because we know the acquisition element is not going through. And therefore, we are giving you the number reflecting the current state of the market.

Venkat, you want to add anything to it?

Ashish Dash: My next question is do you still pursue the acquisition plan during second half year even though it got delayed?

Ashok Soota: Yes, I mentioned that in the very beginning, we clearly had an expectation of a very large acquisition and I also mentioned that it's not gone off the table, but we don't expect any, if you're considering the stage we're in now, if we've not signed, let's say, at least a letter of intent and begun due diligence, you won't get any revenue into this year. Maybe in a smaller entity, we may get a small bit of revenue, which is why we've said additional revenue from acquisition, if any, will be above the 12%.

But the larger one, if it's signed during this year, it will yield revenue only in the next year. But it's not gone off the table. That is the good news. And hopefully it will come through.

Ashish Dash: Okay. Thank you so much.

Moderator: Thank you. We'll take the next question from the line of Sumeet Jain from ICICI Securities. Please go ahead.

Sumeet Jain: Yes, thanks for the opportunity. You know, just want to probe on your guidance. So, if I look at your 12% organic growth guidance for FY '24, that does imply a CQGR of around 5% to 6% for the second half of FY '24. So just want to understand, what gives you confidence of a sharp revival and growth in second half, given overall a weak macro environment from the discretionary spend perspective. Is it the current order book or certain top clients increasing their spend? Just want to understand what is giving you that confidence?

Venkatraman Narayanan: Yes, Sumeet, so the first half of the year, we have done 12.7% in constant currency. That's half year over half year. So we are hoping to continue a similar trend of growth for the next two quarters and that's how you get the 12% for the year.

Happiest Minds Technologies Limited

October 18, 2023

Page 10 of 15

This is essentially coming from the repeat spend, the repeat client business that we are getting, the pickup in business from the new logos that we have signed up, seven logos this quarter, 18 the previous quarter and 16 the quarter before. So, it's been a strong sign up that's happened. It's been taking a little while than what you would have expected maybe a year, year and a half back on the ramp-up. So those aspects have been considered and most importantly, two less working days in this quarter. So we have to really take some alternate steps on that to explore making a Saturday working day. We are working with the project teams to make sure that we are able to make up for those lost days because a day is close to \$ 700,000 in revenues.

So we have assumed all of those and a repeat of the first two quarters, reasonable repeat of the first two quarters and that's how the number of 12% comes from.

Ashok Soota: Sumeet in summary, that we're not projecting any major increase in the quarterly growth in the second half of the year. We are literally saying if we did what we've done in the first half, we will achieve this number.

Sumeet Jain: Okay, got it. So secondly, want to understand, you guys obviously are sitting on a significant amount of cash

from the QIP. So, what kind of M&A candidates are you currently evaluating in terms of capabilities or industry verticals?

Ashok Soota: I think we could really get Joseph to talk about the angle or types of capabilities because we do know the size is the reflection of the fact that we've raised cash to do a big one. But maybe

Joseph, you could talk about the types of things we are interested in and it can be so many of them for that matter.

Joseph Anantharaju: Yes, so you know Sumeet, there are multiple angles that we are looking at when we are evaluating or even shortlisting our acquisition candidates. The first one is looking at from a domain angle, looking at where we can get companies that would fill in white spaces that we have from a sub-segment standpoint. Right, if you take, let's say, BFSI, in BFSI there's insurance.

In Insurance, we have reinsurance and multiple kinds of things. So, we've identified a few white spaces in terms of our sub-segments or sub-domains where we would like to strengthen our capabilities. So that's one angle that we are evaluating.

The second one is again, from a technology standpoint, there are white spaces, whether low-code/no-code platforms, data and AI platforms and products that we are partnering with, where we would like to have more skills and more customers and revenues. So that's the other one, the technology part of it.

We're also looking at it from, how it can get us into some of the accounts of large customers that we have as a target. If you look at the SMI acquisition that we made, it led us into a customer that we had been targeting for some time that got us into the healthcare space where they were the largest spenders for a long period of time and hence understood the customer environment.

So that's the third angle that you're looking at where it gets us into a short list of customers that we want to break into that can also map onto the first two parameters that I talked about. And the fourth, which is a good to have is whether it give us capabilities or market presence in a new geo that we've not been in. But having said all of that, I think the common parameter or
Happiest Minds Technologies Limited
October 18, 2023

Page 11 of 15

criteria that we use is to ensure that whichever company that we are considering, there's a good cultural fit so that from an integration standpoint, we don't run into challenges.

Ashok Soota: If I can add Sumeet, it's equally important sometimes in an acquisition to be clear what we will not do. So, one thing we are not going to go and do is to do anything which takes us away from our 100% digital business. Second is, we will not do something just for the size of scale. Third, though we will look at areas in AI, which is important, we are not going to look at saying, hey, the latest area is now Gen AI, let's go and acquire that capability.

We believe, we will build that capability, we're going to build an organization, and we are already doing that. It will be wrong to go out and try and leverage on what others are doing. This must be done very closely linked to the nature of our business and add to each one of our industry groups so that's something we will build ourselves and within that, you can add to it the areas that Joseph said we will do.

Sumeet Jain: I got it. That's helpful. And just last question, maybe for Ram. I can see your infra structure management and security services business line has been now flat for the last six quarters. So can you explain the reasons for the weakness and when can you see the ramp up happening in the service line?

Ram Mohan: Yes, what has happened is one of our large customers had some difficulty in their business which reduced some of the revenues for us. But on the other hand, we have been growing and making up for all those revenue reductions which has happened. So, that is the reason you are see

ing flat

revenues. And as I told you before, we are seeing a possible growth in this particular account as well in the future.

So, we are hopeful that we will be able to continue our growth starting quarter four of this year.

And we are also seeing an increased demand in the security area, which we believe will be in a position to make up for all these issues which we had with respect to growth, starting quarter four of this year.

Ashok Soota: It is still a very valid observation, and I am sure now Ram is looking into it from a period of confidence because it has been a stress the fact that we have had this well observed statement of yours that, yes, there has been a softness for several quarters in a row. But sometimes, it takes

time to revive from that when you had a setback for no real reason. It's a reflection of the customer's own business, but that business is a steady, robust business and is now beginning to

get back into giving us the sort of business that we were used to getting from that.

Plus we are exploring many new opportunities which have taken time to build up. Ram, would it be right to say that, we've signed a few contracts which we hope will grow? Because it takes time for an account to grow and it's those new accounts which will then make up for providing growth even while the account which went down still takes a quarter or two to revive.

Ram Mohan: Yes, the new deals which we have signed up though we have started small, there is a tendency to grow these accounts because the services have been good and our customers are seeing the growth happening in their segments as well. So, the new deals which were closed in the last

Happiest Minds Technologies Limited

October 18, 2023

Page 12 of 15

couple of weeks, we believe that they are going to grow in the next couple of quarters, it will start seeing growth.

Sumeet Jain: That's helpful, thanks for taking my questions, I will come back in the queue.

Moderator: Thank you. We'll take the next question from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Yes. Thanks for the opportunity. Just one clarification, did we consider SMI acquisition as a part of organic revenue growth guidance or would it be additional? Because last year, it was added for about a quarter. So just want to get that clarity. And second thing is about the M&A. We are pursuing M&A for some time, no major progress so far.

So whether the valuation mismatch is driving some kind of delay in closer or in terms of the targets are becoming difficult considering their performance might have suffered considering overall macro uncertainty. If you can provide some reason which explains delaying some of the M&A deal closure? Thanks.

Ashok Soota: Sure. I guess, Venkat and Joseph, both of you could respond to that.

Venkatraman Narayanan: Yes. We closed SMI last quarter and last quarter of last year adding in about US \$2.4 million to revenues. Part of that has been taken into the organic growth, which is how we had planned. And if you look at it, technically also, it is organic because they came in with three good accounts and we have been growing on the base of those accounts in this year. With respect to the M&A delay, Joseph will help.

Joseph Anantharaju: Yes, so, what I would say, Dipesh, is that we've almost, on a weekly or biweekly basis, we've been in conversations with possible M&A candidates and there have been two, three reasons, why we've not been able to get a closure. One is some of the companies that we spoke to, we didn't feel that there was a cultural fit out and therefore we didn't move forward.

The other reason, why we were not able to close is that some of these companies also had private equity funds that were pursuing them and they tend to be much more aggressive than we would be in terms of valuation. And the third is, we also saw that there was some difference in the deal

structure in terms of, what is the upfront and the earnings component. These are some of the

reasons. But having said that, we did hope that the current market conditions would get some of the valuation expectations from acquisition candidates to a manageable level and you still have not seen that.

And as I said, we are in conversation almost on a weekly or a bi-weekly basis with acquisition candidates. Ashok and the Board has made it clear that, we need to really deliver results out here. So, Venkat, I and the rest of the Executive Board are working hard on.

Ashok Soota: And I'll add just one thing which may be a bit of a consolation for ourselves. If you see the way valuations have gone in the industry, as reflected not only by the deals, but by the market cap of the companies in the industry. You can see that these valuations have declined enormously. So, if we had bought something two years ago, we would have been left with an asset which is

Happiest Minds Technologies Limited

October 18, 2023

Page 13 of 15

reduced maybe 40% - 50% in its own value, which is what's happened to the entire industry if you look at it. So that's a consolation.

This may just be the right time. There's also another angle, and this is a psychology of the founder who puts his company for sale. That founder says, look, I could have got so much more two years ago, now why am I going to settle for less. And there's a little resistance then to accept what we believe has been a realistic valuation offer. So, it is an exercise that we are learning and there's no question that sooner or later, we'll strike that one big deal.

And these things in a sense it's more important to get the right one than it is to say hey okay, sure, we didn't get that growth in the previous year, but it doesn't matter. It's more important that we get the right deal when we do the deal. And again, as Joseph said, we're clearly very much focused on that task right now.

Moderator: Thank you. We'll take the next question from the line of Gauri Mishra from Narotam Sekhsaria Family Office. Please go ahead.

Moderator: Thank you. We'll take the next question from the line of Anand Sodhani from Sodhani Securities. Please go ahead.

Anand Sodhani: Yes. Good morning. I am Anand Sodhani from Sodhani Securities. I am a retail shareholder of your company. Seeing the results of last five quarters, PAT is always coming flat. In the expenses column, we are seeing more than ₹1,000 crores as a finance cost. So can you elaborate on, what does the finance cost include? Is it the pledge, the shares which have been pledged by the company? So, does that add to the finance cost?

Ashok Soota: I am not sure, are you talking about the revenue being flat or are you talking about the share price being flat?

Anand Sodhani: No, profit. Quarter-on-quarter, there is no growth. The revenues are improving but because of the finance cost, the expenses are growing every quarter. The PAT is coming flat.

Ashok Soota: There is some statement you made which I am not sure, what bearing it has to your question and whether the pledge on the shares is relevant. I will just give you an absolute idea that pledge is negligible. The pledge is going into very good cause and funding a not-for-profit research entity. We are putting a lot of money and that entity is going to be a showcase for the whole country.

So it's a very valuable entity being created. There's no speculative process here. My shareholding remains above 50% versus the fact that, we said I would at least always keep it above 40%. So, I am not sure whether that question has got any bearing on what your first part of your question but let me get Venkat to answer that for you.

Venkatraman Narayanan: Yes, Ashok, thanks. So, Anand, like Ashok mentioned, pledges on a personal side, Ashok as promoter has pledged a very small portion

for continuing to raise funds and some interim gap

financing that he is doing for the activities that he just mentioned. That's got no cost on

the company, so that's one. Second is, if you come down to our PAT, you should not look at interest costs in isolation you should also look at the money that it generates.

Happiest Minds Technologies Limited

October 18, 2023

Page 14 of 15

The average cost of funds for us that is the interest we pay, is about 4% to 5%, whereas our other income is generating 7.49% because we have about 95% to 99% of money in safe fixed deposits.

So, the arbitrage is one.

Second is the funds that we are raising is to obviously build, a sort of corpus for the acquisitions that we are talking about. This is the interim place where we are raising money through capital and through a little bit of debt, which will then be deployed on acquiring companies where the return on capital will be more than 20%.

So, if your cost of funds is about 7% and 7.5%, and you are able to generate 22% - 23% on the capital that you employ in an acquisition or for that matter into your existing business or to a new business that will generate the alpha return that we talk about on the company. So that's the reason.

The drop for profitability year over year if I should say is because we have taken close to ₹ 8 crores to ₹ 9 crores of intangible write-off this year because we had a couple of acquisitions, we follow a quite an aggressive way of accounting for the split of the purchase consideration. We have acquired the company SMI and before that PGS and there is a significant part of that purchase consideration which goes and sits in our intangible. We don't put all of it in goodwill. So, there is an assessment which is done based on that it goes into your intangible and the intangible is written off over five years. We don't carry it.

So, if you really look at the PAT number, you should compare it to the cash flow that we talk about. 98% of your EBITDA going back to cash has to be seen in line with PAT as well. So, there are leverages that are there in your financials.

Second is year-over-year on the EBITDA front we have taken a drop, there's no two ways about it, primarily because unlike other companies, we have met our commitment to the campus joiners, we are making investments into the business in terms of people.

We are giving pay increases. So, if you have seen our competitors or comparators, other industry participants as I like to call it, they have all deferred their pay increases. They're talking about headcount reduction. Compare that to what we are doing. We are increasing our headcount.

Ashok Soota: I don't think we should say that all have deferred pay, some may have done and some have not.

Venkatraman Narayanan: some of them have deferred the payout, some of them have made differences in how they do their, variable-pay payout commitment and how we are meeting them. So, there are divergent approaches being taken with an intention to, manage that cost.

Whereas we, keeping in line with what we see as we've been saying, building that billion-dollar company, the platform is being built with investments being made into the company. And it was with that in mind, we had always made this guidance of 22% to 24%. While we were breaching 25% - 26%. It would not have taken much to say, hey, you know, we are upping our guidance to 25%, but we always mentioned that we would not sacrifice future growth possibilities by not making the investment that is needed today.

Happiest Minds Technologies Limited

October 18, 2023

Page 15 of 15

So, you have to see all of this in conjunction and that that will give you a better fit of the company that we are trying to build and the organization that we are trying to build.

Moderator: Sir, the participants have left the queue. Ladies and gentlemen, that was the last question for

today.

I would now like to hand the conference over to Mr. Sunil Gujjar for closing comments.

Over to you, sir.

Sunil Gujjar: Thank you for joining us today. We thank ICICI Securities for hosting this call on our behalf.

We look forward to interacting with you. You can reach out to us at ir@happiestminds.com.

Thank you.

Moderator: Thank you, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2024

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January 23, 2024
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Dear Sir/Madam,

Sub: Transcript of Earnings Call held on January 18, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III , please find enclosed the transcript of the Earnings Call held on January 18, 2024, post announcement of financial results of the Company for the quarter and nine months ended as on December 31, 2023. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

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This is for your information and records .

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

P

Raveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 15

"Happiest Minds Technologies Limited

Q3 FY '24 Earnings Conference Call"

January 18, 2024

Management: Mr. Ashok Soota – Executive Chairman

Mr. Joseph Anantharaju – Executive Vice Chairman and

Chief Executive Officer – Product and Digital

Engineering Services

Mr. Venkatraman N – Managing Director and Chief

Financial Officer

Mr. Rajiv Shah – President and Executive Board

Member

Mr. Ram Mohan – President and Chief Executive

Officer – Infrastructure Management and Security

Services

Mr. Aurobinda Nanda – President , Operations and

Deputy Chief Executive Officer , Product Engineering

Services

Mr. Sridhar Mantha – President and Chief Executive

Officer, Generative AI Business Services

Mr. Sunil Gujjar – Head of Investor Relations

Moderator: Mr. Apurva Prasad – HDFC Securities

Happiest Minds Technologies Limited

January 18, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Happiest Minds Technologies hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Apurva Prasad from HDFC Securities. Thank you, and over to you, sir.

Apurva Prasad: Thank you, Zico. Good morning, ladies, and gentlemen. Thank you for joining us today on the Q3 FY '24 Earnings Call of Happiest Minds Technologies Limited. On behalf of HDFC Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call.

I will now hand it over to Sunil for the safe harbour statement and take the proceedings forward.

Thank you, and over to you, Sunil.

Sunil Gujjar: Thank you, Apurva. Good morning, and happy new year to all participants in the call. Welcome to this conference call to discuss the financial results for the third quarter ended December 31, 2023. I'm Sunil, Head of Investor Relations. We hope you have had the opportunity to review the earnings release we had issued yesterday evening.

Let me quickly outline the agenda for today's call. Ashok will begin the call by sharing his perspectives on the business environment and our results. Venkat and Joseph will then speak about our financial performance and operational highlights, after which we will have the floor open for Q&A.

Before I hand over, let me begin with the safe harbor statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty, because of which the actual results could be different. We do not undertake to update those statements periodically.

Now let me pass it on to Ashok.

Ashok Soota: Thank you, Sunil. Good morning to everybody. Let me convey my best wishes for the new year to all the participants in the call. I am pleased to share that Happiest Minds reported a resilient performance with an industry-leading growth at 9.4% year-over-year on a constant currency, while beating EBITDA guidance for fifteen quarters in a row.

The results are on the backdrop of lesser working days, longer than usual furloughs and pockets of softness in demand.

While Venkat and Joseph will talk about these in some detail, the results indeed reflect the sustained trust of the market in our value proposition.

Happiest Minds Technologies Limited

January 18, 2024

I am happy to share that we continue to get recognized for our disclosure and annual reporting practices. Happiest Minds' integrated annual report for 2022 has been awarded gold at the South Asian Federation of Accountants best presented annual report award.

We have been recognized also amongst the top 50 best workplaces for women for the fourth year in succession by Great Places to Work, and this is cutting across all industries. We've also been recognized in this in the top 100 companies by Avtar & Seramount. These recognitions are

in addition to the series of accolades we have received over the years underscoring our position as a leader in creating an exemplary workforce culture and validating our agenda on advancing diversity and inclusion within Happiest Minds.

Let me share with you some other important organization updates. As you know, we had come up with a 10-year vision statement in September 2021 on completion of 10 years as a company.

I'm happy to share that we are progressing well in that journey.

To give further inputs to

this vision, we are taking a 3-pronged approach to strengthen our sales engine.

- First, we have created the Gen AI business unit (GBS) under Rajiv Shah and Sridhar Mantha, which has had an excellent start. The GBS business unit will have its own sales and consulting team, coupled with an agile delivery and alliance management team. We believe this approach will help us tap opportunities, develop ahead of time solutions that our customers need and build

robust partnerships with the industry-leading platforms. It is pleasing to note that Zinnov has already placed us in their Niche & Established quadrant in their recently introduced Gen AI Engineering Services horizontal in the ER&D and Digital Engineering study that they have done.

- We will further strengthen our sales engine by hiring a sales head in North America, who will exclusively look at new logo additions globally. We are in active conversation with a few and we'll update the position on this when we close the position.

- As we become larger, it's important that we take a verticalized approach to the market. The last few years, we have built scale, domain expertise and technical depth in each of our domains.

Going forward, these domains will be structured as industry groups under the PDES business. Each of these industry groups will be the fuel for multiple engines of growth for Happiest Minds. With this, I conclude my commentary. Over to you, Venkat.

Venkatraman N: Thank you, Ashok. Wishing all the participants a very happy new year. In the next few minutes, I will take you through our performance for the quarter and the period of 9 months ended December 31.

Our operating revenues for the quarter was ■ 410 crores, showing a growth of 0.8% Q -o-Q and 11.7% on a Y -o-Y basis. Growth in constant currency of U.S. \$ was also 0.8% Q-o -Q and 9.4% Y-o-Y. For the nine -month period, revenues was ■ 1,207 crores showing a year -over -year growth of 14.8%, while growth in constant currency was 11.5% and close to the annual guidance of 12% that we had shared earlier. Happiest Minds Technologies Limited
January 18, 202 4

Page 4 of 15

Coming back to the quarter. This quarter's revenue growth of 0.8% must be seen in the light of an unusually short quarter in terms of billing days. We had 60 workdays and a fair bit of year -end furloughs and people taking vacations. If you notice, we have about 7 3% of our revenues coming from T&M based contracts. A conservative estimate of the impact of the reduced billing days and the other factors I mentioned is about US \$1.75 million to US \$ 2 million. Our total income for the quarter stood at ■ 434 cror es, a growth of 1.3% Q -o-Q and about 16% Y -o-Y. EBITDA for the period was ■ 105 crores and 24.2% of revenues. EBITDA has shown a year -over-year growth of 8.2%.

Happy to report that we continue to beat our margin guidance of 22% to 24%, and this is the fifteenth quarter in a row despite slower -than -anticipated revenue growth, wage hikes that we have taken, and onboarding of campus joiners as promised. Profit before tax was ■ 81 crores at 18.6% of revenues showing a growth of 2% Q -o-Q and 7.3% Y -o-Y. And PAT was ■ 60 crores at 13.7% of revenue growing at 2% quarter -over -quarter and 3.5% Y -o-Y. Our effective tax rate has increased from 23.5% in Q3 of FY '23 to 26.1% in the reported quarter. Talking about our performance for the nine-month period, as mentioned earlier, our operating revenues for the period stood at ■ 1,207 crores, showing a Y -o-Y growth of 14.8%. Growth in constant currency for the same period was 11.5% and close to the annual guidance of 12%. Total income was ■ 1,268 crores and this has shown us a good growth of 19.1% from the same period in the prior year. EBITDA was ■ 313 crores a t 24.7% of revenues showing a growth of 12%. Moving on to a few other highlights. DSO has slightly increased to 85 days compared to 83 days, and ther

e is no cause for concern on this front with a subsequent selection brought us down to the normal trend that we have seen until now. We continue to report healthy cash conversion ratios with 94% of our EBITDA flowing down to our balance sheet. Our cash reserves at the e nd of the quarter stood at ■ 1,327 crores. Capital return ratios, ROCE and ROE are at about 23% and 16.7%, respectively.

As explained in the previous quarter, the decrease in lease return ratios was account of the fund raise and the small expansion in capital. We believe our capital return ratios will improve as and when we deploy our capital into growth avenues like M&A and the new business line of Generative AI starts picking up. Our M&A pipeline continues to be good, and we are in active conversation with a few targets. We'll keep you updated as we make progress and move to the next steps.

Sharing some operational highlights. We ended the quarter with 5,246 Happiest Minds, which included 110 campus graduates who joined us in December. Q2 had campus additions to the tune of 224, which takes the total campus hires until now to 334. While we ha d a slight drop in head count by 39 on a Q -o-Q basis, we have added 635 Happiest Minds over the previous year. Here, I would just like to highlight that our PES and DBS BUs have not seen a reduction in head count, except for IMSS which has seen a decline of about 10, both other BUs of GBS, PES and DBS have shown increase in head count. Our people attrition on a trailing 12-month basis was 14.1% compared to the 14.4% in the previous quarter and 20.9% for the same period last year.

Happiest Minds Technologies Limited
January 18, 202 4

Page 5 of 15

We had 245 active customers at the end of the quarter and 45 million -dollar customers, which has shown an increase of one over the previous quarter. Similarly, large customers that's those whom we refer as billion -dollar customers has gone up by two , and the total number stands at 59. With our first batch of campus joiners slowly getting into billing, our utilization is also slowly beginning to inch up. It's moved to 76.7% compared to the 75.6% in the prior quarter. Average revenue per customer has gone up to \$808,000 per customer from the \$804,000 in the previous quarter and \$794,000 in the previous year. while we continue to add customers through

new logos, we are also slowly increasing our inroads into our existing customers and the new customers. Our new logo additions continue to be strong, and we have added ten new logos during this quarter. I request all of you to go through the investor deck on our website, which has many more details and operational highlights.

With this, I conclude my comments, and over to you, Joseph.

Joseph Anantharaju: Thank you, Venkat. Wishing all participants, a happy and healthy 2024. Our results demonstrate a sustained ability to deliver on our customers' priorities while continuing to invest in strategic areas like Gen AI. Growth was led by our product engineering and digital business units, while the performance of IMS S business was impacted by a few ramp downs and delayed starts.

However, the pipeline looks strong, and we expect growth to come back strongly.

Our year -on-year performance has registered a good growth across all our focus markets, industry groups and service clients. Our customers continue to choose us to be at the centre of their strategic programs and the ongoing reinvention of their businesses. During the quarter, we added ten new logos, our count of 1 million to 3 million account increased by one to a total of 32 million and billion -dollar corporations as clients increased by two to a total of 59 .

As one of the next engines of growth, Generative AI is set to revolutionize how we approach innovation within both our organization and engage with clients in their digital journeys. We took an early lead by being one of the very few compa

nies to set up a dedicated unit for

Generative AI, our Generative AI business services, which Ashok talked about. This has got off to a flying start. We are already in active conversations with multiple customers and on some of the Gen AI initiatives.

We've also been investing heavily in getting our engineers trained on open AI, Google's Bard, a Gen AI open source, LLMs to work both on customer engagements and internal initiatives. For example, a leading educational publishing company chose us to incorporate Gen AI in their student platform for hyper -personalized tutorship experience, generate study plan and provide real-time virtual assistance.

Our customers are trying to work in new ways to reduce structural complexity and reinvent their company. Take for example, in manufacturing, where they're looking at initiatives around IT -

OT convergence, smart manufacturing and efficient shop floor operations.

Happiest Minds Technologies Limited

January 18, 2024

Page 6 of 15

A global manufacturer of materials handling equipment chose us to drive a consulting -led engagement to advise and build their data platform to improve operational efficiency. Only about 40% of workloads are in cloud and most of the applications are yet to be modernized. This brings in a whole lot of opportunities for us in the areas of cloud migration and transformation. In the reported quarter, a leading integrated automotive services company chose us as the preferred partner to accelerate their cloud journey on Microsoft Azure. Retailers, banks and financial institutions where the front runners to drive omni -channel experiences. Other industries like manufacturing are catching up too. For example, a large original equipment manufacturer in the automobile industry chose us to be their strategic partner to drive omnichannel experience for their customer -facing platform.

Coming to other updates, I'm happy to share that last week, we concluded our annual Tech Event Blitz which was celebrated across all our delivery centres . This year's theme was Ignite, Inspire, and Innovate, which brought together tech geeks, programmers, and domain experts to spur innovation and create inspiring and impactful technology solutions that can potentially help our customers reinvent businesses, drive efficiency, and provide superior experience. We witnessed promising technology solutions on Gen AI-powered BOTs, Industry 4.0, digital twin, cybersecurity, AI and embedded software.

Let me talk a little bit about the demand environment. While the environment continues to see softness in some pockets of our business, meaningful opportunities of size and scale still exist in areas of cloud migration, core modernization, digital transformation, cybersecurity, analytics, and AI. At Happiest Minds, we continue to chase and win such opportunities with great vigor but saw an elongated deal cycle in the past quarter.

We expect the demand environment to improve as the year progresses with technology spending expected to grow and sustain over the long run. At Happiest Minds, we are well positioned to tap into these opportunities by building capabilities ahead of time and through our consulting-led approach.

With this, I conclude my commentary. Operator, we can now open the floor for Q&A. Thank you.

Moderator: Thank you. Our first question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Yes. So just wanted to prod further on your comment on growth to come back strongly. So ,

what's really the organic business outlook for the year ahead? And if you could tie that with the progress that the company has made on the PDES segment, combining the DBS and PES, if you could also talk about that, please.

Joseph Anantharaju: Sure. So , for the PES segment, we are in the process of setting up the industry groups and we identified leaders for these groups. We've identif

ied the delivery and salespeople and the domain heads who will form part of this group. We are in the process of drawing up strategies for each of these groups. Each industry group would be an engine of growth in the form of having an
Happiest Minds Technologies Limited
January 18, 202 4

Page 7 of 15

integrated sales and delivery capability . This will help us to take advantage of the opportunities that we see in the market. These industry groups will add to the growth that we expect from Gen AI. We are having multiple conversations going on doing POCs and demos, and that's how we are starting off in the Gen AI space with many customers cutting across our industry groups, and we expect these also to translate into larger projects as the year progresses.

Apurva Prasad: And could you highlight further on these five industry groups and in terms of what are the investments as you're going to be transitioning to a vertical structure in terms of building the sourcing advisory channels of the client partner, the solution architects and so on.

Joseph Anantharaju: One of the areas of investment will be the New New or NN sales team that we are setting up. And this will be led by a senior global sales head that we are in the process of identifying and we will be probably transitioning a couple of the existing sales team members into this team and go out into the market and bring on board seasoned hunters or NN sales folks. We also have identified a set of people who will be acting as client partners that we get aligned to each of these industry groups that we talked about, who will work on further taking our land and expand strategy to the next level. Their whole attention would then be focused on how to mine and expand our presence in some of our large existing accounts as opposed to the current model where they're trying to expand in existing customers and pursue new opportunities. So this will help to bring a little bit of focus to each of these areas, and we expect that this will lead to better growth and performance.

Ashok Soota: Joseph, you may want to also add a little bit about the talent transformation program, which we've been investing in heavily through the fall of this financial year. That will provide all the building blocks to help make this new vertical structure more successful.

Joseph Anantharaju: I think that's a very good point. So earlier part of this year, we kicked off an initiative to develop talent across multiple fronts. As of now, we have programs going on to develop our talent in three specific areas on the architect front, on the delivery manager front and on our business analysts and consultants .

And each of these programs have gone through one batch, and we expect to cover the rest of the folks in the next three to four months . This has been a huge initiative that's a combination of internal and external partners that we brought on board to carry out this training. In the next phase, what we plan to do is also extend this to our sales team, and we already started putting together a program and identifying partners that can help us on this front.

This will ensure that from a supply side that we would also be ready to cater to the demand that would get generated by the verticalization strategies that we are adopting. Again, in the Generative AI business unit, the set of more than 100 people that have been identified and who are part of the team that are getting trained on various aspects of Gen AI and we're already involved both, as I mentioned, both from some of the customer projects that we're working on. And internally, we are looking at what are some of the processes that we can automate or that we can enhance using Gen AI.

Happiest Minds Technologies Limited
January 18, 202 4

Page 8 of 15

Apurva Prasad: This is very useful. And just staying on Gen AI point. How do you think Happiest Minds can compete with larger pee

rs here, especially as Gen AI deals are more volume-driven premium, which could potentially benefit larger peers at least in the exploratory phase currently and how are the size of deals in Gen AI as compared to traditional deal size that is seen with Happiest Minds? If you could highlight how is the flow from POCs to production happening in this segment.

Ashok Soota: I just want to highlight one thing about new areas like this when they begin. And let's say, deal sizes are not large in the context of what the larger companies require. So, there was an article,

for example, in Mint that it is not going to make a difference in terms of changing the numbers for those people. But those deal sizes are the sweet spots for us.

So, we are seeing literally dozens of cases in the typical deal sizes that we have. Remember the Gen AI business unit is just a few months old. We've not put revenue pressure on the new revenues to come in because we want the whole org to settle in. It will become a significant growth engine in the next year. But just to give you a feel on the size and the wide variety of flavour of all the leads we're getting, let's turn this over to our President and CEO of GBS business unit. Sridhar, you could perhaps take over.

Sridhar Mantha: Sure. Thank you very much, Ashok. The first part of the question is how can we compete with the larger players? And pretty much from the inception of Happiest Minds, we have been constantly focusing on disruptive technologies. And any time a new disruptive technology comes, we believe that the disruption acts as a neutralizer because everybody is starting at a ground zero.

And with our focus and the emphasis historically has been on the innovation and disruptive technologies. Our understanding along with our partnerships is much better and higher to help our customers because the customer is also trying to figure out how to create their road maps, right?

And what the technology can do today versus what is the potential of the technology within one year, within two years. And in most of the conversations, we have been working very closely with our customers and acting as an R&D team for them and helping them create a road map that can deliver value today as well as down the line one year and two years based on the technology adoption curve.

Moderator: Thank you. Our next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Yes. The other question I had was on your outlook on the health care vertical, which seems to have been a big driver since its recent inception. So, any comments around this?

Joseph Anantharaju: Yes. So, I know we see health care as being a high potential area, Apurva and this is cutting across multiple subsegments of health care.. First one is bioinformatics, it has a huge use case and employment of AI, analytics and other such technologies, digital technologies. We have Happiest Minds Technologies Limited
January 18, 2024

Page 9 of 15

several customers as well as conversations going on. Again, if you look at medical devices, there's a lot of advancement and innovation taking place out there, and this is an area that we started focusing on a couple of years back.

And this year, we've had a couple of large medical device company that we've signed up as a customer, along with a couple of smaller ones. That's the second area where we are seeing quite a bit of traction. The third area that I would call out is the providers, the hospitals, clinics and others, they're starting off or they are midway into their digital transformation journey, and there's a lot of work that's being done on enhancing patient experience, streamlining some of their supply chain and inventory management, enhancing the quality of care through better diagnostic equipment. So that's the other area that we are seeing quite a bit of traction in. And the f

ourth area is you must look at life sciences again and I called that out separate from pharma. Again, there's a lot of analytics and AI that's being used. These are all technologies that Happiest Minds has focused on and has built deep capability. So, for us, we are looking at health care as being one of our growth engines, and this will be one of the industry groups that we'll be investing in and focusing on.

Ashok Soota: Joseph if I can also add to that question. Firstly, it's a very pertinent question and well noticed, Apurva because we only started reporting health care and pulled it out as a separate industry group in which we were reporting in Q2, it's already 14.8% of our sales and in addition to all of the areas which Joseph mentioned, going back to your question on Gen AI, we must be having at least half a dozen use cases, which are being discussed at the moment with customers for saying how we convert those into SOWs and orders. So exciting opportunities, all working on the leading edge of technology.

Moderator: Thank you. Our next question is from the line of Aditi Patil from ICICI Securities. Please go ahead.

Aditi Patil: Thank you for the opportunity. My question is on revenue outlook for Q4. So as per the full year guidance of 12% Y-o-Y CC, the ask rate for Q4 is around 4.5% Q-o-Q CC. So, like how comfortable are we in achieving that given the continued pressure on discretionary spend.

Venkatraman N: You're right. We do have a relatively steep climb compared to what we have done until now in Q2 and Q3. The idea is to get that \$2 million or \$1.7 to \$2 million that I talked about, which was on account of furloughs and lesser working days. We are back to a 63-day quarter in Q4. So that's on the operating side. We have also signed up these new ten logos that we talked about

and almost 25 in the earlier part of the year. So many of them are starting to fire. We also are looking to grow deeper into some of the accounts and some of the total proposals that are there right now with our customers.

So immediate focus is, to hit the 12% mark on guidance on an organic growth basis. That's what we'll be focusing on. Just to also call out last year, in Q4, we had the acquisition of SMI. So that has kind of given us a higher base to work on. But nevertheless, we must cover that and try to reach the target of 12% in Q4.

Happiest Minds Technologies Limited

January 18, 2024

Page 10 of 15

Aditi Patil: Okay. Can you give some color on the new clients added in your \$1 billion-plus category, like are these new clients? Or like have you won new deals in this quarter from those clients?

Joseph Anantharaju: Yes. Let me talk little bit about new logos and give you color from two angles, Aditi. The first is after we had ten new logos that we were able to close in Q3, five of them were in India, three in North America and two in Australia and one thing that we've been noting and observing and which I'm sure you also observed is that the Indian economy is holding up well and is growing quite well, leading to quite a few opportunities out here. And many of them are beginning to invest in their digital strategy and this has given us the five logos that I talked about.

If you look at it from an industry group angle, again, it's been the new logos that we have is spread across multiple logos. We had two logos in health care. We had one logo in the retail space, four logos in industrial and manufacturing, two in high-tech and one in EduTech. So, as you can see, it cuts across all the industry groups that we have. I hope this helps, Aditi.

Ashok Soota: Can I also add few points here. Aditi, this is again a very interesting point in terms of some of the strength that you see in our business. If you look at this number of our million-dollar-plus accounts, in the current quarter, we've two ways in which we measure it. One, on an annualized

basis and then we go back to the total value of those in the last 12-month period. Now the last 12-month period, it is 43. When the same thing in the same quarter last year was 36.

So, you can see an increase of 7%. If you see annualized, it is 45% this year and same quarter was 40%. So it's a very significant increase in the number of accounts. I think one of the questions, which I'm not sure if that was the intent you asked was any of these new additions, are they completely new accounts? I'm not sure about that because I don't think an account will start and reach \$1 million in a current year.

But there are many that we've signed in the current year, which will start getting reflected into the same category next year as we continue to increase this number of greater than \$1-million accounts.

Aditi Patil: Okay. Thank you for the detailed colour. I wanted to know more about the billion-dollar corporation, which is like 59 in this quarter. So, there is addition of two. So, like have you added any large like for Fortune 2000 or Fortune 500 clients in that category?

Joseph Anantharaju: They are in the industrial and manufacturing space. One of them is one of the largest automotive manufacturers and the other one is a company that helps in the automotive equipment space. We also have two other customers; former is one of the largest high-tech companies and the latter is a large company in the marine supply space. We had two billion-dollar customers that dropped off. So essentially, we've added four and two dropped off..

Moderator: Thank you. Our next question is from the line of Sumit Jain from CLSA. Please go ahead.

Sumit Jain: So, question is to Mr. Ashok Soota in terms of how you are visualizing this whole Gen AI opportunity in front of the Indian IT industry, given you have seen 5 to 6 decades of the

Happiest Minds Technologies Limited

January 18, 2024

Page 11 of 15

technology cycle. Do you think the India's position is extremely strong in this current cycle. And within that context, given that you are working with multiple players in different industry verticals, how you are positioned to make a difference over the next 2 to 3 years?

Ashok Soota: Yes. I will respond to that, Sumit, but I should pass this also to either Rajiv, who is the Executive Board member looking after Gen AI and Sridhar Mantha. But I would just say this, that in all of these years that I've been in the industry, frankly, we've never seen a transformational change like this. And which is why we've created a separate Gen AI business unit. It is going to need interfacing with virtually every industry group.

Now it will have sales which are completely, let me say, Gen AI only. So, there will be supplementing solutions as well as dedicated solutions, which are Gen AI and that is very interesting. And as I think we've mentioned, we've seen so many use cases. Sridhar, you've highlighted that cutting across all industries. I mentioned specifically the end use cases we have in health care right now. In one vertical, we have 5 or 6, which we will convert into formal orders

in the next six months.

It takes a little time discussing with customers, but each one of these are progressing. You also asked how India is positioned. I think India is marvellously positioned on any new thing now a days. We get in earlier, we build scale faster than others can, and we get our share of business in that, which is why India's total share of the global outsourcing market has never declined. In all of this, with so many countries saying we can do this, et cetera, also the share keeps increasing. You're also seeing how more and more people are making India the larger centre, apart from the business they give us. They're increasing their presence in India. So, there's a huge momentum if you ask me. And I believe where the benefit will take place in the short run will be much mor

e

for the midsize players. Because deal sizes take time to build up. The larger guys need much bigger deals to transform their business. I think for us, it will be transformational from the very next year.

And on an ongoing business, I think it will be transformational for the whole industry. Rajiv or Sridhar, would you like to add to that?

Rajiv Shah Yes. So, a couple of things, Sumit. One is that it is, as Ashok highlighted, it's probably the biggest disruption that has taken place over the last 6 months or so. The second thing, I think it goes across the industry segment. So earlier technologies came in and said, okay, can it be applicable to one industry segment, or it will be applied to manufacturing industrial world in IoT, connected devices, etc, versus Generative AI which has larger or greater applicability across all industry segments.

Joseph highlighted several of them whether it's health care, BFSI, including the security services and how we can take advantage of the Generative AI at the same time, put together the layers on. So, I think it has a larger applicability compared to the earlier technologies we have seen as well.

Happiest Minds Technologies Limited
January 18, 2024

Page 12 of 15

While from our perspective, all our customers across every domain are interested in utilizing Gen AI in the businesses. But at the same time, there is some confusion as well. What specific use cases can be taken up and we are continuing to do multiple consulting and discovery activities as well.

So I think from that perspective, with our strong technology platform, applicability across all the verticals and strong client relationships where more than 90% of our revenue comes from our existing set of customer, I think we are in a good place to really take advantage of it as well.

Sumit Jain: Got it. Maybe just a follow-up. So in the cloud transformation journey started in 2012 to 2016 period, we could see the benefit of that coming more to consulting companies first and then to the Indian IT services industry. Now in this Gen AI evolution, we are already seeing benefit coming to the companies like Accenture where in the last three quarters, they have disclosed their revenues from Generative AI, which has seen quite a significant jump.

So just wanted to understand in this wave as well, do you think first, and you also mentioned there will be a more consulting kind of a requirement. So will the consulting companies, again be beneficiary slightly ahead of the implementers. So, I just want to understand perspective there.

Ashok Soota: Sridhar, do you want to address this and use as a base with all the use cases we are working on. They all have some consulting component, too, but also, we get very quickly into end-use implementation.

Sridhar Mantha: So there are two points from our observation of various technology waves that happen historically, You have taken the cloud as an example. When it comes to migration to cloud, it is a big bang approach. Organizations cannot move only a single server and then move other servers. It must be a big bang strategy with a two-year kind of rollout. Hence, naturally, they're embracing such as big things.

So, there is a lot of thought process and consulting must happen in the beginning stages, and it is a much larger scale of consulting. However, when it comes to Generative AI, there is a possibility of implementing a point use case to multiple use cases to multiple features in the product and the road maps generally turn into more of an iterative, which very well aligns with our agile approach, take 1 use case, additional use cases, that's how the road maps are being treated, that is a fundamental difference.

Hence, naturally, the consulting and engineering and R&D go hand in hand very much. Hence, all the big players, small players and very focused players like us, everybody has a piece of t

he

pie they can get, and we believe that for our positioning, we can get larger.

Now the second thing is, we have taken a strong domain-oriented approach because, as Ashok has been alluding, the clients are not clear about how Generative AI today can help, That's the

most important question because here, the technology also is not like a onetime, it just happened. The technology also is very rapidly evolving.

Happiest Minds Technologies Limited

January 18, 2024

Page 13 of 15

So constantly, we are creating various use cases across all our domains so the clients can actually visualize and understand what kind of business problems, actually the technology today can solve as well as the tomorrow's trans it into the road map.

And the last point I want to add is, when we say consulting, it is very strongly supported by the R&D activities that we do, where we try to solve the client's problem with the technology.

Joseph Anantharaju: The parallel I would draw out here is with IoT, where you need to bring multiple technologies to help our customers. And our experience in 2014, again, we started our initiative around IoT a year or so earlier before the other companies. And we were able to really establish ourselves as

one of the leading IoT players and many of the industrial companies that we currently have as our customers, I think seven of the top ten industrial companies are our customers, we're able to get through our IoT expertise and capabilities.

So, customers do value the focus and the depth that relatively smaller player like Happiest Minds takes to the table.

Sumit Jain: Got it. And just very last question, whatever Gen AI use cases you are working with your clients, and you mentioned a particular use case with the Ed uTech customer. So, what kind of hurdles are you facing to scale up those use cases? And when do you think those hurdles will go away, in how much time.

Sridhar Mantha: I'll talk on the dimensions, like how it is in terms of the clients to roll out these solutions in a large way. And second dimension is in terms of the order size for us, So there is an ambiguity in terms of how to marry the technology with the domain use case or the business problems in the client's mind, hence, they want to actually take smaller problems first, smaller use cases first and then slowly scale up in the next one year, which is the case generally with any technology adoption curve, which we have seen in the industry.

And if you take an IoT, as Joseph's earlier example, typically, the year one will be heavy experimentation and year two is the production and three is match and scale-up kind of, And in terms of our orders, the way we see is because we don't operate in a very large single order kind of model because we are very agile development with multiple projects as a team extension typically doing for customers. And most of the deals are falling in that kind of model, where the overall SOW value goes around.

Moderator: Thank you. Our next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Question I had on the sharp drop in the top account. If you could talk about the outlook there as well as the outlook in the Ed uTech vertical. And to that as the mix continue to trend downwards.

Joseph Anantharaju: The largest customer, as you rightly pointed out, has seen on a percentage basis, a large decline, but on a dollar absolute value, the decline has been much lower. And the reason why that's

Happiest Minds Technologies Limited

January 18, 2024

Page 14 of 15

happened, Apurva, is the actual growth came in lower than the projection that they had made based on which they have made the investments and plans.

So, they have relooked at the investment. And accordingly, there's been an adjustment in the kind of R&D and technology budget and spend that they've allocated. And that's

what's reflected

in the numbers. I think going forward, you will see the spill over into as well because that's where the adjustment happened over these two quarters. But after that, we expect the revenues to stabilize. And hopefully, growth picks up and we may also do some acquisitions, which will result in additional work coming from this customer.

If you look at EduTech, there are multiple areas, there's K-12, higher education, workforce development, and corporate learning we are seeing a fair bit of traction. One area which is still a little uncertain has been higher education and you would have also read about some of the challenges that this industry has faced especially in the U.S. which is declining enrolment and other things.

But what we have been doing is we've been making sure that our customer base is diversified across the various elements of Ed uTech and some of the customers that we did sign-up last year were in the other three segments, the workforce development and in the K-12 segment, which are relatively more stable.

Apurva Prasad: Got that. And just a couple of final ones from my side. So with all the investments around the

Gen AI business unit, what explains the two quarters of sequential drop in the analytics and AI service line. Is that tied to a particular client project?

Joseph Anantharaju: Not really. I think it's more of how we classify these revenues because if you look at any analytics or data engineering that we do, which is all part of the analytics and AI CoE, these would typically be on the cloud, and sometimes you would be using SaaS platforms. So, I think it's more of a classification. If you look at the head count of the analytics and AI CoE, that number has grown up till now, by 35% or 40%, and we expect that for the year, the head count of this CoE would grow by close to 50%.

So, we continue to see heavy demand in the analytics and AI space. And with the Gen AI element also coming in, both are ancillary or very close to each other, and they would be feeding off each other. We expect this trend to accelerate and continue. And we will continue building capabilities in this area to work with the Gen AI team on various customer initiatives.

Apurva Prasad: Okay. And on the operational side, this is pertaining utilization, companies operated at higher levels of utilization in a faster growth environment a year back. Now what's the scope for utilizations to go higher as you get into better demand at least next year? So how should the utilization number look over a period? Because offshoring levels are also pretty much at highs.

Aurobinda Nanda: the utilizations are at this level today because of the overall market condition and situation. And we have also brought in quite a few of the campus that have joined in the three batches. And

that's the reason why the utilization has gone down slightly at this point of time. But as we are Happiest Minds Technologies Limited

January 18, 2024

Page 15 of 15

seeing the momentum in business increasing, most of these people will start getting absorbed into the new projects that are coming up and also with the training that we are doing around Gen AI and others, the new projects also will be getting started from most of the people who are in the existing pool. So, we're confident that, this will help us achieve improved utilization.

Apurva Prasad: Got it. And could you highlight what's the head count additions planned for next year?

Ashok Soota: Too early. We are not even into doing our planning cycle for the next year. So, I think we can really park that one.

Apurva Prasad: Sure. And just a bookkeeping one, what was the subcontracting expenses for the quarter?

Venkatraman N: Yes. Apurva, that was about 7.6 % of our revenues this time. And if you look at the total, I'm looking at the numbers about ₹ 31 crores.

Apurva Prasad: Got it. Thank you and wish you

all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question of question-and-answer session. As there are no further questions, I would now like to hand the conference over to Mr. Sunil Gujar: for closing comments.

Sunil Gujar: Thank you all for joining us today. We thank HDFC Securities for hosting this call. We look forward to interacting with you. You can reach out to us on ir@happiestminds.com. Good day.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2024

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Dear Sir/Madam,

Sub: Transcript of Earnings Call held on May 07, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III, please find enclosed the transcript of the Earnings Call held on May 07, 2024, post announcement of financial results of the Company for the quarter and financial year ended as on March 31, 2024. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

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This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

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Raveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 15

"Happiest Minds Technologies Limited

Q4 FY '24 Earnings Conference Call"

May 07, 2024

MANAGEMENT : Mr. Ashok Soota – Executive Chairman
Mr. Joseph Anantharaju – Executive Vice Chairman and
Chief Executive Officer – Product and Digital Engineering
Services
Mr. Venkatraman Narayanan – Managing Director and Chief
Financial Officer
Mr. Rajiv Shah – President and Executive Board Member
Mr. Ram Mohan – President and Chief Executive Officer –
Infrastructure Management and Security Services
Mr. Aurobinda Nanda – President & Chief Operating Officer,
Product & Digital Engineering Services
Mr. Sridhar Mantha – President and Chief Executive Officer,
Generative AI Business Services
Mr. Sunil Gujjar – Head of Investor Relations

MODERATOR : Mr. Apurva Prasad – HDFC Securities

Happiest Minds Technologies Limited

May 07, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to the Happiest Minds Q4 FY '24 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Apurva Prasad from HDFC Securities. Thank you, and over to you, sir.

Apurva Prasad : Thank you, Riya. Good morning, ladies and gentlemen. Thank you for joining us today on the Q4 FY '24 Earnings Call of Happiest Minds Technologies. On behalf of HDFC Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this call.

With that introduction, I'll hand it over to Sunil for the safe harbor statements and to take the proceedings call. Thank you and over to you, Sunil.

Sunil Gujjar : Thank you, Apurva. Good morning to all participants in the call. Welcome to this conference call to discuss financial results for the fourth quarter and year ended March 31, 2024. I'm Sunil, Head of Investor Relations. We hope you had an opportunity to review the earnings release we issued yesterday evening.

Let me quickly outline the agenda for today's call. Ashok will begin the call by sharing his perspectives on the business environment and our results. Venkat, Joseph will then speak about our financial performance and operational highlights. After which, we will have the floor open for Q&A.

Before I hand over, let me make the safe harbor statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those segments periodically.

Now let me pass it on to Ashok.

Ashok Soota: Thank you. In FY '24, company achieved industry-leading revenue growth of 11% in constant currency. We beat our EBITDA guidance for 16 quarters in a row, with an EBITDA margin of 24.6%. Not only has the year been excellent in terms of performance, but we, at Happiest Minds, are excited about the future due to the transformational changes we introduced in FY '24 and the acquisitions we have closed in the early days of FY '25.

FY '25 is going to be our best ever year since our IPO. These changes have enabled us to project with confidence that in this year, we will be back on track to achieve our vision of US \$1 billion revenue by 2031. We required 25.3% CAGR that is compounded average growth rate when we announced as goal on September 2021. We envision that we now need only 22% CAGR by the end of FY 2025 to achieve US \$1 billion in revenue by 2031.

Happiest Minds Technologies Limited
May 07, 2024

Page 3 of 15

The transformational changes I referred to above include several which will accelerate the future growth of Happiest Minds.

We established a business unit focused on Generative AI which was called GBS, an abbreviation. And I must mention that we are the only company which has created a dedicated business unit for this and the reason is it's the most transformational change we've seen in the last 40 years in the IT industry, and we want to capitalize on that opportunity.

- We created a new vertical organization structure comprising of six new industry groups.
 - We then took the rest of our business, which was functioning as two separate business units, PES and DBS and integrated them into a single business unit, Product and Digital Engineering Services.
 - We have also acquired two strategic assets, PureSoftware and Macmillan Learning.
- The Gen AI business unit

it, GBS, under the leadership of Sridhar Mantha, President and CEO of the unit, is generating many new business opportunities. We already have 14 active customers across various industries covering 20 projects.

The opportunities include contextual chatbots, learning simulators, contract management sentiment analysis and content generation. Building on the learnings from such engagements, we are creating replicable solutions across industrial technology streams. So therefore, in all of these areas I just mentioned, we can replicate the same solution for multiple customers.

Our growth in the plan includes training all our engineers in GenAI. The GBS business unit is already 70 people strong and expect it to grow to 250 by the end of this fiscal. I mentioned the six new industry groups. This is really structured under six leaders. These include Industrial, Manufacturing and Energy & Utilities, Healthcare and Life Sciences, Retail, CPG and Logistics, and then we have BFSI, which the industry is aware what it stands for; Hi-Tech and Media and

Entertainment under another and then we have EdTech .

So each of these clusters will operate as independent profit centres led by experienced industry managers and have dedicated teams with deep domain expertise, aligned for customized solutions and faster response times. So you can see that this is six new growth engines that we've created.

The Executive Board has facilitated the realization of two significant acquisitions, each strategically aligned to enhance organizational profitability and productivity. It has taken us some time for us to complete these acquisitions as we have been very selective with our choices.

The wait has been worthwhile as we have acquired complementary and very valuable assets.

These new acquisitions have cumulatively added 1,250 Happiest Minds to our team and have further strengthened our key IGs of BFSI, Healthcare and EdTech. I'm coming now to the unique capability that we have built in Happiest Minds .

We've built the capability in bioinformatics which no one in the industry has. This comprises experts in molecular biology, data scientists, data engineers and health care domain specialists.

Happiest Minds Technologies Limited

May 07, 2024

Page 4 of 15

The team is working closely with the medical research community from prestigious medical institutions in India and abroad.

The team is also working on finding solutions using metagenomics on gut microbiome, anomaly detection in MRI and CAT scan images and conducting large cohort research studies to identify early predictions in stroke, cardiovascular diseases, etc.

Joseph Anantharaju, the Executive Vice Chairman, who's been responsible for the consistent success of the PDES Business Unit since inception has taken responsibility for the integrated PDES business units which will continue to focus on investing in cutting-edge digital technologies and engineering skills.

And we've made a lot of progress in our ESG efforts, and we have been recognized as the ESG Champions of India 2024 by Dun & Bradstreet. This has been possible due to the leadership of Aurobindo Nanda, our President and COO for PDES and Venkatraman Narayanan , our MD and CFO.

Happiest Minds places sustainability at the forefront of its strategy, striving for accelerated programs in the ESG realms. A significant portion of the CSR budget is dedicated to supporting environmental causes, including tree planting and adopting the goal of becoming carbon neutral

by 2030. Rooted in mindfulness, our culture emphasizes being mindful and doing mindful.

Central to our identity are our SMILES values , seamlessly integrated into our day-to-day operations. Embracing the mission "Happiest People, Happiest Customers ". We've prioritized the well-being and professional development of our team members, ensuring they have ample opportunities to enhance their skill

s and progress within the organization.

I'll touch on an area and that is our recognition under the Great Places to Work Institute, for being a whole range of awards that we've got over the years, they are amazing when you consider both the range and the continuity of these awards, be it the best places to work, overall, the best places for women, the best places for health and wellness. Joseph will give you more details about these and the other awards that we have won.

I extend my sincere appreciation to our customers for their continued trust and confidence in Happiest Minds and to our delivery teams which have consistently delivered customer happiness. I want to thank all the support teams, which will make the results possible. I am thankful to our Board of Directors, shareholders, and all stakeholders for their supportive guidance in creating an organization designed for perpetuity as inclined articulated in our vision 2031. Let me conclude by wishing you all good health success and happiness. Over to you, Venkat.

Venkatraman Narayanan : Good morning to all of you. Let me begin my commentary by giving you an update on the fiscal and then talk about the quarterly numbers. We ended the year with a total income of ₹1,710 crores showing a growth of almost 18%. Operating revenues in U.S. dollars was 196 million showing a growth of 11% in constant currency and very close to our guidance of 12%.

Happiest Minds Technologies Limited

May 07, 2024

Page 5 of 15

Our EBITDA at ₹421 crores grew by about 11% and stands at 24.6% beating the upper band of our margin guidance range of 22% to 24%. We have now beaten our guidance range on this front for the 16th straight quarter. We were able to sustain our margins despite pressure on account of increases, strong net additions, campus hires and continued payout of our committed

variable pay.

Profit before tax PBT was ₹335 crores and at 19.6% of revenues and showed a growth of 8%, while profit after tax PAT was ₹248 crores 14.5% of our revenues and showed a growth of 7.5%.

While we are all along been reporting and guiding on EBITDA, we would like to start reporting our operating margins as well as we go forward. As I believe that will be relevant in an environment of rapid growth and investment both organically and inorganically.

Our cash conversions remain strong with a pre cash flow of about ₹411 crores for the year which is about 97.5% of our EBITDA. At the year-end we held cash balances of about ₹1,364 crores including the ₹500 crores raised through our QIP and the ₹125 crores that we have raised through an issue of non-convertible debentures. We are now deploying part of these reserves into acquisitions. Two of which have been announced during the past few weeks.

Our return on capital employed, ROCE stands at a healthy 22.3% while return on equity is at about 17%. As I have mentioned during our prior interactions our return on equity has dropped mainly due to the capital raise and we should now start improving on that front as we integrate the acquired entities which are synergistic, profitable and cash generating.

Now coming to the highlights for the quarter. We have reported revenues for the quarter of US \$50 million a sequential growth in constant currency of about 1.4% and year-over-year growth of 9.5%. Total income was ₹443 crores a sequential growth of 1.9% and 14.5% over the previous year.

EBITDA quarter was ₹108 crores which stood at 24.5% of revenues and showed a growth of 7.6% over the previous year. PBT was ₹96.2 crores, which is 21.7% of revenues and showed a growth of 21.8% over the previous year. So, as you can see all the metrics whether it be for the year or for the quarter, have been growth focused and growth oriented.

Let me now switch gears to provide you some operational highlights. We ended the year with 250 customers, a net addition of 13 during the year. We crossed

a significant S milestone of 5,000

Happiest Minds our people.

At the end of the quarter, we stood on an organic basis at 5,168 people and showed net additions of 251 Happiest Minds during the year. Our utilization for the quarter was 75.1% compared to the 76.7% in Q3. The drop was mainly due to investments in hiring for the GBS business unit and recent campus sites who are going through the training program.

Adjusted for these, our utilization should have been closer to 76%. This is a definite lever that we have for improvement as we look into the next year. Attrition on a 12-month basis dropped to 13% from 19.80% in the previous year, and we expect these numbers to continue trending at these levels.

Happiest Minds Technologies Limited

May 07, 2024

Page 6 of 15

Happy to state that keeping in line with our progressive dividend policy and capital allocation discussions, our Board of Directors of the company at the meeting held on May 6, have recommended a final dividend of ₹3.25 per share, subject to shareholder approval. This would take our total dividend for the year to ₹5.75.

Now looking ahead, we'll continue to fuel and focus our organic growth through investments in people, capabilities and essentially the Generative AI business service. We will put into actions all efforts to pulling business and deliver value to our customers by integrating our business first through vertical approach. Our COEs of automation, analytics, security today stands on their own merit and are significant in terms of size and capabilities, and we will continue to invest in that. Growth through inorganic means has been our stated objective and forms an integral part of our vision to be in US \$1 billion enterprise by 2031.

We are on track to achieving that goal by us starting to grow at a CAGR of approximately 22%.

We have recently announced two acquisitions, Macmillan Learning and PureSoftware. We have closed the first one while hoping to close the second during the current month. Plans are already effort to integrate our businesses to harness the value coming from the synergies.

I'm almost at the end of my commentary, and before I hand over to Joseph, I'm sure the one question that is looming large in all your minds will be our thoughts on growth and profitability for the next year of FY '25. While not giving out the guidance, we are estimating a growth of between 35% to 40% in terms of revenues for FY '25 with a margin range of 22% to 24%.

These are estimates that consider significant investments and acquisitions and the resultant drop in cash reserves and other income investments in GBS and time taken to pulling synergies coming out of the acquisition. Before I hand over to Joseph, just restating the obvious, the acquisitions that we have made are of profitable companies and have grown EPS and capability accretive. Thank you. Over to you, Joseph.

Joseph Anantharaju: Thanks Venkat and good morning to all of you. The result for the year reflects the 360-degree value we create for our customers and the ability to do that with rigor and discipline. I'm very

happy to share that in the reported quarter, we crossed a significant milestone of US \$50 million in quarterly revenues and US \$200 million on an annualized basis. This has been possible due to our focused efforts on account planning, ability to win new logos of consequence while investing significantly in our business to realize new channels of growth for Happiest Minds. The sustained growth comes against the backdrop of an uncertain macro due to economic, geopolitical, and industry-specific conditions. At the same time, tailwinds such as universal recognition of the importance of AI and GenAI. Our razor-sharp focus on land and expand coupled with quality execution has led us to penetrate deep into our customer strategic spend as can be seen from the increase in our customer cohorts. The number of US

\$10 million customers

has increased by a total of 2, and the US \$1 million to US \$3 million cohort has increased by good 5 to a total of 37. And again, the number of US \$1 billion customer increased by 9 during the year.

Happiest Minds Technologies Limited

May 07, 2024

Page 7 of 15

This year's annual customer happiness survey showed an increase over last year's impressive Net Promoter Score of 60 to reach our highest-ever score of 65 and an overall satisfaction level of 7.97 on a scale of 9. Results of this survey reflect our efficient and quality delivery, engineering excellence and product account management practices. As a technology-driven organization, we are constantly learning and growing to stay ahead of the ever-evolving digital world. During the year, our learning platform enabled 4,900 Happiest Minds to complete over 1,44,000 hours of training, averaging around 33 hours per Happiest Minds. Our concerted and sustained people engagement programs have led us to consistently be recognized by various forums and multiple categories such as :

- Top 50 India as best workplace in IT and IT-BPM in 2023.
- Top 50 India's best workplaces for Building a Culture of Innovation in 2023,
- Top 50, India's best workplace for women 2023 -3 years in a row.
- Top 50 India's best workplaces in health and wellness for 2023 - 2 years in a row.

Some other notable awards that serve as a testament to our inclusive culture and proactive initiatives include

- 100 best companies for women in India by Avtar and Seramount
- Ranked #2 in top 30 future at workplaces 2024 by Fortune India.

Let me now share my perspectives on the demand drivers. All strategies continue to lead to technology and reinvention with customers remaining committed to their digital transformation journey, be it modernizing the core, reimagining user experience, using data and analytics for better decision making or securing technology investment to a robust security layer.

Enterprises are increasingly looking to deploy AI scale and leverage generative AI to solve business problems, automate processes and improve productivity while launching new products and solutions. Customers look up to Happiest Minds to guide them in this journey from ideation to execution.

Let me give a few examples here. For ENERCON which is championing sustainable energy generation from onshore wind since 1984, Happiest Minds was chosen as a strategic partner to build a platform, which optimizes wind energy generation. This also enables us to impact environmental and sustainable causes.

Recently, MindSculpt Analytics a health care solutions company that uses advanced artificial intelligence and machine learning techniques to deliver tailored medical diagnostic solution has chosen us to build their preventive and diagnostics platform with the end goal of providing accurate and early detection and prevention of many ailments.

We strengthened our relationship with a global Hyperscaler by expanding our presence into a second business division to design and configure an end-to-end secure and scalable connected vehicle platform on their cloud platform. We have been rapidly building our GenAI capability and business with much success. The Southeast Asian bottling operations of one of the largest

Happiest Minds Technologies Limited

May 07, 2024

Page 8 of 15

soft drink companies, Happiest Minds is engaged in building Gen AI solutions that allow employees to convert in both local language and English against enterprise knowledge bases. Happiest Minds is the largest global Pimcore partner with more than 350 dedicated practitioners and brings 10 years of successful implementations to global and mid-sized enterprises. During the reported quarter, a global movie chain chose us to provide digital transformation services relating in the Pimcore platform.

Coming to the other significant development on M&A t

hat Ashok mentioned, we 're pleased to

announce signing of a definitive agreement to acquire 100% equity interest in PureSoftware Technologies and Macmillan Learning India. PureSoftware acquisition strengthens our capability in BFSI, health care, and life sciences and will allow u s to target more new logos in these verticals while expanding with existing customers.

We are excited by the potential to cross -sell analytics, GenAI , automation, infrastructure management and cybersecurity services to PureSoftware their customers and drive accelerated growth for Happiest Minds. In addition to augmenting our presence in U.S.A. and India, Happiest Minds will get an offshore development centre in Mexico and offices in Singapore, Malaysia, and Africa. Macmillan Learning India Private Limited, a wholly owned subsidiary of The Macmillan Group, has been operating as an offshore development centre providing software services to the Macmillan Group.

This acquisition strengthens Happiest Minds at the virtual and deepens the existing relationship with the company, making us a strategic partner for the Macmillan Group, a global leader in learning, education, and publishing. As we cast our gaze forward, while the demand environment continues to be affected by macro and geopolitical situations, our pipeline continues to be strong, though with elongated deal cycles. In growth markets like India, where we have a sizable presence, the pipeline of opportunities is at a record high.

The recent result, as mentioned by Ashok, has helped us to fine -tune our market approach and engage in deeper discussions with customers on their business problems and plans on new technologie s like GenAI automation, AI, et c. The newly formed industry groups are working closely with the GBS BU and our COEs to incubate solutions that are targeted for a particular domain or customer problem. To summarize and conclude, we will continue to fuel our long-term growth aspirations through continued investments to e nhance our technical capabilities and venture into new markets through acquisitions. With this, I conclude my commentary, and we can now open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad : So, my question is on the demand environment and really the growth visibility on the organic business, especially in the context of high variability last year in the organic growth. So could you expand on that gap between the lower end and the top end that you're looking at for next year when then you said 35% to 40% especially on the organic side?

Happiest Minds Technologies Limited

May 07, 202 4

Page 9 of 15

Ashok Soota: Venkat, go ahead. The estimates that Venkat has given I think the important thing is given the fact that we've done these acquisitions, and you can't be quite sure whether every thing will work out as planned. Given in the past, we never really segregated our guidance . We really do want to see the organic momentum, given the fact that many of the leading players have obviously shown much lower growth rates than they have done in the past. So, it's good to know where we see the market heading for our environment and Venkat will add on that.

Venkatraman Narayanan : A quick back -of-the-envelope calculation will suggest that there is a very good element of organic growth taken into those numbers because we know what's the top line of PureSoftware .

Macmillan is a roll -up. It's nicely integrated. It's gone into our Edtech business.

I would say that that's an organic growth basically because we were working with them and then we were able to expand our footprint into Macmillan through this acquisition. This only opens new door for us within that account, and we're just keeping in line with our land and expand strategy. There is a good element of organic growth baked into the 35%, 40%.

I mentioned estimate rather than guidance is because closing of a recently large size acquisition like PureSoftware will take some time while we have guided for closing by the month end. We are hoping that we are able to do it earlier. It could also slip by 15 days of 20 days and that will have a reasonably significant impact on the revenues, which is why we have used the word estimates, both for margins and for the bottom line.

Apurva Prasad: Just to understand on the variability at the lower end than the bottom end, and I'm assuming that would be driven by the outlook on the organic business. Is there a certain set of assumptions which keeps the organic business estimates as wide as that?

Venkatraman Narayanan: If you get into saying that the entire variability is attributed to organic, that's when you come to that conclusion that we are hoping that organic growth is being wide. PureSoftware has also taken certain ambitious targets. We have also taken upon both targets and the existing base is baked into this number of the estimate that we are giving for the next year, which is why I'm trying to keep a larger range.

Joseph Anantharaju : Just to add, there's also a bit of cross selling that has been incorporated out here. It will depend

on how quickly we close and come together to reach out to each of those customers. So that also adds a little bit of variability out here to the 35% to 40% range . So, it's not all attributable to organic.

Ashok Soota: Actually, our organic outlook has never been stronger. We've created six new growth engines in the industry groups , we've created GBS business unit apart from the acquisitions, which will create this cross -selling opportunities. The bioinformatics capabilities that we're building will reflect in the growth of our healthcare vertical practice.

Most of those orders that we are talking about in that field came in last year, but which will expand in the coming year, and that's all -organic growth. It's a unique growth opportunity. So, I don't see anybody having the sort of momentum on organic growth that we have in the industry today. Even with whatever have happened last year, it was still an industry -leading growth, and I think we'll do significantly better than that in the next year.

Happiest Minds Technologies Limited
May 07, 2024

Page 10 of 15

Moderator: Next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: Q4 FY'24 and FY'24 growth played out weaker than what we expected. We guided for 12% but we came at 11 % because of softness in Q4 and some softness we witnessed even in last couple of quarters. Are we seeing any factors changing from organic business perspective for us and the industry which gives incrementally more confidence about organic growth trajectory improving apart from some of the factors you had highlighted?

Joseph Anantharaju : If you just look at the overall market, there are few bright spots that give us quite a bit of confidence . The opportunities and the pipeline and business from the India market . Our revenue share from India market is among the highest in comparison to the other Indian IT service companies.

Right from inception, we always felt that it's a geo that we should be focusing on, and it has really borne out well , the percentage of revenue has been consistently increasing quarter -on-quarter with good margins and we continue to see opportunities. So that's one area we would be able to get business and growth.

The second one is from a sectoral segment perspective. If you see on a quarter -on-quarter basis and at the absolute level , the share of revenues in healthcare has been growing. There's a lot of demand and work going on, on the digital side of pharma, MedTech industry . You have some new technologies and convergence of hardware and software, which creates a lot of opportunities out there. We think that healthcare will

be an area that will continue doing well for us.

In the retail CPG segment , there's a lot of investments going on in automation, in leveraging the AI and reaching out to customers and building networks. That's all part of the digital journey that we are helping customers out with. The third point was on Gen AI. There are multiple conversations going on right now with both existing customers as well as with a lot of new logos that we've reported, we've opened them this quarter with our Gen AI offering. We have a full team that we have in place with some of our best leaders.

We have the whole team in place. And we're seeing a lot of traction out here. And as the year progresses, we expect some of these conversations to move into POCs and then quickly into implementation and large projects. So that gives us the confidence that the year would be good. And the last point is that our pipeline is almost at a record high, and we expect this to translate as it moves through the funnel into more new orders, whether it's with existing customers or new logos. The industry groups have become the central point of all the interactions and value adds that we're doing to customers both in terms of reach-outs and once we sign logos, to see how we expand our presence and that should continue leading to increased opportunities and business.

Ashok Soota: You did ask in your question on how we serve the industry outlook versus us, we can't really comment on it. You've seen all the guidance which has come from many of the players that have already announced, and you can see a mix. You can see the larger players giving very muted guidance and we don't need to have to talk about them because you go by what you've read .

Happiest Minds Technologies Limited
May 07, 2024

Page 11 of 15

There is a more positive outlook through the smaller of the larger players. We are really unique out here because of all those changes that we've done in the last year, six new growth engines in terms of industry groups . You can see this in Gen AI. If we're saying we've already got 14 active customers that have just started . So, they are the ones which are going to grow.

The bioinformatics customers are just about started. They are the ones which are going to grow.

So, we were in a somewhat unique position in terms of having unique drivers for growth, which is why we are very confident of our organic growth numbers.

Moderator: Next question is from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad : My question is on PureSoftware , from a capability standpoint, which are the areas that are complementary ? What are the kind of revenue and cost synergies that are being looked at?

Joseph Anantharaju : The two domains or industry groups in which PureSoftware has deep capabilities are on the BFSI side and on the Healthcare and Life science and on the BFSI side, which is majority of their revenues, they have some large banking and financial services customers and built capabilities in this area that we would be able to take to some of our customers.

But more interestingly, we see a lot of scope to cross-sell some of the COEs and service offerings that we have around AI, around Gen AI, infrastructure , cybersecurity where they have little to no business. We have quite a few capabilities in the platform and digital engineering side . Things like our Pimcore offerings and capabilities is something that we could cross-sell. So we see quite a lot of cross-selling opportunities that should lead to additional business with PureSoftware.

On the margins, we will look at areas and ways of doing cost optimization . the reason why we've given a range in terms of the margin guidance is because we will start the integration of the two companies .

Apurva Prasad : On the Edtech vertical, what is leading to this continuous decline in last two quarters ? It seems that the impact is beyond t

he large clients. So, what is happening there? Any outlook if you could provide on that?

Joseph Anantharaju : If you look at on a year-on-year basis, both at a percentage of revenue and absolute level, there's been pretty good growth. This is a space that's going through a little bit of challenging time. And here, again, I'd like to break it up into three sub-segments. We have the Higher Ed, the K-12 and the Workforce Development and Professional Development .

And you can even probably break it up into pre-kindergarten and other things, but these are three substantial sub-segments in this vertical. A lot of our revenue was coming from higher Ed and that's an area that is going, especially in the U.S. and I would say even in many of the developed countries , is going through , a slightly challenging time because of factors like decrease in fertility rate, the number of high school students graduating, cost of education, et c. So having seen this, we've been impacted by a couple of our customers. who've either done some strategic restructuring, selling of their businesses, which has led to reduction in business or budget cuts.

Happiest Minds Technologies Limited

May 07, 2024

Page 12 of 15

We're looking at diversifying within the space, and we are looking at K-12, where one of our larger customers now is in this space, and we're looking at additional customers that we could acquire. We're also looking at professional development and workforce development subsegments. We have a few customers out here and developing offerings and market reach outs in these areas. So that's what I think we would be able to diversify our risk.

Couple of the engagements that we had where we're developing platforms for customers more on a programmatic basis and in a fixed-price mode. They sort of started ramping down in Q3

and Q4, and some of that also has reflected in the numbers in Q3 and Q4. But on a year-on-year basis, there was a good growth in this vertical. It is having a little bit of a challenging time, and we are looking at how to mitigate the risk and diversify.

Apurva Prasad : On the recent revamp the org structure, any early success that you could talk about? What are the markers that we can track to assess how that's progressing, beyond revenue per client metric?

Joseph Anantharaju : One part is the industry groups taking ownership for both new logo acquisition and expansion of customers, and we are seeing that happening. A lot of the business development activities are getting funnelled through the industry groups.

We have built capabilities in the bioinformatics space. In the CPG space, we are seeing good traction. We have closed some of the largest, or the leading CPG players. All of this is happening because of the ability of our industry groups to bring the various capabilities that we have together and present united front to the customer, putting on a layer of domain understanding or consulting.

The second part of it is the movement of large customers because of the ownership on account expansion, account development plans, which the industry group should be taking on. We are seeing, an increase in the cohorts of large customers.

The third is part of the restructuring was the creation of Generative AI business unit. We're seeing a lot of success and early traction out here, both in terms of prospect discussions and customer wins and these customer wins that we have will automatically transition into larger engagements while the prospect discussions, they would close into POCs and act as a pipeline for larger opportunities, which is what gives us the confidence about our organic growth.

Apurva Prasad : Venkat, you gave full year margin outlook but have to look at margins over the next 2 quarters, if you could

just help us with the puts and takes and also the impact on the depreciation and amortization line item.

Venkatraman Narayanan : EBITDA ha

s other income , but there will be a reasonable amount of cash that will go out to fund the acquisition , bringing the EBITDA down. But at the same time, if you take operating margins, both our operating margin and the company that we are acquiring are at similar operating margin levels . We'll start calling out operating margin as well as EBITDA , which will continue to be an area of focus for us.

Happiest Minds Technologies Limited

May 07, 2024

Page 13 of 15

And as we go down to the PPP, that would be based on the allocation that we do to goodwill or the intangibles and the amortization that comes into our financials, it will affect our PPP by that number while also getting certain tax advantages for that, for the borrowing.

Quite a few puts and takes here on the profitability front, which is why I've given wider margin , wider margin is not to accommodate for a company which is lower than us in margins, they are reasonably close to us. There will be cost synergies as we go along. But all that takes 1 or 2 quarters to come through into the financials. So, which is why we're coming out of bidding a larger gain this time. In fact, I would have said margins of 20% to 22% and then go back much better than that.

Moderator : Thank you. Next question is from the line of Sumit Jain from CLSA.

Sumit Jain : Ashok, you mentioned that you have created a separate business unit for GenAI. So will those revenues start reflecting in your analytics AI service line or the digital infrastructure cloud service line the way you report?

Ashok Soota: We've got a new GBS, and this one is actually got end use cases, and we've given examples of these across wherever you see, if you look at, cloud is a pipeline and you put everything today on the cloud because all solutions are being delivered in that fashion. Everything we're doing is digital.

What is important is that all of these are really new and use cases and because it's new, virtually everybody needs them. So if you find 1 use case in 1 company, you could say, I can do this in the next company also, which we've seen in 1 use case, which just came up recently. Overnight, we had 4 prospects because 3 or 4 different other players suddenly said, " why can't we also use that" and that is why it becomes so interesting as a completely new market being opened out, thanks to GBS. I don't know whether that answers your question.

Sumit Jain : My reason for asking this question was twofold. One is it will help us to understand how the GenAI is scaling up in the market because you are probably the only one who has a unit? And secondly, I mean we can see H yperscalers growth reviving back in the last 2 quarters where almost all 3 H yperscalers are seen a revival in growth from a Y -o-Y perspective. But I cannot see that reflecting in your digital infrastructure cloud service line, particularly...

Venkatraman Narayanan : We have been reporting revenues and margins by three business units. That's the aggregation that we've been following, P ES, DBS and IMSS. Starting this year, we are consolidating PES, DBS into one. That's called P DES and we'll have IMS S and GBS. It's just not that it will all get buried in the overall numbers. GBS will be called out as a separate revenue line item in our segmental reporting, and it will be shown as a segment.

The second question that you're asking is when it comes to technology, where would that go? it will go into cloud, it could go into platform development or going to other parts of the technology slice. But from our segment of reporting, it's a new segment.

Happiest Minds Technologies Limited

May 07, 2024

Page 14 of 15

We are sticking our neck out by saying that we are calling it out a segment because it will be sunshine , you will get to see the number in the next quarters as we progress. It's not going to get buried inside the technology and get very unique

in the numbers.

Sumit Jain : In terms of the markers for how the GenAI practice is scaling up for you in which digital offering service line or by business unit, we will actually be able to see that ramp -up?

Venkatraman Narayanan : So, it is a segment. When you see the segment reporting, we had 3 business units, we will continue to have 3 business units. GBS would be one of them , and we will report the numbers at that level. So, we are sticking our neck out. We are not burying those numbers into the technology and the overall New Gen landscape and all those things that people talk about. But when it comes into a technology slice of what is GBS and what are the constituents they will go to the technology slices that we have been traditionally talking about

Sridhar Mantha : I think already Venkat has given the clarification, when we reported, of course, as a business unit that be a stand-alone number. The use cases that we are doing for all into multiple verticals that there are industry groups, for example, they're doing generative AI use cases for health care, that revenue will be reported within the verticals of the IGs that we'll be reporting. However, when it comes to the horizontal technology, Like for example, if you are developing a customer solution for health care using ChatGPT within Microsoft Azure, now this solution is going to live in Microsoft Azure, hence it is a cloud and this solution leverages heavily the multiple AI technology. So, from that point of view, we'll make sure that like it is going to be reported at proper horizontal technologies where the Generative AI itself inherently leverages cloud and inherently leverages AI, and that's how the genesis of the overall states happen.

There will be a clear understanding about where it stands out and how it is contributing towards various industry groups and what horizontal technologies that are going to actually create a leverage to create the solution.

Sumit Jain : So, you are hinting that the GenAI revenues will reflect under multiple horizontal line, not in just one single service line.

Ashok Soota: We don't have to slice and dice that BU in horizontal and vertical. We will give the grand total of horizontal and industry numbers. We're not going to say how much has come through GBS out of those numbers because its excessively dicing for the market.

What you're saying will measure it, in cost of time, we may even find it worthwhile to announce it, but it will be the wrong thing for us to start announcing that in the very beginning because what we have on 1 order and 1 month will get completed and they'll say, this one has gone down. Naturally it will go down because we don't have critical mass at that stage. So, the degree on reporting, I think we will highlight which of the areas in which we may have got some new use cases. But we're not going to slice and dice it to that extent.

Happiest Minds Technologies Limited

May 07, 2024

Page 15 of 15

We're giving new business credit results, and we're giving you horizontal and vertical results. Within that, of course, there's colour, which you can always ask for and get clarifications, but it's not going to be published.

Sumit Jain : So maybe you can highlight the pipeline or the order book, the way your bigger peers are highlighting off late?

Ashok Soota: We'll look at it and see how we want to change our approach towards some of this reporting in terms of pipeline and, then you see it getting reflected. At this moment it is difficult to commit as there are so many transitions. There are new acquisitions, new business units, new verticals.

So, we'll have to get down to it progressively.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments. Over to you, sir.

Sunil Gujjar : Thank you all for joining us today. We than

k HDFC Institutional Securities for hosting this call on our behalf. We look forward to interacting with you. You can reach out to us on

IR@happiestminds.com. Thank you.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Aug 2024

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August 19, 2024
Listing Compliance & Legal Regulatory
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Stock Code: 543227 , 974728, 974820 & 975101 Listing & Compliance
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai 400 051
Stock Code: HAPSTMNDS
Dear Sir/Madam,

S
ub: Transcript of Earnings Call held on August 13, 2024
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on August 13, 2024, post announcement of financial results of the Company for the quarter ended as on June 30, 2024 .
The transcript is also uploaded on the Company 's website
(<https://www.happiestminds.com/investors>).

Th
is is for your information and records .
Thanking you,
Yours faithfully,
For Happiest Minds Technologies Limited
Praveen Kumar Darshankar
Company Secretary & Compliance Officer
Membership No. F6706

Page 1 of 14

"Happiest Minds Technologies Limited
Q1 FY25 Earnings Conference Call"
August 13 , 2024

MANAGEMENT : Mr. Ashok Soota – Executive Chairman
Mr. Joseph Anantharaju – Executive Vice Chairman and
Chief Executive Officer – Product & Digital Engineering
Services
Mr. Venkatraman Narayanan – Managing Director and Chief
Financial Officer
Mr. Rajiv Shah – Executive Director & Member of
Executive Board
Mr. Ram Mohan – President and Chief Executive Officer –
Infrastructure Management and Security Services
Mr. Sunil Gujjar – Head of Investor Relations

MODERATOR : Mr. Smit Shah – Adfactors PR

Happiest Minds Technologies Limited
August 13, 2024

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to Happiest Minds Technologies Limited

Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Smit Shah from Adfactors PR, Investor Relations. Thank you. And over to you, sir. Smit Shah Thank you, Steve. Good morning, ladies and gentlemen. Thank you for joining us today on the Q1 FY 2025 earnings con call of Happiest Minds Technologies Limited. Today, we have with us Mr. Ashok Soota , Executive chairman; Mr. Joseph Anantharaju , Executive Vice Chairman &

CEO – Product & Digital Engineering Services ; Mr. Venkatraman Narayanan , Managing Director and Chief Financial Officer; Mr. Rajiv Shah, Executive Director and member of Executive Board; Mr. Ram Mohan, President and CEO – Infrastructure Management and Security Services ; Mr. Aurobinda Nanda , President & COO – Product & Digital Engineering Services ; Mr. Sridhar Mantha, President & CEO – Generative AI Business Services ; Mr. Sunil Gujjar, Head of Investor Relations.

With this, I would now hand over to Mr. Sunil for Safe Harbor statement and to take the proceedings forward. Thank you. And over to you, sir.

Sunil Gujjar Thank you, Smit. Good morning to all participants in the call. Welcome to this conference call to discuss the financial results for the first quarter ended June 30, 2024. I'm Sunil, Head of Investor Relations. We hope you have had an opportunity to review the earnings release which we issued yesterday evening.

Let me quickly outline the agenda for today's call. Ashok will begin the call by sharing his perspectives on the business environment and our results. Venkat, Joseph will then speak about financial and operational highlights, after which we will have the floor open for Q&A.

Before I hand over, let me begin with the Safe Harbor statement. During the call, we could make forward -looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically.

Now, let me pass it on to Ashok.

Ashok Soota Thank you, Sunil. A very good morning to all participants in this call. I'm pleased to share with you that the current quarter has been a transformational quarter for Happiest Minds. Not only that, it has laid the foundation for making FY 2025 our best ever year since the IPO in absolute terms . We have begun the year with yet again industry- leading performance on both top line growth and sustaining our margins above the guidance for seventeen quarters in a row. I will leave Venkat to provide you the specific numbers.

The reason I call the reported quarter and the year as transformational is because of three significant milestones for Happiest Minds.

Happiest Minds Technologies Limited

August 13, 2024

Page 3 of 14

- Our Generative AI business unit has had a great start. With universal recognition now of the importance of Gen AI, we are eyeing towards long- term leadership in this critical technology. I will let Joseph give some more color on how we intend to achieve this.
- Second, the reorganization of the Company with the industry groups as profit centers has taken off and has enabled us to be thought leaders in providing domain-specific solutions and services to our customers . Each of these industry groups will be an engine of growth for long-term success of Happiest Minds.
- Third, and the most important is that we close

two significant acquisitions. PureSoftware of significant size and Aureus, a company which has got deep capabilities in reinsurance space. These developments will propel the growth of this fiscal to our best years since IPO in absolute terms .

I am happy to share that we have expanded our Board of Directors to include Mittu Sridhara and Rajiv Shah. Mittu is one of the most strategic minds I've known for many years, and he is a seasoned executive, renowned for his strategic acumen in the technology sector and brings in extensive experience in steering market -leading technology companies. Rajiv Shah, who has been a key leader at Happiest Minds as a member of the Executive Board is now inducted to the Board of Directors. Rajiv has played an important role in driving the expansion of the Company's digital business unit over the past four years. The induction of Mittu and Rajiv will add considerable depth to the Board's expertise. With these additions, Happiest Minds Board of Directors now comprises eight members.

Moving on to other updates. I am happy to also share with you that during the reported quarter, Happiest Minds won the CNBC TV18's India Risk Management Award for 2024. Being honoured at such a prestigious platform is a validation of our commitment over the years to plan and execute on best practices and risk management.

Our Happiest Minds are an integral part of our business. And our systems, policies and practices are crafted to foster an open

culture, enabling our people to discover their potential and participate in shaping their own work-life experience. Over the years, we have been recognized on people -first initiatives on many forums. During the reported quarter, we were recognized as only one amongst top 30 Future Ready Workplaces of India by Fortune ® India.

A few of you have written to me inquiring why you have sold some of my Happiest Minds shares, particularly since the Company has been delivering industry -leading results and we have projected FY 2025 to be our best year since the IPO in absolute terms . This was done primarily to fund my other two institutions: SKAN, a not -for-profit medical research trust and Happiest Health. Both required investments to fund their growth as they are on their way to become greater institutions.

In the past I have also mentioned that I will not permit my shareholding in Happiest Minds to go below 40%. The current sale has brought my shareholding down to about 45%. And I do not expect to make any further sale in the next two to four years. I have also exchanged a mail with the shareholders explaining this reasoning. I'm happy to tell you that I've received over 500 replies and I'm delighted at this engagement with our shareholders.

Happiest Minds Technologies Limited
August 13, 2024

Page 4 of 14

In closing, let me assure you that my commitment to you, the shareholders and investors and Happiest Minds is unwavering and I remain confident of achieving our vision of achieving our billion -dollar revenue goal by 2031.

With this, I conclude my commentary. And over to you, Venkat.

Venkatraman Narayanan I am happy to share that we have delivered exceptional performance with revenues of US \$ 55.5 Million for the quarter which is a growth of 10.9% Q -o-Q and 16.8% Y -o-Y. Now that number in constant currency is even better at 11.4% Q -o-Q growth and 17.8% Y -o-Y.

The growth is a combination of our organic growth engine with a strong impetus from our recently concluded acquisitions. We reported a total income of ₹ 489 crores, which is a growth of 20.6% from the previous year.

As a result of the reorganization, our investor presentation and fact sheet have undergone a few changes.

- We are now calling out our Generative AI business services or GBS revenues separately.

The GBS BU revenues include AI services, which is embedded in our revenues from the analytics and terms of excellence.

- We now have

Product and Digital Engineering Services (PDES) as a new BU formed by the merger of the erstwhile Product Engineering Services (PES) and Digital Business Services (DBS) into Product & Digital Engineering Services (PDES) .

Revenues of PureSoftware and Aureus have been consolidated into the PDES business, and they have been consolidated with effective May 22 and May 24, 2024, respectively. Our results include 40 days of PureSoftware and 38 days of Aureus. PureSoftware has taken us into new markets of APAC and Africa, while Aureus takes us into Hyderabad. These new markets that have come through acquired businesses have also been shown in our fact sheet.

Coming to the other financial metrics. We reported an EBITDA of ₹ 117 crores, which is 23.9% of total income and has shown a growth of 13.3% Y -o-Y and 7.8% Q -o-Q. We continue to maintain our good margin profile, which includes the acquisitions and by influencing the levers available to us like utilization and other operational efficiencies.

We also continue to make investments in new technology areas and the new BU of GBS . We reported an operating profit, which we define as EBITDA, excluding other income at 19.8% of revenue. This is similar to the previous quarters , at ₹92 crores, this metric showed a Q -o-Q growth of 9.6% and Y -o-Y growth of 2.4%.

A question that comes up from our results is the drop in our PBT and PAT. During the quarter coming out of the two acquisitions from an accounting standpoint, we have taken significant increases on account of two non- cash charges and one cash charge. The non -cash charges are amortization of intangibles and unwinding interest cost on deferred payments. The one -time cash charge is acquisition -related costs.

Happiest Minds Technologies Limited
August 13, 2024

Page 5 of 14

The non-cash charges of amortization and intangible show an increase of ₹ 6.8 crores and ₹ 1.5 crores, respectively.

We also had a one -time acquisition related cost of ₹ 6.4 crores. This is a real one-time cost and a cash charge which will not repeat. On top of this, we also had an exceptional write-back of ₹

13 crores in the previous quarter. So, if you consider the ■ 13 crores of exceptional write-back in the previous quarter, take it along with the cash charge of the ■ 6.5 crores of acquisition cost, we are talking about a swing of ■20 crores on account of one-time exceptional costs. If one were to adjust for these costs, our PBT would have been similar to that of the previous quarters in absolute terms.

Coming to certain other metrics. We have improved our DSO from 87 to 84 days. Cash on our books is about ■1,560 crores. This is after considering upfront payments of PureSoftware and Aureus, which have been funded through a combination of internal accruals and overdraft facilities that we have availed on our fixed deposits. Cash expended on payment of upfront consideration for the two acquisitions was about ■ 712 crores. We continue to report solid cash conversion ratios and our free cash conversion was at about ■ 116 crores and almost equal to 100% of our EBITDA.

Return on capital metrics of ROCE and ROE are at 22.4% and 13.9%, respectively. These ratios are expected to gradually move up as the benefits of consolidation of the acquired entities start to trickle in. Including PureSoftware and Aureus, Happiest Minds is now 6,600 strong with a strong net addition of 1,431. These numbers also include 112 campus hires that we made during the quarter. Our gender diversity ratio stands at 27.7%. Attrition on a trailing 12-month basis has dropped to 13.5% from the 16.6% in the previous year. We expect these numbers to trend at these levels.

Our utilization for the quarter has edged up to 78.2% compared to 75.1% in Q1. Here I would like to say there was a significant influence of both PureSoftware and Aureus which have a reasonably good utilization numbers when compared to

Happiest Minds. Utilization in the next

quarter is expected to trend a little lower, considering the campus joiners and also we have got lesser number of billing days.

There is a Non Convertible Debenture (NCD) press release that you would have seen that we are planning to raise non-convertible debentures. We have taken an in-principle approval from the Board to raise up to ■ 250 crores through a combination of NCD and term loans. These NCDs will be short-term debt instruments, and we have been tapping this route to raise funds for general corporate purposes and as these come at an attractive effective yield.

On the M&A part, we had a great start to the year with the two acquisitions that we talked about. Both the acquired companies are excellent businesses which have complemented our capabilities and strengthened our presence in the BFSI and Healthcare vertical. They've also taken us to the new markets. An integration team is in place which is working with an immediate imperative of realizing operational synergies with the acquired entities. We are very optimistic that these efforts will start yielding positive results in the coming quarters.

Happiest Minds Technologies Limited

August 13, 2024

Page 6 of 14

Guidance or forecast for the rest of the year or quarter. My perspective is our growth for this quarter has shown significant acceleration from the previous year. This momentum should continue as we progress through the fiscal and we believe we are headed for a strong growth in absolute terms. Effective 1st July, in line with our regular appraisal cycle, we have rolled out our yearly pay increases, which will have an impact of about 250 to 280 basis points on our margins. Q2 will also be slightly impacted due to the lesser number of working days. Interestingly, we are one of the very few companies who have gone ahead with the pay increases, while we have seen the others making announcements or delaying those cycles. We continue to maintain our forecast on EBITDA of between 20% to 22% in the medium term.

With this, I conclude my commentary. Over to you, Joseph.

Joseph Anantharaju Thank you, Venkat. Good morning to all participants in the call. I'm very excited to present to you the results for the first quarter of the new fiscal. Our growth this quarter has accelerated. And as Ashok alluded, we are on course to achieve our best performance this fiscal since our IPO.

The reorganization of our industry groups as profit centers which is effective the 1st of April has started giving us positive outcomes and to begin with, cohesive teams of sales, delivery, and domain members within each industry group have increased customer focus and are building on approval, land and expand strategy by focusing on account development plans to expand our footprint in each of these accounts.

We have 279 active customers and the average revenue per customer has increased to US \$840,000 which is a testament to this strategy of land and expand that we've adopted. The number of customers which give us more than \$ 1 million in revenues has increased to a total of 58 and we work with 65 billion-dollar corporations, a good increase over the previous quarter. Let me share some noteworthy wins during the quarter, which are both with existing accounts and in new logos. At Happiest Minds, we use our engineering pedigree and vibrant product innovation culture to help build

platforms that are primed to meet the needs of the business today and tomorrow. During the quarter for a U.S. based provider of sustainable solutions, Happiest Minds was chosen to enhance their data platform and visualization by providing data driven, actionable, and compelling information for decision makers. We help our Healthcare customers build an integrated ecosystem to support the entire continuum of care from pre-hospitalization to post discharge. Happiest Minds has been supporting Health

care providers in personalizing interactions, generating insights to facilitate care, enabling semantic data exchange and reducing administrative workloads. During the reported quarter for a USA-based professional board in the Healthcare sector, Happiest Minds was chosen as a strategic partner to migrate to a cloud-based CRM solution. Our IMS business unit has delivered a great performance in the quarter. Our customers trust us to support, maintain and protect their mission-critical systems. Our strong capabilities across cloud, data center, digital workspace, and enterprise networking, coupled with strong Happiest Minds Technologies Limited
August 13, 2024

Page 7 of 14

partnerships across leading platform providers has helped us position as a preferred partner for our customers in digital assets.

For a USA-based professional organization of emergency Healthcare providers, the strategic multi-year cybersecurity engagement entails Happiest Minds, providing managed security services to prevent, detect, and respond to cybersecurity incidents. Our solutions in cybersecurity's Zero Trust access offers a paradigm shift in how organizations approach security in hybrid work culture.

I'm happy to report that in the reported quarter for a largest professional clearing member in India, Happiest Minds has been chosen to provide managed security services and Security Operations Center (SoC) services.

In the reported quarter, we launched a complete 360 degree IT managed service offering, Happiest Minds' WATCH360 designed specifically to help organizations manage their IT environment effortlessly powered by ELLIPSE, our AI-influenced platform. We believe the solution has immense potential to positively impact our customers' infrastructure and help them build a robust and secure environment.

Our new Gen AI business unit has got off to a flying start, with reported revenues of \$855,000 during the quarter. Our customers are leveraging the promise of Gen AI to drive productivity enhancements, realize new revenue streams and drive automation efficiencies. Knowledge-based processes, customer success, intelligent conversations through content, making sense of document repositories and software engineering are some of the key use cases which we're seeing for application of Gen AI. We are currently having about 50+ plus conversations with customers and prospects, and we have completed 15 proof of concepts (PoC) during the quarter. Rapid acceleration and adoption of Gen AI across our customer base has resulted in a pipeline of opportunities doubling in just six months. We have also been leveraging a strong partnership with Microsoft to make roads into some of these conversations and engagements.

Some of the customers we are working with in this space are leaders in the adoption of Gen AI. Take for example for the world's leading beverage maker, Happiest Minds is enhancing their sales process through a Generative AI-enabled chat bot for actionable intelligence and decision making. The work on Gen AI for this customer comes with a backdrop of another engagement where we have delivered impactful outcomes using an intelligent automation solutions across 20 different processes.

I'm happy to share that over 75% of our workforce is already trained in Gen AI tools and we hope to cover the entire workforce in couple of quarters. As a digital company, we leveraged Gen AI in our own functions like HR, Legal and Talent Acquisitions, building further depth in this technology. Our model is now able to match resumes with job description and enable to sharpen the recruitment lifecycle by 30% to 40%.

Coming to acquisitions, we began the year with two back-to-back acquisitions, which has put us back to the growth trajectory of achieving \$1 billion revenues by FY 2031. PureSoftware and Aureus have given us deep expertise and strong impetus to our growth story in Financial

Happiest Minds Technologies Limited
August 13, 2024

Page 8 of 14

Services, Healthcare and the reinsurance segments. The BFSI and Healthcare and life science verticals because of these acquisitions are now in the top three industry groups for us with

revenue contribution of 17% and 16%, respectively. PureSoftware has also got us into new markets of Southeast Asia and Africa, while adding a nearshore center in Mexico. Aureus has a strong brand recall in the reinsurance space with access to the largest reinsurance company in the world as a key customer along with customers in the elective Healthcare segment. The teams on both sides are very excited to partner and have made much progress in establishing process around sales, GT M and driving delivery excellence across the larger Happiest Minds group. As Venkat alluded, integration is underway and making good progress and we are spending time with the leadership of these companies, which include delivery heads, sales leaders and support functions to harmonize our shared vision and get more business leverage in terms of cross-selling our domain and our industry groups and Centre of Excellence (CoE) and our practices are very actively engaged with the sales team of both PureSoftware and Aureus, while the sales team of Happiest Minds are leveraging the domain capabilities of the PureSoftware and Aureus team in various conversations.

We already have multiple conversations with customers and prospects with a few joint ones. I'm happy to report that in the quarter PureSoftware has been selected by leading American multinational investment bank to drive their digital transformation program. Recently, PureSoftware's Artha banking platform was awarded Best Banking- as-a-Service Platform of the Year at the 14th Africa Bank 4.0 Summit. We are very excited by the potential of this platform holds to take our IP business to the next level.

Let me now share my views on the current demand environment. Our sustained growth is on the premise of resilience and agility of our business model and we will continue to be laser-focused on our clients' needs and quickly adapt to market conditions. We continue to further our presence across our customer base with a land and expand strategy. With customers being careful about their spend and seeking very targeted interventions for better ROI and investment, our ability to identify these priorities and quickly pivot is very critical. In response to the demand environment and market challenges, customers too are calibrating their approach, and we are seeing more restructuring and reorganizing the customer organization. With our agility and agile approach, as well as the recently announced Industry Group structure, we are taking consultative approach adopting a high touch approach to account management, being attentive to customers' needs and making investments to strengthen relationships which are allowing us to expand our footprint. With this, I conclude my prepared commentary, and we can now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Just for the benefit of the audience, while you did allude to the number of days of consolidation of PureSoftware and the other acquisition that you made. It would be great to get absolute numbers in terms of contribution from these entities.

Happiest Minds Technologies Limited
August 13, 2024

Page 9 of 14

The second question was with regards to the comment that you made around certain one-off write-backs that you had in Q4. Just try to confirm if that was called out as a gain in Q4 and what does it pertain to?

Venkatraman Narayanan: Yes. We had called this out as a separate line item. That was about ₹13 crores of write-back on account of unwinding of an acquisition payout.

You make a provision for that and you don't make a payout, the credit if any comes through the P&L. So that was about ₹13 crores which came through Q4 financial and in the Q1 financials, ₹6.5 crores of acquisition-related cost, which in the early days, we could capitalize, no longer under IndAS has hit our P&L as a non-recurring expense. So, between the credit of ₹13 crores and debit of ₹6 crores in the current quarter, we are at about ₹20 crores expense, and we had called this out as an exceptional item in our financials.

Manik Taneja: Venkat, also just some sense on the contribution of acquisitions in the current quarter? You called out the number of days but, would be great to get the absolute contribution.

Venkatraman Narayanan: So, we discuss about EBITDA and operating margin. EBITDA is at about 23.9% compared to 24.5% last quarter and 25.5% same quarter last year. If you take out the other income that number is at about 19.8% compared to about 20% in Q4 and it was slightly higher, 20.6% if I'm right in Q1 of last year. So that's the operating income, EBITDA without other income.

Manik Taneja: I was looking for the revenue contribution of the two acquisitions that were made because when I'm looking at your standalone numbers, those numbers still appear to be soft and that's why I was just looking to get absolute contribution of the two acquisitions for the quarter.

Venkatraman Narayanan: We have only talked about consolidated growth. Now, the standalone numbers, for example, don't reflect SMI numbers, which is growing significantly, which is an acquisition that we did last year. And the growth is coming out of the work that we are doing with the client. The integrated approach to their customer, Happiest Minds customer. Macmillan, for example is an

organic growth. It got structured as an acquisition. So unfortunately, that also does not come into the standalone numbers.

PureSoftware, we have only 40 days of revenues, but we were working very closely with the management, both PureSoftware and Aureus at the beginning of the quarter even before the deal was inked in terms of cross sell opportunities. It's becoming quite a complex scenario to pull out organic, inorganic, but both put together we are doing 17.8% Y-o-Y growth and Q-o-Q of 11.4%. Joseph Anantharaju: The approach we are taking is to prioritize market and opportunities and business and we are encouraging the sales team to leverage capabilities we have on both sides. So, right before the announcement of the acquisition we had enabled knowledge sharing sessions where we had teams, especially the Happiest Minds practices, COEs and domains present are offering them capabilities and start working on Request for Proposals (RFP), on proposals, on customer discussions.

We also started leveraging talent pool. We've enabled mechanisms for PureSoftware and Aureus to reach out and get people who are available or even who can be made available to kickstart engagements. So, we want to look at this as one revenue stream.

Happiest Minds Technologies Limited
August 13, 2024

Page 10 of 14

Manik Taneja: Sure. And just clarification with regards to full year outlook that we shared after Q4. I hope that stays intact, both on growth and margins.

Venkatraman Narayanan: Okay, there is a slight correction. I had used the word forecast because we weren't sure about the closing date and I was estimating that we will close sometime in the first week of April, but unfortunately discussions and documentation went on and slipped. And it went on till end of May. Basis, my estimate of the first week of April, we had said 35% to 40% in terms of forecast for the revenue growth, but now it is 30% to 35%.

As far as EBITDA is concerned, I had talked about 20% to 22%. Now that we have closed the transaction and we are seeing through the flow through costs and the benefits that we can get from the transaction,

we have done 23.9% for this quarter. And so 20% to 22% on EBITDA number continues. As far as the top line is concerned, I'm still holding it, calling it as a forecast. It is 30% to 35%, and primarily because of the loss of number of days of consolidation that we had.

Ashok Soota: You may also want to mention the absolute revenue growth we are expecting whereby we are saying that this will be our best ever quarter.

Venkatraman Narayanan: At 30%, it would be upwards of \$53 million. We closed last year at about \$196 million. So at 30%, at the lower end of the range that I'm giving, we should grow in the range \$50 million - \$52 million.

Manik Taneja: If you can elaborate on the near-term outlook, you alluded to the lower number of working days coming into July, August, September.

Venkatraman Narayanan: That is more from the standpoint of quarter-on-quarter variation, rather than anything. So, that's got nothing to do with what we are holding out as a guidance or a forecast for the year. That's more from a quarter-on-quarter basis. As far as the pay increase is concerned, that's something we knew, but the industry is behaving differently or the other participants are displaying multiple different approaches to that pay increase.

Many of them have deferred it. Many of them are not even talking about it. But we have gone ahead and what we committed we have continued to pay, keeping in line with our own culture and the way we are doing business.

Moderator: Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: The change from 35% to 40% for FY 2025 coming down to 30% to 35%, is this only during the timing of PureSoftware and Aureus or is this organic growth which you see to be lower basis the near term outlook?

Venkatraman Narayanan: Largely, it is only that. But as you come closer, you will see 1% - 2% here and there adjustments.

Apurva Prasad: On the service lines, could you explain why there is some weakness in the analytics in AI and security solutions, especially when the GBS unit seems to be tracking well?

Happiest Minds Technologies Limited
August 13, 2024

Page 11 of 14

Joseph Anantharaju: If you look at PureSoftware and Aureus, more of the revenues come from digital infrastructure and applications. They have less of analytics AI and security. And that's the reason you see these going down as a percentage of revenues. But at an absolute level, all of these service lines have grown. And if you look at conversely, this is a selling opportunity, the IMSS business unit is very closely engaged with both Aureus and PureSoftware on some of their existing customers to

cross-sell infrastructure and security solutions.

Another two areas that they're tapping very aggressively around the automation, both business plus Robotic Process Automation (RPA), as well as on test automation and on the analytics and AI side where we have strong Centers of Excellence (CoE). Absolute numbers have grown for these service lines. As a percentage, it's come down because PureSoftware and Aureus have lesser revenues from these streams. It also affords us a cross-selling opportunity that we are actively working on.

Apurva Prasad: Would the addition in the FY 2000 customers, would that all be inorganic coming in PureSoftware and Aureus?

Joseph Anantharaju: It's a mix, actually. As you would have seen from the press release, we've reported quite a few logo wins as case studies. So, it's a mixture of inorganic and organic.

Ashok Soota: You should appreciate that this is really the first quarter for GBS. So, many of the things we are doing now are like discovery projects or proofs of concept. These will move in subsequent quarters into the final projects that we're going to execute. And to that extent, you'll begin to see those numbers even on a percentage basis, beginning to change from quarter-to

-quarter.

Apurva Prasad: I had another one on the top account, which has come back to growth after three quarters. Any outlook that you can provide there?

Joseph Anantharaju: The Higher -Ed space has been a little challenging and these customers in the Higher -Ed space, though they are a little bit more oriented towards professional development and they have stabilized in the last three quarters and we expect this to continue and as now that they have reset their technology investment as and when they get growth or they make acquisitions, we expect that this will lead to growth in this account.

Apurva Prasad: Right. On margins, you called out the headwinds for next quarter, but with all the pluses and minuses, do you think lower end of the band which you have given out that can be defended?

Venkatraman Narayanan: We should be within the 20% to 22% EBITDA Margin and better than the lower end.

Moderator: Thank you. The next question is from the line of Ankit from Adezi Ventures. Please go ahead.

Ankit: So, on the net profit, you called out aspects for one-time charges for this quarter. But if I look at overall for this complete year, do we think we can deliver growth on the net profit line over the course of say the entire FY 2025?

Venkatraman Narayanan: The point I would like to look at in the year of any acquisition, see we looked at many other companies. It takes about at least two, three quarters for these one-time costs or amortization of

Happiest Minds Technologies Limited

August 13, 2024

Page 12 of 14

intangibles, unwinding of interest. These kind of accounting costs, as I call it, to get completely recouped from the business growth, it takes about one or two or three quarters.

So, we should be back to that kind of a number back to our typical PBT numbers, hopefully in about two to three quarters. That's assuming that all goes well with the growth of the acquired companies and our own organic growth.

As we grow larger, we should also look at the profit growth in absolute terms, cash EPS growth and return on capital employed as metric, because sometimes getting stuck with this percentage of net profit could mean that we don't make investments at the right time. Our financials also include about a \$1.5 million of investment that we made into GBS BU. So, if one were to not make those investments at the right time, we will not be able to grow in the future.

Allowances for those investments and these accounting costs, long term is to make sure that the acquired companies bring in the efficiencies and start performing at similar levels or better levels than what it was with the acquisition. Which is why I talk about EBITDA as a metric and impact this time onwards, I have also even taken out the other income part, talking about operating margin, because that really shows you the health of the business.

Ankit: Thank you. And secondly, I've just been coming across some advertising by competitors like EPAM, which are hiring very aggressively in the Indian market, have seemed to be hiring in the Indian market. Is an increase in competitive intensity something that you kind of seen on ground and is that something that we should be looking out for?

Joseph Anantharaju: We really have not seen much of competitive intensity from some of our similar size or slightly larger brethren. But what we are seeing is more of the Global Capability Centres or GCCs getting established. And this has been a trend for the last 10- 15 years, and it's something that we are working into our strategy.

Ankit: Just following up from the earlier commentary that this time we are not including the other income in the operating margin. So, just for our clarification, what would be the operating margin guidance that we're giving of 20% to 22%? Does this not include the other income altogether?

Venkatraman Narayanan: The guidance or the forecast that I'm talking is about EBITDA

of 20% to 22%. Just to give you the health of the business, I removed the other income and gave you this number of operating margin, which is EBITDA minus other income, which is 19.8%. So, we are still holding on to EBITDA of 20% to 22% with other income.

Moderator: Thank you. The next question is from the line of Srinivas Sampath, an individual investor. Please go ahead.

Srinivas Sampath: Venkat, this is regarding your NCD proposal that you have put and you said you're going to raise around ₹250 crores. Is it additional debt that is coming on or is it that the replacement of all the overdraft you said you took on fixed deposits?

Happiest Minds Technologies Limited

August 13, 2024

Page 13 of 14

And the second thing is in your revenue, since you closed the two acquisitions around the end of May, this month would have probably captured only 34 days of revenue. So, do you expect the revenues to be a lot higher considering that you will have full three months for the newly acquired entities?

And the last point is on the sale, this is for Mr. Ashok Soota. Appreciate that you needed to sell for investing in your new business.

What was quite disappointing was that the explanation of that did not come immediately after the sale and it took a lot of time by which most of the business channels had characterized it as the promoter reducing the stake and causing phenomenal damage to the stock price and yet your explanation came quite great.

Venkatraman Narayanan: The next quarter will have 90 days for the full quarter impact on account of PureSoftware and Aureus. Second is on the NCD program. So, we already have ₹125 crores of NCD at a certain rate which is treasury linked plus a percentage of increase on top of the treasury linked rate.

We will replace that or we'll replace the working capital lines, because the rate of interest is currently at a much competitive rate, as our credit profile is improving and we are also having other avenues to put this money to use. It'll be used to replace the existing debt and it's also important to keep a supply of debt in the market because that keeps our papers available, tradable in the debt market that gives you an avenue tomorrow to raise capital, if required, for any acquisitions. But right now, we are not doing this for acquisition, but this is just to replace the existing debt. When you talk about any line of credit, a line of credit comes at a cost of about 0.75% of commitment cost. In India, we don't have this concept of line of credit. You only get a letter of intent, but nobody gives you a line of credit like in the U.S. markets. Instead of having

a line of credit, what we do is we raise this money and you deploy it into something like a fixed investment, fixed deposit, and there is a gap of some 60-70 basis points which is the effective cost of that credit or line of credit available to you in case you need to do an acquisition or in case you need that to repay a certain line of credit or anything else. So that's the way we visualize NCDs. And you borrow when the rates are good and you take advantage of the market moments

and the gyrations. Our interest cover ratio is improving, our debt coverage ratio is improving. Debt to equity formula is including working capital. But if you exclude that we are at a healthy 0.3% - 0.4%. It brings in certain operating leverage into the Company.

The post tax cost of this debt is worthwhile to make sure that that's used for capital formation in the new business like GBS that we are talking about. So, there is enough reason for borrowing decent amount at interest rates, which are compelling to make sure that you are investing that into business, which is giving you a lot higher internal rate of return or IRR. Our return on capital employed is 22% and on equity is 14%. So, return on capital employed is 22% means I'm able to generalize that kind of an IRR in the business from

the money that I'm raising.

Srinivas Sampath: Follow up is that now that you said that tempered the growth for the year to 30% to 35%. You would have a fair idea of this particular year is going to be a little difficult for us to just work out what could be the profit of the tax and all that. Would you have a ballpark figure of what

would we end as earning per share by the end of the year? what would we end because last year

Happiest Minds Technologies Limited

August 13, 2024

Page 14 of 14

you ended with an earning per share of around ₹16.7. What would you probably end the year with?

Venkatraman Narayanan: Maybe after the Q2, we'll have a better fit on how this number looks like because typically what people do is analyze one quarter into four and give you a number. But with this quarter having one-offs, we should not make such an attempt.

But if you take that, maybe an earnings per share of very similar to that of last year, maybe EPS is not the right metric during the formative years or the integration years. You should look at cash EPS because if I made ₹116 crores of EBITDA, almost ₹116 crores has dropped into my

cash flows as cash balance.

So that shows the health of the Company and the operations. My DSO has improved. My working capital ratios have improved. The business metrics have all improved.

Moderator: Thank you. The next question is from the line of Ankit from Adezi Ventures. Please go ahead.

Ankit: Hi. Considering that the EBITDA margins this quarter are a little lower than the same quarter last year. I do understand PureSoftware is a 40 day integration. But even if I look at it, from a 90-day perspective, do we feel the confidence that PureSoftware is actually EPS accretive and also that it has a similar or a higher margin profile to our organic business or can we expect a compression in margins when that comes?

Venkatraman Narayanan: Smaller companies don't keep the kind of cash that slightly larger companies like us do so. If they were working on a 19%-19.8% margin without the other income, which is very similar in terms of margin profile with us. Other than the slight lumpiness because of the product business, they have got a good margin profile and I don't think there's a huge compression risk on account of PureSoftware and we have to, in fact, improve on their margin profile because though integrations are required of cost integration benefits that have come out.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Sunil Gujjar for his closing comments.

Sunil Gujjar: Thank you for joining us today. We look forward to hearing from you again. You can reach out to us on ir@happiestminds.com. Thank you.

Moderator: On behalf of Happiest Minds Technologies Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2024

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November 21, 2024
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Dear Sir/Madam,

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ub: Transcript of Earnings Call held on November 14 , 2024

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ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on November 14 , 2024, post announcement of financial results of the Company for the quarter and half year ended as on September 30, 2024. The transcript is also uploaded on the Company 's website (<https://www.happiestminds.com/investors>).

Th

is is for your information and records .

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 15

"Happiest Minds Technologies Limited
Q2 FY '25 Earnings Conference Call "
November 14, 202 4

MANAGEMENT : Mr. Ashok Soota – Executive Chairman
Mr. Joseph Anantharaju – Executive Vice Chairman and
Chief Executive Officer – Product and Digital Engineering
Services

Mr. Venkatraman Narayanan – Managing Director and
Chief Financial Officer

Mr. Rajiv Shah – Executive Director

Mr. Ram Mohan – President and Chief Executive Officer –
Infrastructure Management and Security Services

Mr. Sridhar Mantha – President and Chief Executive
Officer, Generative AI Business Services

Mr. Sunil Gujjar – Head of Investor Relations

MODERATOR : Mr. Apurva Prasad – HDFC Securities

Happiest Minds Technologies Limited
November 14, 202 4

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Happiest Minds Limited Q2 FY '25 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the

listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Apurva Prasad from HDFC Securities. Thank you, and over to you, sir.

Apurva Prasad: Thank you, Steve. Good morning and thank you all for joining us today on the Q2 FY '25 earnings call of Happiest Minds Technologies Limited. On behalf of HDFC Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call. So today, we have with us from the company, Mr. Ashok Soota, Executive Chairman; Mr. Joseph Anantharaju, Executive Vice Chairman and CEO, Product and Digital Engineering Services, PDES; Mr. Venkatraman Narayanan, Managing Director and CFO ; Mr. Rajiv Shah, Executive Director; Mr. Ram Mohan, CEO, Infrastructure Management and Securities Services , IMSS ; Mr. Sridhar Mantha, CEO, Generative AI Business Services , GBS ; and Mr. Sunil Gujjar, Head of Investor Relations.

With that introduction, I'll hand it over to you, Sunil, for the Safe Harbor and to take the proceedings forward. Thank you, and over to you.

Sunil Gujjar: Thank you, Apurva. Good morning to all participants in this call. My apologies for a delayed start because of a small glitch. Welcome to this conference call to discuss the financial results for the second quarter ended September 30 th, 2024. I am Sunil, Head of Investor Relations. We hope you have had the opportunity to review the earnings release we issued yesterday.

Now let me quickly begin the agenda for today's call. Ashok will begin the call by sharing his perspectives on the business environment and our results. Venkat and Joseph will then speak about our financial performance and operational highlights, after which, we will have the floor open for Q&A.

Before I hand over, let me begin with the Safe Harbor statement. During the call, we would make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which, the actual results could be different. We do not undertake to update those statements periodically. Now let me pass it on to Ashok.

Ashok Soota: Good morning to everybody. I'm happy to inform you that Happiest Minds has delivered our best growth results since the last 2 years. We have had double-digit sequential quarter-over-quarter growth, which is 12.7% and the year-over-year growth was 28.2%. The transformational changes we initiated this year are all gathering momentum.

These changes include the acquisition of PureSoftware and Aureus , the creation of our GenAI business unit named as GBS, hiring a senior leader to expand net new sales, which we call as NN sales; and creating 6 industry groups, each headed by an industry manager. The full impact of all these changes on revenue and growth will become visible in the quarters ahead.

Happiest Minds Technologies Limited

November 14, 2024

Page 3 of 15

PureSoftware and Aureus teams, now part of Happiest Minds family, are geared up to drive synergies. We will expand into each other's accounts, cross leverage our complementary skills and capabilities. For instance, we took our GenAI services to a large global financial services provider, who is a customer of PureSoftware.

Artha our award-winning Banking-as-a-Service platform from PureSoftware, with a very strong brand recall in Southeast Asia and Africa, is now being

taken to new markets such as Philippines.

India is a large market and so far, unexplored for Artha , and our combined teams will lead the entry of Artha into India.

Our GenAI business, or GBS, continues to take rapid strides in building a leadership position by being a thought leader through innovation, strong partnerships with technology tool providers.

We see huge potential for replicable sales as a new class of solutions are becoming available through GenAI, and you can take that to many customers.

We have such opportunities in areas like research, customer service, learning and contract management. Maninder, our Chief Growth Officer, who joined us in Q2, is now in charge of net new sales, and has already built a healthy new logo pipeline across our focus industry groups. We expect many more new logo wins, which will grow as the accounts are transitioned to the respective industry managers.

Each of our industry groups are maturing, all of them are into engines of growth and you can see from the results that some are already leading the growth like BFSI and Healthcare. We have developed strong capabilities in bioinformatics, which are unparalleled in the industry, with in-house experts on areas like molecular biology, data scientists, engineers and health care domain specialists, we work with some medical research community from prestigious medical institutions in India and abroad.

In the reported quarter, a European Health Research Institute shows Happiest Minds to build their AI and ML data platform. In another instance, for a leading medical care organization in India, Happiest Minds will leverage emerging analytics to review medical information and aid diagnosis. These are all very high end, very specialized areas, which I believe there is probably nobody within the country would ever be able to deliver because of the expertise we have built up.

Let me briefly share my views on the outlook. The results demonstrate our continued ability to manage our business with rigor and discipline in a very dynamic business environment with the transformation in the agenda that I outlined, we are very excited about the future as the outlook has never looked better than what we see today.

Before I pass this on to Venkat, let me congratulate him as he was recognized during the quarter as the leading CFO of the Year in the IT, ITeS sector at the CII CFO Excellence Awards for '23 '24. I'm sure Happiest Minds will continue to be benefited by his leadership, and Venkat, along with his colleagues at the Executive Board and other senior leaders, including from the integrated teams of PureSoftware and Aureus, will play a very pivotal role in the exciting phase ahead for Happiest Minds.

Happiest Minds Technologies Limited

November 14, 2024

Page 4 of 15

With this, I conclude my commentary and pass this over to Venkat. Thank you.

Venkatraman Narayanan: Good morning. Thank you, Ashok. Let me begin my commentary by sharing the financial operational highlights for the quarter, followed by the half year. For the quarter, our revenue was \$62.4 million, showing a good growth in constant currency of 12.7% on a Q-o-Q basis and about 28.2% Y-o-Y. The growth was driven by a stable pricing environment, higher volumes and the full quarter consolidation benefit coming from PureSoftware and Aureus.

Our total income for the quarter was ₹ 549 crores, showing a growth of 12.1% over the previous quarter and 27.9% on a year-over-year basis. We reported an EBITDA of ₹119 crores, showing a growth of 1.8% over the previous quarter and 13.4% over the previous year. EBITDA as a percentage of total income stood at 21.7% this quarter.

The drop from 23.9% in the previous quarter was primarily due to pay increases that we instituted for most of our people, which was rolled out effective July 1

st, which had an impact of

almost 230 basis points. The more important aspect is an in

vestment of about ₹9 crores to ₹10

crores that we have made in the quarter in our GenAI business, which is another 150 bps.

We have also made investments into the new sales engine with Maninder and his team, and that also had an impact on the EBITDA. EBITDA for the quarter adjusted just for the pay increase and the GenAI investments would be about 24% + and like the previous quarter, reflecting the fundamental strength in our business and our commitment to investment in new and current technologies.

If we adjust for the pay increase and the investments that we are making as a services company, which gets consistently evaluated on profits into new technologies and expansion to new markets. Our EBITDA is slightly higher than the last quarter and maybe even similar to what we saw in the last year.

It is pertinent to note that on pay increases, we have gone ahead with our regular cycles, backdrop of many of our peer companies who have either deferred or cancelled their regular cycles. So

that's something that's on the press. We've made significant investments into our new -new sales force, and that too has impacted our margins.

Our current sales and sales support team is now 62+. I'm happy to share that our margins of 21.7% is within the guided range of 20% to 22% for the year. From this quarter, we have started showing operating profit, which is defined as EBITDA excluding other income over operating revenues. This has grown from ₹92 crores in the previous quarter to ₹93 crores in the current. It stands at about 17.9% of revenues compared to 19.8% in the previous quarter. The operating revenues takes out the slight noise that you can have due to other income. The drop in operating profit is primarily on account of the pay increases, investment in GBS, and the new - new sales team.

Growth in subsequent quarters, both volumetric and in terms of selling higher-priced services like Gen AI and repeatable sales services like GenAI, we should be able to get back to our earlier levels of profitability.

Happiest Minds Technologies Limited

November 14, 2024

Page 5 of 15

Moving from operating margin to PBT. The meaningful change that has happened is the

increased interest cost on account of borrowings made for acquisitions. Noncash costs, which is amortization of intangibles from acquisitions, continue to remain the same as last quarter. PBT despite these changes, remained at ₹67 crores.

Now that the cost of acquisitions has stabilized, this would be the base for future quarters. We have, from this quarter, started reporting the metric of cash EPS, along with the normal diluted EPS in our presentations. I believe cash EPS gives an alternate and realistic view of shareholder returns shorn of noncash accounting charges, which one seems to take in larger proportions as we grow through acquisitions.

Our cash EPS for the quarter was ₹6.18 per share compared to ₹6.11 in the previous quarter and ₹5.64 in the previous year. Cash EPS for the quarter has just shown a growth of 9.5% Y-o-Y. Normal diluted EPS for the quarter was ₹3.29 compared to ₹3.39 in the previous quarter and ₹3.90 in the previous year.

Coming to our half yearly performance, our revenues for the first half of this year was \$ 118 million with a growth of 23.1 % in constant currency. Total income for the half year stood at ₹1,038 crores with a growth of 24.5% Y-o-Y. We have reached the ₹1,000 crores mark by half year-end. ₹2,000 crores for the year looks far from course.

EBITDA has grown to ₹235 crores from ₹208 crores, showing a growth of 13.1%. EBITDA as a percentage of revenue is at 22.7%, which is in line with our forecast for the year of 20% to 22%. Operating margin has grown to ₹185 crores from ₹174 crores, showing a growth of 6.5%. All the reasons shared earlier for the quarter, which are investments in GenAI business, new sales team, pay increases have had an impact on margin

even for the half year and it's despite

all of those that we have shown expansion in absolute terms. When we come to PBT, we have taken an additional noncash charge of approximately ₹17 crores.

Cash and onetime acquisition cost of about ₹6.5 crores for the half year. These have pulled down our PBT from ₹157 crores to ₹136 crores. That's because of the acquisition amortization and the onetime acquisition costs that we had in the first quarter. So that's an impact of about ₹23.5 crores, which has pulled down the PBT.

Adjusted for that, our PBT continues to grow and expand in absolute terms. Here is why I said the cash EPS number gives a clearer picture of our financials and growth. Cash EPS for the first half year stood at ₹12.34 compared to the ₹11.83 in the last year, showing a growth of 4.5%.

EPS for the first half was ₹6.68 compared to the ₹7.92 in the previous year.

Switching gears to some operational metrics. Our DSO on a consolidated basis stands steady at 83 days. Cash on our books stands at about ₹1,470 crores. We continue to report solid cash conversion ratios, and our half yearly free cash conversion was about ₹232 crores, which is about 98.4% of EBITDA.

Return on capital metrics of ROCE and ROE are at 23.1% and 13.5% respectively. We closed quarter with 6,580 Happiest Minds and during the first half, we had 144 Happiest Minds join us

Happiest Minds Technologies Limited

November 14, 2024

Page 6 of 15

from campus. Trailing 12-month attrition has inched up slightly to 14.4% from the 13.5% in the previous quarter.

Our utilization during the quarter was 76.3% compared to 78.2% in the last quarter and the dip primarily is because of the campus hires and the GenAI continuing to be in the 20% to 25% utilization as in the previous quarter. We ended the quarter with 281 customers, 59 million-dollar customers, 82 customers who have got revenues of more than \$1 billion, and average revenue per customer of \$842,000.

If you look at all these metrics and take it together with a repeat sale of 95%, it gives you a fair handle of the solid ground that we are currently on. We have made satisfactory progress in integrating the acquired entities, driving operational synergies, ERP, people and process integration plans and various other back-end support systems, which are in advanced stages of completion.

Progress on deals is tracked and measured regularly. What is more important is the integration at the sales and delivery customer upsell, cross-sell standpoint, all of which is happening at a very fervent pace. As of today, we have about 700+ open positions, and this is in anticipation of both a demand build and existing demand from our customers.

We are building capacity across our delivery centre in Bangalore, Pune, and Noida and we've added about 500 in the first half of this year, and we are looking to expand into a larger delivery centre in Hyderabad.

Finally, in line with our progressive dividend policy, the Board of Directors of the company have recommended an interim dividend of ₹2.50 per equity share. Record date for the payout has been fixed as November 27, 2024. Cash flow on discount will be ₹38 crores, very similar to the interim dividend paid out in the last year.

Coming to the outlook for the rest of the year. We are hopeful of meeting our revenue growth projections of 30% to 35% for this fiscal. We are beginning to see positive changes in the demand environment and like the rest of the industry, expecting to see a fillip in the fourth quarter.

While Q2 is a quarter with pay increases, Q3 is one with lesser number of working days due to vacations and furloughs by clients. We are also likely to see a small impact on account of the pay increase for the leadership team. On margins, both above, the lower working days and the leadership pay increases will have an effect and which we will address in Q3.

With this, I

conclude my commentary and pass this over to Joseph.

Joseph Anantharaju: Good morning to all the participants in the call. Building on a strong and transformational Q1, we have delivered yet another quarter of strong performance across all fronts. The results demonstrate Happiest Minds commitment to its customers to deliver value at scale, our ability to keep ahead of market and technology shifts, add value to our customers' transformation initiatives and be the partner of choice in their strategic imperatives.

Happiest Minds Technologies Limited

November 14, 2024

Page 7 of 15

Our results and growth have been well rounded with all geos and verticals demonstrating excellent performance. We have expanded our base of deep client relationships through our strong account mining practices and proactively anticipating the needs of our customers. We received an industry-leading Net Promoter Score of 65, Extending the impressive NPS scores that we have received over the last few years, which is a validation of the commitment of our Happiest Minds through our mission of happiest people, happiest customers, and the drive to deliver value in our execution. During the reported quarter, our \$3 million to \$5 million customers have increased by 4 to a total of 6, while average revenue per customer picked up to \$842,000.

We worked with 59 customers who contribute more than \$1 million in revenues, up from 58 last quarter. We worked with 82 billion-dollar corporations, which offers us scope to increase wallet share and drive growth through the efforts of our newly formed industry groups. I would now like to share some interesting work that we are doing with our customers.

Our rich experience in Mobility, Analytics and IoT allow us to combine machine-generated data with human insights to help develop products that reengineer businesses to drive effective outcomes. In the reported quarter, this new win entails Happiest Minds to provide consulting-led solutions to develop unified IoT platform for a North American-based energy tech company. Customers are seeking to reinvent their business and looking at new ways of working by leveraging AI technologies to drive productivity. For a European health research institute, Happiest Minds is building their AI/ML data platform leveraging advanced analytical techniques to help them discover new paradigms.

Our IMSS business enables agile infrastructure through a consult, transform and manage approach in hybrid and multicloud digital environments. I'm happy to share that during the quarter, we won our single largest multimillion dollar deal to provide cybersecurity services for one of the largest pharmaceutical contract manufacturers.

During the reported period, we launched Happiest Minds Secure 360, GenAI-powered cutting-edge solution, designed to deliver unmatched speed and precision in identifying and responding to cyber threats. This solution enables organizations to address even the most complex and unprecedented security incidents at 3x the speed of traditional remediation processes.

During this quarter, Happiest Minds was chosen as a strategic Cybersecurity partner to oversee end-to-end design and implementation of Cybersecurity program for one of the largest banks in India. Talking about our Generative AI business unit, which is enabling companies to accelerate their digital transformation by leveraging the part of GenAI, our 120 GenAI specialists, along with the larger 350+ AI specialized workforce, are working on 25 different projects, as we speak, with several of these POCs moving into production and starting to deliver business value.

Happiest Minds is also co-creating solutions with our customers in the areas of employee productivity, audio sentiment analysis, information with stream and contextualization and persona-based virtual engagements. First is, a GenAI low-code, no-code test automation
Happiest Minds Tec

hnologies Limited

November 14, 2024

Page 8 of 15

platform, streamlines and automates the testing processes, enabling rapid development cycle and

hence enhancing software quality.

Happiest Minds is a proud member of the Microsoft AI Partner Council program, a recognition of our AI expertise and our commitment to driving digital transformation through Microsoft AI ecosystem. For large beverage makers, we are leveraging Microsoft Azure AI to implement a GenAI solution to drive workforce efficiency and improve utilization of customer -facing assets. For a world's leading digital print platform in the energy sector, Happiest Minds was chosen to drive their GenAI innovation in the field data collection and retrieval. Faster collection and retrieval give the possibilities of speedier resolution and lower downtimes. As an innovator and technology leader, Happiest Minds is also rapidly adopting GenAI internally to drive productivity.

We have identified a list of areas and use cases across various corporate functions and have put together a plan to execute on these use cases, which is being driven by our GBS business unit. For instance, our recently rolled out Smile sBot has been trained on our people's policies and contact which retrieves and answers queries and questions related to our HR policies.

Our talent acquisition teams are piloting the use of an in-house developed resume matcher with GenAI -based solution that automatically matches the job description to matching profile, enabling recruiters to search for files faster. Talking about our acquisition, we have established joint go -to sales with PureSoftware and Aureus teams with focused effort on cross -selling both ways. This initiative is being led by industry group heads.

We are working closely with Aureus and PureSoftware sales and delivery teams to ensure expertise to leverage both ways to serve our customers better. For example, we were able to take our GenAI services to a large global financial service provider, who is a customer of PureSoftware. The sales teams on both sides are very excited about the value proposition of the larger Happiest Minds entity and are str iving to spread their wings into each other's accounts. During the quarter, our award -winning platform, Arttha, was implemented for an Africa -based market leader in logistics and supply chain. Coming to the demand environment, we are seeing customers continue to leverage a wide range of digital technologies to reinvent their business and drive productivity and growth.

While geopolitical uncertainties continue, the continued good performance of the U.S. economy, the resolution of U.S. election in a rather decisive manner and the cut in interest rates are acting as a tailwind encouraging customers to start planning new tr ansformation initiatives for 2025.

We've already seen trends of this in sectors like BFSI and capital -intensive sectors like manufacturing and expect other verticals to demonstrate a similar behaviour .

Customers continue to look for ways to leverage the data using analytics and AI, while using GenAI to bring in operational efficiencies and drive revenue growth. Our expertise and ecosystem relationships, the significant investment and early leadership positions in promising technologies like GenAI, AI , Automation, IoT and other digital technologies will help us

capitalize on these opportunities that we expect to come our way.

Happiest Minds Technologies Limited

November 14, 202 4

Page 9 of 15

With this, I conclude my commentary. Operator, we can open the floor for Q&A. Thank you.

Moderator: The first question is from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad: Good show on margins. If I look at the growth guidance, even at the lower end of 30%, that translates to over a 6% sequential growth in the next 2 quarters. I wanted to understand if that visibility is there in terms of deals,

SOWs, especially as Q3 will be having furlough and w orking days impact.

Venkatraman Narayanan: We realized that a significant amount of work needs to be done to reach that number to 30%.

Today, we are at about 24% in dollar terms or constant currency of about 24%. So there is that growth that we have to bring in b ecause we had acquired PureSoftware and Aureus .

We had baked in a certain expectation coming in from Arttha banking. Arttha banking, i s an award -winning banking platform. The revenue flow from there tends to be lumpy. So we have got a very good pipeline on that front, and there is expectation to close at least 2 large deals in the next 2 quarters.

The second is, we had taken a little bit of an aggressive decision on the growth coming in through cross -sell, upsell, because that's the only way to drive integration. There is a significant element

of cross -sell, upsell on both sides, and we have seen quite a bit of traction happening.

The third upside that we are really looking for are some of the large deals that are in the pipeline.

We did add 2 significant \$5 million run rate customers during the half year, which we are expecting to ramp up.

The fourth is for the GenAI POC to work, we are looking for a steady stream of work & repeatable sales. Finally, we have Maninder firing the new- new sales engine, but there has to be a certain amount of fairness , you can expect from a team which is just about join ed. But while

that be, so he is also contributing quite a bit to the pipeline addition.

Ashok Soota: I'm just asking you Venkat a question here. Would it be fair to say on that question which said that we'll have a 6% average needed in the next 2 quarters that Q3 will be a little lower .

Q4 where the bulk of the benefit of some of the large deals, including even that bioinformatic deal that we are working on, they will start generating revenue in Q4. Therefore, clearly, Q4 will be better than Q3, heading towards on a grand total basis along the lines we have indicated. Would you say that is correct? Venkatraman Narayanan: That is right , Ashok. Q4 is where we have deals and hoping for Arttha banking license deals also.

Apurva Prasad: Just on the point of the seasonality, what is the normal seasonality on Puresoftware and Aureus through the quarters? Does it tend to get stronger Q3 on Arttha?

Venkatraman Narayanan: What we have seen as a trend is Q4 tends to be the best quarter because that's when budgets get released and it's about a 6 -month to 9-month sales cycle and it's a term license kind of a structure.

Happiest Minds Technologies Limited

November 14, 2024

Page 10 of 15

Last year, we saw that, and we are seeing the same this year as we go through the financials . Q3, Q4 is when the signoffs happen.

To be very honest, as a services company we had IP -linked sales in the past and about 10% comes from that sort of a business. But the pure product business and the lumpiness is something that we will now start seeing as this starts growing, we'll have to plan to see how that will get factored into our revenue projections and flows.

Apurva Prasad: The other question is with the restructuring done on the industry groups, the verticalized structure with the investments in building the sales engine . What opportunity do you see in the large client cohort versus the mid -market client segment over the medium term. How can sort of that revenue per client number look like over the next few years?

Joseph Anantharaju: Our goal creating the industry group and then in sales was to ensure that we bring in more focused specialization and accountability to both functions. The charter for the new logo sales team has been to pursue larger deals and to target more of larger customers. We do have 82 billion -dollar customers that I've already talked about. But I feel that going forward, we should be targeting more of these compa

nies so that the initial deal sizes themselves pick up and become larger as this group starts functioning.

The industry groups that we form, the industry group heads will be working closely with our account managers and client partners to further expand into our existing customers, especially the large customers, and increase our wallet of share, which should also again start driving growth. Both of these will lead to an increase in the number of million -dollar customers, \$5 million customers and \$10 million customers, and also drive up the average revenue per customer.

Moderator: The next question is from the line of Chirag from Ashika Institutional Equities.

Chirag: As we aim for a \$1 billion kind of top line post FY '30, what would be the thought process on this onshore/offshore mix? From an industry perspective, the companies which have crossed that milestone and have relatively high base revenue. The mix is around 60 -40. Second, our margin is relatively higher on EBITDA, considering it from ex of wage hike impact .

We have been aiming for a high growth of 20%+, for the next 3, 4 years . Is there any impact on margin or will we go in line with what industry standard is compared to the other similar size of companies? When do you think the Edtech vertical will be back to the normal growth trajectory?

Ashok Soota: When you talk about our on-site/offshore ratios, we are very pleased with that percentage. Of course, we'd like to get more because it drives more revenue, and it helps to improve our margins.

It's also giving much higher value to the customer because after all, they are bringing down the cost of their project. It's also an indication that in contrast with other people who've got a 60- 40 ratio, we are delivering lots more volume because we are charging at a lower rate for the offshore.

Happiest Minds Technologies Limited

November 14, 2024

Page 11 of 15

Therefore, the reasons why we want to increase on -site is to get more consulting -led business out there and use it as a front end for generating more business, which we finally drive offshore. We are not upset about the fact that some be 60 or 40.

We are 15.5 down to 11.4 this half year simply because even our new acquisitions have got a very large proportion of offshore .

Venkatraman Narayanan: Typically, you have a pay increase cycle and then you have dollar -to-rupee changes, which can go either way. And that's how the industry has been buffeted by ups and downs on the margins,

other than certain other aspects like sales and delivery. Margin prediction is the most difficult part. So, to that extent, we are expecting to continue this margin range of 20% to 22% in the medium term.

We will not hesitate because of margin constraints or margin that we must show in investing into new business, which we are now seeing that we have taken. Restructuring into verticals, getting a new -new sales engine and investing into GenAI, doing the acquisition for both capability, reach, competency, all these need investments, and it has a certain margin impact on the financials.

But even with all of that, the focus will be to make sure that we are in the 20% to 22%. We pull all stops to make sure that the efficiency of pyramid is there, integration brings you certain size

and scale, so the base increases, but at the same time, there is a possibility to bring down certain costs, common overlap costs, cross-sell, upsell, so that we get more bang for the buck.

These are the areas that we are focusing on and if you look into our financials right now, half year over half year, you will see elements of all of that coming out, some of this really gets muted or gets covered by lots happening, but you adjusted for all of the points that I mentioned, you will see certain benefits. If you look into the future maybe a platform like Arttha banking will require more investment.

It's just not that

it's completely ready. It's a plug-and-play situation and you have to continue to make investments to make sure that it becomes \$40 million, \$50 million, \$60 million. One should not hesitate to do that if there is a market for potential and there is a reason to make that investment from a long-term financial standpoint.

But yes, in the short term, medium term, quarter-over-quarter, there could be those ups and downs. But we'll rather explain it to the investor rather than not make the investment.

Joseph Anantharaju: If you look at the ed tech vertical, so on a quarter-on-quarter basis, it has shown growth, and so what we see is that which tracks the rest of the company performance, but if you look at the sector as such, you'll have to break it up into 3 segments. The first is higher ed, then K-12, and then professional education.

And what we are seeing is that out of these 3, the higher ed segment has got impacted by some structural challenges that you're having, especially in the U.S. market, with the number of enrolments coming down and universities being under cost pressure. That is getting reflected in some of the business and traction that ed tech, higher ed companies are getting.

Happiest Minds Technologies Limited

November 14, 2024

Page 12 of 15

K-12 has performed well, but it's a slight statistical business because there's an upgrade, and then for the next few years, they tend to leverage some of the investments they made. An area that we are seeing a lot of improvement and investment happening is in the professional education space. There's faster evolution in how people need to constantly keep upgrading themselves and this is leading to multiple opportunities in the market that customers are stepping in. Our existing customers are extending their products, and we are focusing more on this segment to get more traction and grow this segment.

Moderator: The next question is from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad: This is on the GBS unit. How are the conversions that you're seeing from pilots to production?

What's the size of the GBS in terms of resources that are currently there? What's the expansion plan here or perhaps in terms of customer coverage? What's the scale that is being targeted here over the medium term in respect with the investments that you are making?

Sridhar Mantha: I'll break it into two, three parts. The first one is the POCs to orders, of course, being constantly working with the digital technologies, we always understand it will take a few quarters for the customers to do the prototypes and then move them into production.

The kind of work we are doing is working with the digital products and platforms to add generative AI oriented features, those are moving to the production much faster because they want to sell as part of either their SaaS solution or as part of the product generative AI features. However, the place where things are taking a little bit more time is on the IT organization where selective use cases are moving from the POCs to production.

Whereas the other low priority use cases are staying in the POCs probably being deferred by a quarter or two, and then they would like to take it forward into the production. That's how the market is moving. Certain platform companies and like the organization with critical use cases and slow movers, who are waiting for the ROI to be.

The second part of the question is in terms of the team size and the competency that we have, so when we form the GBS as a separate business unit, a few strong leaders from the organization we pulled out and put as part of the core team and we went to the market and also had additional people.

We have, now, 120 people who purely work on generative AI-based projects, which are

supported by 315+ AI and analytics Center of Excellence so that the others that have the dependency on generative AI, we can

bring them together. Now in terms of the last point on

how we are seeing as the work and the investments and the business growing.

We continue to proactively develop our own use cases and repeat the solutions, because it is getting a new kind of opportunity where semifinished GenAI solutions can be taken to the market. Now the other area we are looking at is our internal strong solutions like Arttha, which are addressing various banking-related functions, of course, can benefit significantly from generative AI.

Happiest Minds Technologies Limited

November 14, 2024

Page 13 of 15

We'll add the way we are adding generative AI features to the customers' products, similarly, we'll add to the Arttha platform and other IPs and solutions we have also.

Ashok Soota: I had mentioned, for example, when a new application comes up, the moment you do one customer, you can begin to say, can I take the same application to multiple ones. I identified four areas in my opening talk, which are research, customer service, learning and contract management. I believe in almost all of those, we've already got our first customer. Now we begin to look for multiple ones. I'll give you an example in research. If we are doing a research application for an R&D organization. There must be at least 30 research organizations in India. Supposing you don't do 30, maybe we'll do 8 or 10, now that repeat customer makes a lot of difference, a much quicker sell because we've been able to demonstrate that it has worked for somebody.

The margins will keep improving on those sales because now your own incremental cost, you still charge the customer the same amount. These won't be giant-type orders. But if you then take 8 such orders, then it becomes a very healthy order, and executable with a really high level of efficiency as we go ahead.

Apurva Prasad: The on-site resource reduction was steep this quarter and you also saw T&M go up substantially. Any explanation for this?

Joseph Anantharaju: If you look at it overall, both, Aureus and PureSoftware, are mostly offshore-centric and that has led to a drop in the offshore/on-site issue. And the other thing that we are also seeing is that given some of the budget constraints, customers have been trying to get better bang for the buck and leveraging offshore more.

COVID-induced remote working is also giving customers more comfort and got them used to having larger teams offshore and doing some of the work that they wouldn't have done earlier offshore, which gives them the benefit of managing the budget better.

Venkatraman Narayanan: I think there is a typo in the numbers, because it is 211, it's showing 412. I think it's a typo on the page on the financial metrics. If that's what you're referring to, we'll have that checked and corrected. But just to continue, it has remained same quarter-over-quarter in terms of revenues and in terms of headcount because we look at the daily MIS as sent out.

FY '24, 211, it has gone up to 412 as per our PPT in FY '25 Q1, and then come down in FY '25 Q2 to 274. So that is something which is not right. We'll check it and get back to you and update the presentation.

Apurva Prasad: On margins, puts and takes for the next 2 quarters, part of wage increases for senior leadership that should happen in Q3. But generally, from here on as a base level, how should we look at margins for the next 2 quarters?

Venkatraman Narayanan: When I say margins, I'll now restrict it to EBITDA and operating margin first. EBITDA and operating margin should be stable except for the wage increases and we should see upsides. The dollar-rupee is a little bit of a joker in the pack. Hopefully, we have covered that for the next 12

Happiest Minds Technologies Limited

November 14, 2024

Page 14 of 15

months or 9 months on a weighted average with proper hedges. Arttha banking, while it has got that lum

piness in terms of sales, it also contributes to margin. I'm giving you all the pluses.

On the minuses, it's a senior management wage increase that we are talking about and some more investments in the newer technologies that may be required, including investment into Arttha. For example, if Arttha must be sold in India, it requires a little element of investments, we'll go ahead and make it

But it's a very tricky situation on margins because of all the things that happen simultaneously and now that we are a much larger company running at about a \$280 million exit run rate for the year. It's becoming that much more final to maintain and predict margins with a greater level of accuracy than the 20% -22%

that we have shared right now.

Moderator: The next question is from the line of Vidyadhar Ginde from Sohum Asset Managers.

Vidyadhar Ginde: In this first quarter, the hits from the amortization increase and intangibles was ₹ 6.8 crores and ₹ 1.3 crores for part of the quarter, for the full quarter, it's going to be ₹ 19 crores. In Q2, the PPA has gone up by just ₹ 1 crore. What has changed?

Venkatraman Narayanan: If you notice, we had about 15 days to close the books after integrating PureSoftware and Aureus last quarter. It was a little hurry to get the valuation. We closed it and we set provisional valuations and went ahead and closed the books.

After that, we did an extremely intensive exercise of about 1 month, got multiple experts looking into the valuation, the allocation of PPA and looked at what the industry practice is. That's what we have done in terms of the allocation of PPA, the Monte Carlo simulations, assigning probabilities for earnouts, and we relooked at that provisional valuation.

After getting 1 report, we talked to about 2-3 valuation experts, and revalue the whole thing, and have now plugged in the final valuation number. It has an impact on 2 aspects. One is there is this amortization unwinding interest, and one sets out the other. So last quarter, it was for 48 days.

This quarter is for 90 days. The number remains the same, given how the real-time value is treated.

Vidyadhar Ginde: What was previously projected to be ₹ 19.1 crores for the entire quarter? What is the updated figure now?

Venkatraman Narayanan: It will be ₹ 14 crores. What you're seeing in Q2 reflects the total for the full quarter.

Vidyadhar Ginde: At least the amortization which is a major part is up by just ₹ 1 crore. It looks like ₹ 8.3 crores going to ₹ 9.3 crores.

Venkatraman Narayanan: In the half year of last year, we had ₹ 11 crores. We have the amortization and unwinding cost coming from 2 acquisitions, which is PGS and SMI. Some of them will trail off. In the current quarter, in Q1 for about 50 days or 48 days, we had ₹ 14 crores with amortization and unwinding of all the 4 companies of PureSoftware, Aureus and the 2 other companies of SMI and PGS.

Happiest Minds Technologies Limited

November 14, 2024

Page 15 of 15

In Q2, the situation remains consistent. The only difference is that in Q1, there were 48 days accounted for the last two acquisitions, while Q2 reflects their full impact. However, Q2 did not show a sequential increase as anticipated, we expected it to rise to around ₹ 19 crores. This did not occur because we reassessed the provisional valuation from Q1.

Vidyadhar Ginde: So the DVA which you had in this quarter is a sustainable one?

Venkatraman Narayanan: But the impactful one, we don't know if we need further acquisitions. In fact, it will go down because I am expecting 1 or 2 to trail off. The Pimcore intangible write-off was done over 4 years, so that's almost done, 5 years because the effective useful life is also something that we have to evaluate. PGS, Pimcore was over 5 years. SMI was over 7 years. PureSoftware, the assessment that has been done is 8 years, PureSoftware and Aureus. So Pimcore will slide off. So i

t will only improve in maybe in beginning of next year the 14.06 will actually reduce by a couple of crores

Vidyadhar Ginde: Will Q3 and Q4 be similar to Q2? Then, what will be the trend for next year

Venkatraman Narayanan: That's the reason why we have started calling out cash EPS because we are a smaller company. Relative to our size, these charges can have an unnerving impact on your PBT and financials. So one needs to be aware of that, and that's why the cash EPS.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Sunil Gujjar: Thank you all for joining us today. We thank HDFC Securities for hosting this call. We look forward to interacting with you. You can reach out to us on ir@happiestminds.com. Good day.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2025

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Dear Sir/Madam,

Sub: Transcript of Earnings Call held on February 05, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Third Amendment) Regulations, 2024, please find enclosed the transcript of the Earnings Call held on February 05, 2025, post announcement of financial results of the Company for the quarter and nine months ended as on December 31, 2024. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 18

"Happiest Minds Technologies Limited
Q3 FY '25 Earnings Conference Call"
February 05, 2025

MANAGEMENT : Mr. Ashok Soota – Executive Chairman
Mr. Joseph Anantharaju – Executive Vice Chairman and
Chief Executive Officer – Product and Digital Engineering
Services

Mr. Venkatraman Narayanan – Managing Director and
Chief Financial Officer

Mr. Rajiv Shah – Executive Director

Mr. Ram Mohan – President and Chief Executive Officer –
Infrastructure Management and Security Services

Mr. Sridhar Mantha – President and Chief Executive
Officer, Generative AI Business Services

Mr. Sunil Gujjar – Head of Investor Relations

MODERATOR : Ms. Aditi Patil – ICICI Securities

Happiest Minds Technologies Limited
February 05, 2025

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Happiest Minds Technologies Limited Q3 FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please

signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you.

Aditi Patil: Thank you, Steve. Good morning, ladies and gentlemen. Thanks for joining us today on Q3 FY '25 Earnings Call of Happiest Minds Technologies Limited. On behalf of ICICI Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call.

Today, we have with us Mr. Ashok Soota:, Executive Chairman; Mr. Joseph Anantharaju Executive Vice Chairman and CEO, Product and Digital Engineering Services; Mr. Venkatraman Narayanan, Managing Director and Chief Financial Officer; Mr. Rajiv Shah, Executive Director; Mr. Ram Mohan, President and CEO of Infrastructure Management and Securities Services; Mr. Sridhar Mantha, President and CEO, Generative AI Business Services; and Mr. Sunil Gujjar; Head of Investor Relations.

I will hand it over to Sunil for Safe Harbor statement and to take the proceedings forward. Thank you, and over to you, Sunil.

Sunil Gujjar: Thank you, Aditi. Good morning to all participants in the call. Welcome to this conference call to discuss the financial results for the third quarter ended December 31, 2024. I'm Sunil, Head of Investor Relations. We hope you had an opportunity to review the earnings release issued yesterday evening.

For this call, let me quickly outline the agenda. Ashok will begin the call by sharing his perspective on the business environment and our results. Venkat and Joseph will then speak about our financial performance and operational highlights, after which we'll have the floor open for Q&A.

Before I hand over, let me begin with the Safe Harbor statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which, the actual results could be different. We do not undertake to update those statements periodically.

Ashok Soota: Thank you, Sunil, and good morning to everyone. Happiest Minds has reported another quarter of strong deal momentum and performance with a revenue growth of 28.2% year-on-year in constant currency, and we are set to report our best performance since the IPO in absolute terms. We launched four transformational initiatives this year, which included the acquisitions of PureSoftware and Aureus. The success of the same is evident from our year-over-year growth. Happiest Minds Technologies Limited
February 05, 2025

Page 3 of 18

The other three initiatives will accelerate our organic growth in the year ahead. These initiatives are the creation of the GenAI business unit, verticalization into six industry groups and induction of our Chief Growth Officer.

At our Generative AI Business services, we are collaborating with our clients to explore opportunities for leveraging Generative AI to enhance business value, increase efficiency and productivity. Our goal is to integrate generative AI features into their products, services and provide them with a competitive advantage.

The adoption of this promising technology has picked up speed with our customers embarking into enterprise-wide adoption. Apart from the projects we have already delivered in these few months, we have about fifteen projects in a proof-of-concept(PoC) stage, which will lead to significant orders and projects in the next fiscal.

I will leave Joseph to describe our success in the other transformational initiatives. We will persist in advancing the transformation agenda we have set forth, which I believe will position Happiest Minds for superior performance in the years ahead.

Venkatraman Narayanan: Thank you, Ashok. Good morning, all. We continue our march into the second half of this fiscal with a good set of numbers. A 28.2% year-over-year growth in constant currency, our industry-leading performance has only accelerated since the beginning of this fiscal. As Ashok alluded to, our results are showing the impact of the solid execution banking on our transformational agenda that we undertook at the beginning of this year.

Our revenues for the quarter in dollar terms stood at US \$ 62.7 million. Lower working days, higher leaves and furloughs affected a seasonally soft quarter. However, we were able to compensate for the same by virtue of higher volumes and improved utilization.

In rupee terms, we reported a total income of ₹ 554 crores, showing a growth of 0.9% Q-o-Q and about 27.5% Y-o-Y. EBITDA, including other income came in at about ₹ 117 crores, which is 21.1% of our total income compared to 21.7% in the previous quarter. EBITDA has grown

11.1% over the previous year.

We have maintained our margins despite continuing to make investments into our new business unit of Generative AI Business Services, which continues to be in an investment mode. The fast-paced changes one is seeing in the AI space is something we must take head on as we try to develop and grow our GBS business.

The other transformational steps of Verticalization and establishing a new logo sales team in the US to drive new sales which is a departure from the structure we had in place until recently of a hybrid sales team are also investments. Our EBITDA margins after the above investments continue to be within the guided range of 20% to 22%. This is our 18th quarter where we have performed in line or ahead of our margin guidance. Operating margins stand at **■92.7** crores which is about 17.5% of our total income and has shown a growth of 12.5% y-o-y.

Happiest Minds Technologies Limited

February 05, 2025

Page 4 of 18

Adjusted for investments on GBS, the new sales team and investments in verticalization, EBITDA and operating margins would have been like the previous year and at least a couple of percentage points higher than what has been currently reported.

Our Profit Before Tax (PBT) for the quarter came in at **■69** crores, which is 12.5% of our total income, showing a sequential growth of about 1.8%. Year-over-year growth of PBT, I would say it's not very relevant as we have certain large noncash charges related to acquisition in this quarter and the previous quarter. Profit after Tax (PAT) came in at **■50** crores, showing a sequential growth of 1.2%.

Given the non-cash charges, a metric which reflects the health of our business, our growth and profitability is the Cash Earnings per Share. Cash EPS removes the noise one sees from GAAP accounting for these non-cash accounting costs. Our cash EPS for the quarter was **■6.16**, showing a good year-over-year growth of 12.6%. Annualized Cash EPS stands at about **■24.6** per share compared to the **■22.93** in the previous year.

A quick highlight of the performance for the nine months. We reported revenues of US \$181 million, showing a growth of 24.8% in constant currency. Total income in rupee terms was **■1,591** crores, showing a growth of 25.6%. EBITDA stood at **■352** crores, growing by 12.6%, while operating margins at **■278** crores grew by 8.4%.

We reported a healthy cash and cash equivalent balances of about **■1,495** crores with a continued strong conversion ratio of 97.5% of EBITDA. Our Day Sales Outstanding (DSO) continues to be stable at about 84 days. Capital ratios of Return on Capital Employed (RoCE) at 21.8% and Return on Equity (RoE) of

14% on an annualized basis continue to remain strong, and we continue to focus on these metrics.

We have flexed our delivery engine with an increased uptick in our utilization levels for the quarter stand at about 78% compared to the 76.3% last quarter, and 76.7% for the same period last year. We must get the utilization numbers up and this is a lever available to us, and we are working to get these back to the 78% to 80% number that we earlier used to have.

Campus graduates are slowly getting into billable mode, and this is going to help on with the utilization numbers. We have reported net people additions in Happiest Minds of about 50. We ended the quarter with 6,630 Happiest Minds. Attrition has seen a small uptick, and it stands at about 15.3%, which we believe is more a seasonal phenomenon, and we expect this to trend downwards in the next quarter.

Finally, I'm happy to share that on 2nd February, we signed agreement to acquire the Middle East business of GAVS Technologies Limited. Intention of this transaction is to consolidate existing customer relations in the region, along with a local delivery team with capabilities in application development, maintenance and infrastructure services. Almost all the business that comes to us through this consolidation will fall within the Banking Financial Services and Insurance(BFSI) vertical and the Infrastructure Management and Security Services (IMSS) business unit. The transferred business comes with 90-plus people, a few very good customer relationships.

Happiest Minds Technologies Limited

February 05, 2025

Page 5 of 18

I take this opportunity to welcome the newest Happiest Minds to our family and now look to expanding on the relationships by taking our capabilities in BFSI vertical, Arttha banking and other capabilities into these acquired accounts. Middle East will become a significant contributor over the next year, and we will be making more investments in the region.

Talking a little about the future, we aim to close the year with margins to be in our guided range

of 20% to 22%. For the nine-month period, we are ahead of those guidance number. On revenues, as mentioned earlier, we had given a forecast, again, not a guidance, of about 30% to 35% growth for the year. Consolidation of PureSoftware and Aureus got slightly delayed in our first quarter. Due to which, we had a shortfall in the growth numbers in the first quarter. However, as you may have noticed, we have in subsequent quarters done a Q-o-Q growth of 27% and 28% and intend to do a similar if not better number in Q4, and our attempt will be to come as close as possible to the 30% growth number in constant currency that we had set for ourselves.

Joseph Anantharaju: Good morning, everybody. As we reflect on the past quarter, it's encouraging to note that we have maintained our momentum on our transformation agenda, even during a period typically characterized by seasonal weaknesses such as furloughs and vacations that result in fewer working days. I'm pleased that we have achieved solid revenue growth while upholding our impressive margin profile. This performance reaffirms our commitment to driving sustainable progress and adapting effectively in a dynamic business environment.

Product Digital Engineering Services led the performance with a growth of 28.2% year-on-year. All our focus markets have reported good set of numbers. Seven out of eight verticals have registered good growth with the exception of EduTech, which is seeing some softness in some subsegments. Our customers rely on us for a distinctive blend of services that encompass engineering, transformation, data analytics, artificial intelligence, cloud solutions and cybersecurity. With a dedicated team of 6,630 professionals at Happiest Minds, we embody a diverse array of roles, strategists, industry experts, functional specialists and technology aficionados.

Together, we collaborate closely

with our clients across various industries to not only understand their unique challenges, but also to shape and deliver exceptional value-aligned strategic goals. We continue to make progress in our efforts to build large customer accounts. During the quarter, we have added another US \$10 million customer taking account in this cohort to three. The number of customers in the US \$3 million to US \$5 million cohort has increased by one to a total of seven. We worked with 278 customers and our average revenue per customer increased significantly during the quarter to \$898,000 inching towards the \$1 million mark that we set as a goal.

We have eighty five billion \$ corporations that are customers with more than US \$1 billion in annual revenues who contribute to 47% of our overall revenues. To put things in perspective, this count of US \$1 billion customers was sixty same time last year. These customer engagement

Happiest Minds Technologies Limited

February 05, 2025

Page 6 of 18

metrics demonstrate our keen focus on customer happiness and effective execution in terms of account mining, farming and acquiring significant new clients.

The verticalization of our industry groups, which we announced earlier this year, is now empowering our sales team to collaborate closely with domain experts within their respective sectors. This alignment allows us to better understand and respond to our customers' needs through our consulting and solution-oriented approach.

Our GBS business unit continues to see demand across various sectors, specifically with high-tech for product innovation and user engagement, while sectors like travel, retail, EduTech and manufacturing are implementing GenAI to enhance customer and employee experience and optimize operations.

We continue to strengthen our collaboration with Microsoft and AWS. Leveraging our strong partnership with Microsoft Azure AI, we have implemented conversational interface at Coca-Cola Beverages Vietnam, improving their efficiency. With BotGauge and Neurohive, our other alliances in the ecosystem, we are helping build scalable AI innovations for our customers. During this quarter, a global leader of parcel spends management and supply chain planning chose us to develop GenAI-powered chatbots that simplifies data querying, offering real time insights and dynamic visualization to make informed data-driven decisions with ease, thereby improving user experience and driving operational efficiency.

With the onboarding of Chief Growth Officer recently, we have put in place a large account strategy, targeting new logos of consequence. The team is coming together and already built a good pipeline. The reported quarter saw some good new logo wins. Some of the noteworthy are for a U.S. logistics tech provider, Happiest Minds is driving their digital transformation agenda and building intelligent conversational dashboard using GenAI.

We have incubated strong partnerships with leading Hyperscalers and ISVs through which we are innovating, co-creating solutions which our customers need. In the reported quarter, our strong capabilities in the Microsoft Power platform enabled us to win an engagement with a

global MedTech company to build their engineering platform.

We are excited about the opportunity to better serve our clients and differentiate in the market, leveraging the capabilities and reach of the acquisitions we made this fiscal year. Our acquisitions are helping us establish presence in adjacent markets while we are enabling their growth by giving impetus to their presales solution capabilities by enhancing the offerings with our domain and technical capabilities. In the reported quarter, an American multinational financial services company chose Aureus business of Happiest Minds to transform their enterprise content management systems.

In another case, a U.S. health tech company chose PureSoftware to provide infrastructure management

services based on the capability of our IMSS business unit. PureSoftware and Aureus, companies we acquired in the past year have been successfully integrated under One Happiest Minds, and we are together driving efficiencies in sales, delivery and more importantly, Happiest Minds Technologies Limited
February 05, 2025

Page 7 of 18

operations. We will continue to work with razor-sharp focus to advance our positioning of services amongst customers on both sides.

Enterprises are adopting quantitative risk assessment techniques to prioritize risk and allocate resources. Cybersecurity continues to be a business imperative for our customers. Through our comprehensive offerings in this space, we are helping business navigate towards a global regulatory convergence. During the quarter, a Middle East-based global bank chose us to provide risk and governance consulting services.

In other updates, I'm pleased to announce that Happiest Minds has been recognized by Great Place to Work® as one of India's top 100 Best Workplaces and as one of the best companies for women in India by Avtar & Seramount®. These prestigious accolades underscore our commitment to fostering a diverse and inclusive workplace and our superior execution of these strategies.

Let me share my insights on the demand drivers for Happiest Minds. The financial services sector in the U.S. is thriving bolstered by a robust economy, stable inflation and a buoyant job market. Our strong narrative in the banking, financial services and insurance space, enhanced by our recent acquisitions position us well to seize these opportunities. Healthcare and Life Sciences, now among the top three verticals for Happiest Minds, has grown very rapidly in the past year, and we are building momentum to be a formidable player as a digital health partner for our customers in the areas of personalized medicine, value-based care and biosimilars. We are also witnessing a positive shift in the retail and consumer products industry with discretionary pressures easing. While demand trends remain stable across most sectors, we have observed some softness in the EduTech space, especially the higher education subsegment as customers reassess their business strategies amid disruptions caused by changing student preferences. However, it's encouraging to note that technology continues to be central to the decisions, and we do see more focus on the workforce development subsegment in this space. Our customers are prioritizing key technology areas such as artificial intelligence, application modernization, cloud solutions, transformation initiatives and cybersecurity with investment flowing into these areas. I believe this upcoming calendar year will open new frontiers for growth for Happiest Mind due to the combined affect of our four transformational initiatives and an improved demand environment. I'm excited by the prospects that lie ahead for our company. Operator, we can now open the floor for Q&A.

Moderator: The first question is from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My question is on the EduTech vertical. In the prepared remarks, you had shared some color on this vertical, but can you provide an outlook on our top client? Performance of our top client has been soft for the past few quarters. Additionally, excluding our top client, when do we expect a recovery in this vertical?

Joseph Anantharaju: I'll first touch the previous quarter and then get into the broader segment outlook as well as what we see coming. So for the past quarter, there were two main reasons why we saw a dip in our Happiest Minds Technologies Limited
February 05, 2025

Page 8 of 18

quarterly revenues. The first was one of our midsized customers with a captive centre in India decided based on their PE strategy to in-source all of that work.

The second one was for one of our customers in the K-12 space, we completed the develo

pment

of their platform. As a result, the size of the team got reduced because you need a smaller team to continue adding features and supporting the platform.

If you look at the EduTech segment, you can broadly break it up into four areas: Higher Education, K-12, Professional Development, and Universities because it is an ancillary of EduTech and we've not really done much with universities because it's a very specialized segment. Most of our work has been in Higher Education, and that's the area that has got impacted significantly due to changing customer preferences, digital transformation and also some secular trends around enrolment and costs that these Universities are facing.

As part of our FY 26 strategy, one of the strategies that we identified is to leverage some of the strengths that we have in this space to parlay that into service offerings for the Professional Development, where there's a fair bit of focus and investment that's going, just to look at how to upskill, multi-skill and reskill the workforce with all the rapid changes that we are seeing both in terms of technology and business models.

The other thing that we are looking at is to see if there are some channels that we can develop to look at the top universities that tend to develop their own platforms as well as to take a couple of the leading platforms and be their implementation partner. So these are two strategies that we will name among a few others that we'll be looking at to get back growth and stability in the EduTech segment.

Ashok Soota: We should also be clear on our expectations from the EduTech market. Deborah Quazzo of GSV Ventures recently said that the EduTech may stay in the slow lane this year as companies grapple with artificial intelligence. The fact is it's been a very high-growth segment right through the pandemic, etc.

The good thing for us is that even while this is going to be steady or lower growth rates than perhaps some of the other verticals, we are clearly seeing Happiest Minds well positioned in verticals where there's a high growth rate, and we are in a position to leverage and take advantage of that growth rate. The first is, Healthcare from virtually nowhere has become our third largest vertical, and we see strong continued growth. We have got a great presence in BFSI, which has also come through our acquisitions as well as some of the developments that we have been undertaking. So, one segment will offset the other. We don't want to project that EduTech is going to be a major growth segment for us. It will grow and recover from where it is. But if the whole segment is slow, there's very little for you to do to be able to make it as a major growth driver.

Aditi Patil: My second question is about on Arttha banking platform. So, in previous earnings call, we had mentioned about the strong pipeline we are seeing in the Arttha banking platform. Can you share how the pipeline is shaping up over here? Have we already won some deals or are the deal closures on expected lines?

Happiest Minds Technologies Limited

February 05, 2025

Page 9 of 18

Joseph Anantharaju: If you notice the BFSI segment was the best performing segment for us last quarter. I would attribute a big part of that to the Arttha banking platform because we were able to close two deals, finish the implementation and the recognition of those revenues is what has led to quite a bit of the growth that we see in the BFSI vertical.

The organic pipeline that PureSoftware has for Arttha banking platform continues to be good, and it should be one of the contributors to our growth and to the growth of the BFSI segment during this quarter. We have taken a strategic view to Arttha, and we've put together a couple of task forces.

One of them is to look at different markets and use cases that we want to take Arttha banking into. We are evaluating functionalities that needed to be added to the platform, our strateg

y that

we need to adopt, and ways to improvise our go-to-market strategy. The second is we are seeing quite a bit of traction in the Indian market. We have been in discussion with a few of the banks, and many of them are undergoing their digital transformation initiatives, and they're looking for a digital banking platform like Arttha which will provide their customers with the kind of digital experience they seek.

We have quite a few good conversations going on, and the net new (NN) team under the Chief Growth Officer is developing very well, and our BDMs in India have successfully opened a few doors.

We are excited about the prospect that Arttha brings to the table in terms of nonlinear revenue,

Aditi Patil: Could you remind us for Arttha, is Q3 or Q4 typically the strongest quarter seasonally?

Venkatraman Narayanan: We are looking at a much better Q4 from Arttha banking as far as revenue closures are concerned. License has got two elements. One is the implementation service, which goes over a period of time, but the license being a term license, the revenues get recognized on closing the transaction.

The consolidation that we did through acquisition of Middle East business of GAVS Technologies has opened up possibilities to take our Arttha platform to these geographies, which is today very strong in East Asia and parts of Africa.

Aditi Patil: What is the timeline for completion of the GAVS acquisition?

Venkatraman Narayanan: We should be done in few days. It was more of a transition of business because we had certain common customers, and they had a large presence in the Middle East with about 92 people and two very good BFSI customers who will get into our roster.

Aditi Patil: So, we should see incremental revenue from the GAVS acquisition in Q4 itself?

Venkatraman Narayanan: Yes.

Aditi Patil: Can you share about the progress on focusing on adding net new logos?

Happiest Minds Technologies Limited

February 05, 2025

Page 10 of 18

Joseph Anantharaju: We took a very strategic decision to separate out our business development or sales team, which was hybrid till then, into farmers and client partners and hunters who would focus on NN new logos.

We have Maninder, who joined us as the Chief Growth Officer in August. We have most of the team in place now, comprised of very seasoned sales executives. Our strategy has been to bring in people and align them with the verticals that we have. So each sales Business Development Manager (BDM) has significant years of experience and depth in one vertical, and that would be the primary vertical. They were onboarded in the November- December time frame. I am very happy to state that we're already seeing a very healthy buildup of pipeline, as I mentioned in my notes at the beginning of this call.

We already have one closure and couple of prospects in very advanced stage, which should lead to decent-sized revenues. The strategic initiative that we put in place has taken root. It's in the execution phase right now, and we're already seeing output out of this. We had seven new logos cutting across various geos and verticals last quarter, and we expect this momentum to continue into Q4 and into FY 26.

Moderator: The next question is from the line of Prasad Padala from SBI Mutual Funds.

Prasad Padala: Any quantitative colour, in terms of deal wins, are they like substantially better than over the like last 3-year average? If so, would that actually translate to a better organic growth for next year?

Joseph Anantharaju: The team came together in November-December time frame, and we had one closure already and a couple of them will surely get closed in this quarter. Apart from that, there's a good healthy buildup of pipeline because this team right now is focused on India and North America.

Next year, we will extend it to probably Europe. ANZ is too small right now and if you look at India, there's a huge synergy with Artth

a and in a couple of verticals, we are seeing good traction.

One of them is in the BFSI space. We just got empanelled by two of the public sector banks, and we are in discussion to both take Arttha to them and provide other services.

Additionally, for one of the largest public sector banks in India, we are providing them with managed security services, which is a large deal, and we are adding additional components to this offering. We're also seeing quite a bit of traction in the industrial and manufacturing space. In North America, there are at least three or four prospects are in an advanced stage and hopefully should close during this quarter.

We had salespeople that are covering Midwest, East Coast from New Jersey and the Bay Area.

We also have brought on board a seasoned BDM in Canada because we see quite a few opportunities out there and this sales leader has hold into the Canadian market.

Our NN pipeline is looking strong. It's not a number that we share. But I can say that it's been among the best that we've had, if you look at just the NN part of our business.

Happiest Minds Technologies Limited

February 05, 2025

Page 11 of 18

Ashok Soota: We had four transformational initiatives taken earlier this year. The one was clearly designed to show growth in the current year, and that is the acquisitions, which has been demonstrated by the results.

If you just take GenAI, we've reached a point where we are executing maybe about upwards of 10 or 15 proofs of concept. Maybe 80% of those will get converted into orders. They need not be giant-sized orders, but they can contribute significantly to revenue and inorganic growth in the next year, which wasn't available this year because you had to go through the POC stage to

be able to complete it.

Those numbers are not even reflected in the pipeline as yet because we will include them in the pipeline once we finish the POCs and we then get a firm indication from the customer that they will go ahead and convert to the larger order. So that's one fundamental area of growth. The third area is the verticalization. Obviously, you have industry managers settling into new roles, each one taking varying degrees of time to build up their own pipelines, which is progressing.

In some areas, it's happened a little faster than the others and my belief is that in the next quarter, all of these will become major engines of organic growth. So that's really the thrust for the next year going ahead, arising out of the changes we made in this year.

Prasad Padala: To what extent is the improved pipeline a result of the strategic initiatives you're undertaking, and how much is due to a general improvement in the market? The first point, regarding the initiatives, is clearer based on your explanation. I'm trying to understand the second point better; could you give some color on that?

Joseph Anantharaju: The acquisitions have got us depth and the Arttha banking platform positions us well in BFSI, which is an area that's I think, showing more signs of growth than others. The fact that we verticalized and have a BFSI vertical with an IG head and the delivery and sales aligned to it helps us go to market better.

Similarly for Health Care, we have some leeway that we've got from PureSoftware. They have a few customers in this space, getting us some new capabilities. But they are benefiting from some of the capabilities and work that we have done in the Health Care Industry Group (IG), which has IG head. We've built some really good cutting-edge capabilities working with SKAN and with Happiest Health. So all of this, we are able to take to market. So, I would say it's very synergistic and goes hand-in-hand and acts as a catalyst for each other.

Moderator: The next question is from the line of Vinesh Vala from HDFC Securities.

Vinesh Vala: Can you highlight on the retail vertical where you see ease in some discretionary spending, which is coming i

n?

Joseph Anantharaju: If you look at the retail segment in U.S., especially some of the mid-sized retail companies, which have been a little behind in their digital transformation strategy, things like e-commerce, Happiest Minds Technologies Limited
February 05, 2025

Page 12 of 18

leveraging analytics, using some of the technologies like beacon and others that allow for personalization.

We see these companies undertaking or getting into the next phase of the digital transformation journey with a lot of emphasis on analytics and AI. That's one area that we are seeing quite a bit of traction.

In the CPG space, some of the large CPG companies are our customers or we've signed them up recently and we've seen that in the last 6 to 8 months, they all went through a little bit of a strategic review at the beginning of last year. Towards the end of 2024, we saw that these reviews were getting completed, organizational restructurings were being done.

Therefore, new initiatives started being executed and we are beginning to see that reflecting in additional requirements and pipeline. As you see for last quarter, we did have the retail CPG vertical showing pretty good growth of around 3% to 4% quarter-on-quarter, and we expect this to continue.

One of the strategies that we'll be playing out, especially on the CPG side of the vertical is to focus on how we expand our presence and mine more aggressively in the customers that we have. Among the top ten companies, we count four as our customers. They all have considerable IT budgets, so there's a fair amount of opportunity available.

We would have to take a very focused view to our account mining and expansion, which, again, I think our whole verticalization strategy would help by bringing delivery, sales and domain together to come up with account development plans, account strategies and to go about it in a very focused manner.

Vinesh Vala: Another one was on the BFSI vertical, as you said that the recovery is there in the U.S. market. So, I wanted to know which are the subsegments which is showing the recovery or it is across all the verticals?

And another question was on the margin front, you said that the utilization would be improving to 78% to 80% and this is the range you are comfortable with. So, what are the other levers which would be helping us to get the margin?

Joseph Anantharaju: So if you look at BFSI, I would say that the banking and financial services is an area that we are seeing more of a propensity to spend. I think the insurance subsegment, especially given what's happened in California, they may be a little bit more careful in how they would approach it. But on the banking and financial services side, as I mentioned, a significant contributor to the growth

we saw in Q3 and anticipate in Q4 will be the banking and financial services sector. On the insurance front, what we are doing is we are taking a very focused approach. We have a few large customers and we are assessing their strategic imperatives. And I think in the next six months, that should get done and then they should start rolling out initiatives. In parallel, we are looking at what are the current pain points and how do we really address them in a very focused manner.

Happiest Minds Technologies Limited
February 05, 2025

Page 13 of 18

The other thing we are doing is for some of the smaller insurance companies, we are coming up with a productized service offering where we put together what we call an insurance-in-a-box that covers all the way from sourcing a customer to signing them up to getting their claims, underwriting.

We have had a couple of customers already sign up for this in South Africa. And based on that experience, we are trying to see if we can replicate it in other geos as well. So these are some of the things that we're doing in the BFSI space.

Venkatraman Narayanan: On the margins, there are quite a few variables

going in our favor and some of them going

against. The big one is obviously the foreign currency, it is likely to help us the way things are moving. Second is obviously utilization. We must get it up from the 76%, 77% upwards to 80%. So that's a good lever that's available to us.

The third is Artha banking. What we have seen is it has got a very positive impact on margin because the moment a license is sold, almost all of it is to the bottom line. So it helps us immensely on margins and that's the way non-linear business works.

If I were to give you –a walkthrough of the margins Investments into GenAI that would be number 1. It's about US \$1.5 million for the first 6 months and now it's running at about US \$3.5 million up to the nine-month period. So that's something that has been subsumed into these numbers.

The second thing is we have gone ahead and given pay increases, the variable pay. We have not missed any timelines on that unlike what most of the other companies or our peer companies have done. We have not resorted to any of those pushing things or keeping the numbers at a lower level than what the typical industry expectation is. So, the puts are these aspects of investments. The net new sales engine, which we talked about, there is a lead lag effect. that's also impacting the margins as we speak.

But despite all of that, nine-month period, we have done 22.1% in EBITDA. We are getting in both operating margin and EBITDA is at about 22.1% and ahead of the guidance of 20% to 22%. We would like to end the year within the guidance range or ahead of the guidance range.

Next year, pull out all stops to make sure that we continue to improve margins because consolidation benefits will start showing up. We have had three acquisitions including GAVS Middle East business

Vinesh Vala: Can you quantify me the wage impact during this quarter on the margins?

Venkatraman Narayanan: This quarter, we have for the senior profile, so it will be about 0.9%.

Moderator: The next question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: Do we see organic growth traction improving with the combination of demand improvement and the efforts that the company has put in?

Happiest Minds Technologies Limited
February 05, 2025

Page 14 of 18

Venkatraman Narayanan: We don't split the growth into organic or inorganic. We have given the base for the last year. On that base, we have grown reasonably well in the current year.

Going forward into the next year, this will be the base, and the expectation is to continue the organic growth. We have said that we will be at least 1 to 1.5x market, which is what we have set as a long-term growth target. This is something that we had set out even at the time of our IPO, and we continue to hold on to that.

We are in the planning stage for next year. We'll come back to you after Q4 with what we are seeing. But yes, we are seeing good traction. the new sales engine, the verticalization, the acquisitions that we have made, the consolidation that we are seeing in some of the market spaces, generative AI services kicking in, we should see a decent amount of growth and aided by what we are seeing in the market.

Ram Mohan: We mentioned about the two engines of growth. One is the hiring of Chief Growth Officer looking at the net new accounts and creation of the GenAI business unit. Both these will

contribute to the organic growth.

Ashok Soota: We would be disappointed if we don't move into double-digit organic growth next year. You'll get more definitive ideas about where we are heading when we have done the plan exercise, which we are in the middle of. But we are well poised with all the four transformational agenda helping us increasing organic growth for the next year.

Ruchi Mukhija: For our guidance, you mentioned we want to land as close to 30% mark. This implies a very steep acceleration in March quarter. Now with furloughs rev

ersing, Arththa platform, and a good

seasonality in the quarter, do we imply that the March quarter would be substantially growth quarter?

Venkatraman Narayanan: If you have looked at our quarter-over-quarter, which is Q2 and Q3, we have done 27% to 28%. That's the kind of number that we are going into Q4 and the benefits of some more movements that we get from the GAVS Middle East consolidation and the reversals that you talked about in terms of work days.

But see, we did have furloughs, we did catch up quite a bit of that through certain revenue enhancement measures, which obviously will be a base that we'll have to work on into Q4. But the attempt will be to touch that 30% and as of now, it looks to be about 27%-28%.

Ruchi Mukhija: For insurance vertical do we have direct exposure to the largest insurer in that geography, State Farm Insurance or we are talking a general implication on the insurance vertical?

Joseph Anantharaju: Just talking about general implication on the insurance vertical. Our customers are more Europe based insurance companies. That's where we have larger presence, and those are the customers that I talked about that would be among the top five insurance companies in the world and that we would be focusing on with very specific strategies.

Happiest Minds Technologies Limited

February 05, 2025

Page 15 of 18

Moderator: The next question is from the line of Sumeet Jain from CLSA.

Sumeet Jain: So my questions are largely around your generative AI business. It's still very early days and just three quarters of revenue disclosure from your end. But for the last two quarters, we have not seen any material pickup out there. So I want to understand how are you defining the kind of work what you are doing in generative AI, because when we look at other competitor's reported GenAI revenues or order book, there's a substantial growth. So I just want to understand that.

Sridhar Mantha: So one of the things we have done is that we wanted to closely track what is purely generative AI. There could be always a possibility of a much larger project, which is typically a .NET project or a 3-tier architecture, which also could be having a generative AI component, and a multimillion-dollar RFP, there could be a very small project of generative AI.

Internally, we are very clear of not tracking it. So that way, by creating GBS as a separate business unit, we wanted to completely focus on the generative AI and the solutions primarily around generative AI. So that way the revenue that goes into the PDES or IMSS is not counted as a generative AI-related project.

So that actually makes us purely to track generative AI projects, and that could be one of the fundamental differences compared to many other organizations, which could be having very large projects with small generative AI component and counting on it.

The second thing is, as with any technology adoption, many of the customers are actually in the mode of especially the digital transformation, they want to try a few prototypes and then only they want to move forward.

And that's the reason why we repeatedly keep talking about the POCs. We have very few customers who are either technology pioneers or willing to take the risk, they are willing to make a little bit more progress compared to the POCs. That's how broadly we are looking at the revenues and Ashok and Joseph already covered about the small upticks we started seeing, and we surely will see it in the next couple of quarters.

Market is trying to figure out what they can do with the generative AI technologies compared to any other technology we have seen. Here, the changes and innovations or the new large language models, reasoning models.

So most of our customers are trying to solve very similar problems and trying to figure out how things will work out. Hence, the approach we have taken a couple of quarters before itself is to take a problem that we solve f

or one customer and try to take it to other customers.

Research organizations or academic institutions where researchers are trying to actually look at what they can do with generative AI to help with their research. For example, is most of you will be going to public companies' websites as investors, and there will be a lot of PDFs that are available on the website?

If you really want to know like how it was trending in the last 3 years or how was specific information 1 year back, you have to go to the specific PDFs typically that are posted on the website.

So we created an investor relations BOT which actually uses a large language model and as you naturally can visualize, this is applicable pretty much for most of our customers where a simple chat interface to all the financial information publicly available on a specific organization's website can be conversed against.

We also have taken it along with Microsoft, we have put it on Microsoft Azure Marketplace so that most of our other customers and new prospects can actually utilize this. So similar to this, we have multiple repeatable solutions that we are doing somewhat horizontally in a specific vertical like EdTech`.

Sumeet Jain: So just to clarify, the foundation work in terms of data analysis, data aggregation or some bit of a cloud migration to access to the GPUs, that part of the work is not included in GBS, but rather in IMSS??

Venkatraman Narayanan: Absolutely. That's right, Sumeet. We are trying to be as clear on that distinction, but it's becoming a little difficult because we are not able to figure out when that handover takeover happens, but we are trying to do that to the extent possible.

Sumeet Jain: Are you seeing with the launch of DeepSeek a couple of weeks back, are you seeing the incentive cost to come down materially, that discussion happening with your client base and a lot of POCs probably moving to implementation stages. Any advancement in discussions happening on the back of it?

Sridhar Mantha: So naturally, like when we started six months back with ChatGPT, which is like a extremely large model. And as you rightly point out, inference is quite expensive, and however, in the last 6 months, the industry is constantly coming up with smaller models, which are much more efficient.

DeepSeek I still consider as a revolutionary step on the top of the smaller models. So that way, as part of our work, we are constantly looking at smaller language models, which are typically 1.5 billion to 7 billion parameters as opposed to be extremely large ones, 75-plus billion parameter models

So we already are actually working with our customers on how to make inference much more efficient with smaller language models and DeepSeek turns into a logical next step. With all the innovation happening, there will be many more similar kind of steps. My point is that there are scenarios where we use extremely large language models and there are scenarios where we use smaller language models and market already has quite a few and DeepSeek is the next evolution on the top of it.

Sumeet Jain: GenAI is being counted as to provide significant productivity benefits to the IMSS service line as well as product and digital engineering services. And we saw that one of your larger peers did pass on a lot of productivity benefits to one of the largest Hyperscalers and even you work with Happiest Minds Technologies Limited
February 05, 2025

them. So I want to understand, are you also passing on these benefits to them? Or are you able to retain them?

Venkatraman Narayanan: Yes. See, I think when we started this initiative on GenAI, we found that there were two areas of significant impact. One is on the supply and the demand. I think the demand side; Sridhar has covered it in great detail. On the supply side, the expected contraction at the

development stage

is between 5% to 10%. In new business, we are beginning to see some bit of that. Using AI automation CoPilot and the similar tools, we should see the benefit. So I'm talking about it from a pricing model.

The second is whenever you are in an Request for Proposal (RFP) mode, typically in the IMSS business, there is an ask of saying, there used to be something called efficiency gain that we used to give whenever we start a model for a 3-year, 4-year transition of an infra project, there is always an efficiency gain and frankly, the efficiency gain is a percentage taken based on certain best guess and estimates. Right now, you have tools which permit you to show that and quantify that when you do your RFP.

So 2 ways to look at it. On the supply side, the efficiency gains are being passed on in renewal. But the demand is making up recently, Satya Nadella talked about the Jevons Paradox, where he said that the demand will outstrip the constraints on the supply. So that's what we'll see going

back many, many years.

Ashok Soota: In simpler terms, the fact is that the margins in the business are not going down because of GenAI or productivity improvement. The productivity improved because it brings down our costs obviously, it leads to a lower price for the customer, but that's not at the cost of our margin. So that's when you say, you pass the benefit because you have got a lower cost and now you have passed on that benefit to the customer and the margin remains the same.

Venkatraman Narayanan: The bill rates on GenAI services is superior to even our traditional, but our PDES, Analytics, and related Digital services.

Sumeet Jain: So the margin opportunity is very clear, but does it imply that your revenue opportunity comes down because initially, there is a more deflationary environment and probably the Jevons Paradox kicks in after some time where the volumes come in, which will be reflected in your GBS revenues maybe with a few quarters lag?

Ashok Soota: On all leading applications, you're really seeing the value you're providing to the customer, which they could not have got elsewhere because of the expertise we have built on areas in which we are focusing, doing more and more replicable sales.

When Sridhar talked about replicable sales, frankly, the more you do this, you take the same solution to, say, 3 customers, and we've got many of them even right now in the pipeline. The moment you've done that; your own cost of production comes down far more than the customer could logically have expected. Would this per se have led to reduction in the top line, Not necessarily.

Happiest Minds Technologies Limited
February 05, 2025

Page 18 of 18

It's a little bit of a hybrid here because what you're doing is you're getting more revenue being generated, which would not otherwise have been available. And on a per order basis, you may say, yes, you passed on that productivity benefit. It has cost you a little less and that benefit you passed on, and that reflects as a reduction in what could have been the revenue. So that's what the thing is. The net effect is we're not expecting any decline in revenues as a result. We are really saying we're looking forward to very solid organic growth, particularly with GBS.

Joseph Anantharaju: All the customers that we've engaged with, broadly on the AI side, customers, even last few years, anything related to AI, maybe even data engineering, Snowflake, Kafka, and skills like that. Customers understand that these are high-end skills and therefore, they are willing to pay, as Venkat pointed out, the rates that you get are at a premium for some of these skills, especially on the GenAI side and all of these engagements are being done at a fixed price.

So we do an estimation and we apply the higher rates and we also track the margins from these. They're on the higher side, and there's no revenue drop off. Whatever effort that we are

expanding,

we recover that in terms of the pricing that we use. And in some cases, AWS and Microsoft do land up providing what they call ECIF in Microsoft's case, like seed funding to get some of these things started. A little bit of that gets offsets the customers' cost. But for us, we get whatever revenue for whatever effort that we put in.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question. I now hand the conference over to the management for their closing comments.

Sunil Gujjar: Thank you operator and thank you all for joining us today. We thank ICICI Securities for hosting this call on our behalf. We look forward to interacting with you. You can reach out to us on ir@happiestminds.com. Good day.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2025

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May 17, 2025
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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai 400 051
Stock Code: HAPPSTMNDS

Dear Sir/Madam,
Sub: Transcript of Earnings Call held on May 13, 2025
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III, please find enclosed the transcript of the Earnings Call held on May 13, 2025, post announcement of financial results of the Company for the quarter and financial year ended as on March 31, 2025. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).
This is for your information and records.
Thanking you,
Yours faithfully,
For Happiest Minds Technologies Limited
Praveen Kumar Darshankar
Company Secretary & Compliance Officer
Membership No. F6706

Page 1 of 17

"Happiest Minds Technologies Limited
Q4 FY '25 Earnings Conference Call"
May 13, 2025

MANAGEMENT : Mr. Ashok Soota – Chairman & Chief Mentor
Mr. Joseph Anantharaju – Co-Chairman & CEO
Mr. Venkatraman Narayanan – Managing Director and
Chief Financial Officer
Mr. Rajiv Shah – Executive Director
Mr. Ram Mohan – Chief Executive Officer – Infrastructure
Management and Security Services (IMSS)
Mr. Sridhar Mantha – Chief Executive Officer, Generative
AI Business Services (GBS)
Mr. Sunil Gujjar – Head of Investor Relations
MODERATOR : Mr. Vinesh Vala – HDFC Securities

Happiest Minds Technologies Limited
May 13, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY 2025 Earnings Call of Happiest Minds Technologies hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vinesh Vala from HDFC Securities. Thank you, and over

to you, Mr. Vala.

Vinesh Vala: Good morning, ladies and gentlemen. Thanks for joining us today on Q4 FY '25 earnings call of Happiest Minds Technologies. On behalf of HDFC Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call. Today, we have with us Mr. Ashok Soota, Chairman and Chief Mentor; Mr. Joseph Anantharaju, Co-Chairman and CEO; Mr. Venkatraman Narayanan, MD and CFO; Rajiv Shah, Executive Director; Ram Mohan, CEO, Infrastructure Management & Security Services (IMSS); Sridhar Mantha, CEO, Generative AI Business Services (GBS); Sunil Gujjar, Head of Investor Relations.

I will hand it over to Sunil for safe harbour statement and to take the proceedings forward.

Thanks, and over to you, Sunil.

Sunil Gujjar: Thank you, Vinesh. Good morning to all participants in the call. Welcome to this conference call to discuss the financial results for the fourth quarter and year ended March 31st, 2025. I'm Sunil, Head of Investor Relations. We hope you have had an opportunity to review the earnings release we issued yesterday evening.

Let me now quickly outline the agenda for today's call. Ashok will begin the call by sharing his perspectives on the business environment and our results. Venkat and Joseph will then speak about our financial performance and operational highlights, after which we'll have the floor open for Q&A.

Before I hand over, let me begin with the safe harbour statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically.

Now let me pass it on to Ashok.

Ashok Soota: Thank you, Sunil. Good morning to all the participants in the call. Happiest Minds has delivered an exceptional performance for the year with constant currency growth of 25.6%, which makes the reported fiscal performance the best year since our IPO in absolute terms. The growth was backed by a superior margin profile, which we have maintained in our guided range for 19 quarters in a row.

Happiest Minds Technologies Limited

May 13, 2025

Page 3 of 17

Let me touch upon 10 strategic transformational changes launched by Happiest Minds since FY '24 and going ahead through FY '26. The latest change is the one we announced on 19th March 2025, regarding our Apex organizational structure. As you all already know, Joseph is now our Co-Chairman and CEO. Joseph has been a part of Happiest Minds since its inception, and I am sure Joseph will drive Happiest Minds towards accelerating profitable growth and strategic strength.

Let me start from where these 10 transformational changes began. After a few years of delay, we finally completed 2 acquisitions, PureSoftware and Aureus, whose results were integrated in Q1 of FY '25. The wait was well worth it because both the organizations have a culture, which is like ours. They were both cash accretive and have contributed to our growth, and they have helped us deliver well above industry average performance for the fiscal.

Three more transformational changes followed in the second half of FY '25. We did say these changes would

begin to make an impact in FY '26, which you will see starting from this fiscal.

Reorganizing Happiest Minds on an IG-wise basis and creating 5 new industry groups was the first of those changes that we launched in FY '25.

We were also the very first company to recognize the potential of Gen AI by creating an independent business unit headed by Sridhar Mantha, a Happiest Minds veteran and our erstwhile Chief Technology Officer for 12 years. We appointed Chief Growth Officer, Maninder Singh, and gave him the responsibility for net new sales. Maninder's team is already making visible impact by bringing in new logos. These transformational changes will show great growth in FY '26 and even more so in FY '27, assuring us of healthy organic growth in FY '26 and then FY '27.

In effect, if you see that we have delivered obviously, very good growth in FY '25, we are saying we are well positioned for double-digit growth right through on a 3-year cycle beginning from FY '25. The 4 transformational changes of FY '24 were followed in FY '25 by the organization changes mentioned earlier, and Joseph will talk about the 6th to the 10th transformational initiatives.

I now hand this over to our Co-Chairman and CEO, Joseph, for his address.

Joseph Anantharaju: Thanks, Ashok. Good morning to all of you. Let me start by thanking Ashok and the Board for the trust they have placed in me. I'm very confident of continuing to deliver industry-leading growth based on the quality of our leadership and talent, the transformational initiatives we have

initiated and the strong customer relationships we have developed over the last 14 years. Happiest Minds has delivered yet another year of solid performance across all fronts. The growth was broad-based and across industries and geographies. Product Digital Engineering Services (PDES) led the growth with 27.9% with all our core markets of U.S., India and Europe showing good growth. In the recently concluded customer satisfaction survey, we have received an industry-leading Net Promoter Score of 63, and our customer happiness score has increased to 93%, which reflects the commitment to delivery excellence.

Happiest Minds Technologies Limited

May 13, 2025

Page 4 of 17

During the year, we have added 4 customers in the US \$5 million to US \$10 million cohort, taking the total to 10, and 5 customers into the US \$3 million to US \$5 million cohort, taking the total to 7, validating our sustained efforts to widen our presence among our existing customers with a land and expand strategy. We have 6,632 Happiest Minds. And during the fiscal year, we added 1,464 new Happiest Minds.

As Ashok mentioned, I would like to elaborate on how we are driving transformation through innovation, integration and industry expertise. The recent changes to our apex organizational structure marked the first step in building a stronger future-ready company. The current Executive Board will maintain continuity this year, while we transition to a next-generation leadership team focused on long-term profitable growth.

In the last few weeks, I have been talking to leaders from Happiest Minds, PureSoftware and Aureus to understand their aspirations and forge an integrated organization structure that I target to announce in the next 4 to 6 weeks.

Private equity firms have become increasingly influential with Happiest Minds seeing a significant rise in PE-owned customers. We are shifting from tactical to strategic engagement with PE firms, entrusting this responsibility to a senior leader to lead this effort. Our offerings will support both PE firms and their portfolio companies, including due diligence, post-acquisition road maps, security risk management, modernization, innovation consulting, cost optimization, Gen AI adoption and integration of acquired entities. We will leverage existing customer relationships to build these connections and deliver tailored solutions.

Over t

he past decade, our "land and expand" strategy has grown many accounts to US \$2-\$3 million with some even reaching US \$5-\$10 million. With the Hipo Strategy, we aim to scale key large accounts to \$20 million and create more US \$5-\$10 million by investing in dedicated client partners, aligning incentives and prioritizing these accounts. The formation of a dedicated Net New (NN) sales team has freed up bandwidth to enable this focus.

The move to verticalize has allowed us to bring different functions together and bring a sense of shared ownership and collaboration to enable this Hipo strategy. We also see a strong potential in the expanding Global Capability Centre (GCC) segment. We will tailor our offerings based on GCC maturity from strategy and compliance support for new GCCs to innovation, modernization and data-driven value creation for established centres.

As the IT industry has come under pressure in recent years, we have been feeling that it needs to be strengthened by a Products and SaaS Solutions approach. We were fortunate in gaining one such product, Arttha in the BFSI space through our acquisition of PureSoftware. Our product team has been enhancing the capability of this product and moving to a SaaS platform.

Both the product and the SaaS solution will co-exist. We plan to create a separate P&L and invest in market-specific features and go-to-market strategies for India, while expanding internationally into Europe and North America through partnerships and enhanced digital banking capabilities.

Happiest Minds Technologies Limited

May 13, 2025

Page 5 of 17

The last transformational change I would like to share is our revolutionary health care product, which is expected to be available for launch by Q1 FY '27. Currently, we have the Board of Directors' permission to make a directional statement. The final decision to include this in our offerings will be taken by our Board only when the business plan is ready towards the end of FY '26.

Lest there is a fear that development of the product will require large capital expenditure and strain our resources, let me assure you that even in the first full year, the business will run on a cash positive basis. It's also important to mention that our product is being developed through the unique bioinformatics capability of Happiest Minds, of which we have been speaking during the last year.

Let me share my view on the demand environment. We have put up a great show in an environment of elevated uncertainty amidst higher tariffs, reciprocal measures and continued geopolitical risk. Businesses are recalibrating their approach to work in such an environment by being efficient through streamlining operations and derisking their supply channels. Technology is at the core of such an exercise, and we at Happiest Minds with our AI-led approach are transforming the way our customers operate with our innovative solutions and services. Demand remains resilient in certain industries like BFSI and Healthcare. We are the trusted partners for our customers in their Digital Transformation with cloud, data & AI, Automation and Security being top priorities. In the reported quarter, an American Insurance broker chose Happiest Minds to build their client data portal, leveraging our strong capabilities in Microsoft's Power platform.

Sectors like Manufacturing, Industrial and Retail are seeing softness due to delayed decision-making and a wait-and-watch approach by our clients. We are helping our customers navigate this elevated uncertainty by accelerating their digital transformation initiatives, which reap immediate dividends. For example, in the reported quarter, a U.S. manufacturer of intelligent fluid-flow equipment chose Happiest Minds to build their next-generation connected products to enable Automated Fault Detection and Diagnostics and realize energy savings.

With Gen AI built on top of digital twins in reported quar

ter, we empowered traditional energy

and utility technology enablers with data-driven real-time virtual model that simulate, analyse and predict the operational behaviour and performance of its physical counterpart, eliminating manual bottlenecks in data collection and entry.

Then, as I come to the end of my talk, I want to step back and look at the IT industry. The year FY '25 is witnessing flat growth for some of the majors and negative growth for a few others. We have delivered a healthy double-digit growth, albeit some of it is inorganic. Recent global developments have clouded the prospects for the Indian IT industry.

We want to state empathically that at Happiest Minds, we see no recession-driven slowdown. Thanks to our 10 transformational changes and to our dedicated teams, including those from PureSoftware and Aureus, we see a good view ahead for next 2 years, and we expect to deliver Happiest Minds Technologies Limited

May 13, 2025

Page 6 of 17

healthy double-digit organic growth, not just in FY '26, but also FY '27 due to the momentum we are building up through our 10 strategic transformational changes.

With this note of excitement and the potential of these transformational initiatives, I would like to invite Venkat, our MD and CFO, to share with us our operational and financial performance. Venkat, over to you.

Venkatraman Narayanan: Thank you, Joseph. Good morning to you all. I will start with an overview of our financials, both for the quarter followed by the year and then give some specifics. Our extremely healthy revenue and profitability performance underscores our vision of accelerating profitable growth. We remain committed to balancing growth and margins, ensuring continued value creation for our shareholders.

Coming to revenues, we have done well both for the quarter and the year. Our Q4 revenues in constant currency have grown both sequentially and annually by about 1.1% and 27.9%, respectively. Our annualized quarterly exit run rate in dollars takes us over a quarter billion mark, while delivering compounded quarterly growth rate, CQGR of about 6.3% since our IPO, which is 18 quarters. This is for sure an industry-leading performance.

Operating margins for the quarter is at **■79** crores and 14.6% of revenues. Operating margins have dropped sequentially and year-over-year. This will need a little bit of an explainer. First, during the quarter, we had a sudden reneging on payment obligations by one of our customers, having business with government agencies in the U.S., requiring us to make a provision for bad and doubtful debts of about **■12.4** crores.

Since we ceased work with the customer at the start of Q4, revenue from them also saw a sharp decline during the quarter. We started business beginning of Q3 had a nice ramp-up, and then, we also worked during the month of January. But what we did is we had to make provision for the Q3 revenues and also not recognize revenues in Q4 for any of the revenues from this customer. Adjusted for this bad debt because I see this as a one-off despite all planning and thoughts, our operating margin stands at about 17% and very much like the last quarter.

As I've covered in my earlier interactions, we continue to make investments in our new and incubated Generative AI Business Services, the GBS BU, while adding significantly to our new sales team across the world. Our quarterly investment on the above is about **■10** crores with annual numbers being approximately **■40** crores. Adjusted for the said investment, our quarterly operating margins stand close to the previous year.

Coming to EBITDA, adjusting only for the bad debt that I talked about, we are at 21.4% and

very much like in the previous quarter and in line with our guidance of 20% to 22%. After accounting for investments that I just mentioned on GBS and New-New sales, our EBITDA was largely in line with levels seen in the previous year.

At this point, it's

natural to ask about the status and progress of our GBS and sales investments.

The dedicated GBS unit currently has about 120 dedicated people. They are currently on a utilization of about 34.3%. Meanwhile, our new sales team under Maninder is now 7 members strong, and they are also adding a couple of more people in the team.

Happiest Minds Technologies Limited

May 13, 2025

Page 7 of 17

Suffice to say, these investments are critical for our future and integral part of the transformation agenda covered by Ashok and Joseph. Our investments are beginning to show immense progress and performance and outcomes of these are wired into our growth plans for FY '26 and forward. Now profits before acquisition-related costs is at 13% versus 14.6% in the previous quarter. The drop is primarily on account of the bad debt. Our acquired companies are doing better than what was estimated at the beginning of the year. Earn-outs paid over and above the original provision that we create on account of better-than-estimated performance gets routed through a charge to the P&L. These charges or adjustments are shown as part of our exceptional item. Ideally, such excess provisions or payout should be a capital cost. Our accounting standards have a different treatment for the same.

To give you a context, we have approximately paid US \$90 million for our acquisitions made last year. This is cash and upfront payment that I'm talking about. On top of this, we have performance-based earn-outs for the acquisitions that we have made totalling about \$45 million. The \$90 million upfront plus earn-out for performance on a best estimate basis.

I'm talking about the best estimate basis based on what we estimate, their performance gets accounted as assets and intangibles. Initial accounting for these are all held in the balance sheet with amortization of intangibles and imputed interest cost are charged to the P&L over many years after acquisition.

Now any subsequent measurement of the earn-out, here, I'm referring to the US \$45 million on account of subsequent better-than-estimated performance hits the P&L. In our case, in the current quarter, we have taken an additional such exceptional hit of \$1.5 million. The fact is that better payouts mean better performance. Such variances when compared to the number of earn-outs or intangibles that we have on account of these acquisitions are very small, and in my view bound to happen.

Maybe a little complicated, but what I'm trying to say is the exceptional item that you must have seen in our financials over the last 3 or 4 years, and they are all related to acquisitions, and because of a work or a standard of accounting, we have to take it as a P&L hit even though it's not.

From a business standpoint, what we have done from this quarter is adjust these accounting charges to show an adjusted PAT and adjusted EPS. From a business perspective, in my opinion, these are a better financial measure. Now adjusted PAT for the quarter is 10.1% versus 11.2% in the previous quarter and 14.8% in the previous year. The drop Q-o-Q is on account of the bad debt.

I keep coming back to that and slightly higher tax provisions, while that of the Y-o-Y is on account of the above bad debt and the tax provision and, the investments that we have made into GBS and the new sales team. While on earn-outs, I'm happy to share that the earn-out period for SMI is complete, and the company is now fully integrated into Happiest Minds. We are only now left with earn-outs of PureSoftware and Aureus and that too for 1 more year.

Happiest Minds Technologies Limited

May 13, 2025

Page 8 of 17

Now coming to the full year, we have reported revenues of about ₹244 million for the year, which is a growth of 25.6% in constant currency. In the early days, we had given a forecast of about 28% to 30%. So compared to that, we are slightly short, and I have covered this in all our

earlier interactions. Total income grew 26.4% to ₹2,162 crores. Happy to say that we are a ₹2,000 crore company right now, and that's a threshold that we covered this year.

Operating margins has grown by ₹17 crores, and as a percentage of operating revenue, it is 17.3% compared to 21% in the previous year. Adjusted for the bad debts, our operating margin nicely corrects upwards to 18% and when corrected for the GBS and new sales investments of

approximately ₹40 crores, this becomes 20%.

EBITDA at ₹462 crores, showing an absolute growth of ₹41 crores and at 21.4% of total income is within our guidance range of 20% to 22%. I'm not getting into the details of adjustments for acquisition-related costs and exceptional items, as they have been called out clearly in our presentation and have covered this above in the quarterly level.

Adjusted PAT, which is PAT adjusted for acquisition-related charges and exceptional items give you a better view than accounting noise. Adjusted PAT for the year stood at ₹255 crores, which is about 11.8% versus ₹257 crores in the previous year. Adjusted EPS was almost constant and compared to the previous year at about ₹16.92 per share.

Coming to some of the operational ratios, our cash conversion ratio versus EBITDA continues to be good. Cash on the books at year-end is about ₹1,472 crores. DSO remains stable at about 88 days. We could obviously improve that to 84-82 days that we have seen in the previous quarters.

Our capital return ratios of RoCE stand healthy at 18.3% and RoE at about 11.9%. A slight reduction versus the last quarter because of a reclassification of some of the acquisition carrying costs. We should see this improving in the coming quarters, and our target is to get RoCE back to 20% plus.

Our utilization for the quarter remains stable at about 77.4%. Utilization is something that we could flex to a range of about 78% to 80%, and which is one of the levers available to us going forward. Attrition on a 12-month period has inched up to 16.6%, and we are continuously working on the same and should hopefully see it drop in the next couple of quarters.

Happy to state that keeping in line with our progressive dividend policy and capital allocation discussions, our Board of Directors have subject to approval by the shareholders, recommended a final dividend of ₹3.50 per share. Including the already paid interim dividend of ₹2.50, the total dividend for the year will be ₹6 per share.

My areas of focus for the future will include amongst others, maintaining industry-leading margins. We have sustained 19 quarters of top EBITDA despite heavy investments in transformation, and we aim to preserve and enhance these margins through value creation and effective profit lever management. Mergers and Acquisitions, we will pursue new M&A opportunities and ensure a smooth integration of recent acquisitions. Managing people, culture

Happiest Minds Technologies Limited
May 13, 2025

Page 9 of 17

and outcomes is critical to driving growth and profitability. We start the year with a reasonably strong pipeline of deals.

While organic growth continues to be our foundation, M&A will serve as an additional growth driver. Adapting to industry changes, this will be the final one. The Indian IT sector is undergoing rapid transformation, and we must remain flexible to seize new opportunities.

With this, I conclude my commentary, and we can open this for Q&A.

Moderator: The first question comes from the line of Chirag Kachhadiya with Ashika Institutional Equities.

Chirag Kachhadiya: I have a question on the quarter-on-quarter growth. When you look at the performance, it is on the lower side as compared to our peers in mid-cap and small-cap category have reported. Can you throw some light on why we think there would be headwinds in terms of growth? Secondly, what would be the trajectory for our EduTech vertical?

Venkatraman Narayanan: We have

been ramped up to about US \$1.5 million with that customer that I had mentioned, with whom we terminated the agreement effective January 1st. Still, we had covered up for that and came out with a Q-o-Q growth of 1.1% and a Y-o-Y growth of 26% in constant currency. If you adjust for that, we have done well. I'll turn this over to Joseph for the second part.

Joseph Anantharaju: So, as I've mentioned in the past, the EdTech segment is going through challenges. Edu Tech segment can be broken up into 4 broad sub-segments. The first segment is higher education, which includes organizations such as Pearson and others. Following that, there are universities which form a key part of the higher education ecosystem. Additionally, there is the K-12 sector, as well as the workforce development segment, which focuses on professional training and related areas. Currently, one of the segments facing significant challenges is the higher education sector. They're going through quite a bit of churn for various reasons such as, higher cost of education, drop in enrolments, a decline in enrollments, attributed to a reduction in the teenage population within the catchment area due to lower fertility rates, along with several other contributing factors. Our strategy focuses on expanding our higher education presence by connecting providers with universities. We are currently making progress in this area, with two to three active discussions underway.

The main pivot and strategy that we're doing is to focus more on the workforce development space. As you know, with all the rapid changes like Gen AI and other technological changes and business model changes, upskilling and multiskilling of the workforce is becoming very

important. There is a fair bit of investment going in this space. During our strategy session, we identified this as a key focus area. We have developed strong offerings that are now being introduced to the market. I anticipate that we will continue to make significant progress in this area throughout the year.

Moderator: Next question comes from the line of Aditi Patil with ICICI Securities.

Aditi Patil: My first question is on BFSI and Healthcare vertical. Firstly, during the quarter, we observed a decline in the Healthcare vertical. Could you please provide insights into the factors that contributed to this decrease? Similarly, the BFSI vertical experienced a significant increase in Happiest Minds Technologies Limited

May 13, 2025

Page 10 of 17

revenue. Could you clarify the extent to which the Arttha Banking platform contributed to this growth? Looking ahead, our strategic focus remains on the BFSI and Healthcare verticals for long-term growth. So, what is our growth strategy here in terms of what kind of subsegments or clients are we targeting in these 2 verticals?

Joseph Anantharaju: Let me begin with the BFSI sector, followed by healthcare. The BFSI segment, which has now become our largest by a significant margin, saw contributions this year from PureSoftware and Aureus. As you know, one of the reasons for making these 2 acquisitions was the concentration of revenues in the Banking segment in PureSoftware and Insurance in Aureus and during the quarter, there was a fair bit of contribution from the Arttha Banking platform. Typically, we observe an increase in Arttha revenues during Q4 due to seasonal factors, which has positively contributed to the growth in the BFSI sector.

We did acquire a couple of customers in the Middle East, ADCB and Bank of Muscat. That has also contributed to the growth in BFSI. BFSI is one of the segments that, as highlighted during the last earnings call is beginning to show some green shoots and increased spend. The expectation is that during FY '26, this will be a sector or a segment that will contribute handsomely to our growth.

The other segment that we are quite very bullish about is Healthcare and Life Sciences. During the quarter, we did s

ee a dip because one of our large customers had a cyclical seasonal ramp down during Q3 and the ramp-up was delayed. But towards the end of the quarter, we did see a ramp-up, and that should normalize revenues. In addition, our press release highlighted that we have signed two Statements of Work (SOWs) totaling \$20 million, which are expected to extend into the next year. This development is anticipated to support and drive growth within the Healthcare and Life Sciences vertical.

Regarding our focus areas within the Healthcare sector, as previously mentioned, bioinformatics represents a promising field in which we have been actively investing. We intend to continue these investments and further develop this offering for the market. We're also looking at the medical devices segment that we've been building capabilities in. We have a few customers in this space.

We believe that with more data-driven approach being taken by medical device providers and leveraging data, it will be a good confluence of our GBS Business Unit, Analytics and AI Center of Excellence and our Healthcare capabilities. Pharma continues to be an area of focus because there is some medical device that they also manufacture. Additionally, significant emphasis is placed on leveraging data for molecule discovery and during the clinical trial phases. These are the strategic areas where we will continue to concentrate on our efforts.

The other area that I'd like to talk about is the commercialization phase. Once a molecule has been tested and approved, there is significant opportunity to leverage Modernization, Advanced Analytics, and Data Engineering. Pharmaceutical companies are increasingly focused on developing comprehensive insights into patients and enhancing their consumer data platforms. By applying sophisticated models to better understand this data, we can provide valuable support to these organizations in optimizing their data-driven strategies.

Happiest Minds Technologies Limited

May 13, 2025

Page 11 of 17

Aditi Patil: You have announced the Healthcare product in bioinformatics. So what would be the amount of capex, which you would be investing for the same in FY '26?

Joseph Anantharaju: We are still in the exploratory phase and putting a business plan together. We are making some investments that are already included in the plan and the capex requirements will be finalized upon presentation of the plan to the Board. Once we launch this in FY '27, we expect it to be cash positive, right in the first year. So, I don't see much of an impact from a capex standpoint out here.

Aditi Patil: Okay. But so, the capex investments or the investments in the product would start from FY26 itself, right?

Ashok Soota: At the moment the product is being developed, and it's really a billing opportunity for Happiest Minds. So therefore, when we talk about all these SOWs that Joseph had talked about, one of them is this. We may decide to take the product to the market ourselves, in which case, we would still have a positive cash flow.

Aditi Patil: Regarding the IMSS vertical, an analysis of the segmental margins reveals a significant decline both year-over-year and quarter-over-quarter. Could you please clarify the factors that contributed to this decrease?

Ram Mohan C: If you really look at the last quarter, we had acquired the Middle East business of GAVS Technologies. It was predominantly onsite centric, which carried significantly lower margins. This aspect was the main factor contributing to the overall reduced margins, as most of the work done there was onsite.

Moderator: Next question comes from the line of Piyush Pandey with Centrum Broking.

Piyush Pandey: I want to know like what are the key projects which you are doing in the Generative AI space for your clients?

Sridhar Mantha: Regarding the total number of projects over the past 12 months, beginning from zero, we are currently managing 35 disti

nct projects, Piyush. Additionally, I would like to reiterate one example that Joseph mentioned during his opening remarks. I'll give a couple of examples, and I'll then talk about broadly what they are.

We are collaborating with a global leader in software solutions for electrical power systems. However, the process of creating digital twins of field motors by collecting motor data has become increasingly prone to errors. We have developed a generative AI solution capable of rapidly interpreting multiple motor parameters by analyzing just two or three images captured by field personnel. Leveraging advanced large language models, this system accurately extracts and understands critical information from the images, effectively eliminating errors in data entry. As a result, this innovation significantly enhances the overall efficiency and accuracy of digital twin implementations.

We are doing many repeatable solutions, which in the previous sessions, Ashok addressed this topic, highlighting that one key aspect involves interacting with data. Enterprises largely operate Happiest Minds Technologies Limited

May 13, 2025

Page 12 of 17

based on data, and despite the advancements in business intelligence and the simplicity of reports, it remains challenging for individuals who are frequently on the move.

We created an interaction to the data kind of solution, so that the people can quickly ask a question against complex databases and warehouses and data lakes. We are collaborating with a participant management firm and a supply chain provider to integrate a Generative AI solution into the platform. This integration enables users to simplify complex business intelligence and data analysis by posing straightforward questions in natural English, receiving accurate and relevant responses.

In conclusion, I would like to highlight that has been instrumental in driving numerous Proof-of-Concept projects, with over 50% of them progressing successfully into production.

Recently, we have begun developing more sophisticated solutions that leverage generative AI as an integrated component rather than as standalone applications. These solutions involve building complex backend architectures in conjunction with front-end interfaces, including kiosk systems, avatar-based interactions, and chat-based platforms. Currently, we are implementing this advanced solution for a major airport in the United States.

Piyush Pandey: How do you plan to reach revenue of \$1 billion by FY'31?

Ashok Soota: Given the industry has experienced a slowdown over the past couple of years, our performance has remained strong. However, we were still affected to some extent, which limited our potential for even higher results. Now we are looking at this, and we are very optimistic about the current year and we will maybe do a cost correction by saying we'll need a year or 2, in order to reach the level.

The objective will remain unchanged; however, we will conduct a thorough evaluation of this during the next quarter and if not by October of this fiscal, we will restate where we stand on that goal as it is a matter of good governance. I appreciate you raising this point. Now that it has been addressed, we should either reaffirm our commitment to the original timeline or consider adjusting the date by one or two years.

Moderator: Next question comes from the line of Vinesh Vala with HDFC Securities.

Vinesh Vala: So, given some softness in the EduTech sector, how are we capitalizing on the high-growth verticals like Healthcare and BFSI? What are the specific strategies will be used to drive the growth in these verticals? One more thing in this quarter, our Healthcare vertical had a sequential

decline. Is it related to any client-specific issue or some issues overall?

Joseph Anantharaju: Let me begin with the Healthcare vertical, followed by a discussion on BFSI. Regarding the quarter-on-quarter performance in the Health

care vertical, as I mentioned earlier, the fluctuation

is primarily due to one of our major clients in this sector implementing a seasonal ramp-down during their fiscal Q4, which corresponds to the October to December period.

The ramp-up was delayed because of which we've seen an impact for revenues during the quarter. Having said that, we remain extremely bullish on the Healthcare segment. We have

Happiest Minds Technologies Limited

May 13, 2025

Page 13 of 17

signed a couple of SOWs totalling US \$20 million, which will start yielding revenues. In a couple of cases, we've already ramped up the teams, and it's positively impacting our Q1 revenues.

The focus or the areas of focus in Healthcare will be bioinformatics. Our focus extends beyond the product we discussed to include the range of services we provide to our customers, particularly in the medical devices sector, where we leverage extensive data and advanced AI technologies. Additionally, we are actively exploring opportunities within the pharmaceutical industry to assist clients in accelerating the development of new molecules and streamlining clinical trial processes, again utilizing data-driven insights and AI capabilities.

During the commercialization phase, customers focus on how to ensure seamless access to data and effectively leverage the comprehensive patient data collected to inform and enhance their sales and marketing strategies. These are the key areas of emphasis we will be addressing within the pharmaceutical sector.

Ashok Soota: This is in addition to the seasonal ramp-down noted with one of our customers. A significant factor was that a major customer completed a project and subsequently initiated a new platform.

While the new platform took some time to gain momentum, it is now progressing at full speed.

As Joseph mentioned, that's getting reflected in the next quarter data or the current quarter data.

Joseph Anantharaju: On BFSI, one of the areas that is showing a lot of promise and good growth is the Arttha Banking platform from 2 angles, one is the direct revenues that it provides as also the pull-through revenues once you implement Arttha. It also helps us differentiate with some of our banking customers.

Again, taking a product or a solution-centric approach in the Insurance space, we have come up with an insurance in a box concept, which leverages a customized low-code, no-code platform on which we've built various components of the typical insurance workflow. We are taking this as an 80%, 90% baked solution to the mid-market segment in the insurance space. Our hope is that we will be able to scale this to the larger insurance providers as well.

The third area that we're looking at in both Insurance and Banking and especially in Insurance is how do we help customers customize their approach to their CRM solution by helping them move away from the standard CRM solutions that are available out there and build customized CRM solutions that are data-driven and then ensure that underlying that would be your customer data platform that will allow for, a lot of Analytics & AI to be superimposed on top of this. It could be platforms like Palantir or Azure on the data lake side.

The other area we're looking at with customers in the banking and insurance space is helping them in modernizing some of their customer experience. Several organizations digitized their offerings approximately a decade ago. Since then, significant advancements have been made, including the integration of generative AI interfaces and the modernization of customer experience on the front end.

Many customers are actively exploring ways to modernize their systems, particularly as legacy platforms have not kept pace with recent technological advancements. This creates opportunities

Happiest Minds Technologies Limited

May 13, 2025

Page 14 of 17

to extract specific functionalities and assist customers in developing

customized applications or

platforms. Our solution, Arttha is designed to address this need. Additionally, some customers prefer to build their own tailored applications. These are among the key offerings we provide to clients in the BFSI sector.

Moderator: Next question comes from the line of Sumeet Jain with CLSA.

Sumeet Jain: You have started disclosing your revenue proportion from GEN AI business segment and it's just 2% of your overall revenue and when compared to the offerings from Accenture or

Capgemini, this represents approximately 5% to 6% of their total business.

Could you clarify whether your position is somewhat behind that of the larger peers in the industry, or if the difference lies in the definition itself? Additionally, could you explain how a company like Happiest Minds, with revenues in the US \$200 to US \$250 million range, can more rapidly pivot its business towards a fast-growing service line?

Joseph Anantharaju: I think it's how each company defines Generative AI; you can add data element to it. We believe that the revenues that we're getting is industry leading. Could we do more? Absolutely, and that's a goal that we've taken for ourselves.

We categorize the revenue generated from generative AI into three distinct sources. The first is direct revenue, which we have approached with considerable rigor and have consistently reported. The second comprises other AI and data-related components, primarily delivered through our Analytics and AI Center of Excellence capabilities. Lastly, there is pull-through revenue, which represents the third source.

As Sridhar pointed out, customers are taking a Gen AI-first approach. They're building a back end and putting a Gen AI front end to it. And that's the third element. The back end that we build for our Gen AI-first solutions is the other source of revenue.

We are fully confident that the team we have assembled and the capabilities we have developed in this area are on par with, if not superior to, those of other companies out there. This is reflected in the number of conversations that we have been having with our customers.

We have engaged in over 40 to 50 discussions and developed multiple Proof-of-Concepts, including several highly compelling use cases. Moving forward, we remain committed to enhancing and expanding our capabilities. That's the reason why we built this as a separate business unit with its own P&L, CEO, COO and leadership practices, delivery and sales structure. So, we're making all the right investments. We have the capability, and we expect traction to continue increasing during FY '26.

Sumeet Jain: Could you please provide an overview of the common unit metrics and contract characteristics used in the industry? Specifically, I would like to understand how pricing and profitability are typically structured. Additionally, could you clarify whether contracts tend to be more fixed-price or time-and-material based? Any insight you can share on this would be greatly appreciated.

Happiest Minds Technologies Limited

May 13, 2025

Page 15 of 17

Joseph Anantharaju: I think most of the work that we've been doing so far, has been fixed price because you initially have conversation with the customers, scope it out. In numerous instances, we collaborate closely with customers to refine and iterate the business use case. This involves engaging directly with them to develop a comprehensive list of use cases and prioritizing those with the potential for immediate impact. Additionally, in certain situations, we partner with organizations such as Microsoft and AWS to secure initial funding to support project initiation. Typically, these engagements are structured on a fixed-price basis.

In terms of pricing, this does get us premium pricing because it's a differentiated capability, a cutting-edge capability. At the same time, due to the necessity of building capacity and capabilities in advance, the u

tilization rate within this business unit is currently lower. However, as we secure increasing volumes of business, we anticipate a corresponding rise in utilization, which will positively influence both the profitability of the business unit and the overall company performance.

Sridhar Mantha: In the Q1 and Q2 of the last year, we used to have heavily the fixed bid projects because the clients are trying to address a point problem leveraging generative AI. Over the past few quarters, we have gradually transitioned to alternative engagement models with select customers who have provided clear roadmaps outlining the generative AI features they intend to implement. This has enabled us to adopt an expanded engineering approach.

Additionally, in the large airport example I provided, we have begun to observe increasingly substantial Request-for-Proposals that incorporate generative AI as a central feature. This trend is expected to continue throughout the year, leading to larger engagements, the deployment of multiple use cases into production, and consequently, more extensive Request-for-Proposals. When it comes to utilization, it was strategically planned compared to other business units.

Given technology's novelty and emerging nature, we have a sizable internal team focused on developing prototypes, demonstrations, and building competencies. These team members subsequently transition into client projects, advancing Proof-of-Concepts (POCs) to customers and successfully converting them into ongoing client engagements.

Joseph is highlighting that, compared to the previous financial year, we are gradually progressing towards improved utilization in the current financial year. But still considering the overall technology space, we still will be having a relatively larger pool of the people, who will

continue to do Research & Development and keep creating new solutions.

Sumeet Jain: My last question is around your utilization. You guys obviously are operating at 77%, 78% levels. But when I look at the larger peers, they are at mid-80s, Accenture is at 91%. So, is there like a difference in the way these are being calculated across companies, but I fail to understand how utilization for you is far lower than larger peers?

Venkatraman Narayanan: It's got to do with the way things are calculated. We have always said that our maximum possible utilization is between 83% to 85%. The formula is Billed days by Billable days. The definition of capacity also varies between customers. So, the uniform definition is something that we need to clear up.

Happiest Minds Technologies Limited

May 13, 2025

Page 16 of 17

So, our is the maximum possible is 83%, 84%, and we are at about 77.4%, within which GBS is at about 34.3%. There is quite a bit of room for improvement in GBS to work up on the utilization front. PDES is about 78.4%. PureSoftware is at 88.7%. I would say, if you keep those metrics, we have got a headroom within BUs and at the company level to do better on that front.

Moderator: Next question comes from the line of Sushovon with Anand Rathi.

Sushovon: Just a couple of questions. One is, how would you categorize the organic and the inorganic growth in Q4 and FY '25? The second question was basically on the acquisition-related amortization. It's almost ₹51 crores in this financial year. How should we model that for '26 and '27 along with those exceptional items, which you mentioned?

Venkatraman Narayanan: So, we have not been giving a split between the organic & inorganic because if you look at it, PureSoftware and Aureus has been with us for almost all the year, started in Q1, so 11, 11.5 months. In fact, Aureus is fully integrated, and PureSoftware is working very closely with us. So, it's not easy to give an exact number of who did what and how do you attribute revenues. As far as amortization is concerned, you're right, ₹51 crores is what we have. This outcome, while n

ot entirely unexpected, reflects the inherent costs associated with acquisitions.

Specifically, it involves the amortization of intangible assets over the estimated customer lifecycle. Typically, intangible assets are amortized over a period of 5 to 7 years. However, in cases involving products such as Artha Banking, a different amortization framework may apply. Frankly, although there is some scientific basis for it, this represents a cost that, from my perspective, contradicts fundamental business logic since it does not involve replacing anything with this money. But in any case, you should see intangible at about ₹49 crores to ₹50 crores next year as well, in fact, slightly higher maybe because you will have some part of the intangible being again tested for impairment. From an estimation perspective, please consider applying a comparable figure and impact for an additional 30 to 40 days over the course of the next year. In terms of exceptional item, we estimate a certain payout at the beginning of the year for earn-outs. We did US \$90 million worth of acquisition and \$45 million is earn-out. So, you see there is a huge amount of earn-out. Accounting necessitates making an initial estimate regarding the portion of the \$45 million that is expected to be collected. This estimate is recorded on the balance sheet as an intangible asset and is subsequently amortized over time.

If my assessment is somewhat conservative, it can affect the payout when actual performance exceeds expectations. Therefore, it is important to strike a balance between quantifiable performance metrics and the intangible aspects of performance, and to progressively adjust these evaluations on a quarter-to-quarter basis. I believe these adjustments should be made to the PAT or PBT, as none of the items represent cash charges-except possibly the earn-out. Essentially, we are compensating based on performance, so if an individual exceeds our initial estimates, we are paying them a slightly higher amount.

From my perspective, a debit related to exceptional items or additional payouts is positive news, as it indicates better-than-expected performance. Conversely, a credit is less favorable, as it suggests results below my initial estimates. My hope is always that the actual outcomes exceed

Happiest Minds Technologies Limited

May 13, 2025

Page 17 of 17

our projections, which would be reflected in the purchase consideration. In both cases, accounting standards require these adjustments to be recognized in the profit and loss statement.

Moderator: Thank you. On behalf of Happiest Minds Technologies, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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August 04, 2025

Listing Compliance & Legal Regulatory
BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Stock Code: 543227, 974820 & 975101 Listing & Compliance

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra East, Mumbai 400 051

Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on July 30, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Para A of Part A of Schedule III, please find enclosed the transcript of the Earnings Call held on July 30, 2025, post announcement of financial results of the Company for the quarter ended as on June 30, 2025. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

T

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

P

Raveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 15

"Happiest Minds Technologies Limited
Q1 FY '26 Earnings Conference Call"
July 30, 2025

Management : Mr. Ashok Soota – Chairman & Chief Mentor
Mr. Joseph Anantharaju – Co-Chairman & CEO
Mr. Venkatraman Narayanan – Managing Director
Mr. Rajiv Shah – Executive Director
Mr. Ram Mohan – Chief Executive Officer – Infrastructure
Management and Security Services (IMSS)
Mr. Sridhar Mantha – Chief Executive Officer, Generative
AI Business Services (GBS)
Mr. Anand Balakrishnan – Chief Financial Officer
Ms. Priyanka Sharma – Head of Investor Relations

Moderator : Ms. Aditi Patil – ICICI Securities

Happiest Minds Technologies Limited
July 30, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Happiest Minds Limited Q1 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the

listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded. With this, I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.

Aditi Patil: Thank you, Samiya. Good morning, ladies and gentlemen. Thank you for joining us today on Q1 FY '26 Earnings Call of Happiest Minds Technologies Limited. On behalf of ICICI Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call.

Today, we have with us Mr. Ashok Soota, Chairman and Chief Mentor, Mr. Joseph Anantharaju, Co-Chairman and CEO; Mr. Venkatraman Narayanan, Managing Director; Mr. Rajiv Shah, Executive Director; Mr. Ram Mohan, CEO, Infrastructure Management and Security Services; Mr. Sridhar Mantha; CEO, Generative AI Business Services; Mr. Anand Balakrishnan, CFO, and Ms. Priyanka Sharma, Head, Investor Relations.

I will hand it over to Priyanka for safe harbor statement and to take the proceedings forward.

Thank you, and over to you, Priyanka.

Priyanka Sharma: Good morning to all participants in the call. Welcome to this conference call to discuss the financial results for the first quarter ended June 30, 2025. I'm Priyanka, Head of Investor Relations. We hope you have had an opportunity to review the earnings release we issued yesterday.

Let me quickly outline the agenda for today's call. Ashok will begin the call by sharing his perspectives on the business environment and our results. Joseph and Venkat will then speak about our financial performance and operational highlights, after which we'll have the floor open for Q&A.

Before I hand over, let me begin with the safe harbour statement. During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry a risk in terms of uncertainty because of which the actual results could be different. We do not undertake to update those statements periodically.

Let me now pass it on to Ashok. Ashok, over to you.

Ashok Soota: Thank you, Priyanka. Good morning, everyone. It is truly a pleasure to have you with us today as we step confidently into a new fiscal year. In Q1 FY '26, Happiest Minds has powered ahead, delivering 17.5% year-on-year growth in constant currency and maintaining a robust margin of 21.4%, firmly within our guided range.

Happiest Minds Technologies Limited

July 30, 2025

Page 3 of 15

Our EBITDA this quarter stood at ■ 124 crores, achieving a standout 12.9% sequential growth, well ahead of most peers and industry trends. In a quarter where most reported muted or single-digit growth, our strong profitability and disciplined execution clearly sets us apart.

What makes this milestone even more significant is that we achieved it while continuing to invest deeply in our future, strengthening our delivery ecosystem, scaling our platforms, driving innovation across our focused verticals and making sustained investments in the GenAI business unit and in the Net New sales unit.

Friends, as shared in our last call, over the past two years, we have launched ten transformational initiatives, and it is gratifying to see them now taking root and delivering tangible results. These initiatives are helping us not only to grow but also broaden our horizons, unlock new opportunities and shape the digital landscape ahead.

We are proud to have delivered another quarter of double-digit growth, backed by a supe

rior

margin profile, which has been sustained for 20 consecutive quarters, earning our customers' trust as their advisors and co-creators in shaping their digital journeys.

Last quarter, we announced that Joseph has become the Co-Chairman and CEO as a part of our planned succession. Joseph brings his steady vision and deep commitment to drive profitable growth and strategic strength. Let me touch upon the four most prominent strategic transformations that have touched and shaped this quarter's performance and will continue to drive value in the years ahead.

Through our acquisitions in the previous financial year, we have significantly deepened our capabilities in BFSI and accelerated our leadership in AI-driven digital transformation. These entities are now fully integrated into the Happiest Minds fabric, delivering innovation across 13 countries and powering performance that is well above industry benchmarks.

Three other significant transformational changes were introduced in the second half of FY '25, and we had shared that the impact would become visible in FY '26. We are seeing exactly that unfold this quarter and will continue hereafter.

Reorganizing Happiest Minds on six industry verticals basis was one of these changes. We are

noticing that this verticalization strategy is already fuelling accelerated growth in Travel, Media & Entertainment and Manufacturing. BFSI has become our largest vertical, and Healthcare, our third largest, is also gaining strong momentum.

At the same time, our focused investments in the GenAI business unit under Sridhar Mantha's leadership, and the Net New sales engine under Maninder Singh are not only advancing this quarter's growth but have also built a strong foundation for sustained high-quality growth in the quarters ahead.

Friends, as you are aware, the global IT industry continues to face its own set of challenges with many peers reporting flat or subdued performance. Our 10 strategic transformation and focused investments have enabled us to navigate this environment with clarity and conviction, driving growth ahead of industry levels.

Happiest Minds Technologies Limited
July 30, 2025

Page 4 of 15

We believe the impact of these transformational changes will continue to drive strong momentum through the coming quarters this year and even more so in FY '27. We are confident that this momentum will help us deliver double-digit growth over a three-year cycle that began last year and will carry through FY '27.

On that note of confidence and progress, I will now hand it over to our Co-Chairman and CEO, Joseph, who will bring these strategies to life with stories from the ground, recent wins across our business and updates on the other key initiatives.

Joseph Anantharaju: Thank you, Ashok, and good morning to everyone on the call. I'm delighted to share that this quarter has been another period of solid growth and outstanding performance for Happiest Minds across all fronts.

Leveraging the strong foundation we have built and the 10 transformational initiatives underway, we are seeing momentum accelerate across our key business units and geographies, translating into strong double-digit YoY growth of 17.5% in Constant Currency and healthy profitability.

Active customers have grown from 281 to 285 and million \$ customers have increased from 57 to 59, showing how we are deepening relationships and converting early engagements into multimillion-dollar partnerships. Repeat business remains strong at 94%, a consistent metric that reflects both customer loyalty and the stable growth engine.

Let me briefly touch upon the demand environment. The global IT industry continues to face a mixed environment marked by macroeconomic and geopolitical uncertainty. At the same time, customers need to execute on their digital and AI strategies to remain competitive and deliver growth.

Demand remains resilient in key verticals such as BFSI and

Healthcare, while Technology,

Media and Entertainment and Manufacturing are beginning to show early signs of renewed investment. Against this backdrop, Happiest Minds has delivered a standout quarter.

In an environment where customers are seeking partners to help them achieve more with less, modernize data and adopt AI, GenAI for greater efficiency and resilience, our continued investments in these areas are clearly paying off. These focused investments have translated into strong results across our portfolio.

Our GenAI business unit led the way this quarter with 14.5% sequential and 89.8% year-on-year growth while showing significant traction with multiple pilots scaling into long-term engagements and utilization improving sharply from 34.3% to 40.8%.

IMSS is driving growth with stronger realizations and three new global clients added this quarter, and both IMSS and PDES delivered healthy year-on-year gains, underscoring the broad-based momentum we are building.

I'm also delighted to share that our annual flagship tech event Blitz 2025 concluded successfully on 24th July. Under the theme Generate and Innovate, our teams showcased how we drive

Happiest Minds Technologies Limited

July 30, 2025

Page 5 of 15

disruption, innovation and acceleration, highlighting our commitment to building future-ready solutions and platforms. Many of the solutions and concepts showcased in Blitz hold huge potential and should contribute to our growth in the coming years.

When I look at this quarter, I see our three pillars of unifying strengths, igniting innovation and cultivating enduring partnerships coming alive in tangible ways. When I stepped into this role, I carried a clear vision to build Happiest Minds into an organization that integrates seamlessly, innovates relentlessly and forges partnerships that stand the test of time. This quarter, that vision

is translating into action and measurable results.

We are unifying strength by integrating our acquired entities, harmonizing processes, platforms and talent to build a stronger, better and bigger organization. We're igniting innovation by investing in next-generation solutions advancing cloud, AI and GenAI offerings and leveraging domain expertise to power client transformations.

Third, we are cultivating enduring partnerships with some of the leading technology companies, deepening engagements, co-creating on priorities and earning long-term trust. Let me share a few stories from the ground.

A leading U.S. airport chose us to reimagine their customer interaction platform, not as a proof of concept, but as a full production-grade GenAI deployment, transforming passenger experiences in the airport. In BFSI, an insurance major entrusted us to automate critical workflows using Microsoft's Power platform.

In Australia, a mining services company engaged us to overhaul IT infrastructure and cybersecurity at a time when operational resilience is a Boardroom priority. We're also working with a global home improvement retail chain on custom finance and IT solutions and with a multinational logistics company to embed GenAI into the operations. These are some of the many wins powered by our investments in Net New Sales, combined with a proven land-and-expand approach.

Our industry group verticalization strategy is also showing results. We are seeing strong momentum in Technology, Media and Entertainment and in Industrial & Manufacturing with the resurgence in discretionary spending. BFSI, our largest vertical, contributing 26% to revenues, and Healthcare, our third largest vertical, continue to build on their momentum. We're also witnessing strong traction in global capability centers or GCCs and within the private equity ecosystems. We continue to support the PE portfolio companies in their post-acquisition journeys, unlocking synergies while enabling GCCs to modernize operations and deliver greater value. These initiatives are

gaining momentum, and we expect them to drive meaningful results and growth in the coming quarters.

Our product-led SaaS strategy is another important driver. Arttha, our flagship unified banking platform, is showing encouraging signs of expansion. In BFSI, our Insurance-in-a-Box is replacing fragmented systems with a unified low-code solution that streamlines insurance operations, accelerates product launches, lowers costs and ensures compliance. Together, these efforts are enabling insurers and UMAs to operate smarter, faster and at scale.

Happiest Minds Technologies Limited

July 30, 2025

Page 6 of 15

Our revolutionary Healthcare product built on unmatched bioinformatics capabilities and collaboration with leading research institutions is progressing well too, with development on track for a potential launch by Q1 of FY '27.

In Q1 FY '26, we delivered EBITDA with a 21.4% margin, achieving 12.9% sequential growth. Sustaining this level of profitability while integrating acquisitions, investing in GenAI and strengthening our sales engine is a testament to the resilience and scalability of our business. When you connect the dots, our strategic transformations and focused investments are clearly driving strong financial outcomes, telling a compelling story of purposeful change, seamless integration and long-term value creation.

Friends, as I reflect on this quarter, it is clear, in a challenging industry demand environment, our transformation initiatives are working. Our growth is broad-based and our outlook remains strong.

With that note of confidence and excitement about the road ahead, let me now hand it over to Venkat, our Managing Director, to walk you through the numbers and share how we are thinking about the future. Venkat, over to you.

Venkatraman Narayanan: Thank you, Joseph, and good morning, everyone. The next few minutes, I'll cover the financial and operational highlights of the quarter, first quarter of FY '26. To start with, we have posted a very encouraging set of numbers. Seeing numbers and results ticking in from others in the industry, I do feel even more so.

At \$64.4 million, we have shown a sequential growth of 2.3% in dollar terms. Coincidentally, growth in constant currency has been also at 2.3%. Our year-over-year growth on discount was 16%. This is the 20th quarter after our IPO where we have shown sequential and year-over-year growth in our revenues. Our revenue CAGR in constant currency, if counted from IPO, is about 25%.

Coming back to the quarter, in rupees, we reported a total income of ₹ 580 crores, a growth of 18.5% year-over-year. I would like to mention that our results reflect our unwavering focus on growth alongside with profitability.

Operating margins at 17.6%, showing a sequential growth of 19.7%, reflects a swing back over

the temporary dip we saw in the previous quarter. Year-over-year, growth of 5.8% in our operating margins despite continued investments in our Generative AI business, new sales engine and other transformational agenda items reflect our commitment to our vision of profitable growth.

If you look at our segmental results, Generative AI Business Services has broken even at an operating margin level this quarter. This is a swing from a loss of about ■ 2.53 crores in the previous quarter to a marginal profit of ■ 24 lakhs this quarter. This business ran at an average utilization of about 55%.

Our opportunity cost, or rather, I would like to call investment in the segment, for the quarter continues to be about ■ 3 crores. That's computed on the basis that Generative AI services if it

Happiest Minds Technologies Limited

July 30, 2025

Page 7 of 15

was to deliver the similar levels of profitability as our PDES business or slightly higher, we should have seen a margin increase by about ■ 3 crores.

Now if you adjust our operating margin for the above number and similar investments in our new sales eng

ine, the number on profitability or operating margin we would guess is about 18.4% to 18.5%. I referred to these adjustments to highlight the path we are taking to improving operating margins as we will see some cost pressures going forward into Q2 due to our planned pay increases.

In sum, efficiency in our established businesses payback start from our new business segments of Generative AI and our new sales engine and some bit of luck or benefit from foreign currency movements will be definitely required to mitigate people cost increases that we'll see in the coming quarters.

Now coming to EBITDA, we are back to 21.4% for the quarter, which is about ■ 124 crores.

Our profit margin percentage is within our estimated range of 20% to 22% on total income.

Sequential & year-over-year growth in EBITDA was 12.9% and 6.3%. I will not delve too much into these as I've covered the rationale for growth and improvement while talking about operating margins.

Our PAT for the quarter at 9.9% and ■ 57 crores showed a sequential and year-over-year growth of 68% and 12%, respectively. Adjusted EPS, as I mentioned in my earlier call, a better indicator of stable shareholder return, was ■ 4.55 for the quarter.

Coming to certain operational metrics, utilization for the quarter stood at 78.9%. This has been the best in the last 9 quarters and reflects some of the steps taken towards improving efficiency in delivery and demand-aligned resourcing that we are resorting to. As we had shared in our previous call, enhancing utilization remains a key priority, and we are pleased to see our efforts yielding tangible results.

We ended the quarter with 6,523 Happiest Minds, showing a reduction of 109, while gross additions were close to 150. Our attrition has trended upwards to 18.2% and efforts are on to manage this and bring this in line with previous quarters.

Our DSO has slightly increased to 91 days, and we are trying to reign that in and bring it closer to a long-term average of between 85 to 88. Capital return ratios of ROCE and ROE have shown substantial improvement to 23% and 14%, respectively.

On customer metrics, we increased our \$1 million clients to 59 from 57 in the previous quarter.

Total customer increased on a net number basis by 4 to 285. Billion-dollar customers have stayed constant at 85 and so has the average revenue customer remaining range-bound at about \$900,000 per customer.

Looking ahead, we'll continue to drive growth in areas like Cloud Data, Cybersecurity and AI-led transformation in our verticals of focus while maintaining financial discipline. For the year, our effort is to deliver double-digit growth in constant currency while maintaining our EBITDA margins in the range of 20% to 22%. Thank you for your time and continued trust.

Happiest Minds Technologies Limited

July 30, 2025

Page 8 of 15

Moderator: We'll now open the call for questions.

Moderator: The first question comes from the line of Ruchi Mukhija from ICICI Securities. Please go ahead.

Ruchi Mukhija: Firstly, the question on your geographic growth mix. This quarter, we saw a sequential revenue decline in our largest market, the US this quarter. Concurrently, revenue from our top client also declined. So could you help us understand how the U.S. market performed for us outside the top accounts?

Joseph Anantharaju: If you see, one of the criteria for the acquisitions we made last year was the diversification of

our geographic revenues. If you recall, a year or maybe 1.5 years back, our share of revenues from U.S. was around 75%, which was uncomfortably high, and through organic means and inorganic means, we've been able to diversify. So, it's a deliberate strategy to get the share of U.S. revenues to around 60%.

Now there has been a small sequential decline in the revenues from India, and there are a couple of reasons to this. The first reason is that one of our customers had a 1.5-year program t

hat just

got completed. We finished it in Q4, and we've not redone the engagement, and that had some impact.

Secondly, we had a customer that is relooking at their overall strategy, and they had paused a couple of their programs. But as I mentioned earlier, I think while there are some challenges in the macroeconomic and geopolitical environment, I see resilience in the demand environment and customers wanting to undertake and execute on their strategic initiatives, especially in the second half of Q1 and I think this momentum will carry over into Q2.

Ruchi Mukhija: My second question was for your geographies, which saw a very strong growth this quarter, India and APAC. So, do we expect this kind of momentum from India and APAC to continue in the near future?

Joseph Anantharaju: If you look at the growth from India and APAC, It is much on the higher side in this quarter. So, while I expect the growth to continue, it would not be at the same level. But if you look at APAC through our acquisition of PureSoftware, we did get a couple of large accounts. Out of those accounts in the BFSI space, one of them is a leading Banking and Financial Services company. We are doing most of our work with the units in APAC, and that's shown very good growth. We have solid relationships, good track record, and we expect this account to continue growing and get into the \$10 million range by end of the year.

In India, we do have a Healthcare company that we're working with, which has done quite well. We have also transitioned several engagements previously managed by the U.S. entities to our India and GCC centers, and we are actively collaborating with the GCC teams. Consequently, the transfer of funds from the U.S. in dollars to India has contributed to the slight decline in North America revenues that you referenced, while simultaneously driving growth in India. Having said that, I think India is a geo that we are quite bullish about. Probably our share of revenues from India is among the highest and just given the continued growth rate in the US GDP this is a geo that we will continue focusing on.

Happiest Minds Technologies Limited

July 30, 2025

Page 9 of 15

Ruchi Mukhija: Last quarter, we had mentioned that we will relook at our \$1 billion revenue target. Could you please share any updates regarding our \$1 billion revenue target that we had earlier set?

Joseph Anantharaju: As part of our vision, we had set ourselves a goal of being a \$1 billion company by FY '31, and the market environment in which we had set that goal was a more conducive environment. There were several other goals that we have set as part of that vision on which we're progressing well. If you really look at our CAGR from FY '21 to FY '25, we've done a CAGR of 23.5%. And to get to \$1 billion by FY '31, we'll need around 22% to 23%. So it is doable, but the market conditions are a little different as we pointed out last time. We are tracking and reviewing the situation and when we feel that we need to make an announcement or an adjustment, we will come back.

Moderator: The next question comes from the line of Ms. Aditi Patil from ICICI Securities.

Aditi Patil: So, my question is on order book and pipeline. Could you please provide some insights into the current status of the order book, including year-over-year growth trends? Additionally, how is the sales pipeline developing? Do you anticipate the second half of the year to outperform the first half, or should we expect the usual seasonal patterns in the third quarter?

Joseph Anantharaju: We don't share numbers on our order book and pipeline; we've addressed this several times. However, we have observed robust growth across our order book and pipeline, spanning various geographies and industry verticals, which reflects positive momentum.

It is coming from two angles. One is the NN strategy that Ashok referred to. The team has come together in Q1, and we have several

large customers that have already got closed and some that are in later stages, and a few of them have started with discoveries, which should lead into larger implementations in Q2 and Q3 and others are starting off at decent size right off the bat. Our land and expand strategy, which is something that has worked out really well for us, continues to do well. If you see the number of \$1 million customers, has gone up. We have one additional \$10 million-plus customer and one additional \$3 million to \$5 million customer. The \$1 million customers have gone up from 57 to 59. So, all of these metrics reflect the increased pipeline and the order book that we have.

Venkatraman Narayanan: Started the quarter with about 2.3% growth like we mentioned and talked about on the call earlier. Obviously, H2 is expected to be better, except for the seasonal issues of some holidays in Q3, we should hopefully do better, and that's how we will achieve that double-digit growth for the year.

Aditi Patil: We gave the share of revenue from automation, and there has been a significant increase in Q1.

So how do you define automation and what has driven this sharp growth?

Joseph Anantharaju: If you look at automation, the various components out here is RPA that includes infrastructure automation; BPA, business process automation; and low code, no code related work. If you just see that with GenAI also coming in, there's a huge push towards automation.

Happiest Minds Technologies Limited

July 30, 2025

Page 10 of 15

We're looking at how you would automate most of L1 activities from an infrastructure monitoring standpoint and automate quite a bit of the L2 activities, and we are building some solution accelerators internally to enable and to accelerate that.

On business process automation, there's been a huge push by customers to bring in more efficiency and accelerate some of the process, whether it's order to cash or managing inventory and other processes, just because of the cost pressures that they are facing. They are investing in a range of automation initiatives, which aligns effectively with the Digital Process Automation CoE we established six to seven years ago.

Low-code no-code is something that customers are looking at to enable citizen developers and to get applications out faster, and so all of these have contributed to the growth that you see of the revenue from automation from 25.3% to 28.2% in Q1.

Aditi Patil: The next question is on the Hitech vertical. So this vertical has been soft for last 2 quarters and is flat on a Y-o-Y basis. What has led to the softness and when should we expect recovery in this vertical?

Venkatraman Narayanan: While Joseph talked about the order picture, from the industry standpoint, there is a minor adjustment to that figure due to a bad debt incurred from a significant customer in the Hi-tech sector.

Joseph Anantharaju: Even after including the changes Venkat mentioned, if you look closely, the numbers move up and down a lot, like duck feet moving under water. During the quarter, a few customers in networking space and one in Tech space grew a lot, which you can see in the top 20 customers. If you remember last earnings call, we talked about a customer in the Hi-tech sector, we took a hit on our margins as well because of the write-offs that we had to do, they were not able to raise the next round of funding, and we had to stop that project. So there has been a spillover effect of that.

Overall, there is significant investment in the Hi-tech and Media & Entertainment sectors. This includes initiatives in networking, increased utilization of Generative AI in various activities, and our recently launched Hi-tech analytics program. We anticipate that this vertical will exhibit growth in the upcoming quarters.

Aditi Patil: Colour on the momentum in Travel and Manufacturing. So should we expect this momentum to continue going forward?

Joseph Anant

haraju: So, if you look at TME, there's very little Travel. It's Media and Entertainment, and we'll probably reclassify it as such. But we had quite a few customers in this space. For one of the largest cinema chain in Mexico and globally, we did a discovery exercise on multiple digital areas and some of the implementation started in Q1. So that momentum should roll over into Q2 and Q3 as well as we ramp up the execution of these projects.

One of our U.S.-based customers who's in the Ad-tech space, had good results in the last quarter, I think the second half of last calendar year was not as good, but they have managed to recover,

Happiest Minds Technologies Limited

July 30, 2025

Page 11 of 15

and as such, their spending has increased, and we are their largest engineering partner. So that has again contributed and that should sustain itself unless their results improve and they decide to invest more.

There are a couple of other customers that have also contributed. Overall, in this space, the areas to focus on are around data engineering, how to help them with Ad management and generating additional revenue. Those are the areas that our Media and Entertainment domain is focused on.

Aditi Patil: Our unbilled DSO days has increased by 1 to 7 days Q-o-Q. Is this like a quarterly phenomenon or should we see this normalizing going forward?

Venkatraman Narayanan: We should see that normalizing. The DSO has gone up by about 3 days., It is because of the

integration with GAVS, we are getting our billing and systems online with them. So that's part of the process and we should be back to normal. It's got nothing to do with the seasonality.

Moderator: The next question comes from the line of Vinesh from HDFC Securities.

Vinesh Vala: In terms of vertical focus, our primary focus will be on the BFSI and Hi-Tech sectors, which are expected to be key drivers of growth. What long-term competitive advantages and market leadership positions should we aim to establish within these verticals, particularly in their respective sub-segments?

Joseph Anantharaju: BFSI is going to be one of our growth verticals driven by the acquisitions that we made, and I'll come back into why we are bullish about that vertical.

But the second vertical is not Hi-tech, but Healthcare. If you just look at the growth that we've demonstrated over the last few quarters and the share of revenues, and the overall / market, health care is the second one.

For BFSI, there are several advantages that we have through the acquisition. If you look at the Arthya banking platform, which is a huge demonstrator of our capabilities. If we have built our own banking platform, it signifies that we understand the space and the needs really well. So it helps a lot both in direct revenues from the banking platform and the pull-through effect that it creates. For this year, we are expecting the Arthya revenues to go up by 20% to 25%. So that will be one of the growth drivers.

We also have the insurance space, there's quite a bit of capability that we got from Aureus. As we speak, we have a couple of large prospects that are almost at the point of closure in the insurance space. You also have Insurance-in-a-Box, which we've been selling to Managing General Agents and Underwriting Management Agencies and to brokers.

We've started with Africa, but the plan is to extend that to other geos as well. Again, there's direct revenue and the ability to demonstrate our capabilities in this area. This is apart from various other accelerators and capability and competencies that we've built both within the erstwhile Happiest Minds and the erstwhile PureSoftware entities.

Happiest Minds Technologies Limited

July 30, 2025

Page 12 of 15

On Healthcare, I think we're very uniquely positioned as such, the market is going through a major transformation with data and connectivity being the core elements out here, whether you're talking

about Med tech or some of the devices that you see in the hospitals or the overall processes that customers are using, GenAI is becoming a huge part of it.

While working with Happiest Health, we have been able to get deep knowledge and capabilities in multiple areas, whether it's on medical devices, bioinformatics, applying GenAI to various Healthcare use cases, and this has helped us to build a healthy pipeline in this space as well as to get several new customers, and we are bullish about the contributions of Healthcare vertical as we go forward.

Vinesh Vala: Moving on to the margin aspect, you mentioned that the EBITDA margin is being maintained between 20% and 22%. Could you please elaborate on the financial strategies planned to mitigate risks associated with investments in new business ventures and the sales teams?

Venkatraman Narayanan: We are looking at efficiency improvement. We are seriously focused on our utilization. We are at 78.9% utilization which is the highest in the last 9 quarters. Second is, Generative AI and AI services that we have, the new business unit into which we are making investments into, just turned around on an operational basis and just broke even. We are now hoping that it should get to the same profitability levels by end of this year or at least early next year. Similar to that, we see in PDES or the company at large, which then adds to the profit.

Third thing is the new sales engine that we have put in place nicely has made the hires. There is a lead lag effect to all hires on sales, and they start pulling in the revenues, that should start defraying the investments that we made.

So these are the things that we see as an upside lever to our profitability. Obviously, the newer markets, the newer customers, also contributing to the profit lever, whereas you are seeing our attrition at about 18.2%. So, we have to address some of those through compensation adjustments, which is what we'll do.

The pluses and some on the swings in terms of the downward impact of cost increases will have to be defrayed. In all, we are trying to improve the margin levels. We are at 21.4%. So, 20% to 22% is a story of maintain and grow.

Vinesh Vala: Last question from my side. Does the double-digit constant currency growth you mentioned include contributions from mergers and acquisitions, or is it solely based on organic growth?

Venkatraman Narayanan: We don't differentiate between M&A and organic. We say growth, so I'll stick to that line. Our Q1 revenues is purely organic. We want to look at it because the base we have got no acquisition numbers going into the sequential growth number that I talked about. As of now, we don't have any M&A, which is likely to close. So, you can assume that that's the pace of the business that

we are looking to grow organically for the year. But if there is some inorganic, it'll be on top of it is what I would estimate.

Moderator: The next question comes from the line of Dipesh Mehta from Emkay Global.

Happiest Minds Technologies Limited

July 30, 2025

Page 13 of 15

Dipesh Mehta: First, about the wage hike, which you indicated in quarter 2. Can you help us understand what would be the likely impact because of wage hike on margin?

Second question is about utilization. What would be our comfort range considering overall skill requirement and utilization, if you can give some comfort range? Then I have a follow-up question related to this utilization.

Venkatraman Narayanan: On the compensation increases, I would not give you any specifics because work is in progress.

Our typical cycles are in July every year for the C1 to C6 levels. There is limited discussion within the industry regarding this matter. While there are deferrals and general silence, we are assessing the situation very carefully. We plan to provide you with a more detailed update in our next call. This pertains specifically to the topic of the compensatio

n increase.

The second question you talked was on utilization. We are at 78.9%. I think we have touched numbers of 79% to 80% in the previous quarters. So, we have to look at that sort of a number and we have got that headroom. As mentioned earlier, the cumulative utilization of Generative AI services currently stands at approximately 55 to 56 percent. We need to increase this utilization. Although the current figures are not very high and are not expected to have a significant immediate impact, every incremental percentage point improvement contributes to offsetting costs. Therefore, enhancing this metric will be a key area of focus.

Dipesh Mehta: The reason I ask is that, based on our implied growth guidance, we would need to maintain a growth rate similar to Q1 over the next three quarters. However, your headcount has declined quarter-over-quarter as well as year-over-year, and in recent quarters, it has remained relatively flat. Given this context, I want to understand whether you expect this momentum to continue, and how you envision the correlation between headcount and revenue moving forward. That is what I am trying to clarify.

Second question is about GenAI. If I look at your investment intensity, what I'm doing is your revenue minus profit, which to give absolute cost, what is the investment in GenAI unit. This quarter, it seems to be tapering off. Could you please clarify whether this reflects an optimization strategy or another factor? Typically, one would expect the investment intensity to increase, so the observed decline in absolute terms is somewhat unexpected. Any insights you could provide would be appreciated.

Venkatraman Narayanan: I'll take the last one. The investment intensity is high. That's why I highlighted, even though we are at breakeven, if you look at the opportunity costs, it's about ₹3 crores, ₹3.5 crores.

Dipesh Mehta: No, but if I look at absolute number, so let's say, from ₹14 crores or ₹14.5 crores last quarter, which was the expense in that unit, now that expense has declined to ₹13.3 crores.

Venkatraman Narayanan: There are two parts to the Generative AI Business Services. One is the direct people, and second is also the people from AI Analytics, Data Science, Data Engineering, who gets pulled into the business unit as and when required. So that's why you will see a little bit of that variability in the people cost.

Happiest Minds Technologies Limited

July 30, 2025

Page 14 of 15

We have a dedicated team of 120 people. Plus, we are training the entire workforce on AI tools. And then the business unit pulls people from the other units. So to simply put, the bench cost of those people do not come into the AI unit. Only the 120 people of dedicated people's cost come. That's why that you will see that little bit of bench cost differential between quarter-on-quarter.

Joseph Anantharaju: Just to add to that, Dipesh. The way to look at investments is two. One is some of the numbers that Venkat explained. But as we speak, there are two, three areas in which we are investing from a GenAI angle. The first is we're getting all of our people trained. We've done 90% coverage on 101 courses. We have 201 courses that we're rolling out to a larger set of the people. What percentage we'll cover, we're still to kind of figure that out. So that's one investment.

Second is there are a lot of replicable solutions that are being developed that we expect will contribute to both, slightly nonlinear growth because these are solutions that we've 50%, 60% completed that we can take across to multiple customers and also the replicable sales so that there's ease of selling and we reduce the effort involved and get more output.

Third is there's a whole list of use cases that we've come up with, and we're trying to build POCs and demos that will enable us to get more revenues. So, I would look at our investment from

those angles, and as long as

we are doing all of these things, it will lead to higher growth.

Venkatraman Narayanan: His question primarily pertains to the segmental results. He is inquiring whether there has been any investment in Generative AI Business Services. My straightforward thesis is that there is a cost currently embedded within IMSS across the verticals, which is not yet being fully accounted for or reflected as part of the generative AI segment.

For example, Maninder is increasing the number of salespeople in the vertical. These vertical team members are currently selling our generative AI solutions; however, the associated costs might not be fully reflected under generative AI expenses at this point, as our accounting practices have not yet reached that level of detail, which is my main point.

So, if you really do that split and push all of that cost into generative AI, maybe, yes, you will see the investment intensity to be higher or the same ratio as the previous quarters.

Dipesh Mehta: Understood. If you can answer the first part of the question, employee head count addition and the likely revenue implied growth.

Venkatraman Narayanan: We got a gross addition of 150 people. That's what I said. You saw the net head count reduction of 109, improvement in utilization, but that doesn't tell you the full story unless you see the head count addition of 150.

What happened is you are actually getting people. People who are not fully deployed onto projects, getting replaced by people who are completely billable, ready, AI-ready or automation-ready or who are ready to get billed from the word go.

Happiest Minds Technologies Limited

July 30, 2025

Page 15 of 15

The just-in-time hiring, also repurposing of the people that we today have from project A to project B will be how we'll get into the higher billing or keep the growth of 2.3% or 3%, whatever that we do from here quarter-on-quarter.

Given that we'll add people, there is a little bit of divergence between linearity and revenue growth, people addition and revenue growth from what we have seen in the past years in the IT industry, and that's got to do with AI.

Dipesh Mehta: Last question is on the attrition, over the last few quarters are on the higher side. Are we comfortable? Or this is one of the things where we have to work more?

Joseph Anantharaju: I would say it's a little bit on the higher side, but there are reasons for that as well. One is for the digital and AI skills that we have, there is a huge demand in the market. Our percentage of revenue from these areas is relatively much higher, and therefore, that does put us under the scanner.

Additionally, as you may have observed, our utilization has significantly improved over the past few quarters. This progress is the result of a proactive initiative where we assess each individual within the Happiest Minds talent pool, evaluate their skill sets, and identify necessary training requirements. In certain cases, when individuals are unable to meet the required competency levels, this is duly noted and reflected in our outcomes.

But what we are also doing is we have initiated multiple people engagement programs, training and learning and development, all of which increase bonding and motivate people to continue.

So, I think we should have this number under control.

Moderator: Thank you. Ladies and gentlemen, we'll take this as a last question for today. I would now like to hand the conference over to the management from Happiest Minds for closing comments.

Priyanka Sharma: Thank you for joining us today. We thank ICICI Securities for hosting this call on our behalf.

We look forward to interacting with you. You can reach out to us on ir@happiestminds.com.

Thank you again. Have a good day.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Please note: This transcr

ipt has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2025

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Dear Sir/Madam,

Sub: Transcript of Earnings Call held on October 29 , 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021, please find enclosed the transcript of the Earnings Call held on October 29 , 2025, post announcement of financial results of the Company for the quarter and half year ended as on September 30, 2025. The transcript is also uploaded on the Company 's website (<https://www.happiestminds.com/investors>).

This is for your information and records .

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 27

"Happiest Minds Technologies Limited
Q2 FY '26 Earnings Conference Call"
October 29, 2025

Management: Mr. Ashok Soota – Chairman & Chief Mentor

Mr. Joseph Anantharaju – Co-Chairman & CEO

Mr. Venkatraman Narayanan – Managing Director

Mr. Rajiv Shah – Executive Director

Mr. Ram Mohan –Chief Executive Officer, Infrastructure

Management and Securities Services

Mr. Sridhar Mantha –Chief Executive Officer, Generative Ai
Business Services

Mr. Anand Balakrishnan – Chief Financial Officer

Ms. Priyanka Sharma – Head Investor Relations

Moderator: Mr. Sushovon Nayak – Anand Rath Institutional Equities

Happiest Minds Technologies Limited
October 29, 2025

Page 2 of 27

Moderator: Ladies and gentlemen, good day, and welcome to the Happiest Minds Q2 FY '26 Earnings Conference Call hosted by Anand Rath Institutional Equities. As a reminder, all participant lines will be in the listen -only mode and there will

be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sushovon Nayak from Anand Rath Institutional Equities. Thank you, and over to you, sir.

Sushovon Nayak: Thank you Pavan. I hope my voice is audible.

Moderator: Yes, sir.

Sushovon Nayak: Good morning, ladies and gentlemen. Thank you for joining us today for the Q2 FY '26 earnings call of Happiest Minds Technologies Limited. On behalf of Anand Rath Institutional Equities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this earnings call.

Today, we have with us Mr. Ashok Soota, Chairman and Chief Mentor; Mr. Joseph Anantharaju, Co -Chairman and CEO; Mr. Venkatraman Narayanan, Managing Director; Mr. Rajiv Shah, Executive Director; Mr. Ram Mohan, CEO, Infrastructure Management and Security Services; Mr. Sridhar Mantha, CEO, Generative AI Business Services; Mr. Anand Balakrishnan, CFO; and Ms. Priyanka Sharma, Head of Investor Relations.

I will hand it over to Priyanka for Safe Harbor statement and to take the proceeding forward. Thank you, and over to you Priyanka.

Priyanka Sharma: Thank you Sushovon. Good morning to all participants on the call. Welcome to this conference call to discuss the financial results for H1 and second quarter ended September 30, 2025. I'm Priyanka Sharma, Head of Investor Relations. We hope you had an opportunity to review the earnings release we issued yesterday evening.

Happiest Minds Technologies Limited
October 29, 2025

Page 3 of 27

Let me quickly outline the agenda for today's call. Ashok will begin by sharing his perspective on the business environment and our results. Joseph and Venkat will then discuss our financial performance and operational highlights. Following that, we will open the floor for questions.

Before we begin, let me read the Safe Harbor statement. During this call, we may make forward -looking statements. These statements reflect the environment we see as of today and involve risks and uncertainties that could cause actual results to differ materially. We do not undertake to update these statements periodically.

With that, let me now hand it over to Mr. Ashok Soota.

Ashok Soota: Thank you, Priyanka. Good morning, everyone, and thank you for joining us today. We are really happy to share that our strong H1 FY '26 results with revenue growth of 11.8% in constant currency and EBITDA margin of 20.8% reflect the continued success of our 10 strategic transformations. These transformations were announced in the last quarter of FY '25 and are now visibly yielding these excellent results.

Amongst them, the most defining organizational change was that Joseph Anantharaju became the Co -Chairman and CEO. I'm happy to advise that Joseph has really settled into his enhanced responsibilities remarkably well and the impact of his leadership and the structural changes he has driven are clearly visible in our performance this half year.

Two of our strategic initiatives, in particular have been pivotal in accelerating growth; the creation of our generative AI business unit and our sharper focus on expanding Net New Accounts. The generative AI business unit has been a standout performer. Since its launch in October '24, it has scaled rapidly and become one of our key growth engines.

GBS delivered 77.8% year -on-year growth in constant cur

rency for Q2 and

79% for H1, along with 15.3% sequential growth this quarter. This is amazing numbers and a clear reflection of how our customers have responded to our AI and Gen AI -Led solutions. What is even more heartening is that many of

Happiest Minds Technologies Limited

October 29, 2025

Page 4 of 27

our solutions are highly replicable. And as we take these to other customers, it will lead to further accelerated growth.

Equally encouraging is the momentum from our Net New Sales initiative. The independent sales unit has strengthened our go-to-market discipline, accelerated client acquisition and expanded our opportunity pipeline, creating a solid base for future growth.

The success of these two initiatives, GBS and NN underscores the effectiveness of our strategic direction and validates the investments made.

Both are deeply linked to the structure and cultural shifts Joseph has championed, including agility, accountability and AI-first mindset across the organization.

Our consistent performance in a muted demand environment reaffirms the resilience of our AI-led offshore model. Each of our 10 transformations is now delivering measurable outcomes from faster decision-making and sharper vertical accountability to enhance productivity and operating leverage.

Together, these are structurally strengthening Happiest Minds for the long term. I would say it's the combined impact of Joseph's leadership, the rapid scaling of GBS and the momentum from our NN sales engine that gives us the confidence and this is important.

We are raising our earlier commitment, which was for three consecutive years of double-digit growth. We are now raising this to four continuous years of double-digit growth. This reflects our confidence in our pipelines.

It reflects our confidence in getting accelerated growth through these businesses that we've talked about and the many other areas which will now start contributing more heavily. And it also shows the predictability of our business model as we proceed ahead with our AI-driven transformation portfolio.

With that, I would like to thank all our customers, our partners, shareholders and mindful innovators for their continued trust and commitment. I now

Happiest Minds Technologies Limited

October 29, 2025

Page 5 of 27

invite Joseph to take you through the business highlights and customer success stories for the quarter and the half year.

Joseph Anantharaju: Thank you, Ashok, and good morning, everyone. We have delivered a robust H1 FY '26 performance with revenues of US\$129.5 million, growing 11.8% in constant currency and delivering EBITDA margins of 20.8%, well within our guided range. This reflects the continued success of our 10 strategic transformation and reinforces our ability to deliver consistent profitable growth even in a challenging demand environment.

In an industry context where most peers reported flat to mid-single-digit growth, our performance stands out, which was powered by a strong offshore model, domain focus and early test on Generative and Agentic AI. So let me begin with the demand environment.

Across industries, clients are reprioritizing spend towards cost efficiency, AI-driven productivity and digital modernization. While discretionary budgets remain tight, we are seeing a clear rise in investment intensity across data, cybersecurity and generative AI, areas where Happiest Minds is uniquely positioned to lead.

Our Generative AI business unit continues to be a major growth driver. The success of this unit is evident from 22 transformative AI use cases that have now scaled into replicable projects, unlocking GBS-led sales potential of nearly \$50 million over the next few years. These projects are shaping how enterprises adopt AI-first architecture. We are building intelligence to platforms and processes to deliver measurable business outcomes.

As part

of these initiatives, we are also discovering major challenges with the customers' data in terms of silos, quality and governance, leading to significant opportunities. At the same time, customers are also realizing the architecture is not optimized for AI, leading to modernization projects. Our investment in an independent Net New sales unit has also begun to deliver strong results.

During H1, we added 30 new clients generating approximately \$9 million in revenues and representing a potential of \$50 million to \$60 million over the

Page 6 of 27

next 3 years. This NN engine combines domain-led hunting with AI-powered account intelligence, allowing us to enter large high-quality logos and scale them rapidly.

What's even more encouraging is that over half of these 30 new clients have already expanded into multiple initiatives within months of onboarding, a clear reflection of their confidence in us and the early cross-sell traction we are seeing. Let me share a few wins from Q2 that clearly demonstrate this traction.

For a Fortune 100 insurance company, we are executing a large-scale database modernization and migration program, positioning ourselves as a strategic partner in their core technology transformation. For a global health tech leader in Europe, we are strengthening their cybersecurity posture through advanced threat analytics and zero trust architecture.

For a global information services company, we are embedding generative AI into their quality and engineering processes, reducing cycle times and enhancing accuracy in test cases generation. For a US-based cloud provider, we won a multiyear network managed services engagement leveraging our cloud ops and platform engineering capabilities.

From a business unit perspective, growth in H1 was well distributed with GBS leading the momentum, growing more than 79% in constant currency. GBS grew 9.6% driven by modernization and H3 transformation programs while IMSS delivered 3.6% growth backed by sustained demand in cybersecurity and cloud services.

From a vertical perspective, Retail CPG, Health Care and Hi-Tech industry groups demonstrated strong growth during the quarter and the half and we expect this to continue in the second half based on the pipeline that we currently have.

Our industry group verticalization is deepening engagement across focus sectors. BFSI continues to be our largest vertical powered by proprietary platforms such as Arttha and Insurance in a Box, enabling digital payments, AI-based credit scoring and Agentic AI-driven claims automation.

Happiest Minds Technologies Limited
October 29, 2025

Page 7 of 27

In EdTech, we are driving recovery through digital campus enablement, personalized learning path and AI-powered assessments, allowing us to target institutes and universities where we have small presence and can lead to replicable sales.

In HealthTech and Life Sciences, large database migration and AI-driven compliance programs are fueling next-gen health care development. Retail and Manufacturing are benefiting from Connected Commerce and Industry 4.0 initiatives, while Hi-Tech and Media are seeing renewed demand for Gen AI-based campaign management and ad-tech optimization.

Geographically, the US remains our largest contributor with India and Europe showing steady improvement and the Middle East and Africa emerging as high potential AI markets. Operationally, utilization improved to 80.7%, the best in over 3 years. The scale achieved by GBS and the strong offshore mix contributed meaningfully to operating leverage and delivery excellence.

Looking ahead, our priorities for H2 are clear: to deepen AI integration within existing accounts, continue looking for vertical use cases in gen AI and AI to get long-term revenues, scale net new logos into multimillion dollar relationships.

ps, continue focusing on a HIPO strategy to grow more million-dollar customers and move them up the ladder and sustain profitability through disciplined execution and high utilization.

Backed by momentum in Generative and Agentic AI and the strong visibility from both GBS and NN pipeline, we are, as Ashok mentioned, raising our growth commitment from 3 to 4 consecutive years of double-digit revenue growth to FY '28.

With that, let me hand it over to Venkat for the financial review and outlook.
Venkatraman Narayanan: Thank you, Joseph. Good morning, and happy Diwali to all on the call. For the next few minutes, I'll take you through the financials and operational highlights for the first half and the second quarter of '26.
We have delivered another encouraging set of results at the end of the second quarter. When I look at the performance across the industry, I feel even more
Happiest Minds Technologies Limited
October 29, 2025

Page 8 of 27

positive about how we have executed and maintained consistency despite a difficult environment.
For the first half of FY '26, revenues stood at 129.5 million, reflecting a growth of 11.8% in constant currency, well aligned with our double -digit growth guidance for the year. The transformational changes we initiated last year are clearly translating into results. In rupee terms, our revenues were INR1,123 crores, up 14% year -over -year, demonstrating healthy momentum across all our business units.
Our total income for H1 stood at INR1,175 crores. On profitability, EBITDA was INR244 crores at 20.8% of revenue, comfortably within our guided range of 20% to 22% for the year. Our operating profit at INR194 crores or 17.3% of revenues are broadly in line with the last year.
Moving to the quarter gone by. Operating revenues of Q2 stood at 65.2 million, growing 2.3% sequentially in constant currency. In rupees, this translates to [INR5 73] crores, up 4.3% sequentially, 10% year -over -year, aided by a favorable exchange rate environment.
Operating profit for the quarter was INR97 crores, representing a margin of 17% compared to 17.6% in the previous quarter. This quarter's margin reflects the impact of the annual pay increase with offsets coming from forex benefit, volume growth, efficiencies through higher utilization and lower attrition.
Just as a point, gross margins improved to 37.2% compared to 36.7% in the last quarter and 36% a year ago. Most of this gain has been reinvested into scaling our Generative AI business unit and the New sales engines -- which are now showing tangible business traction.
Speaking of these investments, our business, our GBS broke even last quarter and continues to deliver strong growth, improved margin and higher utilization this quarter. The team has built an impressive portfolio of 22 use cases and replicable solutions, representing a revenue potential of over \$50 million in the next 3 to 4 years.
Happiest Minds Technologies Limited
October 29, 2025

Page 9 of 27

Our Net New sales unit is now operating at an annualized run rate of about \$20 million. We have signed over 30 new clients in H1, half year 1 with a collective revenue potential of almost \$50 million to \$60 million over the next couple of years. These early outcomes validate the strength of our new business model.
Our EBITDA margin for Q2 stood at 20.2% within the guided range of 20% to 22%. With continued efficiency initiatives and cost optimization, we expect gradual improvement in both operating margin and EBITDA as we move into the second half.
Now turning to some operational metrics. Company -wide utilization improved to 80.7%, the highest in the last 3 years and compared to 78.9% in Q1. Within that, GBS utilization has improved sharply from 40.8% to almost 62%, reflecting scale and operational leverage. We ended the quarter with 6,554 Happiest Minds, a net addition of 31 over the previous quarter and gross hiring numbers of 264.
Our DSO has improved from 91 days in the previous quarter to about 88 days and we continue to work towards further improving this. Our capital return ratios have consistently remained strong with ROCE and ROE steady at 23% and 14%, reflecting our efficient capital management practices. Attrition continues to moderate. It has come down to 17.4% from 18.2% in Q1. This is

on a trailing 12 -month basis, and this is a trend that we hope to sustain. Let me address a topic that has been widely discussed, which is the recent H1 - B visa policy developments. I would like to emphasize that our exposure here is rather, let's say, negligible. In the past 12 months, , we have only had two professionals travel ing to the US on H1 -B visas. Our strong offshore delivery model and diversified geography mix have insulated us well from such external changes.

Given our healthy cash flows and strong balance sheet, the Board has declared dividend of INR2.75. Looking ahead, our focus remains on accelerating growth in AI, cloud, cybersecurity and data -driven transformation across our key verticals while maintaining financial discipline and margin resilience. Our aspirations for FY '26 remain unchang ed. It is to
Happiest Minds Technologies Limited
October 29, 2025

Page 10 of 27

deliver double -digit revenue growth in constant currency and maintain our EBITDA in the 20% to 22%...

Moderator: Sorry to interrupt sir, but we are losing your audio in between, sir. Sorry to interrupt, sir. May I request you to please re -read the last sentence that we lost that audio in between, sir.

Venkatraman Narayanan: Yes. Our aspiration for FY '26 remain unchanged and it is to deliver double - digit revenue growth in constant currency, sustain EBITDA margins in the 20% to 22% range. With continued investments in talent, AI and operational excellence, we are confident of delivering sustainable and profitable Growth in the quarters ahead.

Thank you for your time and continued trust. I will now hand it over to the moderator to open it up for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question comes from the line of Aditi Patil from ICICI Securities.

Aditi Patil: So my first question is on what has led to the decline in this quarter in our Infrastructure and Security Services and Financial Services vertical.

Joseph Anantharaju: Ram, you want to take that Ram.

Ram Mohan: On the Infrastructure and Security side, we had one of the large customers who is actually going through a new proposal and some of the things which we were supposed to continue with some of the deals have stopped because of the new proposal. So that is on e reason.

And the second reason is there was one of the deals which actually was supposed to happen in the quarter 2 has been pushed to quarter 3. So these are the two reasons why we had a little less growth in the Infrastructure and Security business.

But on the other hand, we have seen some good progress and we are -- our pipeline is looking good for quarter 3. And we believe that we will be able to improvise in quarter 3 going forward.

Happiest Minds Technologies Limited
October 29, 2025

Page 11 of 27

Ashok Soota: Sure. And if I can just add, Ram out here, we should also note that Q1 had increased by 7.23%. So in a way, it's kind of still very much in the plus if you look at these variations. And then with these changes, which Ram has talked about, we should be very much into getting back on to a good growth path.

Aditi Patil: Okay.

Joseph Anantharaju: Aditi, addressing BFSI, addressing your question on BFSI, overall, we still continue to be quite bullish and we see good traction in the BFSI space. The slight drop that you see on a quarter -on-quarter basis, which is a little bit of an anomaly because we' ve been growing otherwis

e over the last few quarters
is for two reasons.

One is our Artha banking platform, some of the deals that we had that we expect to close during the quarter, we couldn't sign the contract and therefore, recognize the revenues in Q2, and they've got that right shifted into Q3. So we should be able to recognize those reve nues in Q3. And we also -- you'll also notice that APAC had a little bit of a drop during the

quarter, and that's come in the BFSI space. One of our large customers out there had a temporary ramp down and they're going to start this back in the new year when they get their additional budgets. And therefore, you will see that the overall performance of BFSI will get back to positive trends in the second half of the year.

Aditi Patil: Okay. Got it. And my third question is on -- can you give more color on how our win rate and pipeline has improved post our focus on the winning Net New large deals and also how the size of deals has improved?

Joseph Anantharaju: So I'll first address the pipeline at a broader level. And if I'm not mistaken, you asked how our Generative AI pipeline has improved, right?

Aditi Patil: Net new...

Ashok Soota: The Net New.

Joseph Anantharaju: Net New, okay. Net new. So overall, our pipeline, if you look at it at the end of the quarter was around 20%, 25% higher than what it was at the beginning

Happiest Minds Technologies Limited

October 29, 2025

Page 12 of 27

of the quarter. And this represents, I would say, progress on multiple fronts NN. And I'll come to how NN is looking. Generative AI, which we touched upon in our commentary where we had the 22 use cases and we're looking at \$50 million of revenue over the next 3 to 4 years. So very positive about that.

And Ram touched on the IMSS opportunity, some of the large RFPs that we are addressing and overall, our HIPO strategy, that's also giving dividends and adding to the pipeline. So when we look at our NN initiative, the team has just come together finally during the quarter. We had quite a few -- we had a couple of people that joined during the quarter. And I think it's creditable that in spite of the team not being fully formed, we were able to close 30 new logos during the first half of the year.

And many of these logos are Fortune 500, Fortune Global 1000 customers, and we are very positive that we will be able to convert these into million-dollar customers, which is why we are projecting out that the \$9 million that we've done in the first half of the year from these customers will translate into \$50 million to \$60 million over the next 3 to 4 years. And this is reflective of the pipeline.

Now having said the \$9 million, we expect the trend to continue into the second half. The team has got quite a few new opportunities. Some of them are really large in multimillion dollars, and we expect this to be one of our growth drivers both in the second half and for the next 3 to 4 years.

Moderator: Our next question comes from the line of Dhanshree Jadhav from Choice Institutional Equities.

Dhanshree Jadhav: Good Morning everyone and congrats on great set of numbers. So my question was we are talking about double-digit growth. The first half has already been done with. So should we see -- as we see some of the deals have been pushed over in third -- okay, continue to Q 2, should we see Q 3 and Q 4 and top line should be better than what we have seen in last 2 quarters? And then we are talking about the \$50 million of gradual improvisation in the dollar 9 million -- size of client revenue. So what will be the time line for that if I can get?

Happiest Minds Technologies Limited

October 29, 2025

Page 13 of 27

Joseph Anantharaju: Venkat, do you want to take that?

Venkatraman Narayanan: Yes. So we should be able to do a decent quarter in Q3. One is obviously the trend of the pipeline is good. On top of that, yes, in IMSS, we have

had a slippage

from Q2 to Q3, which is, again, a security deal, which is almost in place right now and we are reasonably confident that we'll have that done in Q3. So that's one on IMSS.

The second point is the aspect of Artha banking deals, which we -- which did not happen in Q2 those are also most likely, we are very confident that they will also happen because Artha banking is seasonally strong in Q3 and Q4. So that will happen in Q3 and Q4. So we are confident that, that will also happen.

Yes, Dhanshree, to a certain extent, the trend of improvement in volume growth will be aided by these 2 couple of -- these 2 deals, which comes into the next quarter.

Ashok Soota: And Venkat, I could just add that Gen AI will clearly all the use cases which we have signed up, many of them will be starting billing in Q3 and Q4.

Venkatraman Narayanan: That's right Ashok. Did that answer your question?

Dhanshree Jadhav: Yes, thank you

Moderator: Our next question comes from the line of Sushovon Nayak from Anand Rath Institutional Equities.

Sushovon Nayak: So if I remove the impact of the other income, what you service is that your margins have actually improved versus the last quarter. If you could just possibly help us quantify what would be the impact of currency, wage hike, that would be helpful.

Venkatraman Narayanan: Yes. So Sushovon, we have given -- we have started reporting operating margin, taking off any sort of a noise from the other income. So, at an operating margin level, we are at about 17% compared to 17.6% and 17.3% with versus last quarter -- 17.9% and 17.6% in the last quarter of the last year. Now we did have exchange rate benefit. Net exchange rate benefit was in the region of about INR10 crores because we had forex losses also. On our Happiest Minds Technologies Limited
October 29, 2025

Page 14 of 27

forwards, we follow a structured approach, a ladder approach. So we had losses. Our pay increases were in the region of about INR11 crores to INR12 crores. So if you set off that, the rest of it has come from the benefits that we talked about utilization and the improvement in attrition and GBS doing better.

Now to give you a color of all of this, that's why I alluded to the gross margin. If you look at our investor presentation, that's there in entire P&L data sheet we have given the gross margins. We did see a perk of gross margin to 37.2%.

Moderator: Our next question comes from the line of Aditi Patil from ICICI Securities.

Aditi Patil: Thank you for the follow-up opportunity. This quarter, we had cross currency headwinds of around 111 bps. Can you help us understand what has led to this headwind? This is higher than what we have seen for other peers in the industry?

Venkatraman Narayanan: You mean headwinds? I just quantified the...

Aditi Patil: On the revenue side.

Venkatraman Narayanan: So we didn't have a headwind. We had a benefit, right? So benefit was about, if I remember my numbers right, INR15 crores or INR16 crores, net of the forex loss that we take on realized forwards, that would be about INR7 crores, net of about INR9 crores to INR10 crores is the gain that we got into the margin. On to the top line, in rupee terms, it is about INR16 crores, if my number is right.

Aditi Patil: Okay. I was referring to USD growth of like 1.2% versus CC growth of 2.3% in Q-o-Q terms, difference between these 2 numbers?

Venkatraman Narayanan: That is because if you look at it, our growth has substantially come from geographies outside of US, while US has remained steady. In the geo split, we are at about 60% compared to the 59.3% for some last quarter. We have touched 60% this quarter. So the growth that has come is largely from the geographies of India, Middle East, APAC.

Happiest Minds Technologies Limited
October 29, 2025

Page 15 of 27

And when you consider in the dollar, we

have been able to do those currencies have remained -- have done better. So on a constant currency basis, that has helped us show the growth.

Aditi Patil: Okay. Okay. My next question was on the outlook on our SG&A costs. So for last 2 years, we have been, like our SG&A costs have been growing higher on year-on-year terms versus revenue. And would this intensity continue? And what would be the key spend areas in SG&A going forward?

Venkatraman Narayanan: Our SG&A has been primarily in putting the new sales engine in place, Aditi.

So that's something that started early last year, and the team is almost now fully in place. The second thing is we also got into verticalization last year and when you get into verticalization, you have certain SG&A cost that's required because now the sales structure is one-off. The New-New sales opportunities are opened by the New-New sales team and they are followed in by the verticals and then you get in the presales. So you've got a couple of layers that are added to the business and business support layer, which has added to this cost.

But like I called out in my speaking notes, we are looking to bring in efficiencies now that things are stabilizing, looking at how to manage these costs. I would don't want to use the word control, but manage these costs to get more efficiencies from the m. So that's on the SG&A. But we are looking at it very carefully and hopefully, it will not be a linear trend. It's not expected to be a linear trend also.

Joseph Anantharaju: And some of these other things we should look at as investments, Venkat alluded to the industry groups that once you got client and bring in an industry group and in each industry group, there are typically subindustry or sub domains, right?

Like if you look at BFSI, you have banking, you have capital markets, you'll have insurance. If you look at health care, there will be life sciences, pharma providers. And each of these sub domains have their own specific needs and requirements.

Happiest Minds Technologies Limited
October 29, 2025

Page 16 of 27

So you need to get sub domain heads who can talk that language to customers, take a consultative approach. And those revenues from these investments are increasing. And over a period of time, they will outweigh the cost and we'll get returns on them. So that's one, right?

The second is realizing the state of the market, we've pushed our domain technology leaders and our salespeople to travel more and be at the customer location and have more in-person meeting. I think this is leading to much more stronger relationships and identifying opportunity as reflected in our growth.

And the third point I want to touch on from an SG&A perspective is that we are also investing heavily in marketing and events. We've got an NN sales team, as Venkat pointed out, which is a fair bit of the SG&A cost that has increased over the last year.

And having made such investments, I think we need to enable them with the tools, getting them to events where they can meet with prospective customers. So all of this, I look at as investments start paying off.

As you see the 30 logos that we closed, we are projecting that over 3 years, it will yield us \$50 million revenues also. So I look at it a little differently. But having said that, as Venkat pointed out, we will look at where we can manage our cost as well.

Aditi Patil: Okay. Got it. Okay. And my next question was on Gen AI BU. So can you give more color about how the nature of work has evolved over past 1 year in terms of size of deals, complexity of the deals and nature of contracts, whether they are T&M or outcome-based?

Sridhar Mantha: Sure. So thanks for the question. This is Sridhar. I'll address each one. For example, the nature of the deal from the T&M and fixed bids point of view, 1 year back when we initially, 1.5

years back when we initially started working, we actually had approximately 80% of the projects going as fixed bids because most of the projects in the initial stages for POCs, somewhat reasonably well defined and customers also not willing to put a lot of money.

Happiest Minds Technologies Limited
October 29, 2025

Page 17 of 27

So from that stage at this point in time, we started moving more and more into external engineering team, 1 year quad structure, which typically is like 5 to 6 people kind of quad structure, one commitment from the customer. So

we started moving into that direction. However, compared to the rest of the company, we still are approximately 50% fixed bids compared to the external engineering team.

Typically, the rest of the organization of Happiest clients is around 9% to 10% of the fixed bids. So we also want to work on longer engagements because the customers are also getting clarity. It is no longer a 2, 3 months prototype let us see and wait. They're committing for the 1-year road maps, etcetera. Now in terms that's the last question that you asked.

And in terms of the scope of the work and the nature of the work, right? So two things are happening. One is, of course, the Agentic AI came like a storm, layering on the top of the LLM technologies, etc. And also we are working on complex use cases along with the platform development. So we started seeing integrated deals and which are larger ticket price for Happiest Minds. This Generative AI plus AI use cases that part alone reaching closer to million in a couple of deals that started making us to believe that we slowly started crossing the inflection point of the technology adoption, and that's where Ashok, Joseph and Venkat alluded that we have much higher confidence about the replicable sales of having larger ticket deals.

The last point I want to add is about the replicable sales, right? Now with this technology, we started seeing the same use case being asked by multiple customers. I take something very simple like a virtual tutor, something all of us can understand, right? Now every EduTech company requires a virtual tutor kind of use cases. Now similarly, across multiple domains, multiple use cases where we already have customer success and taking them to the market.

Aditi Patil: Okay. That color is helpful. And I had a next question on the EduTech vertical.

So that has been the revenue in that vertical has been ramping down since last few quarters. When should we expect the revenue run rate to stabilize?

Happiest Minds Technologies Limited

October 29, 2025

Page 18 of 27

Joseph Anantharaju: Yes, I think your observation is right. And as I have shared in the previous earnings call, that's a segment that has had a little bit of challenges over the last couple of years. Having said that, I think some of the headwinds that we were facing I think by Q3, we should see bottoming out.

But on the other hand, as I pointed out in my commentary, we are seeing opportunities based on Gen AI in a new segment, in the Institution and University segment, where the scope to manage the student life cycle and their experience and improve their engagement and actuation rate offers us a huge scope for replicable sales across many institutions and universities. This quarter, we managed to get a multimillion dollar -- close to \$3 million SOW with one of the leading management institutes in Asia for implementing an end-to-end solution and a platform for them. And this is something that this experience we can take to other universities. And this is based on a consulting exercise that we have done in the previous quarter.

On similar lines, but much limited scope, we've signed one of the universities in US to do a consulting exercise, which we expect will lead to implementation over a multiple year cycle starting next quarter. And the end goal is to see if we can take

over their entire infrastructure and application and run it for them while they focus on educating their students.

And we are also in discussions with a couple of universities in Canada on similar lines. And we believe that once we have some experience, we could even look at building some of these solutions and modules that we could take to universities, and this should allow us to see a recovery in the EduTech segment going forward. This systemic strategy that we are doing and we're already seeing results on this Aditi.

Moderator: Our next question comes from the line of Sushovon Nayak from Anand Rath Institutional Equities. Please go ahead.

Sushovon Nayak: Just a couple of questions. Sir, are you seeing any productivity-related benefits pass through on account of Gen AI, which may potentially impact the pricing or the margins for that matter of fact? That's one. And if you could

Happiest Minds Technologies Limited

October 29, 2025

also give us some flavor about how the Pure Software as well as the Aureus acquisitions are now faring? Just wanted to know.

Joseph Anantharaju: Sure. So if you look at our , if you break up our whole Gen AI strategy into 2, one is demand as well as supply. And the supply is, how do we bring in some of these productivity tools to increase the productivity of our engineers. And in our fixed price projects, we are making sure that we include gen AI at the core at the proposal stage and base our estimation of the productivity enhancements that we get from using these tools. And I'll come back to an offering that we have, which is also interesting.

And what we are doing here is we are sharing the productivity enhancement and the benefits that we get with the customer. So we keep part of it because there's a cost of training, cost of tools, etcetera. And we pass on part of the benefits to the customer, right?

And from a pricing perspective, for Gen AI -based project, what we are seeing is that we're getting 20% to 25% premium over our standard rate card. And this is just the demand supply and the outcome that these initiatives and our team is able to drive, right? So that was the first question. Can you just repeat the second question, please? Okay. So I think both of them are progressing really well, as we can see in our BFSI performance over the last few quarters, it's been growing quarter -on-quarter.

And both of them are heavily leveraging some of the capabilities that they did not have within their own units, things like security, data and analytics, AI and especially Gen AI. So we've been able to do a fair bit of cross -selling of these skills and capabilities to some of PureSoftware and Aureus customers.

And we're looking at how to take some of our domain capabilities because being smaller, they've not really verticalized. But as we verticalized 2 years back and we built fair bit of domain capabilities. So we're able to take these capabilities and take a more consultative approach, take up the stream in terms of discussions and drive value and become a much more value -adding partner to some of these customers.

Happiest Minds Technologies Limited

October 29, 2025

At the same time, we are working closely with both of these companies on 2 of their solutions. And with PureSoftware, we've been working on Arttha banking platform, making investments into the platform to take it first into India. And as we speak, we are working with a couple of cooperative banks out here to implement this Arttha banking platform for these 2 cooperative banks.

We are also have Insurance in a Box platform that we worked jointly with Aureus. We should be signing a few customers by end of this month in Africa. And this will be a 5 -year deal that will give us an ARR of at least \$500,000 just for these 3 customers, and there are multiple other customers out there. So I think overall,

there's bit of synergies and there's value being driven both ways from the Happiest Minds organization to PureSoftware and Aureus and we're taking some of their capabilities and taking it to our customers.

Sushovon Nayak: If I may just ask a couple of other questions.

Priyanka Sharma: Sushovon you need to be louder.

Sushovon Nayak: If I may ask a couple of other questions, is that -- is my voice audible now?

Ashok Soota: Yes.

Sushovon Nayak: So any reason for the other income having significantly reduced this quarter?

And the other bit is on the segments, Retail and Manufacturing segment, while most of the other larger peers have maintained a comparatively weaker commentary on these 2 segments , we observe that both these segments have done really well. Any particular reason for that? If you could just give us some color on that?

Venkatraman Narayanan: Other income is an easy answer. The other income is an easy answer. It's essentially we have got 80% or 70% of our investments into mutual funds, which has been doing very well. But thanks to the trade and the tariff tussle that was happening last quarter, we had a little bit of buffeting of returns,

now which is back to 8% plus. We touched 6% and thereabouts last quarter.
So that's the only reason.
Happiest Minds Technologies Limited
October 29, 2025

Page 21 of 27

Joseph Anantharaju: I'll take Retail and Manufacturing and both separately and give you a little bit of view. As you rightly pointed out, Retail has grown really well. If you look at from Q1 to Q2, the growth is almost 10%. And there are 2, 3 reasons that have driven this growth. You also noticed that Europe has grown quarter-on-quarter, right? And there's a correlation between the 2 actually because some of the deals that we closed in Europe during the quarter were in the Retail CPG space.

One of them is one of the largest players in natural food. The other one is one of the largest bottlers for a leading beverage manufacturer in Europe, right? So both of these engagements started. There's a -- the bottler is a Gen AI use case that we are implementing for them. And if you want some details, we could provide that. Whereas the other company that I talked about, we are doing multiple projects for them on data, on gen AI and on business intelligence.

We're also seeing traction in Australia with retail customers. We have quite a few of the leading retail companies in Australia as a customer and we added a couple more during the quarter. And couple of others that we had, we have also ramped up. And that's why you're seeing an increase in revenues for the Retail and CPG segment.

So for Manufacturing, one of our large customers in India, we saw an uptick in revenues. I think it was a little cyclical probably. They had dropped during Q1, and we saw that inflow of projects that we are able to execute.

Now having said that, the revenue from Manufacturing stand-alone, we typically look at Manufacturing and Industrial together is around \$2 million and it's gone up by to around \$2.1 million. So it's around \$130,000, not that much, but the reason is this India automotive company where we're able to get additional projects and that has resulted in the growth.

Moderator: Our next question comes from the line of Vinesh Vala from HDFC Securities.

Vinesh Vala: Given the strong operational performance during this quarter. So, my question I have a few questions. One was related to the geography. The US geography during this quarter had shown a sequential improvement after the
Happiest Minds Technologies Limited
October 29, 2025

Page 22 of 27

three quarters of decline. So the question was, is there any spending pattern change or still the deals are related to the cost optimization deal or Gen AI focused deals are coming in?

Joseph Anantharaju: Sure. So if you look at US, as you rightly pointed out, we had around 3% increase

quarter-on-quarter in revenues. I would attribute this to 3 reasons, right? The first, as you rightly pointed out, is Gen AI, and you see it in the Gen AI numbers. Quite a bit of our majority of our gen AI revenues come from US, and that has contributed. So gen AI has contributed to the growth in the US geo.

We also talked about NN, right? And the NN team that we've created separately, we started with US and India because between the 2, they account for 80% of our revenues. And if you see both India and US have grown quite well. So if you go back to the statement that we made that the 30 logos that we've signed, they yielded \$9 million revenues in the first half. The majority of that has come from US and that again has contributed to the growth that you see.

And that's the reason we're feeling bullish and projecting \$50 million over 3 years 3 to 4 years from these logos that we've closed. We're also seeing initial positive signs from our HIPO strategy where we've had a couple of customers that had grown based on focused mining effort.

But in terms of spend, we've seen more of at least the deals that we've closed, the revenues we've got based more on AI and Gen AI-based initiatives. We

had a couple of consolidation deals, the one that I talked about where we were able to grow significantly through account mining.

That was a consolidation that we were able to engineer with the customer cost savings that we're able to drive back to the customer productivity enhancements. But more of our needs and requirements we are seeing in AI and gen AI and data space.

Vinesh Vala: Okay. Got it, sir. Another one was regarding the furloughs. How do we expect the furloughs in the next quarter? Do we have a seasonality impact of normal

Happiest Minds Technologies Limited

October 29, 2025

Page 23 of 27

furloughs? Or do we expect that it to be higher? And another one was on the utilization.

As you pointed out, our utilization has improved to 80%, which is highest in past 3 years. So do we expect that to improve further and which would be adding our margins going ahead? And what would be the comfortable range of utilization going ahead?

Joseph Anantharaju: Sure. So if you look at furloughs, we typically get minimally impacted. It's too early to talk about it because customers come back to you only towards the end of second half of November or first week of December.

But as I see the customers that we have and the nature of engagement, my belief is that we should not be impacted by furloughs because a lot of the work that we are doing are quite critical and customers need to get these initiatives and these projects out and into production to customers and to the employees.

So I don't believe we'll have much of an impact from furloughs. We have taken a goal of getting utilization above 80% and I'm very gratified to note that it's at 80.7% and we expect to keep it at this level and if possible to move it slightly up as well, right because there are still pockets and we are approaching this in a segmented manner, looking at specific skill sets and development centers and seeing how we can push up utilization.

So there could be scope for 1% or so. But from a margin perspective, I think we maintain the 20% to 22% EBITDA that we've consistently committed to and which we will deliver on.

Moderator: Our next question comes from the line of Ruchi M akhija from ICICI Securities.

Ruchi M akhija: It's been a year or more than a year since we acquired Aureus and PureSoft ware . Could you summarize the integration and the synergy benefit from these two acquisitions?

Joseph Anantharaju : Sure. I kind of touched on this a little earlier, but I'll kind of, I'll recap what I talked about. See both Aureus and PureSoft, Aureus was stronger in the insurance space and PureSoft was stronger in the banking area, right? And

Happiest Minds Technologies Limited

October

29, 2025

Page 24 of 27

they had their own strength, own platform engineering, which is Arttha Banking and one of the reasons we acquired both of these companies apart from the fact that they really augmented and enhanced our BFSI capabilities and presence in the market.

But there were also areas that both of these companies did not have capabilities and hence were leaving opportunities on the table for instance, security, infrastructure, gen AI, analytics, these are areas where we've been able to identify opportunity and do more of cross -selling.

But at the same time, some of the domain skills that both Aureus and PureSoft have, whether it's in insurance or in banking is something we've been able to take to some of our existing customers. But more importantly, to some of the new prospects that the NN team is working with.

We are able to take some of the experts from both of these companies and have them join the sales team and represent the domain capabilities out there and enhancing and increasing our probability of winning these deals.

And we won a few of these deals in both insurance and banking space.

Again, on the platform, as you know, PureSoftware has Arttha as banking

platform. And we've been working closely with the architect of the platform, the business owner to make investments in the platform to take it to market starting in India because they don't have any presence in India.

Currently, the customers are in Southeast Asia and Africa. And as we speak, we have a couple of POCs or I would say, semi -implementation going on for a couple of cooperative banks. And this should open up the India market for Arttha, which is something that we are helping drive along with the PureSoftware leaders.

On Aureus, we've put together an Insurance in a Box. Some of the ideas and thoughts came from Happiest Minds, some of it came from Aureus. And we're taking this as a platform to MGAs starting this South Africa, where we already have pre -committed customers and the business model is ARR based on 5 - year deals, right?

Happiest Minds Technologies Limited

October 29, 2025

Page 25 of 27

And there are multiple other such MGAs that we can cross -sell into. And then we look at how do we get into other countries and other viewers or continents. And so that's the other area where we are expecting synergies out of these two acquisitions.

Moderator: We have the next question from the line of Dhanshree Jadhav from Choice Institutional Equities.

Dhanshree Jadhav: My question was on pricing. We said that in Gen AI, we have been able to get a 25% increase in pricing. So just wanted to know other than Gen AI, how is the pricing conversation as of now with the clients? Some data points if you can share there? And my second question is on hiring plans for the current year.

Joseph Anantharaju: Can you repeat the question. It wasn't very clear. Can you please repeat it?

Dhanshree Jadhav: Yes. On pricing, we said that in Gen AI, we are getting a premium of 25% as of now. So just wanted to understand how this has been the blended or other than Gen AI, how is the pricing and the conversation with the clients as of now and our hiring plans?

Joseph Anantharaju: Sure. So this is a blended or average rate, right? The rate range could vary from anywhere from 32% to 45% or 50%. And again, it varies between the customers who we see have huge potential and therefore, sometimes make semi -investment, which and of course, be -- but what we get out of that is an entry into these customers. And at the same time, it also helps build some of the replicable use cases that we talked about, right?

Once we are able to implement it, we understand what it takes, what are the customer requirements. And so that's how we arrived at that 20% to 25% premium on the standard rates or the average rates that we get for the rest of the business.

In terms of hiring plans

, I think it's good to track the pipeline and the revenue growth. We did a headcount increase of 31 in Q2. As I mentioned earlier, we still see a little scope for increasing our utilization. So we'll have to factor that in and then reflect it on our growth to project out our hiring plan.

Happiest Minds Technologies Limited

October 29, 2025

Page 26 of 27

But my expectation is that we will be we'll continue adding headcount both in Q3 and Q4 because we have a good pipeline. And as Venkat pointed out earlier, we are optimistic on our revenues and performance for Q3.

Dhanshree Jadhav: And when should we start reporting the TCV numbers like or the bookings?

Venkatraman Narayanan: We have not been reporting TCV because that's been it's not a consistent number that we have. It's a there has been reasons such we have clearly given out as in the in our previous calls. There is no uniform formula into how these things are communicated. It's just numbers which are cited at a point in time. Rather, we give out numbers of our repeat business, we give you our new - new business numbers. We give out our pipeline as a percentage of where we stand. But TCV number, it doesn't make too much of a -- at least from our side, we thought it doesn't make too much of a sense. That's why we've not

been giving it.

Joseph Anantharaju: Just to add to what Venkat said, many of our opportunities or revenues come from more of land and expand. And so let's say, a couple of examples I gave where we did discovery a consulting exercise. We typically will do it at maybe \$100,000 to \$200,000, but the implementation would be a few million.

So would you have TCV at \$2 million or \$2.2 million or \$3.2 million and you don't know the 3 million you do your consulting exercise and go to the customer. And that's the reason why we -- because we don't want to paint muddy or confused picture, we want to be consistent.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Ms. Priyanka Sharma for closing comments.

Over to you, ma'am.

Priyanka Sharma: Thank you all for joining us today. We sincerely thank Anand Rathi for hosting this call on our behalf. We look forward to continued engagement with all our investors and analysts. For any follow-up queries, please feel free to reach out to the Investor Relations team.

Happiest Minds Technologies Limited
October 29, 2025

Page 27 of 27

This is Priyanka Sharma signing off, and you can reach out to us on ir@happiestminds.com Thank you once again, and have a great day, guys.

Moderator: Thank you. On behalf of Anand Rathi Institutional Equities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2026

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February 13, 2026
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Dear Sir/Madam,

Sub: Transcript of Earnings Call held on February 10, 2026

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on February 10, 2026, post announcement of financial results of the Company for the quarter and nine months ended as on December 31, 2025. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited
Praveen Kumar Darshankar
Company Secretary & Compliance Officer
Membership No. F6706

Page 1 of 28

"Happiest Minds Technologies Limited
Q3 FY '26 Earnings Conference Call"
February 10, 2026

Management: Mr. Ashok Soota – Chairman & Chief Mentor
Mr. Joseph Anantharaju – Co-Chairman & Chief Executive Officer
Mr. Venkatraman Narayanan – Managing Director
Mr. Ram Mohan – Chief Executive Officer, Infrastructure
Management and Securities Services (IMSS)
Mr. Sridhar Mantha – Chief Executive Officer, Generative AI Business
Services (GBS)
Mr. Anand Balakrishnan – Chief Financial Officer
Mr. Praveen Kumar Darshankar – Company Secretary & Compliance
Officer
Ms. Priyanka Sharma – Head of Investor Relations

Moderator: Mr. Sushovon Nayak – Anand Rathi Share and Stock Brokers Limited

Moderator: Ladies and gentlemen, good morning and welcome to the Happiest Minds Technologies Limited Q3 FY'26 Earnings Conference Call hosted by Anand Rathi Share and Stock Brokers Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be

Happiest Minds Technologies Limited
February 10, 2026

Page 2 of 28

an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Sushovon Nayak from Anand Rathi Share and Stock Brokers Limited for opening remarks. Thank you, and over to you.

Sushovon Nayak: Thanks, R yan. Hi, good morning, ladies and gentlemen. Thank you for joining us today on the Q3 FY '26 earnings call of Happiest Minds Technologies Limited. On behalf of Anand Rathi, I would like to thank the management of Happiest Minds for giving us the opportunity to host this call.

Today we have with us Mr. Ashok Soota , Chairman and Chief Mentor; Mr. Joseph Anantharaju, Co -Chairman and CEO; Mr. Venkatraman Narayanan , Managing Director; Mr. Ram Mohan, CEO Infrastructure Management and Security Services; Mr. Sridhar Mantha , CEO Generative AI Business Services; Mr. Praveen Darshankar, Company Secretary and Compliance Officer; Mr. Anand Balakrishnan , CFO; and Ms. Priyanka Sharma: , Head of Investor Relations.

I will now hand it over to Priyanka Sharma: for the Safe Harbor statement and to take the proceedings forward. Thank you and over to you, Priyanka.

Priyanka Sharma: Thank you, Sushovon. Good morning to all the participants on the call. Welcome to this conference call to discuss the financial results for the third quarter ended December 31, 2025. I am Priyanka Sharma , Head of Investor Relations. We hope you have had an opportunity to review the earnings release we issued yesterday evening.

Happiest Minds Technologies Limited
February 10, 2026

Page 3 of 28

Let me quickly outline the agenda for today's call. Ashok will begin by sharing his perspective on the business environment and our results. Joseph and Venkat will then discuss our financial performance and operational highlights. Following that, we will open the floor for questions.

Before we begin, let me read the Safe Harbor statement. During this call, we may make forward -looking statements. These statements reflect the environment we see as of today and involve risks and uncertainties that could cause actual results to differ materially. We do not undertake to update these statements periodically.

With that, let me now hand it over to Mr. Ashok Soota .

Ashok Soota: Thank you, Priyanka and good morning, everyone, and thank you for joining us. When we spoke last quarter, we had highlighted that our 10 strategic transformations were beginning to deliver visible and measurable results. And before I get into all of that, I want to take cognizance of a recent announcement on AI, which has created turbulence in global markets for software companies. I want to assert that this development is an opportunity and not a threat for Happiest Minds, and we believe also for other IT services companies and in many ways, this reinforces the strategic choices we have been making. In Q3, we have taken the next step forward in our strategic journey by launching AI First, Agile Always as our 11th strategic transformation. This is a structural shift on how Happiest Minds builds, delivers and scales value in an AI -driven world. This transformation is itself supported by 11 strategic programs. While the foundations, talent, platforms, and governance, were built over the last several quarters, the outcomes are now becoming visible in customer engagement and execution.

Happiest Minds Technologies Limited
February 10, 2026

Page 4 of 28

Before I speak about the environment, let me briefly touch upon the

performance in Q3. We have had a 2.4% Q-over-Q growth and 10.7% year-over-year. And for the 9 months, growth stood at 10.2%. This reflects steady execution. Even a

s we continue to invest heavily in our

AI capabilities and reinforce our confidence in the 4-year, 10-plus percent revenue growth commitment we outlined last quarter.

A key enabler of our AI First strategy is really our AI Services Delivery Platform, which has already been used by customers to move initiatives from pilots to production. We plan to take this platform to multiple customers so that this will help them reduce their own time to market. Across the organization, we are seeing growing demand for AI embedded into workflows, intelligent agents and governance platforms that enterprises can deploy with confidence. We now have 32 GenAI and Agentic AI use cases that have moved from prototype, with several scaling into production.

To summarize, AI First is already influencing how customers engage with us and how we deliver. It builds naturally on the earlier transformations we have undertaken and positions Happiest Minds very well for the next phase of growth. An inevitable question that arises from the above is: what is the difference this is going to make to the growth of Happiest Minds? When we announce our Q4 results, we will give you these numbers. It's too early for us to do that now. And we expect to show significant increase in the guidance we have been giving over and above the 10% growth we have committed for 4 years. With that, I will hand it over to Joseph to talk about the business environment, customer traction and outlook.

Joseph Anantharaju: Thank you, Ashok. Good morning, everyone. In Q3, we saw customer conversations becoming more decisive. Enterprises are moving beyond experimentation and are increasingly focused on embedding AI into Happiest Minds Technologies Limited
February 10, 2026

Page 5 of 28

core workflows and platforms where the business impact is clear and scalable. This shift is reflected in our Q3 and 9-month performance, with constant currency revenue growth and EBITDA margins remaining within our guided range.

The demand environment remains selective but increasingly intentional as they prioritize initiatives where the business case is well-defined. Automation of workflows using GenAI and Agentic AI, AI-led productivity and modernization of core platforms are seeing traction as enterprises focus on measurable outcomes and faster time to value.

As a result, AI is no longer an add-on in customer conversations. Increasingly, discussions are centered on how AI can be embedded into core workflows and platforms, governed effectively and scaled across the enterprise. This is where our AI First positioning is making a tangible difference.

An important dimension of this shift is how customers are approaching modernization and productivity at scale. Many are now looking to apply AI to core applications and platforms that were traditionally difficult to modernize due to complexity, legacy dependencies and execution risk. In this context, our agentic AI approach, which combines coding agents with human developers in a hybrid delivery model, is resonating well. This enables customers to address technology debt in a more cost-efficient manner and lower risk manner by delivering high productivity improvements. We are seeing interest in this approach not only from enterprises but also from private equity firms and their portfolio companies.

During the quarter, we saw several AI-led wins that reflect this shift, including GenAI-driven vendor compliance and automation for a global FMCG client, an enterprise-wide roadmap and reference architecture for a U.S. insurance provider, AI-powered sales and quote management Happiest Minds Technologies Limited
February 10, 2026

solutions for premium retailers in Australia and NZ, AI-led cloud optimization for a U.S. healthcare BPO and digital and AI-driven transformation initiatives for leading academic institutions in Asia and India.

A common theme across these engagements is scale and repeatability. These are not proof of concepts; they are designed as platform-led or reusable solutions that can be deployed across multiple customers with similar requirements.

Let me touch briefly upon how this is reflecting in our BUs. PDES continues to be our largest business, anchored around product engineering and platform modernization, with AI increasingly embedded into core engagements. IMSS continues to benefit from demand for AI-enabled infrastructure management, cloud optimization and automation-led efficiency initiatives. GBS and AI services saw strong momentum, with revenues growing close to 50% quarter-over-quarter as customers move decisively from pilots to production deployments.

From a geographic standpoint, the U.S. remains our largest market with continued traction across other geographies. From a vertical perspective, BFSI and Healthcare led growth this quarter, with Industrial showing a modest uptick while the rest of the portfolio remained broadly stable. Recent deal wins and the pipeline, which showed a big jump during the quarter, provide greater visibility and portent well for the upcoming quarters.

At an industry level, Q3 saw resilient but selective growth, with digital and AI-led programs holding up better than discretionary spend across the IT services sector. Looking ahead, while the environment is likely to remain selective, our focus remains clear: AI-led growth, deeper client

Happiest Minds Technologies Limited

February 10, 2026

engagement and disciplined execution. The AI First approach positions Happiest Minds well as customer priorities continue to evolve.

With that, I'll hand it over to Venkat to walk you through the financial and operational performance.

Venkatraman N: Good morning, everybody. This is Venkat. Thank you, Joseph. Good morning, everyone. I'll take you through the financial and operational performance for the quarter that just ended, followed by a brief update on our 9-month performance as well.

For the quarter, revenue stood at \$65.7 million, showing a growth sequentially and year-over-year in constant currency of 1.2% and 7.1% respectively. In rupees, revenues were INR588 crores, up 2.4% sequentially and 10.7% on a year-over-year basis. Total income for the quarter stood at INR604 crores, growing at 1.4% Q-on-Q and about 8.9% Y-o-Y. EBITDA was INR123 crores, translating to a margin percentage of 20.4%, compared to the 20.2% in Q2. And this range of 20.4% to 20.2% is well within our guided range of 20% to 22%.

Operating margin for the quarter improved to 17.4%, that's 40 basis points sequentially, from 17%. Our utilization for the quarter was 82%, and the highest in recent times. Margin expansion was thanks to the favorable foreign currency and improved profitability in the GBS segment. These gains -- despite fewer working days in the quarter and a forex loss of INR6.2 crores.

Profit before tax for Q3 stood at INR54.2 crores, while profit after tax was INR40.3 crores. This number takes into account the one-time impact of the new wage code -- leading which is resulting in a one-time charge of INR22.3 crores. So if you want to look at our numbers, adjusted PAT, which is PAT adjusted for the noncash acquisition costs and exceptional items, which includes the charge for the new wage code was at 11.6% compared to the 11% in the previous quarter. So a

Happiest Minds Technologies Limited

February 10, 2026

Page 8 of 28

real depiction of our numbers is essentially the adjusted PAT, which is what I'm drawing your attention to.

Overall margin improvement underscores sustained operating efficiencies and disciplined cost management that we follow. For the 9 months ended 31st December 2025, revenues was \$195.2 million, showing a year-over-year growth of 10.2%. We are keeping to our double-digit

growth percentage of 10.2% in dollar terms.

In rupee terms, revenues were INR1,711 crores, up 12.8% year-over-year. EBITDA for the 9-month period stood at INR367 crores with a margin of 20.6%. Profit before tax was INR204 crores and profit after tax was INR152 crores, both impacted slightly by the one-time wage code cost that I talked about earlier.

However, adjusted PAT, which is again, PAT adjusted for the noncash cost coming from acquisitions and the one-time wage code impact for the 9-month period stood at INR208 crores compared to INR195 crores in the previous year.

Operationally, as highlighted, utilization improved to 82% in Q3, reflecting better deployment and improved execution discipline and the scaling of our AI-led engagements. Attrition on a trailing 12-month basis stood at 17.4% and largely stable. DSO increased to 92 days from 87 in the previous quarter, and we remain focused on collections and billing discipline. The idea is to bring that back down to the 85-day number, and that's where we'll be focusing our efforts on.

Headcount at the end of the quarter stood at 6,548 employees, supported by a strong offshore delivery model. Our return ratios remain healthy with ROCE at 22% and ROE at 12%. Looking ahead, our priorities remain unchanged: delivering 10-plus percentage on revenue growth in constant currency and maintaining EBITDA margins in the 20 to 22% range. This is for the current financial year. Aligned to our AI
Happiest Minds Technologies Limited

February 10, 2026

Page 9 of 28

First strategy, we plan to grow our AI/GenAI team to a 1,000 Happiest Minds by the end of FY'27 while maintaining financial discipline in the process.

With that, I will hand it over to Sridhar to conclude and share more details on our AI First approach.

Sridhar Mantha: Thank you, Venkat. Very good morning, everyone. Q3 represents a very important inflection point for our Generative AI business services and AI. As industry is gaining more confidence about the use cases and how to derive ROI leveraging Generative AI and subsequently agentic AI, more and more use cases are moving beyond prototypes into production-grade deployments. With many of them scaling across multiple customers and verticals, creating repeatability and operating leverage.

Also, we are working on and delivering multiple end-to-end digital solutions, and these are primarily driven by the AI features that are on the top of the digital platforms and the digital infrastructure. Our AI Services Delivery Platform has been central to this progress, enabling faster movement from concept to production while improving delivery productivity and governance.

Following a successful healthcare solution deployment, the platform is now being scaled across industries. The platform covers frameworks, tools and agents that cover entire spectrum of our service delivery, including agentic software development, modernization and tech debt reduction, data engineering, cyber security, infrastructure management, etc., leveraging AI, and also this platform helps in implementing agentic AI solutions faster.

We are delivering AI assistants embedded into workflows, domain -

specific copilots, AI -native modernization of legacy systems and AI -powered operations across IT, sales and support. Importantly, GBS
Happiest Minds Technologies Limited
February 10, 2026

Page 10 of 28

turned profitable this quarter, reflecting improved execution discipline. Our focus going forward is very clear: scale responsibly, deepen reuse and ensure AI delivers measurable business outcomes for our customers.

That concludes the management commentary. We will now be happy to take your questions.

Moderator: We take the first question from the line of Gaurav Rateria from Morgan Stanley.

Gaurav Rateria: My first question is on the Generative AI deals and services that you talked about. Just

want to understand, from an enterprise context, are these completely new areas of spend? Or are these the same spend they would have done in a different manner, but because of new technology, they are kind of redirecting and repivoting and doing it in a different manner? So, is it a net new? Is it just a repivot of something they would have done earlier?

My second question is on what are the various engagement models that you have on some of these repeatable platforms that you talked about. Are these more like a license -based solutions that you are selling? Are these fixed price projects? Are these based on certain outcomes that the client is achieving and based on that outcome you are going to get paid? Or is it still plain vanilla effort -based projects? Thank you.

Sridhar Mantha: This is Sridhar, and I'll take the first question and second question Joseph will address. And regarding the first question, of course, for quite some time we have been seeing lot of traction that were happening in the GenAI space because the clients were not really clear about either the use case definition or the ROI.

Happiest Minds Technologies Limited
February 10, 2026

Page 11 of 28

Such prototypes and POCs were generally done by scratching some component of the budget from somewhere. However, as Joseph and Ashok mentioned, in the last 2 quarters, including the current quarter, we started seeing more and more customers are extremely clear about their entire roadmap and what kind of agentic AI foundation and the platform they want to build, what kind of use case they want to create. And these roadmap projects are very clearly part of their overall budget definitions and having more of 1 to 3 years kind of roadmaps. So, the answer, shortly, is of course earlier it used to be more of scratch the budget here and there, but nowadays we are seeing more and more large initiatives well -defined as part of their overall budget.

Joseph Anantharaju: And just to add to that, Gaurav. The other area that we are seeing is when you look at lot of many of these platforms and applications that enterprises and even SaaS providers have built, there's a level of tech debt that they've incurred over a period of time which, for reasons of the risk involved, if it's an old enterprise application, or if it's a SaaS provider or a company that is looking at its bottom line, they may not undertake this because of the cost.

And that is being enabled by your Agentic AI approach where you can deliver a huge improvement in productivity, that will be a new spend as we and we are in discussion with a few customers on this. We'll be able to report more, I think, by next quarter. We're very, very hopeful on that.

Now in terms of the various engagement models that you talked about, we are looking at multiple areas. One of them is looking at how do we take these platforms or solutions, and like you look at Arthra or

Insurance in a Box, we've embedded agentic AI, we are looking at a couple of platforms in the education space and the healthcare space.
Happiest Minds Technologies Limited
February 10, 2026

Page 12 of 28

And our expectation is that we will be able to get subscription or direct license revenue.

The second that we are looking at is how do we take some of these platforms, including our AI Delivery Platform that Sridhar and Ashok alluded to, and how do we package this into a solution and deliver it to customers and look at it whether these can be repeatable solutions so that the selling process, the presales, and the delivery gets optimized and we can manage our gross margins better.

The third is obviously fixed price projects. We in some cases, whether it's when you're modernizing some of these applications or taking on new Agentic AI and GenAI -based features, we'll be able to do it in a fixed price manner as long as the customer is clear on what the outcome should be. If they're in an ideation phase, then it becomes a little bit more challenging.

The other area that we are very actively considering, because it would allow us to capture more value, is outcome -based. And here there is quite a bit of ideation going on internally as to how we can take this to customers. We need to think this through, but we have our initial thoughts and we are bouncing it off customers and sensing them out to evolve this approach.

Management: Just to add on that, Gaurav, our ELLIPSE platform for the infrastructure management has got AIOps infused in it. And so does our security platform which is SecAiGenie, which has got AI completely infused in terms of threat management and MDR. Now both these platforms help in shared services as well as complete managed services, thereby adding value.

And these are not just routine vanilla services which we're going to provide, but it includes AI -based operations which actually benefits the customer in terms of cost saving as well as improved service quality.

Happiest Minds Technologies Limited
February 10, 2026

Page 13 of 28

Moderator: We take the next question from the line of Aditi Patil from ICICI Securities.

Aditi Patil: My first question is on the healthcare vertical. So, it has grown at a healthy pace for the last 3 quarters. Can you share more color on this? What is driving growth? Which service lines, markets and client sub - segments? And how is our pipeline in this vertical? And also update on the -- you had mentioned in the 10 -point transformation plan about a healthcare out -of-the-box solution. So, update on that.

Joseph Anantharaju: Sure. See, one of the areas that we are seeing where spend is holding up well, Aditi, is the healthcare space. And you would also notice that BFSI has demonstrated good growth during the quarter. In healthcare, we saw uptick across geos as well as across various sub -segments of healthcare. So, we had customers in India, in Europe and in U.S. ramping up during the year. We also had a couple of new logos that we were able to close in healthcare.

Some of the companies that have contributed to this growth, one of them is a health -tech company based out of India, where we've seen - they're building a platform for their delivery and for their business.

And that's -- we finished the discovery/ideation phase and we got into the actual buildout. And this includes GenAI at the core of the platform. And that is contributing to some of the growth.

And the other are a that we are looking at is a large pharma company that had ramped down in the second quarter to some extent. We saw them ramping up again. That's also contributed to the growth. One of

our large customers, which has a marketplace for medical supplies, they started off a couple of initiatives which ramped up during the quarter and that's where a lot of the growth has come.

Happiest Minds Technologies Limited

February 10, 2026

Page 14 of 28

We're also working with a couple of medical research institutions on bioinformatics and using AI for optimizing some of their research activities. So, we saw that contributing to the revenue.

In terms of the healthcare platform that we talked about, I think we have one platform that's ready, the multi-omics platform. And as we speak, we are running our go-to-market campaigns on this platform. We have a few prospects that have evinced interest. We are in the process of figuring out how do we package this platform and work with these customers. So, it's looking quite positive. There is a second healthcare platform that is still in the ideation phase. That'll take maybe another quarter or 2 for us to get clarity on. But the multi-omics platform is something that we're already going to market with, Aditi.

Aditi Patil: Okay, got it. That color is helpful. My second question is on the hi-tech vertical. So, c

an you also let us know -- I mean, was it mainly because of furlough that we saw a Q-o-Q decline? And what is the outlook on this vertical?

Joseph Anantharaju: Sure. So, there are couple of reasons that we saw a drop in this vertical.

One of the customers that we've been working with for the last 1.5-year, which is more of a -- which was more in a startup phase, we have completed the development of the product for this customer. And it's a U.S.-based customer and so the team ramped down as the customer tries to take this to market and sell the product and figure out the viability of the product in the market. Our hope is that once they are able to get their go-to-market going, we will see some revenues come back. And this is a risk when we work with some of the early stage or startup kind of companies.

We also had we were working with Airport Authority of India providing support on the platform that we had built for them. That support contract came to an end. So both of these have contributed to the drop

Happiest Minds Technologies Limited

February 10, 2026

Page 15 of 28

in hi-tech. And going forward, what we expect to see is revenues to stabilize and hopefully demonstrate growth in the coming quarters, Aditi.

Aditi Patil: I just have two more questions. So, the third question is on in terms of the renewals, our some of the peers have highlighted that clients are asking for productivity ask for higher pricing reductions. So, are we seeing that more in hi-tech vertical? And overall, how have been our renewals?

Joseph Anantharaju: Sure. If you look at our repeat business, that's stayed around the same, Aditi. So that's one barometer that I would use. But you made a point that customers are demanding a decrease in rate. See, in our case what we are seeing is that customers are driving and we are in many cases proactively going and evangelizing to customers how they can use various productivity tools to improve their quality, to increase their productivity, output, throughput. And I believe that that would be the right approach to take for us, to be proactive about it. And that's what our team has been doing.

And what we are seeing customers come back with is new additional features, tech debt that they have, that can be managed by the same team so that the throughput increases. And we've not seen any customers come back and ramping down because of productivity increases. At times a program could end or come to a logical conclusion and therefore, like I mentioned with the startup in the hi-tech vertical,

that we are seeing. But we are not seeing any customers come back and ramp down because of productivity increases. In fact, a few of the CTOs that I met with in Q3, they're very categorical about this point that proactive and drive adoption and usage of productivity tools, don't worry about ramp downs based on the increase in productivity. And where we have managed services or fixed

Happiest Minds Technologies Limited
February 10, 2026

Page 16 of 28

price, we will share the productivity improvements, whatever benefits we get, with the customers. That's the approach that we plan to take.

Aditi Patil: Okay. Got it. And my last question is on so what is the threshold for TCV, like above which you mentioned the deals in your press release? What is the criteria of putting deals in the press release?

Joseph Anantharaju: I think we've used a mixture of factors and criteria actually, Aditi. Some of them are you look at you see they are more discovery kind of work where the ACV could be lower, but the follow-up work would be higher. But what we've tried to highlight is the deals that are large in size as well as interesting work that we've done that can lead to more follow-up work or that can lead us to other customers based on this work.

Aditi Patil: Okay. So, you don't follow a minimum threshold of deal TCV above

which you put it in the press release?

Joseph Anantharaju: The minimum threshold is US \$250 million, but you'll see deals that are multimillion, and you could also see deals that are \$300 million or \$400 million, which are more consulting and discovery oriented. I just want to give you that range. Minimum is \$250 million, if that's what you're looking for.

Aditi Patil: Okay, got it. Thank you for answering all the questions.

Moderator: We take the next question from the line of Anand Sodhani from Sodhani Securities Limited.

Anand Sodhani: Good morning. I would like to first congratulate you on delivering such a wonderful set of results for this quarter. So, my -- I have three questions for Mr. Ashok Soota. There have been recent reports that Mr. Soota has been exploring stake sale. So, I wanted to understand the rationale behind the stake sale. And are we really exploring the stake sale? Or is there any -- and was the rationale at seeing the share price of HMT at the 52-week lows?

Happiest Minds Technologies Limited
February 10, 2026

Page 17 of 28

And it has corrected almost 50% in the last 1 year. One side slide has been there since the last 1 year. The last time Sootaji sold stake at around INR850, 6% stake. And since then it has corrected to almost half till now. So, what's the rationale behind selling a stake at such low levels?

Venkatraman N: Yes. Sodhani, it was quite muffled, your line. But if I were to repeat, you wanted to know about, Mr. Soota news that...

Anand Sodhani: Yes, Ashokji is the news correct or is it just a rumor in the market? Is it planning?

Venkatraman N: Is it correct or is it a rumor?

Ashok Soota: Yes. Actually, I must tell you one aside just for you to understand where I am. Our whole, if you see our whole, whether it is a press release or our earnings call or press conference that we'll have now, we are completely AI focused and you may have incidentally seen yesterday Mr. Chandrasekaran in TCS is saying I'm going to start getting back into Tata is now saying I'm going to get back into looking after a lot more into TCS simply because of the importance of the change. Now we have launched a major program which I am leading here along with Joseph and the whole team is here to work with this. That change in itself has 11 strategic programs. Make no mistake, I am here to completely see it through, and there is no change.

Anand Sodhani: Okay. That answers the first question. My second question is with respect to time line of Happiest Health. I think 2, 3 years back we had said that you will be launching the IPO planned to launch the IPO of Happiest Health in somewhere in 2027, if I'm not mistaken. So, is it on track?

Ashok Soota: No, I wish I knew that. It's a very young company, its revenues at the moment are actually rather sad. But it will change. In the sense I'll - it's Happiest Minds Technologies Limited
February 10, 2026

Page 18 of 28

not a Happiest Health call, so let me still say, it will be a very differentiated, completely integrated healthcare and wellness company of a type which does not exist in this country and in just one of the segments that we have, for example, which we have we work with clinics which are out of the hospital model. And they are specialty clinics, so that's the beauty of the thing. And we have at the moment only 6 clinics, but within 12 months we'll have 26.

Anand Sodhani: Okay. So, I mean, is the IPO on track for FY'27?

Ashok Soota: As I said that, I would imagine IPO could be easily 6 years away.

Venkatraman N: Yes, IPO would be at least 6 years is what Mr. Soota is saying.

Anand Sodhani: From 6 years from now?

Ashok Soota: Yes, Anand.

Anand Sodhani: Yes. I asked that IPO will be 6 years from now? And we are seeing IPO at 6 years from now, from 2027?

Venkatraman : Yes, that that's the thought. But like Mr. Soota said, that's more

for

Happiest Health, but yes, yes.

Moderator: We take the next question from the line of Vinesh Vala from HDFC Securities. Please go ahead.

Vinesh Vala Sir, my question was on the retail vertical. So, the Retail vertical which is growing on sequential basis from last 9 quarters is showing a decline in this quarter. So, is it related to the furloughs? Or is there any issues which we are facing because the industry was growing -- was facing the issue, industry was slowing down but we were growing in this vertical. So, is there any concern?

Joseph Anantharaju: No, actually. I think there are 2, 3 reasons that have resulted in this drop. There's a very small element of furloughs actually, maybe around

Happiest Minds Technologies Limited
February 10, 2026

Page 19 of 28

see, the drop was 500,000 from Q3 to Q2 to Q3 and maybe around 70,000 of that would be furloughs. One of the large customers, they don't do a 12 -month billing cycle. They use a 4 -week billing cycle. So, we get 13 billing cycles in a year. And in Q2, we got an extra billing cycle, which resulted around 250,000 of extra revenues, which kind of got normalized in Q3, and that contributed a fair bit.

For again, one of our large beverage manufacturer customers, we completed the automation project that we had taken up for them. It completed in the end of Q2, early Q3. And we're just starting work follow -up work in Q4, so my belief is that in Q4, you'll see an uptick in revenues moving up in RCL. But overall, the pipeline and the customers that we are signing up in this space is quite encouraging. And I don't see any ramp down out here or a drop actually, Vinesh.

Vinesh Vala Sir, next thing was on the edtech vertical. So edtech vertical also, it is declining. So, do we expect that vertical to be stabilizing in FY '27 or still some rationalization of clients and everything is there in this vertical?

Joseph Anantharaju: So, Vinesh, as you rightly observed, this is a vertical that has shown a decline in the last few quarters. It used to be our largest vertical and now it's our third largest vertical. And one of the reasons is we've had a heavy exposure to the higher ed space in this vertical. And that whole space, whether it's in U.S. or across the globe, is going through a very challenging period. I'm talking about the higher edtech space, right?

And in U.S., especially universities are having a challenge. But however, having and I believe the customers that we have right now, we are reaching a point where probably the various risks that were there, they have mostly played out is what I believe. And I think FY '27, we should see things stabilizing.

Having said that, there's a new area that we have identified in the education space pursuing institutions and universities based on some
Happiest Minds Technologies Limited
February 10, 2026

Page 20 of 28

of the work that we are doing with a couple of universities as we speak, one in Southeast Asia and another one in India, both very well-known leading institutions and the underlying opportunity out here is some of the internal challenges these universal institutions are facing because of data silos and more importantly, student retention, student attraction is a huge need out here. And AI is enabling them to do this in a more cost-effective manner and I believe that our AI and first strategy overlaid on our educational domain depth and the engagements that we are currently pursuing, including a couple in North America, gives us the opportunity to take some repeatable solutions and maybe even a platform-based approach to these customers. And I believe that in FY '27, we should see a reversal of the downward trend that we saw in the tech space.

Vinesh Vala Okay. My next question was on the deal pipeline. So, as you highlighted that there is a pricing pressure, but do we foresee any change in tenure in the deal, whether

deals are becoming shorter or something like that?

And how is the pipeline overall pipeline?

Joseph Anantharaju: As I mentioned in my commentary, Vinesh, I and the rest of the leadership team very encouraged by the increase in the pipeline. There was a significant increase in the pipeline. And the increase has been more in some of the larger deals. So, contrary to the point you made, we are actually seeing quite a few deals that are 3 to 4 years tenure. And typically, we've worked more as an external engineering team to our customers and so we get 1-year visibility, but we are now taking on programs, whether it's providing support for some of their platforms or setting up a QA testing center of excellence for a large bank in Muscat. We're looking at more longer-term engagements of higher value, and that is what is driving the increase in pipeline.

Moderator: We take the next question from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited.

Happiest Minds Technologies Limited
February 10, 2026

Page 21 of 28

Sucrit D. Patil: Good morning. I have two questions. My first question to Mr. Joseph is looking ahead, how do you see Happiest Minds balancing between scaling digital transformation services, accelerating AI-generated investments and protecting profitability? As client demands and competition evolves, what will guide your decisions on which of these areas should get the strongest focus in the coming quarters? That's my first question. I'll ask my second question after this. Thank you.

Joseph Anantharaju: Sure. So, I think as Ashok and Sridhar mentioned, our largest focus area will be the AI First strategy and the 11 programs that Sridhar talked about, making sure that we implement them. Ashok will be driving this with support from all of us, this initiative. And I believe that if we are if we can execute on this initiative, it will ensure that our growth picks up from the current 10% that we've given and that we'll be able to accelerate it further.

Now some of the areas that we will be looking at actively is the AI Delivery Platform. That will be an area that we will be making investment. I think there's a huge opportunity around tech debt and modernization. As I mentioned in my commentary, we're seeing quite a

few customers expressing interest in this space to address some of the issues that they have put off for quite some time. And I think that can be again a huge opportunity and making sure that we build repeatable solutions with AI at the core will allow us to take these use cases we have around 32 use cases in the GenAI space, it will allow us to take these use cases to a larger set of customers in a more repeatable manner. I think these will be the focus areas for FY'27. And a related area is how do we make sure that all of this happens in the context of more increased domain increasing the involvement of domain and domain understanding into these AI solutions.

Sridhar Mantha: Sorry, I just want to add additional point. I think since you called out the digital transformation, I want to highlight one point that when we
Happiest Minds Technologies Limited
February 10, 2026

Page 22 of 28

talk about the AI first, you visualize it more like tip of the iceberg. What we don't see under the water is the complete set of the digital technologies in the sense that cybersecurity, cloud and all those technologies where we have done investments and we have been the leader in the digital space, that continues to be the foundation on the top of which we'll be building the AI first strategy.

And we started seeing similar kind of results in the marketplace in the sense that large multimillion dollars in the edu-tech space, which we talked earlier, that has a larger component on the digital and then close to \$1 million on the AI and Generative AI to be added on the top. So, they go hand in hand is what I want to call out.

Sucrit D. Patil: My second question to Mr. Balakrishnan is: as Happiest Minds plans over the next few quarters, what financial signals or metrics will be most important in your mind for guiding decisions on cost control, cash flow management and capital allocation for specifically AI and digital investments? How do you see these levers shaping the company's ability to protect margins and boost the profits as IT services business scales?

Anand Balakrishnan: Yes, this is Anand here. So yes, thank you for this question. Yes, the margin pressures will continue to be there, but what we -- if you've seen from a gross margin perspective, we are kind of marching up in the last 2 quarters. We will continue to work on those. Utilizations have improved from marked 80% to 82%, and we kind of trying to push that as well. Liquidity is also kind of gone up to 1520 crores. So that is something that is there.

So, the only thing that we are working on is the DSO, which has currently kind of gone up. But I think it's kind of stabilized in the month of January. So, I think we will continue to do that. We seem to be doing well in what we are doing in the last couple of quarters from a margin, Happiest Minds Technologies Limited
February 10, 2026

Page 23 of 28

from a liquidity standpoint, and we will continue to do that in the coming quarters too. Does that answer your question?

Sucrit D. Patil: Yes.

Venkatraman N: And Sucrit, just to add, one of the areas that all of us will be looking at very closely is, we've made some investments in terms of NN sales, building vertical capabilities. And I think we need to keep those investments at the current level unless -- if we need to make investments that will lead to long-term growth, we will do that.

But I think what we'll need to do is to ensure that we get more returns out of these investments. And as we speak, even in the last quarter in our commentary we had mentioned that we had 13 new logos for the first half of the year, which is the highest that we've had. And this is all based on the investments we've made in the NN sales team.

So, I believe that in FY '27, some of the investments we've made,

whether it's in the Generative AI business unit, whether it's in NN sales, or building vertical capabilities, we will see some of those investments paying off and contributing to our margins. And that will be something that all of us, the leadership, will be closely looking at.

Moderator: We take the next question from the line of Dhanshree Jadhav from Choice Institutional Equities.

Dhanshree Jadhav: Congrats to the team for good set of numbers. My question is with regards to like we have given our full year guidance to be 10% plus. So, for that the Q4 revenue guidance should be stronger. So, what are -- what would be the verticals and strengths supporting this strong growth in Q4?

And my second question is on, if you can call out on subscription revenues in terms of as percent of top -line and the gross margins we are having there. And any queues on pipeline in the GBS, which we are
Happiest Minds Technologies Limited
February 10, 2026

Page 24 of 28

seeing of strong quarter -on-quarter growth. So like ACV also if we can get, so that would be helpful.

Priyanka Sharma: First is color on the anchor verticals in Q4. Then she is asking for deal pipeline ACV, GBS.

Joseph Anantharaju: Okay. So, for Q4, I think we are looking at couple of verticals to actually drive growth and couple of verticals to stabilize. I think BFSI will continue to be a vertical that will drive our growth because we are expecting an uptick in Arthra license revenues. Typically, Q4, our Q4 and Q1 calendar year is the biggest quarter just because customers have completed their planning, they've opened up their budget. And we have a good pipeline for Arthra. And we have another 2 months to close this.

At the same time, we also have a couple of BFSI customers where we've got additional requirements based on last -- the planning for the new year. And we need to make sure that we are able to staff and start these. So BFSI is one vertical that we are expecting will give us lift in Q4.

The other one is again healthcare. And I think it's a continuation of trend. For one of our large customers that I talked about, where we are helping build a platform for their diagnostic and health clinics, we are getting into a ramp -up phase in Q4. And there are couple of new use cases that have been identified which leverage AI and GenAI. So those two will be contributing to growth in Q4.

And I did talk about RCL and hi -tech stabilizing. I expect hi -tech, one of the large deals that we are working on should get closed. We are in a very advanced stage. But we may get some revenues in Q4. It will definitely contribute to growth in Q1.

So overall, as I mentioned in -- while addressing your question earlier, we are seeing a strong pipeline and the opportunities that are large are
Happiest Minds Technologies Limited
February 10, 2026

Page 25 of 28

in a very advanced stage in the funnel. And as they close, they will start yielding revenues, some of it in Q4, and in Q1 and Q2 as well and GBS
Sridhar?

Sridhar Mantha: This is Sridhar. And regarding GBS, of course, Joseph shared the quarter -over -quarter growth, and we want to continue the momentum to the next quarter as well as the next financial year so that as GBS was as entered part of our trend strategic programs earlier, will contribute more towards the growth of Happiest Minds.

However, when it comes specifically to the pipeline side of the things, and some of the deals that we very recently closed, the example is for example, Joseph talked about start -up in agentic AI platform space, which we very recently closed, there's a huge upside in terms of how much more we can add to such accounts and then, of course, as we are

actually adding the generative AI as part of our AI-led strategy and AI First strategy across the organization, for example, AI plus Generative AI. And of course, we already have digital process automation as our center of excellence, combining the process automation with AI and Generative AI as intelligent automation. So we have a huge set of larger pipeline deals with the combination of GBS Generative AI with various other components in the organization and the last one is, of course, on the AI platforms that we talked about as part of our AI and generative AI platform, there is a very healthy pipeline in terms of building that with one of hi-tech and other health tech companies. So, we do see a healthy pipeline, and we are optimistic about maintaining similar or better growth in the coming quarters and the next year.

Dhanshree Jadhav: Yes. Just one question. So, I just asked on subscription-led revenues, if you can call out that number in the gross margins sense?

Venkatraman N: We only have Artha as a line of business which is subscription or SaaS based. But we are looking at a couple of more additional offerings like Happiest Minds Technologies Limited

February 10, 2026

Page 26 of 28

Insurance in a Box, University in a Box kind of a multi-omics platforms.

And those are at a much higher gross margins, if that's the question that you're asking, compared to the normal services. It's all of this is covered in the IP-led sales which is at about 10.4% as of end of quarter.

Moderator: Ladies and gentlemen, in the interest of time, we take the last question from the line of Rakesh, who is an Individual Investor.

Rakesh: Yes. I have two questions there. Perhaps I see -- and I'm a retail investor. And the point is that since Happiest Minds has been positioned itself as an AI-driven company, what specific project or initiatives are being prepared for the -- we have

an India AI Summit in

the next week. That's the one question. And the second question is that I see a lot of debt...

Ashok Soota: Actually, that's a enormous initiative and we're really delighted that this is being kicked under the guidance of the Prime Minister himself.

We will be participating and I'm also happy to share with you that one of the leading state governments, I can't name this at the moment, has really been written to us saying that we'd like to meet you there. We are really impressed with the work that you're doing in AI and we'd like to have a memorandum of understanding with you with a view to building a long-term relationship. So clearly, our focus on AI is paying off in many ways because the word has got around in a very brief period. And we'll be building on it, and we'll be very much present at the AI Summit.

Rakesh: That sounds good to me. And the second point, question is that I see -- what the projected repayment time line for the current debt? I see a lot of debt being taken because of your new projects, new companies hiring taken up. So, what are the -- any plans for capital raising? I see a lot of interest being paid every quarter.

Happiest Minds Technologies Limited

February 10, 2026

Page 27 of 28

Venkatraman N: Almost all our debt is working capital debt, Mr. Rakesh. And if you look at our current ratio, that's quite healthy. And we get -- we have a significant amount of cash on our balance sheet. So, it's a little bit of a treasury that's being done, liquidity management that's being done. Receivables are funded through, preferential rate borrowings from banks, because banks support export-oriented industries by giving us 4.6% to 4.7% rate capital -- working capital lines. So, it would be unwise not to use that and so we are doing that. So, we follow -- we look at the effective cost of borrowings versus the effective cost that we make -- effective returns we make on investments, and currently we are 1% plus on the income side.

Rakesh: Okay. And just a point of note. As a retail investor, we have been investing on this company, trusting you guys from a couple of years, 3 to 3.5 years, and we see lot of -- we are not happy indeed. So please do something, have a -- improve -- I request to improve your balance sheet.

Ashok Soota: Yes, I'd like to just answer that. And like many companies, we go through certain cycles. And if you really see the last time we made a strategic announcement and said we're going to -- there was a period of 2, 3 years when growth was low. And then we are committing to a 10% growth, which we are on. This is the third year about at which we are going to be at a 10% growth.

Having said that, it is at this time that as we began to improve, the whole IT industry took a major hit. I mean if you look at it, at least half a dozen of those companies have been at their 52 -week lows. Now we do believe that we have a secret weapon, which has been announced. we believe is going to take us into accelerated growth rates.

And those numbers, I think, should be visible as you go ahead, and we're prepared to put numbers to the qualitative statements that
Happiest Minds Technologies Limited
February 10, 2026

Page 28 of 28

we've been making. So do look out for our announcements at the end of Q4. And I think you will see a new trajectory from the company going ahead.

Moderator: Ladies and gentlemen, with that we conclude the question -and-answer session. I now hand the conference over to Ms. Priyanka Sharma for her closing comments.

Priyanka Sharma: Thank you for joining us today. We sincerely thank Anand Rathi for hosting this call on our behalf. We look forward to continued engagement with all our investors and analysts. For any follow -up queries, please feel free to reach out to Investor Relations team. You can reach out to us on ir@happiestminds.com
Thank you once a

gain and have a great day. Bye -bye.

Moderator: Thank you. On behalf of Anand Rathi Share and Stock Brokers Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Jun 2026

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June 02, 2026

Listing Compliance & Legal Regulatory
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Stock Code: 543227 & 975101 Listing & Compliance
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra East, Mumbai 400 051
Stock Code: HAPPSTMNDS

Dear Sir/Madam,

Sub: Transcript of Earnings Call held on May 29, 2026

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on May 29, 2026, post announcement of financial results of the Company for the quarter and financial year ended as on March 31, 2026. The transcript is also uploaded on the Company's website (<https://www.happiestminds.com/investors>).

This is for your information and records.

Thanking you,
Yours faithfully,
For Happiest Minds Technologies Limited

Praveen Kumar Darshankar
Company Secretary & Compliance Officer
Membership No. F6706

Page 1 of 32

"Happiest Minds Technologies Limited
Q4 FY'26 Earnings Conference Call"
May 29, 2026

Management: Mr. Joseph Anantharaju – Co-Chairman and Chief Executive Officer
Mr. Venkatraman Narayanan – Managing Director
Mr. Ram Mohan – Chief Executive Officer, Infrastructure
Management and Securities Services (IMSS)
Mr. Sridhar Mantha – Chief Executive Officer, Generative AI Business
Services (GBS)
Mr. Anand Balakrishnan – Chief Financial Officer
Mr. Praveen Darshankar – Company Secretary and Compliance
Officer
Ms. Priyanka Sharma – Head of Investor Relations

Moderator: Mr. Vinesh Vala – HDFC Securities Limited
Moderator: Ladies and gentlemen, good day, and welcome to Happiest Minds
Technologies Limited Q4 FY26 Earnings Conference Call hosted by

HDFC Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask

Happiest Minds Technologies Limited
May 29, 2026

Page 2 of 32

questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vinesh Vala from HDFC Securities Limited. Thank you, and over to you, Mr. Vala.

Vinesh Vala : Good morning, ladies and gentlemen. Thank you for joining us today on the Q4 Earnings Call of Happiest Minds Technologies Limited. On behalf of HDFC Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this call.

Today, we have with us Mr. Joseph Anantharaju, Co -Chairman and CEO; Mr. Venkatraman Narayanan, Managing Director; Mr. Ram Mohan, CEO, Infrastructure Management and Security Services Business; Mr. Sridhar Mantha, CEO, Generative AI Business Services; Mr. Praveen Darshankar, Company Secretary and Compliance Officer; Mr. Anand Balakrishnan, CFO; Ms. Priyanka Sharma, Head, Investor Relations. I will now hand over to Priyanka Sharma for the safe harbor statement and to take the proceedings forward. Thank you, and over to you, Priyanka.

Priyanka Sharma : Thank you, Vinesh. Good morning to all participants on the call, and welcome to the Conference Call to discuss the financial results for the fourth quarter and year ended March 31, 2026. I'm Priyanka Sharma, Head of Investor Relations. We hope you have had an opportunity to review the earnings release issued yesterday.

Now let me quickly walk you through the agenda for today's call. Joseph will begin by sharing his perspectives on the business environment, our strategic priorities and overall business performance. Sridhar will touch Happiest Minds Technologies Limited
May 29, 2026

Page 3 of 32

upon our enterprise AI platform, AI -led transformation initiatives and progress around Gen AI -led engagements and capabilities. Thereafter, Mr. Venkat will walk you through the financial and operational performance for the quarter and full year, followed by our outlook for FY27 .

Following the management's commentary, we'll open the floor for questions. Before we begin, let me read the safe harbor statement. During this call, we may make forward -looking statements. These statements reflect the environment we see as of today and involve risks and uncertainties that could cause actual results to differ materially. We do not undertake any obligation to update these statements periodically. With that, let me now hand it over to Joseph.

Joseph Anantharaju: Thank you, Priyanka. Good morning, everyone, and thank you for joining us today. FY26 was an important year for Happiest Minds Technologies from both a business and strategic standpoint.

We delivered healthy growth, sustained strong profitability, improved utilization, crossed 300 active customers, took several platforms to market and further strengthened our positioning as an AI -first digital engineering partner. FY26 also marked 15 years since the founding of Happiest Minds, a proud milestone, giving us an opportunity to reflect on the journey so far and more importantly, the opportunities ahead. Let me start with a quick view on the market. The year continued to be shaped by a mixed macroeconomic environment. While discretionary spending remains selective in some of the traditional areas, we saw increasing momentum and budget allocation in AI -led business transformation, modernization, automation of internal processes and productivity -focused programs.

AI and GenAI are now central to most customer conversations, and this is translating into Happiest Minds being viewed as a strategic partner, strong customer engagement, robust pipeline growth and improving conversion visibility. There also

has been increasing discussion around platform companies entering the services arena. Our view remains clear. We see this as a positive structural shift for the industry and for Happiest Minds.

Historically, when platform companies such as SAP and Microsoft expanded into services, it spurred further demand and created significantly larger opportunities for the broader IT services ecosystem. Platform providers often generate demand through co-innovation and partnership programs and have traditionally relied on partners for scale and execution.

Turning to performance, FY26 revenues crossed INR2,315 crores, representing a year-on-year growth of 12.3% in INR terms, while the constant currency growth for the year came in at 9.2%, which is among the higher growth rates in the industry. EBITDA margins remained within our guided range of 20% to 22% despite continued investments in AI capabilities, platforms, sales expansion and future-ready talent. From a customer standpoint, we ended FY26 with 306 active customers, including 51 additions during the year, reflecting the success of our enhanced strategy. We also continue to deepen engagement across large enterprise accounts and today serve over \$91 billion corporations globally.

Importantly, during Q4, we saw a record pipeline growth of 27%, which gives us increasing confidence in our FY27 outlook. Based on this momentum, the Board has reconfirmed FY27 growth guidance of 12.5%, while we continue to remain aspirational about a 15% growth trajectory. This is reflected in the planned headcount of 1,050 for FY27
Happiest Minds Technologies Limited
May 29, 2026

with the bulk of hiring taking place in the generative AI business unit and the analytics and AI CoE.

Over the last few quarters, we have spoken about our early investments around GenAI and our broader AI-first strategy, which Sridhar will expound further on. During FY26, we saw this translate more meaningfully into scaled engagements, customer adoption and stronger pipeline momentum.

Enterprises today are increasingly looking for partners who can help them move AI initiatives from experimentation towards measurable business outcomes, and that is where Happiest Minds is seeing strong relevance.

Based on our internal innovation initiatives and experience implementing AI strategies for our customers, we recently announced the launch of our enterprise AI platform. The platform is designed to help enterprises accelerate AI adoption in a secure, scalable and enterprise-ready manner while reducing execution complexity and implementation risk.

The overall momentum buildup was also reflected in several strategic wins during the quarter, including engagements such as a U.S.-based insurance and financial service provider for product engineering services, a global warehouse automation leader for engineering and security applications and a European health care software company for modernization of its hospital management platform.

Sridhar will talk a little bit about some of our experiences in the AI space. From a vertical perspective, growth during the year was led by BFSI and Healthcare and Life Sciences, both of which continue to see

strong momentum driven by AI-led transformation, digital engineering and modernization programs.

Happiest Minds Technologies Limited

May 29, 2026

Page 6 of 32

Retail and travel, media and entertainment verticals also delivered steady growth during the year, while industrial remained stable. We are additionally seeing signs of revival in the education sector, driven by GenAI adoption, which we are capitalizing on with our Eduweave platform repeatable solutions.

Geographically, the U.S. remained the largest market with healthy momentum across AI-led transformation and modernization programs, while India, Europe and the rest of the world all showed good growth during the year.

We

also strengthened our leadership team during the quarter with the addition of Prathamesh Kulkarni as Executive Vice President to lead our BFSI, Healthcare and Life Sciences and Retail CPG verticals. We have Suresh Chettur, who joined us as the Digital First Automation CoE Head; Siddharth Dhandapani to spearhead our GCC business; and Samarjeet Singh as Vice President of our newly launched SAP Center of Excellence.

Overall, we are entering FY27 with stronger strategic positioning, a strong pipeline, healthy order book and momentum across customers and markets. We believe the convergence of AI, engineering, modernization and automation is expanding the digital transformation opportunity and Happiest Minds remains well-positioned to participate meaningfully and take advantage of the opportunities offered by this evolving landscape.

With that, let me hand it over to Sridhar to share more details on our AI-first strategy and the enterprise AI platform. Sridhar, over to you.

Sridhar Mantha : Thank you very much, Joseph, and good morning, everyone. Over the last year, of course, as all of us are observing, enterprises have moved decisively from AI experimentation towards scale deployment.

Happiest Minds Technologies Limited

May 29, 2026

Page 7 of 32

The challenge today is not access to the AI models or the quality of the AI models, but integrating AI securely into the enterprise workflows and driving measurable operational outcomes. That's precisely where our enterprise AI platform is focused.

The platform brings together intelligent agents out of the box, and orchestration capabilities with all the agents that exist as well as get developed, governance framework for security and guardrails and reusable engineering components into a completely unified enterprise-ready architecture.

We are leveraging our experience in building multiple AI solutions for customers and our repeatable solutions experience over the last several years to create a customizable platform for our clients across multiple verticals.

We are seeing increasing traction across AI-assisted software engineering, AI-led modernization, intelligent automation, infrastructure optimization, leveraging AI and AI workflows within cybersecurity operations and enterprise copilots.

We are also working on merging hybrid coding paradigm, combining the coding agents with the human developers, creating a meaningful opportunity for enterprises to modernize complex legacy environments in a more efficient and lower-risk manner while driving productivity improvements.

As shared last quarter through our AI-first strategy, we continue to add more generative AI and Agentic AI use cases that have moved beyond prototypes, as Joseph mentioned, into scaled customer engagements with several demonstrating replicable sales potential across customer

accounts and industry verticals. And today, we have 50 use cases identified and already implemented.
Happiest Minds Technologies Limited
May 29, 2026

Page 8 of 32

We are also increasingly embedding Agentic AI frameworks into enterprise workflows where autonomous and semi-autonomous systems can improve operational efficiency while maintaining governance and human oversight. I'll give a quick view about 3 new wins we started working as well as delivered in some scenarios we had last quarter that illustrate the kind of projects that we are currently working in the AI space.

We won a project from a bottling company in Africa, where we had to also create necessary digital infrastructure so that we can actually leverage AI in terms of IoT enabling their coolers and then creating the Agentic AI solution, addressing asset performance optimization. The solution basically analyzes the efficiency of all their coolers and makes the necessary recommendations like reallocation of some coolers, which in turn saves money through effective utilization. So thi

s

is an example where a customer wants to leverage AI, but we have to actually create the necessary digital infrastructure as IoT sensors, etcetera, for their hardware devices and coolers.

The second example I would like to talk about is for a large automobile company in India, we are actually creating an Agentic infrastructure because a lot of times, before we actually start creating Agentic solutions, we need to actually rely upon the enterprise systems for data and information so that the agents on the top can actually leverage that information to create more intelligent applications.

So we actually are creating MCP servers wrapping their 900 APIs so that new Agentic AI solutions can be developed. So this is an example where creating the necessary Agentic infrastructure for the new Agentic solutions to be further developed.

Happiest Minds Technologies Limited
May 29, 2026

Page 9 of 32

The third and last example I want to talk about is for one of the largest CPG companies, and they want to create a marketing survey application for a new product they were planning to launch. And traditional software development methods require 6 months to build such an application, and they were under tremendous time pressure because the product has to be launched quickly so that in the malls, people can actually test the products and all the survey information can be entered through application, etcetera.

We leveraged our Relay Build, which is an Agentic SDLC tool that can significantly accelerate the software development by using Claude agents and other technologies. So we won this project because we are able to actually complete the project in 3 months and deliver to the customer. These are 3 distinct examples of various kinds of AI projects in terms of Agentic infrastructure, digital infrastructure as well as complex AI solution.

And also in line with our AI first strategy, we'll continue to invest across AI capabilities within the organization as well as platforms, accelerators. And of course, the most important one is the talent. And as part of this effort, we are in the progress of building a dedicated 1,000 AI and generative AI focused team by end of FY27 to support growing customers' demand to build generative AI solutions.

Of course, in terms of the AI productivity, we are targeting towards all of our workforce to be trained. And of course, we already started adopting various AI productivity tools with multiple client projects and our goal is to reach 90% of all our engineers, testers and all service delivery personnel will be trained and will start using effectively AI tools

in the productivity space by 90% by the end of FY27 .
Happiest Minds Technologies Limited
May 29, 2026

Page 10 of 32

So overall, our focus remains clear, helping enterprises to deploy AI safely, responsibly and at scale while delivering measurable business outcomes. With that, I now hand it over to Venkat.

Venkatraman N : Thank you, Sridhar. Good morning, everyone. What I'll do in the next few minutes is give you a highlight of our financial and operational performance for the quarter and the year that ended on March 31, 2026. Starting with our fourth quarter performance. Our revenues in constant currency grew 0.5% sequentially and 6.4% year-over-year. Operating revenues for the quarter were INR604 crores, a sequential growth of 2.8% and approximately 11% year-over-year. Total income, which is operating income plus other income was INR621 crores, a sequential growth of 3.1% and 9% sequentially and year-over-year. It's pertinent to note here that we have grown every quarter since our IPO and most importantly, on a profitable basis.

As you will all be aware, the last quarter was one of fluctuations, be it currency, geopolitical situations or technology changes. However, I'm happy to say that we have managed to navigate these very well and continue to gro

w.

Here, I would be remiss if I did not say that our industry has also pulled it off decently well. With the fourth quarter behind us and almost 2 months into the new year, we are now looking forward to the new year with optimism and vigor. We are putting all our energy and focus into meeting our guided growth of 12.5% in constant currency for the next year.

Operating margin for the quarter remained stable at INR106 crores and 17.5% of revenue. Investments made in GBS, our AI-first strategy and our new sales engine have helped deepen our existing customer relationships while helping open many new doors. The GBS unit now
Happiest Minds Technologies Limited
May 29, 2026

Page 11 of 32

contributes almost 3.3% of our revenues while improving on its profitability metrics.

At the risk of repetition, I should mention that GBS is our AI innovation engine, while AI and AI-led services are now a dominant part of our overall business. To make this amply clear, in the coming months, we'll be reporting on a metric that is revenue from AI-led services.

We will also, in the coming months, begin reporting on pricing models, which reflect our AI-first approach and AI-led business as distinct from what we call out today under contracts model, namely revenue split by time and materials or fixed price. This is a much needed clarification as markets tend to mix these 2 distinct terms.

Turning to some of the operational metrics. We continue to maintain strong utilization, numbers, and we are at about 81% compared to 77.4% in the previous year in the same quarter. PAT for the quarter at INR61 crores has shown a significant improvement over the previous year and the previous quarter.

However, to be consistent with what I have been talking about until now, our adjusted PAT, which is PAT adjusted for exceptional items and intangibles was INR72 crores, and it stood at 11.5% of our total income, showing growth both sequentially and year-over-year. On working capital, DSO increased marginally to 94 days from the 92 that we were earlier on, and we should bring that back through accelerated post-quarter collections.

Coming to the full year performance, operating revenue was INR2,315 crores, representing a year-over-year growth of 12.3%. Growth in constant currency came in at 9.2%, slightly below our guidance that we

had made for the year of 10% , primarily driven by a delay in the right - shifting of a couple of our Arttha license deals. This also impacted our Happiest Minds Technologies Limited
May 29, 2026

Page 12 of 32

fourth quarter growth. Efforts are underway to close these right - shifted deals in the first quarter of the current year.

Total income for the year stood at INR2,400 crores, which I must say has a nice ring to it as a number. Growth on this count was 11%. Operating margin was 17.4% versus 17.3% in the previous year and at INR401 crores, it has grown 12.3%. So the 17.4% and thereabouts has been largely in line with previous year.

While I spoke about our growth guidance for FY27 , our expectations on operating margin, though we are not calling it as a guidance, is to improve the same by about 100 basis points. That means about 17.5% to 18.5% on operating margin is what we are seeking to achieve. We will be driving this on the back of improved utilization, execution discipline and efficiencies that come from integrating acquired entities while continuing to make investments in our AI initiatives. Utilization for the year remained above 81% compared to the 77% in the previous year.

PAT for the year at INR213 crores has shown a growth of 15% over the previous year. I'm not comparing it with the previous quarter because we had certain exceptional items. Adjusted PAT came in at INR279 crores or 11.61%, showing a growth of 9.4% of the previous year. From a customer perspective, we ended the year with 306 active customers, that is 51

additions during the year. I would like to draw attention to our billion dollar clients, which have grown from 82 to 91. Very interesting to note that this cohort continues to contribute almost 58% of our revenue, giving you a good insight into our quality of earnings.

Happiest Minds Technologies Limited
May 29, 2026

Page 13 of 32

We ended the year with about 6,500 Happiest Minds, a slight drop from the previous year. While attrition has been high at 17%, it is not unmanageable. It is within the region that we have been seeing a trend over the past couple of quarters.

From a balance sheet standpoint, we continue to maintain a healthy financial position with robust cash flows generation -- generating sufficient liquidity and flexibility to continue investing in our strategic growth initiatives. Our return on capital employed has improved to 22% compared to the 21% in the last year.

As I look ahead into FY27 , our focus remains on sustaining growth momentum through AI -led transformation opportunities and enterprise modernization programs, while continuing disciplined execution and strategic investments in AI capabilities, platforms, sales capacity and future -ready talent. Our growth guidance for FY27 is supported by a healthy and improving pipeline, traction in AI -led opportunities and customer engagements. Overall, I believe we are entering FY27 on a strong footing.

Before I conclude, I'm happy to share that our Board has announced a final dividend of INR3.65 per share, which, when approved by the shareholders, will take the total dividend for the year to INR6.40 per share. Thank you for listening to us patiently.

I will now request the moderator to open the call for questions.

Moderator: Thank you. First question comes from the line of Aditi Patil with ICICI Securities.

Aditi Patil: Hello, thank you for the opportunity. My first question is on the Q4 revenue growth. While you mentioned that there were -- there was a right shifting of Arttha licenses in Q4. Was there any other reason for a

Page 14 of 32

softer growth like in high -tech vertical, we see a sharp Q -o-Q decline in both Q3 and Q4. So if you can help me on this ?

Venkatraman N : Sure. Aditi, ye s, go ahead, Joseph.

Joseph Anantharaju: Yes. So if you look at the Q4 growth, we did 0.5% quarter -on-quarter at constant currency and INR growth was 2.8%. And for the year, constant currency was 9.2%, slightly short, maybe tad bit short of the 10% that we had projected at the beginning of the year. And INR was 12.3% year -on-year.

Now if you just get down to a couple of verticals that did well and a couple where we saw a little bit of a drop. BFSI continues to do well, whether you look at a quarter -on-quarter growth or year -on-year growth, the bets that we made on PureSoftware and Aureus is paying off. And so that's one.

Second is if you look at EdTech, from a Q4 perspective, there was a good growth of 8.4% quarter -on-quarter. And we are seeing in a couple of accounts where we had the challenge, we are seeing traction back in those accounts. We're also seeing our Eduweave platform getting traction. We have a couple of customers already for this platform, and there are quite a few prospects.

Now as far as Hi -Tech is concerned, there was -- a big reason was for one of our customers who's based out of Canada and who has operations in China, we were developing a completely new product for them, a mixture of an automated cooking system and on the hardware and backed up by low -code, no -code platform that was AI -driven. And this got completed.

The customer is trying to take it to market and there's a pause in the engagement. And the drop in that revenue, it was a pretty sizable

Happiest Minds Technologies Limited
May 29, 2026

Page 15 of 32

account for us. That's what's resulted in the drop in Hi -Tech

. I can

almost link it back to one customer.

Now health care grew 12.8% year -on-year. But for the quarter, there was a dip of 5%, and that's because one of the customers in the pharma space, there was an engagement that also included some license revenue that got completed in Q3. And therefore, in Q4 , we had that thing.

But overall, I would say BFSI and health care continue to show good resilience, as I pointed out in my talking points. We also see retail and CPG having good traction. EdTech already talked about, we see budding shoots and Eduweave should lead to growth. GenAI is driving a fair bit of interest in this segment. Aditi?

Moderator: We have lost the line of Ms. Aditi.

Vinesh Vala : Yes, operator, Vinesh here. So I will go ahead with the question.

Moderator: Yes, please go ahead.

Vinesh Vala : Yes. So sir, on our AI -first initiatives, how does the AI -first initiative fundamentally differ s from the company's previous digital engineering approach? And what specific changes in the operating model or service delivery or client engagement have we implemented since its loan?

Joseph Anantharaju: Sure. So let me take the first question -- first part of the question and I'll let Sridhar talk about some of the initiatives and some of the work we're doing in the AI space. So we started the company as a digital native company, Vinesh. And I would say a lot of the work we did was around data, cloud, customer user experience.

But one thing that was common was data all along. And even in our initial years, we did quite a bit of AI work with the customers, but it was

Happiest Minds Technologies Limited
May 29, 2026

more of the traditional legacy AI, right? And 3, 4 years back with GenAI with the announcement of Copilot and seeing the prospects for this technology or this trend, we started generative AI business unit. And we've seen very good traction in generative AI business unit.

And what we are seeing is that -- and what we are also evangelizing to customers and guiding them is that any initiative they take up now, any platform that they build, they should look at how does AI become a central part of this. And it could -- a lot of it would be digitization or digital engineering or transformation.

And for those who have not really fully realized the benefits of digital transformation, the advantage is now they can do it with AI at the central part of it. So that is the overall thought process behind the AI first strategy, which has multiple elements .

I'll talk -- I'll let Sridhar talk about some of the things that we're doing on multiple fronts from an AI perspective and also a little bit about how the legacy AI/ML ops and generative AI, how we view them. So Sridhar, over to you.

Sridhar Mantha : Thanks, Joseph, Vinesh. There are 2 sides. Of course, AI is an integral part of -- or classically AI has been integral part of our digital positioning as well as the capabilities historically, as Joseph shared. However, as you could see from the examples t hat we are illustrating, customers to take the advantage of the AI, there's a lot that happens behind the scenes that could be even sometimes creating the digital infrastructure.

I did talk about even creating the IoT sensors kind of infrastructure before leveraging AI. And sometimes it could be -- you need to have the data or AI infrastructure, I have taken the automobile example, Happiest Minds Technologies Limited
May 29, 2026

right? So think about it more like the tip of the iceberg when it comes to the AI solutions.

However, the reason for us to actually go heavily on the AI first as a strategy is not what we build for the customers, but also how we build for the customers. That's where the AI productivity tools for the entire service delivery come into the picture, b e it engineering, testing, infrastructure management or cybersecurity, all

the services that we

are delivering historically and we continue to deliver is being significantly impacted by the AI.

So that way, from the talent as well as our offerings, right, be it the AI -centric offerings or leveraging the AI for other kinds of work that the customer requires. All those pieces already are various programs that we have in the organization. I already shared some kind of the 3 goals I mentioned, right, which is 90% of -- when we started the digital initiative, we had the goal of doing the digital work only and even tually, we reached approximately 95%, 96% as a company.

Very similarly, when it comes to leveraging the AI productivity tools at varying levels, be it Agentic or AI augmented, we want to hit 90% plus by end of the year. So fundamentally, it is changing every service offering that we are having, right? That's th e reason why we wanted to take it as an AI -first initiative that has an impact on our learning function, right, project managers and how we price our customers, more focus on the outcome -based models.

And then, of course, our offerings also integrated with AI. And that allows us also to start looking at certain tools I mentioned Relay Build and of course, the most important flagship solution is enterprise AI platform.

Happiest Minds Technologies Limited
May 29, 2026

Vinesh Vala : Yes, sir. Got it. Thanks for the elaborate answer. So, one more thing right now, all the companies are announcing the partnership, so how are we looking at a partnership with some of the players in order to scale this AI-led capability?

Sridhar Mantha : Thanks, Vinesh. Actually, I missed that part as part of telling. There were 2 new -- of course, historically, we do have strong partnerships with Microsoft as well as with AWS. However, in the last quarter itself, we did establish with 2 interesting companies, of course. One is Anthropic. When they started a formal partnership program, we became one of the early partners for them.

So we closed a partnership with Anthropic in the last quarter. The second one, which is much more interesting is a young startup called UnifyApps. They actually are -- they have a product which actually can connect the data side of the enterprise environment all the way up to the AI, right?

We created a 360-degree partnership with them. And we work very collaboratively with them in terms of taking out -of-the-box AI-based solution with low-code, no-code way of developing agents on the top of it. So that way, we are looking at the industry giants.

Historically, Microsoft, AWS, we already did have. Anthropic, we established already in the last quarter. And in emerging startups that are transforming the enterprises like UnifyApps, we established a partnership also in the last quarter. So 2 new partnerships in the last quarter, Vinesh, Anthropic and UnifyApps.

Moderator: Next question comes from the line of Aditi Patil with ICICI Securities.

Aditi Patil: Yes, thank you. So, I wanted to -- I had 2 questions on the GBS business unit. While the revenue growth this quarter, like it has grown

Happiest Minds Technologies Limited

May 29, 2026

sequentially, but there is a drop in the segmental margins. Can you share the reason for this drop? And also in terms of the AI platform, what kind -- I mean, apart from Arttha, what other platforms are already being adopted by customers? And if you can share some metrics of the platform adoption?

Venkatraman N : So Aditi, let me take the first one on the margins, and I'll hand it over to Sridhar and Joseph for the second. See, as far as GBS business unit is concerned, it contributes about 3.3% of our total company's revenues. It's actually nothing but an AI center of innovation if you really look at it because if you look at this concept of AI-led services or AI-induced services, that number is much, much larger.

But

what we do in GBS is the AI -- it's an AI center of innovation. We started it to take a lead in all that thing we do in AI, created it as a BU. And like I've been saying in the past, we have dedicated people to it about 200 people. But the large part of AI is now becoming -- it's going into various other parts of the business.

So while there is this concept of BU and BU profitability, the intent at GBS is to make sure that we create solutions and tools, which are ahead of time, focused on customer needs and that kind of a thing. So it's not profitability.

The profitability tends to get captured in the larger PDES and the IMSS area work. But just to give you a case in point, conversion of Arttha Banking or inducing it with AI is something that's happening. The entire revenue of Arttha Banking sits inside BFSI and it gets attributed to PDES.

Something that we do in ELAIRA or ELLIPSE, our platforms on the security and the customer support standpoint, that gets counted as part of IMSS, which is another BU. But without GBS giving you the tech

Happiest Minds Technologies Limited

May 29, 2026

direction and the direction on the innovation and where the markets are headed, we are not going to be able to do that.

So what we are trying to do is over a period of time, GBS becomes a horizontal, they supply and -- they will serve the entire company with the AI capabilities that are built. So as a BU, the first order of preference is to make sure that the people deployed in that unit, they are completely used across the company.

But at the same time, they stand for a certain element of revenue. And let me not say profitability, but at least to make sure that it makes economic sense for having that team. Does that make sense, Aditi?

Aditi Patil: Okay. Yes, it makes sense. Understood.

Venkatraman N : Over to you, Sridhar.

Sridhar Mantha : Yes. So Aditi, in terms of the, of course, the platforms that we are building, I'll put them into 3 buckets, Aditi. One is the AI productivity. I mentioned something called Relay Build, right? We have something called Agent Hub.

So the idea is like when the engineering teams are like looking at the requirements, how can we generate near 100% code, right, from the specifications directly. That's what the Relay Build addresses. And today, we are -- I already did talk about one customer, right, which is a large CPG. And also within our internal projects in a lot of places, we are using it.

The other one is Agent Hub where enterprise quality guardrails can be put on these coding agents because we are seeing a lot of these news articles on coding agents removing the production database or turning rogue, etcetera, right? So checks and balances, guardrails, etcetera. So that at least are controlled.

Happiest Minds Technologies Limited

May 29, 2026

So those are more on the AI productivity side. And on the service delivery side, of course, one example, ELAIRA was mentioned by Venkat, and that is predominantly on the customer support side, complete AI -based solution that we have, which is a little bit skewed towards the pharma industry, but it's applicable to other verticals, too. And another one on the cybersecurity space, again, falls broadly under our IMSS umbrella is SecAIGenie, which is actually on the cybersecurity side. So a lot of the issues are text -based and complete AI solution that can analyze and identify what kind of security threats can be there.

And the last category is the vertical solutions. Joseph did talk about the Eduweave, right, which is actually a collection of multiple AI use cases for the education institutions along with the digital infrastructure so that any academic institution can leverage. One example out of all AI use cases we have is student engagement.

So leveraging the video analytics, image analytics and everything, how well the students are

engaged in the platforms, so the multiple AI use cases in the education space, and we have insurance in a box, right?

Again, a lot of AI use cases, along with the complete insurance workflows as part of it, Arttha anyhow on the banking side, we have.

And all this experience is what made us to come up with an enterprise AI platform that can be highly customizable for each of the verticals for us to start rapidly creating vertical -oriented solution. So these are some examples of the various AI solutions. Apart from that, we do have bioinformatics solution, multi -omic solution, etcetera, which are, again, very AI -focused and a little bit narrower than the solutions I mentioned.

Aditi Patil: Okay. Got it. Do you -- can you share some adoption metrics for these platforms? Or they are still in the initial stage?

Happiest Minds Technologies Limited

May 29, 2026

Sridhar Mantha : So in terms of the adoption, like the AI productivity, of course, naturally, you can assume as well as understand that the adoption is extremely much higher because these are not vertical solutions, pretty much every software development project we can use, right? So that way, the Relay Build, which is on the AI product side, at this point, we already have 40% adoption within our internal projects and the customer projects and everywhere.

And from there, like, of course, they'll keep adopting more. And ELAIRA, for example, right, is actually a companion solution for our well-established ELLIPSE platform, right, which actually can allow complete infra AIOps kind of solution. So that way, like we have ELLIPSE very well adopted with a lot of our projects and ELAIRA is being adopted in those places for the customer support.

Aditi Patil: Okay. Okay. Got it. I had a couple of more questions on the guidance. So revenue guidance of 12.5% is very assuring. Can you help me understand how much of it is due to the deals we have already won? And how much is contingent on the higher probability of pipeline conversion?

Joseph Anantharaju: It's a mixture of both, Aditi. The approach we took is to do a ground-up revenue plan. In March, we had each of the industry groups and the IMSS and Generative AI business unit to come up with their plans. And we also had the centers of excellence come up with independent plans to make sure that it's all aligned.

And just before this Board meeting last week and the week before last, we did a stress test of the Q1 and Q2 guidance because if you can meet the first half yearly numbers, it gives much higher level of confidence that we'll be able to meet the annual plan. And we've built the plan for 15%, whereas we've kind of -- the revenue plan, but the P&L has been built on 12.5%. So that is a little bit of cushion.

Happiest Minds Technologies Limited
May 29, 2026

And as we've said, our pipeline has grown by 27% quarter-on-quarter, this is a mixture of NN and opportunities in our existing business. As you know, our repeat business is 92% that varies between 92% to 94% depending on the quarter.

So that gives quite a bit of solace, right, having that stability and the good thing about the pipeline also is there are several large deals that are cutting across quarters and across years, which gives a little bit more of stability and cushion to the overall projection. I've already talked about the vertical outlook that we have.

So based on all -- and we've talked about how we're getting a lot of traction and success in the AI-first strategy. So all of these factors have contributed to giving us the confidence for the 12.5% guidance that we provided.

Aditi Patil: Okay. Got it. And on the margin side, what would be the planned headwinds in terms of like investments on sales and marketing or AI capability building and the annual wage increments, if you can...

Venkatraman N : Yes. So Aditi, we have called th

at out in the press release yesterday.

See, we did have tailwinds and headwinds last year, thanks to the way the foreign currency moved in our favor. We have also had currency losses because of the forwards that we have taken. So quite a few moving parts. But despite that, our focus will be to maintain and protect the 17.5...

Aditi Patil: Okay. I was asking from FY27 point of view, would we be -- would our sales and marketing investments and AI investments would be higher in FY27 versus FY26 ?

Joseph Anantharaju: I think Venkat has dropped off. So let me take that, Aditi. I think there would be a little bit of increase in the sales headcount and cost because

Happiest Minds Technologies Limited
May 29, 2026

there were some open positions that took time to fill up last year that are seeing people come on board right now.

And we also had to do a little bit of a shift because when we moved from hybrid BDMS to client partners or account managers for existing accounts and hired a new set of NN BDMS, we also found that some of the people that we had were not fitting into that pure client partner profile that can grow accounts into large customers. So those shifts are taking place.

On AI, we'll continue investing, whether it's on the platforms, Sridhar talked about many platforms that we are building. All of them have well detailed GTM and positioning behind them and even capability building because we feel quite confident that the business will come because as we speak from an AI and generative AI perspective -- GBS, we do have money sitting on the table.

So we don't look at this as really being headwinds. It could be transitory. And that's why what Venkat said that we will make sure that we operate in the guided EBITDA margin and operating margin of between 17.5% to 18.5% is what we are targeting in FY27.

Venkatraman N : Sorry, did I get cut off somewhere in between..

Joseph Anantharaju: You were cut off and I addressed that question.

Venkatraman N : Yes, thank you. And we have covered this in our press release, 17.5% to 18.5% is what we are trying to maintain while balancing out all the headwinds and tailwinds on the expenditure and revenue front. But investments will continue, and we'll obviously prioritize that if it comes to a question of where to deploy money.

Aditi Patil: Okay, got it, thank you.

Happiest Minds Technologies Limited

May 29, 2026

Moderator: Thank you, the next question comes from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: A couple of question, but just want to understand the guidance part.

We expect revenue growth to accelerate into FY27. What gives us confidence? Can you provide some sense about, let's say, deal TCV, ACV related pipeline I heard you said, but pipeline obviously need to get converted and then revenue ramp-up need to happen. So if you can give some more detail and which vertical you expect to lead the growth?

Venkatraman N : Dipesh, shall I -- I'll quickly cover the TCV, ACV question and then hand it over to Joseph. See, we have traditionally not been giving TCV, ACV because there is no one standard formula adopted by the industry. I'm not making a statement that it's not something that is possible, not possible, but we have stayed away from giving that.

But that said, we are pulling that together, and we'll hopefully, in time, be able to share that. But the larger thing is you should see the way we build our business numbers. One is based on repeatable business, the extent of new business that is expected to come in from the pipeline. When we are talking about pipeline, it is new business, existing new and new, new. And then you have the existing business, which is growing at a certain clip, forming part of a large percentage, 93%, 94% of the total business. You put that together, that's how we build up our business plan.

So we -- it

was on the same basis that we have been reporting over the last 4, 5 years. While we are getting our numbers together, the TCV, large deal value. These are all something that makes possibly sense in the large kind of an environment -- large company environment. But at Happiest Minds Technologies Limited

May 29, 2026

our size of 300 million, it's all about focused execution on the current pipeline and the opportunities, Dipesh. Over to you, Joseph.

Dipesh Mehta: I understand -- yes, yes, sorry

Joseph Anantharaju: Yes, sorry, just to add to that, Dipesh, I'll break it up into 3 sections, right? Some of the deals that we've closed. I'll just give you a high-level view, right, with one of a pre-owned company that's in the warehouse and logistics solutions space. We've just signed a deal to take over all of their applications and infrastructure.

It's a 3-year deal that's around \$12 million to \$15 million, right? And we are in discussion to sign up for taking over their technology as well, right, the engineering arm. And that will -- it's a very active conversation. Again, over 3 years, it will be \$8 million to \$10 million, right?

Now for a large insurance provider in Southeast Asia, we -- during the year, we won a couple of new contracts or deals. It's an existing customer where we've been able to grow the account. It's a \$10 million-plus account, right? We've been able to grow 40% year-on-year and got 2 large programs from them. And we're in discussion for a couple of more such programs.

Again, with a large CPG company, we've won a 5-year deal to help them with some of their marketing experience with a company in the -- that provides Agentic AI platform. We've done a 360-degree partnership where we are their implementation arm and it's already a multimillion dollar engagement.

So that's on what we've won. But in terms of pipeline as well, right, we have several large deals, both NN and EN, as I mentioned earlier, that are quite large and cutting across multiple years. That's the pipeline
Happiest Minds Technologies Limited
May 29, 2026

Page 27 of 32

part of it. And if you look at some of the initiatives that we had, right, we had talked about a PE initiative. And as we speak, we are the preferred partner for 4 PE firms.

And I did give you some of the wins that I talked about our pipeline I talked about is coming from these PE companies. We have talked about GCC strategy, and we brought on board, as I mentioned in my talking points, we brought on board a head for that, who's putting a strategy that we will be implementing, and we should get traction over there.

The large account strategy, we've created 2 business units, one under Rohit Mathur, which has Hi-Tech industrial manufacturing and EdTech and the other one with Prathamesh, who came on board 4 months, 5 months back that has retail CPG, BFSI and health care.

Both are very seasoned leaders who've grown large accounts. So they will be leading the industry groups and the client partners to make sure that the foundation we laid for a large account strategy last year, we'll be able to take it to the next level. And the goal is to create multiple large accounts.

And this year, maybe create 1 or 2, \$20 million account, but at least lay foundation for multiple of these accounts. Another area that we thought where we're leaving money was on the SAP front, and we'll take up very specific areas over there. We're not going to boil the ocean. So we brought a very seasoned leader on board to lead that practice.

So if you just look at all of this, there's so much -- and we have all of our platforms that Sridhar talked about where we're getting good traction. So this is what has given us the confidence, right, that we'll be able to hit this revenue growth that we've guided.

Happiest Minds Technologies Limited
May 29, 2026

Page 28 of 32

Moderato

r: Thank you. Next question comes from the line of Kuber with Axis Securities.

Kuber: Thank you for taking my question. Thank you for the opportunity. Two questions from my end. So I would like to know about your acquisitions.

I mean, historically, we have done a lot of acquisitions, right? So how these acquisitions are going to get benefited to us in the future? And when we talk about 12.3% of top line growth, could be a mix of -- if you can share some mix of inorganic as well as organic growth?

And the second question is on AI. So everyone is talking about AI and uplifting their platforms as well. How different are we from those players? If you can just share some thoughts on that?

Venkatraman N : I'll just address the question on organic, inorganic. Whatever we have put out there, 12.5% is organic first. There's no question of inorganic because there's nothing in the pipeline as of now. Whatever acquisitions we had done in the past have been integrated 1.5 years back. I too covered that. So it's completely part of our company.

So we are, in fact, our plan for next year considers some of the efficiencies that are coming on account of the integration that we are talking about. So we have progressed far deep into integration. And even if you're looking from a regulatory standpoint, the company should not be in existence post a couple of months. So the number of 12.5% is completely organic. Joseph?

Joseph Anantharaju: So thanks, Venkat. Just adding to that, Kuber. If you look at it last 1.5 years, whether that's me, Sridhar, Ram, Rohit, Prathamesh, we've been meeting all of these customers, whether it's from Puresoftware, Aureus and from the earlier acquisitions as well. And the planning and the cross-selling, all of that is being carried out by us out here.

Happiest Minds Technologies Limited
May 29, 2026

Page 29 of 32

And we are also, at the same time, leveraging some of the capabilities that the people in Pure software and Aureus brought to the table in some of the other customers that we have, whether it's in the insurance space or in the banking space or even in the health care space. So it's a totally integrated unit now.

And as Venkat pointed out, the 12.5% is purely organic that we projected. If we do an acquisition, that will be on top of it. We are quite clear internally. In terms of AI, I'll attempt -- I'll give my point of view, and then I'll let Sridhar also jump in. So if you really look at it, Kuber, I think Happiest Minds is the only company that has a separate business unit for generative AI.

And what that allows us to do is to just focus on the space, Sridhar, Praveen, RP and the team to focus on this space, develop depth in AI and generative AI, work closely with analytics and the DPA CoE, which have become kind of overlapping or extensions of the generative AI business unit because there's so much of -- if you look at automation, right, business process automation, there's a lot of Agentic AI coming in there.

If you look at analytics, CoE, data is the underlying need for doing anything on AI. And so we are able to put this integrated story with GBS leading the way with the depth they bring to the table. The second thing I would talk about is the repeatable solutions that we are looking at and the platforms.

I think the number of repeatable solutions that we have and Sridhar talked about quite a few of them, brings a lot of value to the table. On the SDLC front, we've created a separate center of excellence for making sure that we keep -- we saw that the change -- the pace of change was just too fast.

Happiest Minds Technologies Limited
May 29, 2026

Page 30 of 32

And very often, for us to advise the customer or to make pivots internally in terms of what to use, what not to use, we felt that having

a separate center of excellence that would focus on these productivity tools, whether it's Cloud Code, Co

pilot, Gemini, all of the others Cursor and just keep track of the changes, how customers are adopting it, so we can we can distill all of these learnings go back to customers as well as to implement it internally. That, again, I think, is something that I don't think too many companies have done.

So given our size, I think we are putting quite a bit of investment. We're making a lot of progress on multiple fronts. Our whole AI -first strategy has been -- has got multiple elements to it, including internal adoption of AI tools, which we can then be leveraged to advise customers. And I think that's what we are bringing to the table as a value proposition to our customers. Anything you want to add, Sridhar and start?

Sridhar Mantha : Sure. The only point I want to add there, Kuber is, of course, there is always an excitement by multiple IT services companies to keep coming with the platforms, right? And that's where how we differentiate and why clients actually like what we are coming up with is.

One of the strategic decisions we have taken is we didn't want to build a broader enterprise AI platform 2 years back because everything is in total flux, right? At that point, I'm saying any platform, clients are not in a position to believe they themselves don't know what this technology is.

So what we did is we wanted to wait so that we gain sufficient experience, some of the examples Joseph shared, right, in terms of our repeatable solutions. And all the knowledge and experience that we gained is what prompted us to start thinking about as well as start developing and creating the enterprise AI platform.

Happiest Minds Technologies Limited

May 29, 2026

Page 31 of 32

The rest, we were actually using our existing experience with AI, for example, ELLIPSE understanding and experience, we enhanced and moved into ELAIRA kind of solution. So that's how we created multiple point solutions and now is the time for us to create a broader enterprise AI platform after 2 to 3 years of experience with generative AI.

Moderator: Thank you. The next question comes from the line of Siddhant Sarraf , an Individual Investor .

Siddhant Sarraf: Thank you for the opportunity. So, my question is a little naive, I would say. From a long -term governance perspective, could management provide some color on succession planning and development of the next line of leadership considering substantial promoter holding of around 32% ?

Joseph Anantharaju: Sure. So from -- one of the things that some of us in the founding team found a little surprising is that in 2012, just a year after we had started the company, Ashok had initiated a succession planning discussion. And he said we just started the company.

So it's become, I would say, annual exercise that we have not missed a single year where we take all the senior and next level roles, and we look at the people playing those roles, what are they going to be ready for next and have discussion on who could be a potential successor, what is the areas that can be considered for development?

And then what are the programs that are available or that we can avail of and this gets discussed with the Board as well. Last year, we also included Hogan Assessments to get a different view of these leaders and had that reviewed by the Board again.

Happiest Minds Technologies Limited

May 29, 2026

Page 32 of 32

And born out of this have been multiple development programs, including having some of our leaders attend IIM, Bangalore, ISB for specific training programs. We've started some training programs or

development programs, that was not training, development programs internally. And we feel very confident in the kind of succession planning that we've done.

At the same time, as I mentioned, we've got a few leaders externally because we also believe that getting some of some leaders from outside brings in fresh ideas and cha

llenge some of the ways of doing things. So this is the approach we've taken to succession planning, and it's all been done with involvement, active involvement and inputs from the Board.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I now hand the conference over to Priyanka Sharma for closing comments.

Priyanka Sharma : Thank you, everyone, for joining us today. We would also like to sincerely thank HDFC Securities for hosting this call on our behalf. We appreciate your continued engagement and support. Should you have any further queries, please feel free to reach out to the Investor Relations team at ir@happiestminds.com Thank you once again, and have a great day ahead.

Moderator: Thank you. On behalf of HDFC Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2026

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Dear Sir/Madam,

Sub: Transcript of Earnings Call held on July 28 , 2026

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Earnings Call held on July 28, 2026, post announcement of financial results of the Company for the quarter ended as on June 30, 2026. The transcript is also uploaded on the Company's website

(<https://www.happiestminds.com/investors>).

This is for your information and records.

Thanking you,

Yours faithfully,

For Happiest Minds Technologies Limited

Praveen Kumar Darshankar

Company Secretary & Compliance Officer

Membership No. F6706

Page 1 of 28

"Happiest Minds Technologies Limited

Q1 FY27 Earnings Conference Call"

July 28, 2026

Management: Mr. Joseph Anantharaju – Co-Chairman and Chief Executive Officer

Mr. Ashok Soota – Chairman and Chief Mentor

Mr. Venkatraman Narayanan – Managing Director

Mr. Ram Mohan – Chief Executive Officer, Infrastructure

Management and Securities Services (IMSS)

Mr. Sridhar Mantha – Chief Executive Officer, generative AI Business
Services (GBS)

Mr. Anand Balakrishnan – Chief Financial Officer

Mr. Praveen Darshankar – Company Secretary and Compliance
Officer

Ms. Priyanka Sharma – Head Investor Relations

Moderator: Ms. Aditi Patil – ICICI Securities Limited

Happiest Minds Technologies Limited

July 28, 2026

Page 2 of 28

Moderator: Ladies and gentlemen, good day and welcome to the Happiest Minds

Q1 FY27 Earnings Conference Call hosted by ICICI Securities Limited. As

a reminder, all participant lines will remain in the listen -only mode and

there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Ms. Aditi Patil from ICICI Securities Limited for opening remarks. Thank you and over to you.

Aditi Patil: Thank you, Ryan. Good morning, ladies and gentlemen. Thank you for joining us today on the Q1 FY27 Earnings Call of Happiest Minds Technologies Limited. On behalf of ICICI Securities, I would like to thank the management of Happiest Minds for giving us the opportunity to host this call.

Today we have with us Mr. Joseph Anantharaju, Co-Chairman and CEO; Mr. Venkatraman Narayanan, Managing Director; Mr. Ram Mohan, CEO Infrastructure Management and Security Services; Mr. Sridhar Mantha, CEO Generative AI Business Services; Mr. Praveen Darshan, Company Secretary and Compliance Officer; Mr. Anand Balakrishnan, CFO; Mrs. Priyanka Sharma, Head Investor Relations.

I will now hand it over to Priyanka Sharma for the safe harbor statement and to take proceedings forward. Thank you and over to you, Priyanka.

Priyanka Sharma: Thank you so much, Aditi. Good morning to all participants on the call and welcome to the conference call to discuss the financial results for the first quarter ended June 2026. I am Priyanka Sharma, Head of Investor Relations. We hope you have had an opportunity to review the earnings release issued yesterday. Now let me quickly walk you through the agenda for today's call. Joseph will begin by sharing his perspectives on the business environment, our strategic priorities, and overall business performance.

Page 3 of 28

Sridhar will touch upon AI-led transformation initiatives and progress around AI-led engagements and capabilities. Thereafter, Venkat will take you through the financial and operational performance for the quarter followed by our outlook for FY27. Following the management commentary, we will open the floor for Q&A.

Before we begin, let me read the safe harbor statement. During this call, we may make forward-looking statements. These statements reflect the environment we see as of today and involve risks and uncertainties that could cause actual results to differ materially. We do not undertake any obligation to update these statements periodically. With that, let me hand it over to Joseph.

Joseph Anantharaju: Thank you, Priyanka. Good morning, everyone, and thank you for joining us today to discuss Happiest Minds Technologies' financial results for the first quarter of FY27. We have started FY27 on a strong note, reflecting the continued trust of our customers, the resilience of our operating model, and the growing relevance of our capabilities as enterprises accelerate investment in AI-led transformation, digital engineering, cybersecurity, and automation.

As more of our peers have reported their quarterly performance, we are encouraged by the relative strength of our own results. We believe this reflects the strength of our AI-first strategy, the breadth of our digital capabilities, and our disciplined execution in an evolving market environment. Our operating revenue for the quarter stood at INR629 crores, representing 14.3% year-on-year growth in rupee terms. In constant currency, revenue grew 2.6% sequentially and 6.7% year-on-year. We also maintain

Happiest Minds Technologies Limited
July 28, 2026

Page 4 of 28

currency, revenue grew 2.6% sequentially and 6.7% year-on-year. We also maintain

ined a healthy EBITDA margin of 21.7% while continuing to invest meaningfully in AI capabilities, enterprise platforms, talent, and go-to-market initiatives that will support our long -term growth. Venkat will talk more about our results.

This encouraging start to the year reinforces our confidence in the resilience of our business and provides a solid foundation for the year ahead. Let me now turn to the market conditions. The demand environment remains mixed with discretionary spending continuing to be selective. At the same time, enterprise technology investments are increasingly shifting towards AI -led transformation, data modernization, cloud, cybersecurity, and productivity initiatives. We believe AI is fundamentally reshaping the future of enterprises. As organizations move from experimentation to scale deployment, the conversation has shifted from whether AI should be adopted to how quickly it can be deployed securely and at scale to create measurable business value.

This is reflected in the continued strength of our demand environment with our pipeline remaining strong, providing us with confidence in our growth outlook. Our AI portfolio continues to expand with over 100 AI agents, around 60 repeatable use cases, and a growing suite of AI -powered solutions and accelerators enabling faster deployment, greater reuse, and stronger customer outcomes. Sridhar will provide more details on our AI strategy.

Beyond our services business, we continue to strengthen our portfolio of proprietary platforms and repeatable solutions. Our enterprise AI platform, together with Arttha, Insurance in a Box, Multi -Omics, and EduWeave platforms, help customers accelerate AI adoption while allowing us to combine proprietary intellectual property with our
Happiest Minds Technologies Limited
July 28, 2026

Page 5 of 28

engineering capabilities. These platforms create differentiated entry points into customer relationships, lead to non -linear growth, and support larger, long -term transformation engagements.

Some notable wins during the quarter included our selection as the strategic data and AI partner for a leading North American energy infrastructure company, an AI -powered test automation engagement for a leading Australian insurance provider, a digital commerce modernization program for a leading Indian multinational CPG company, a Salesforce -based product engineering engagement for a global consulting company, and a multi -year managed security services engagement with a major Middle Eastern retailer.

From an industry perspective, growth was led by Healthcare & Life Sciences, which grew 22% year -on-year and 4% sequentially. BFSI remained our largest vertical at 27% of revenues, while EdTech contributed 16% and delivered modest growth. High -Tech too recorded a strong sequential recovery. Geographically, the Americas continued to be our largest market, contributing 57% of revenues. Growth was increasingly diversified across our other markets with India and APAC growing approximately 9% and 10% sequentially respectively. This broader geographic participation provides us with greater balance and supports our long -term growth ambitions. Looking ahead, while the macroeconomic environment remains mixed, we believe the structural drivers of technology spending remain firmly intact.

Enterprises continue to prioritize AI, cloud, cybersecurity, and data engineering, areas where Happiest Minds has deep capabilities and strong customer relevance. Supported by a healthy pipeline, disciplined execution, and increasing AI adoption across our customer base, we remain confident in our strategy.

Happiest Minds Technologies Limited
July 28, 2026

Page 6 of 28

With that, I will hand over to Sridhar, who will take you through the progress behind our AI strategy. Sridhar, over to you.

Sridhar Mantha: Thank you very much, Joseph, and good

morning, everyone. Joseph has shared how our AI -first strategy is creating momentum in the marketplace. Let me now take you through the engineering capabilities, enterprise platforms, and delivery innovations that are enabling those outcomes for us.

Our efforts are centered around three priorities. The first one is, as we shared in the previous quarter, building a secure and reusable enterprise AI platform that can be customized for various domains and create vertical solutions on the top of it. The second one is, of course, embedding AI across the entire software development lifecycle and in all the services that we provide to our customers.

The third and the last one is delivering measurable productivity and quality improvements for our customers because various AI technologies that are being adopted are so young and new in the marketplace. Our enterprise AI platform provides a modular, secure, and model -agnostic foundation for enterprise AI adoption.

A key design principle is reuse, enabling customers to leverage reusable AI agents, flows, and accelerators rather than building every AI application from scratch. This significantly reduces implementation time, improves consistency across deployments, and allows domain -specific AI solutions to scale with appropriate governance, security, along with human oversight for enterprise environments.

We are equally focused on transforming the way software is engineered. At this point in time, we have more than 2,000 Happiest Minds that are using advanced agentic and AI development tools, and our engineering teams today generate more than 2.5 million lines of code with the help of agents every month. This reflects the increasing

Happiest Minds Technologies Limited

July 28, 2026

Page 7 of 28

adoption of AI across our software engineering lifecycle. More importantly, AI is helping shorten development cycles, improve code quality, strengthen documentation, and also increase the test coverage and accelerate application, development and modernization, while all outputs continue to undergo our established engineering security and quality review rigor.

Our reliable platform is enabling customers to adopt agentic software engineering within secure, governed enterprise environments, allowing human engineers and AI agents to work and collaborate together throughout the entire development lifecycle. Beyond software engineering, within Happiest Minds, AI is also driving measurable improvements across all our delivery operations.

Few examples are, within our infrastructure services, approximately 60% of the identified provisioning scope has been already automated with the help of AI tools, resulting in nearly twofold improvement in provisioning speed. Another example is within application integration, now AI automation is covering the identified process scope and contributing to estimated 80% reduction in our efforts and, of course, improving the quality.

We are also embedding AI across quality engineering, infrastructure operations, cybersecurity, and data engineering, as demonstrated by the AI -powered test automation engagement that Joseph highlighted earlier. As AI adoption scales, responsible governance also becomes increasingly important. Security, privacy, model governance, and human oversight are therefore built into both our enterprise AI platform as well as in the delivery process and methodology that we have within Happiest Minds, which is enabling customers to innovate with confidence while maintaining the enterprise -grade controls.

Happiest Minds Technologies Limited

July 28, 2026

Overall, we are very encouraged by the progress and we continue to believe the milestones and metrics we have shared today demonstrate that our AI strategy is translating into tangible execution. Our focus remains on converting AI from a promising technology into measurable business outcomes through enterprise platforms, reusable IPs, engineering excellence, and disciplined execution. With that, let me hand over to Venkat, who will walk you through our financial and operational performance for the quarter. Venkat, over to you.

Venkatraman N: Sorry, I was on mute. Thank you, Sridhar, and good morning, everyone. Over the next few minutes, I will take you through our financial and operational performance for the first quarter of FY27 and conclude with our outlook for the year. We have started the year on a very solid note, delivering another quarter of profitable growth despite a demand environment that remains selective.

Operating revenues for the quarter stood at INR629 crores, representing a growth of 4% sequentially and 14.3% year-over-year. In constant currency, our revenues grew 2.6% sequentially and 6.7% over the previous year. Total income for the quarter came in at about INR652 crores, representing a growth of 4.9% sequentially and 12.5% year-over-year. The quarter was one where we continued to see improvement in demand across a spectrum of services together with good execution from our side across our business.

Turning to profitability, our operating margin at INR109 crores has shown a growth of 2.3% while continuing to be at about 17.5% of revenues. This is incidentally almost the same as it was last quarter and the quarter last year. This margin performance was despite the currency loss on our forward contracts of about INR11 crores and a spike in provision to account for delayed collection of receivables of about INR5 crores, and both of them compared to the previous quarter.

Happiest Minds Technologies Limited
July 28, 2026

Only for a pure comparison purposes, if I adjust these two instances, our operating margin stands at about 19.75% and higher than our not guided range but what I was saying as an expectation for us to be 17.5% to 18.5%. Coming straight to our adjusted profit after tax for the quarter, it stands at about INR80.5 crores, which is 12.3% of our total income, showing a growth sequentially of 12.9% and a year-over-year growth of 14.3%.

To clarify, PAT adjustments do not account for the forex losses or provisions for receivables that I talked about just a while back. These adjustments only relate to acquisitions costs, which are, I believe, accounting noise, and I have been adjusting for them over all the previous quarters. Our healthy adjusted PAT aptly reflects in our growth of adjusted EPS as well, which for the quarter stands at INR5.34, up 17% year-over-year.

Our profitability continues to reflect disciplined management while continuing to invest in AI, enterprise platforms, sales capacity, and future-ready talent. From a capital efficiency standpoint, ROCE improved to 23.9% while ROE stood at 15.5%, both up from 21.8% and 12.8% last quarter, so a significant improvement and this has been a focus for us. We closed the quarter with cash and cash equivalents of about INR1,743 crores compared to the INR1,679 crores last quarter. Talking about some operational metrics, we ended the quarter with about 306 active customers, which is same as last quarter, while the number of billion-dollar corporations we serve has increased by one to 92. These billion-dollar customers of ours contribute to about approximately 60% of our revenue. Repeat business continues to remain strong at about 94.4%, reflecting our customer relationships and the confidence reposed by them on us.

Happiest Minds Technologies Limited

July 28, 2026

Page 10 of 28

Working capital discipline is an area of continued focus. While DSO improved to 92 days from 94 in the previous quarter, we did have to account for some one-time provisions which I talked about earlier, and let me assure you that that was us being conservative on that account and we are leaving no stone unturned to collect most of the

se provisions. We ended the quarter with about 6,532 Happiest Minds. Utilization moderated marginally to 81%, about 0.4% reduction, not a cause for concern, and our hiring has been up by about 32 people on net terms.

Our utilization rate of 81% is healthy, but it also continues to be an area of focus in these fast-changing times. Our voluntary attrition has improved from 17% in the previous quarter to 15.4% this quarter. Looking ahead, our priorities remain clear and unchanged. We will continue investing in AI, talent, go-to-market capabilities, and operational scale to support sustainable long-term growth.

While the macro environment remains mixed, we are encouraged by the strength of our pipeline, accelerating AI adoption, and the resilience of our business model. On the strong start to FY27 and the visibility we have today, we continue to focus on achieving our FY27 revenue guidance of 12.5%. I would like to thank our customers, partners, shareholders, and every Happiest Mind for their continued trust, commitment, and support. Thank you for joining us and now I'll turn this over to you for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Aditi Patil from ICICI Securities Limited. Please go ahead.

Aditi Patil: Yes. Thank you for the opportunity and congratulations on good set of numbers in Q1. My first question is on our revenue outlook. We had shared a revenue guidance of at least 12% Y-o-Y growth in FY27. So this Happiest Minds Technologies Limited
July 28, 2026

Page 11 of 28

implies a strong CAGR for rest of the three quarters, around 5%. So what kind of visibility do we have for this kind of growth? Is it based on already won deals or it also depends on converting pipeline in coming quarters? And if you can share how your deal TCV has grown on Y-o-Y basis, maybe qualitative commentary on it. And does the guidance include any contribution from potential acquisitions? Thank you.

Venkatraman N: While I'll answer the one acquisitions. Our growth numbers do not include any acquisitions, but it includes what we have acquired as of now and some are the ones that we have got on board. The second thing is on TCV. We have not been disclosing that number right from IPO, and it's something that we are beginning to internally track because our philosophy or our growth philosophy has been anchored on the land and expand strategy.

So TCV is not something that makes sense, or at least we have not seen it, we are not able to relate that to the numbers, which is why we have always been talking about repeat business, customer additions, and our customer cohort, you know, revenue from our customer cohorts, which is 50% with customers who have been with us for more than five years and less than five years. So all of these put together show the health of the revenue and repeatability. Joseph, with the rest on the.

Joseph Anantharaju: Sure, Venkat. So, continuing the line of thought that Venkat started off with, Aditi, as I mentioned earlier in my commentary, our pipeline is strong and it's grown both sequentially as well as especially year-on-year, it's grown significantly, right? And in terms of the ensuing three quarters, I would agree with you that we have our work cut out, we need to continue delivering good results to get to the guidance that we had provided at the beginning of the year.

Now in terms of, you know, how we see that happening, we do have, it's a combination of all that you mentioned, you know, we have a few
Happiest Minds Technologies Limited
July 28, 2026

Page 12 of 28

mid-to-large size deals in the pipeline and we would need to convert a couple of them which will start giving results in revenues in Q3 and Q4. We've closed a couple of large deals, one of them in Q1 and another one just little earlier this month,

which is beginning to ramp up and

which will get into three digits in terms of the total size.

And we have a few others, you know, that we've closed where we're implementing the first or executing the first project, based on which we expect to get more such, you know, projects and engagements. And I shared a few of our wins in the commentary, in our press release as well we have a few of these wins listed out which should lead to growth. So it's a mixture of all of these.

And the third area I would say is some of the existing customers that we have, we have a strong program and initiative in place to expand our presence out there, that also I expect will contribute to our growth. There is also.

Venkatraman N: Last quarter we had talked about movement or a shifting of two Arttha banking deals. One of it is getting extended, we are not very hopeful to put it that way, but the other one is taking time to close and we are hopeful that it will close in the second quarter. Also, pipeline on our non-linear growth platforms like, you know, EduWeave, Insurance -in-a-Box are quite reassuring.

There is also that lumpy revenues what would come. There is also one point which Aditi at some point in time we will discuss this with you because growth is coming a lot from Middle East, India, and Southeast Asia and APAC, you know, that constant currency we are getting hurt because we are dividing, you know, the volume growth by dollars, but that's something that we'll have to figure out how to, how to, you know, account for that in our, in our growth targets. So these are the things that we are looking at helping us in the ensuing quarters.

Happiest Minds Technologies Limited
July 28, 2026

Page 13 of 28

Aditi Patil: Okay, got it. And my next question is on the nature of deals in Gen AI business unit. Are these more short -cycle deals with lesser recurring component or do we see recurring component in these deals? And on the margins for Gen AI business unit, there was a sharp increase in the segmental margins in Q1. So what should we consider as steady -state margins or steady -state cost or investments in GenAI BU?

Sridhar Mantha : Hi. This is Sridhar, I'll address the question. Of course, the first part of the question is still 1 year back, your observation was right, actually as well as especially within Happiest Minds also, we used to work more on use case -based engagements because the customers themselves were not very clear about what kind of ROIs they can get and how technology with AI can help their business problems.

However, in the last few quarters, more than a year, we slowly started shifting towards 2 specific models. One is more of a pod's kind of model where the customers want us to act as an external engineering team to help them with their AI journey. And second and last category is, as we mentioned in the previous quarter also, we started closing more deals that has both AI components as well as the digital transformation as a bundled larger deal. So both of these are helping us to move very rapidly point use cases, fixed bids into more of long -term engagement and larger transformation.

Joseph Anantharaju: Just wanted to add one point out here, Aditi. I think what we need to start differentiating is the execution model and the contract model, right? Because with some of our customers, even though it would be

T&M, but we have some SLAs or some outcomes embedded into those contracts.

And I look at that as being more outcome-based because if not for the fact that we are able to promise those outcomes, we would not have won those deals. So we are beginning to see that aspect as well.

Happiest Minds Technologies Limited

July 28, 2026

Page 14 of 28

Because in this model, the customer has some flexibility to move priorities around, while at the same time, holding us accountable for outcomes.

Sridhar Mantha: The second

part of the question, Aditi, is, of course, on the investments that happen, right? We did talk about the enterprise AI platform and now the GBS revenue footprint being relatively smaller compared to the overall number, you may see some fluctuations within GBS because of the constant investments that continue to happen.

Aditi Patil: Okay.

Venkatraman N: And on the margin front, Aditi, at the end of the day, it's all got to do with utilization. Our utilization has nicely picked up. Also, there's quite a bit of cross-selling happening from the other BUs into AI, generative AI, that's also helping, which is showing up on margins. So the idea was when we started GBS, it should soon become at least 10% of the overall company's business.

But while that doesn't progress, AI has penetrated into everything else that we are doing. We did mention this in the last call as well, maybe in the - by the end of next quarter when we publish our results for Q2. We want to with AI, but most other companies have slowly started publishing that, but we want to have -- we are doing a thorough run on those numbers and come back to you. So that gives you the total AI-led revenues, not GBS AI-led revenues which is embedded in various other parts of the business, whether it be infra or SDLC and the like.

Aditi Patil: Okay. And just one confirmation. So we usually do annual wage increment in Q2. So this year also is it planned for Q2?

Venkatraman N: Yes. We have that. It's a good point you make. Yes, there will be an adjustment in our margin, which has been traditionally how it has been

Happiest Minds Technologies Limited

July 28, 2026

Page 15 of 28

for us. We'll have to claw back on that through both volume increase and value increase and growth that we see.

Aditi Patil: Okay. So the entire increment impact will be in Q2, correct?

Venkatraman N: No, it will be -- obviously, we'll have to look at numbers, the industry and all of that. So that's one. But whatever is being done, a large part of it, because you have got structures of up to C7 is in Q2 and about C7, C8 is in the month of October. So we split that and we do.

While we temper that in line with business and the demand scenario that we have seen, we are also -- that's why I gave you a little bit of an insight into Operating margins that we had this time just because of those one-off noises, it's kind of pushed us back at 17.5%. Some of that will also come to help us for the Q2 and the margin when the wage increase happens.

Aditi Patil: Okay. Got it. We'll join back queue. All the best for FY27.

Venkatraman N: Thank you.

Moderator: Thank you. We take the next question from the line of Vinesh Vala from HDFC Securities. Please go ahead.

Vinesh Vala: Yes, sir. Thanks for giving me the opportunity. So I have a few questions. First on the guidance part, as you told that 12.5% revenue growth for FY27 will be driven by pipeline conversion and which we have a strong pipeline and new deal wins in the line. But as you told that discretionary spending client is trying some cautiousness. So what are the key risks that could impact our guidance of 12.5%?

Joseph Anantharaju: Vinesh, when I made my statement on discretionary spend , I also said that it's happening in the right areas. And what we are seeing -- support -- can you hear me, Venkat?

Venkatraman N: You're going in and out, so maybe...

Happiest Minds Technologies Limited

July 28, 2026

Page 16 of 28

Joseph Anantharaju: Okay. Let me start again. So Vinesh, if you noticed the statement that I made on discretionary spending, I said that it's being pushed or happening in specific areas, right? And what we are seeing is that the customers are optimizing, using AI, some of the support and maintenance and infra activities , the run part of the operations, right? And then taking that savings and deploying it on some of the AI and other in

novation, right?

And so, that's what we are seeing. And if you ask me what is the risk that I think? I think it's the elephant in the room, right, if you look at the current war and the impact having on inflation and other things. I think that dragging out for too long is what I would see as a risk right now to sustaining the kind of performance that we've delivered in Q1.

Vinesh Vala: Okay. Sir, and another thing was on the FY28 aspiration we had of 15% growth. So are we sticking back to that 15% aspiration for FY28 or we are good to give only FY27?

Venkatraman N: Vinesh, that's an aspiration that continues. So there is no change to that. So we have 12.5%. The idea is that this helps, set up a good platform for the growth in 15%. Obviously, like every good thing that you say, there are risks attributed to that, which is what Joseph just called out in terms of war, a possibility of -- maybe I don't know if I'm reacting too much, but there is -- there seems to be some sort of a reality check in the AI world itself about how -- what's the capex and how spend has to be.

So these things have kind of a trickle -down effect on sentiments. It's just not the macro picture. The macro picture obviously is what it is. You have all the geopolitical disturbances. But accounting for all of that, I think the target for the year for us is 12.5%. And if we do that, that will really set up a great platform. Because we are making all these transformation changes only to make sure that the platform is in place

Happiest Minds Technologies Limited

July 28, 2026

Page 17 of 28

for the growth aspiration of the team next year. So be it the long -- the good pipeline. The deal sizes in our pipeline are increasing. We are seeing business commitments in our -- new sign -ups go up. The business is improving. The new business pipeline is changing for the better because that was a change that we did bring in through Maninder heading business. The entire restructuring of the business into 2 BUs under PDES and infra security and infra and security also doing well. So see, all of this is -- all of it comes together, pistons fires, our aspiration should not change. The platform should be in place for us to do that.

Vinesh Vala: Okay. And last one from my side on the vertical front, as I see the Edutech vertical last quarter also sequential growth. This quarter also we had a sequential growth. So do we expect that growth to sustain? And on the Hi -Tech vertical, again, from last 2 quarters, there was a sequential decline. And this quarter, we did a good phenomenal growth in this vertical. So what's your outlook on these 2 verticals?

Joseph Anantharaju: So the Edutech vertical even last time I said that we feel that it's kind of the risk that we had has all manifested itself. And we expected the vertical to stabilize in terms of business. As I mentioned last time, there are a couple of things that we are doing which should help us sustain this recovery that we're seeing in that vertical.

The first is that we have our EduWeave platform, and I talked about it

last time, it's more like a digital Ed Tech platform for universities. And we are building that based on a couple of customers in US and Philippines, the experience we're getting out there. And as we speak, we have around 4 conversations in advanced stage and a couple of them that are very close to signing, right? And it's a modular platform which gives us flexibility.

Happiest Minds Technologies Limited

July 28, 2026

Page 18 of 28

The second is, we are targeting increasingly universities. That's a segment that we haven't really pursued earlier. So we are hopeful that with these 2, we should be able to infuse growth into the Ed Tech vertical. The Hi-Tech vertical, the growth that we saw this quarter is on the back of a large engagement we signed with one of our customers who we have started working with

a few months back.

We're doing work at a smaller scale, and we've been able to get a large engagement going with them. There's possibility of a second large engagement happening with them, which should have been and we've also signed a customer recently, that is expected to ramp up. So between the 2 of them, hopefully, they should be able to at least lead to growth. The growth we had this year was quite high, and that's not something that we can expect sequentially every quarter. We had 10% quarter-on-quarter growth, but we should be able to continue growing at the Hi-Tech vertical as well.

Vinesh Vala: Okay. Thank you sir, and that's it from my side and all the best for the year.

Joseph Anantharaju: Thanks Vinesh.

Moderator: Thank you. We take the next question from the line of from Kuber from Axis Securities. Please go ahead.

Kuber: Yes. Thank you for taking my question and congrats on good set of numbers. A couple of questions from my end. So when I look at your contracting model, I can see that we are moving into fixed price contracts. So is it fair to say that -- hello?

Joseph Anantharaju: Yes, go ahead.

Kuber: Yes. Is it fair to say that we are deliberately moving to fixed price? And second question is on business units. So out of 3 product digital and

Happiest Minds Technologies Limited

July 28, 2026

Page 19 of 28

gen units are growing at a very fast rate. So what is leading to that growth? And how do you see 3 of the verticals going ahead?

And the third question is on -- are we facing any kind of pricing pressure as all our peers are moving into AI-led contracts and everything? So, in terms of pricing pressure, are we witnessing any kind of -- yes, that's all.

Joseph Anantharaju: Take the first question, Venkat.

Venkatraman N: Yes. I'll touch on the contract bill. So I think I had mentioned this last time also, there is a confusion of AI business has been or seems to be largely oriented towards outcome and output-based model, whereas you don't have that in your numbers. And so are you doing AI. So this was a question that was a very legitimate question, no doubt.

But the point is what we have here is pricing contract structure, it is not a business structure as I've been talking about. If you have a person being billed on a monthly basis, he can be AI FDE and gets billed on a monthly basis, he is classified as a fixed monthly billing and it goes into T&M. But the point is it's just not that we get to bill him at the end of the month irrespective what he delivers.

There is a clear SOW which says what is the outcome that's required from that engineer and the team. So, it's you have every SOW detailing out the kind of work that's required from the team at the end of sprint A or B or C, you need to have delivered a few things. It could be lines of

code; it could be a part of the platform using AI as a technology. All of that is there in your SOW.

And so, but we capture it in the two buckets that we are given. It's like you're given two buckets, tell me if it is FP or if it is T&M, I put it in. So, it just does not mean that we are not doing outcome-based. Most of the things within the T&M or the FP is outcome or output-based. I'm

Happiest Minds Technologies Limited

July 28, 2026

Page 20 of 28

not going to get paid just for showing up for work or having my people show up for work in office. So that's the point I want to make. We are trying to see how to capture that as the third bucket or it has to be a completely different bucket of how we are pricing the deals.

Are we pricing it based on outcome, output, or just showing up to work. So that's something that we have to see, we'll get back to you. So that's on the T&M and FP. You are right, people want more of a SDLC to be used into used while we develop solutions for them. How does it come in the pricing model? There is no direct r

elation as to -- what I think and

I have been trying to communicate this through the last two, three quarters. So that's on the pricing thing. Joseph?

Joseph Anantharaju: Yes, sure, Venkat. See on the BU performance, obviously GBS has grown handsomely, and but it's on a smaller revenue base and we continue, we expect GBS to continue growing quite well right through the year given the investments we've made, the opportunities in the market and the capabilities that we have built in this area. PDES and GBS there's a pull-through from GBS as far as PDES revenues is concerned. I want to make a small clarification on IMSS business unit. I know we do we do see a sequential drop, but it was all driven by a one-time license revenue that we did get in Q4, that didn't -- we didn't have a repeat of that in Q1 and that was the real reason. But the pipeline on IMSS is strong and when we meet again next quarter, we will see that that the business unit would have demonstrated good growth. And the last one, whether we're facing any pricing pressure. So, Kuber, every year there will be a few customers who will come back and they'll have discussions, negotiations. So, this year is no different. At the same time, we have quite a few customers where in spite of the environment, where we've been able to affect a rate increase. So, I would say there's no systemic trend of customers coming back and

Happiest Minds Technologies Limited

July 28, 2026

Page 21 of 28

asking for rate decrease or negotiating rates. There is a ask from customers to show the impact of using AI tools in the SDLC and that we're working out some metrics and other things to show customers what is the value that we're bringing to the table or what is the value that these tools are delivering.

Kuber: Okay, okay. Yes, that's all from my end.

Priyanka Sharma: Thank you, Kuber.

Moderator: Thank you. We take the next question from the line of Rajveer Singh from Vivek Investment Manager. Please go ahead.

Rajveer Singh: Hi, am I audible?

Joseph Anantharaju: Yes.

Rajveer Singh: Yes, thanks for giving me the opportunity and congratulations on a good set of numbers. My first question is on the AI productivity versus revenue. So Generative AI improves developer productivity, so how are we ensuring that the productivity gains translate into higher revenue rather than lower billing?

Rajveer Singh: And my second question is about the competition. So, the large IT companies are investing heavily in AI as well, and where does Happiest Minds believe that it has a sustainable competitive advantage against companies like TCS, Infosys, or Persistent who are also heavily investing

in AI? Those are my two questions.

Joseph Anantharaju: Sure. So if you look at AI productivity, I would say that most of our customers are using some form of productivity tool or the other, except if it's let's say an area like hardware, maybe to some extent embedded, or if the customer is in an industry or a space where the risk of using AI is high, right? Now the way we are able to monetize this or to get revenue out of this, it's still a mixed bag to be honest with you.

Happiest Minds Technologies Limited

July 28, 2026

Page 22 of 28

With many of our fixed price projects, we're able to include these tools into our estimation and what we'll end up doing is sharing some of the upside with our customers and holding back some. But we also have quite a few T&M projects, right? And over here, what's happening is for many of these projects, as we mentioned last time, we've created a separate COE for AI in SDLC and this is around 40 people strong now, mid-to-senior people.

And we've created a bunch of AI champions in this COE who go to the customer engagements and help in the adoption and the use of these tools while executing projects. And so, this acts as an additional revenue that we are getting in T&M;

p;M projects, so that's what we are capturing.

Now in terms of competition, I'll take a stab and I'll and I'll give it to Sridhar. I think the very fact that we created a Generative AI business unit has allowed us to build a lot of depth out here and if you look at AI, I would say that the classical AI ML way back in 2013 -2014, we were one of the, I would say, companies on the forefront helping lot of retail, travel, and other customers, adopt these things for things like what are very commonplace now, personalization engine, recommendation engine, adaptive learning, and things like that.

So, I believe that given our revenue, our depth is much more relatively speaking, because if you go to a TCS or a or a Infosys, probably in terms of numbers, they would have more AI engineers, they'd be able to give you more case studies, but I would say that relatively speaking, we would have more depth and more to talk about.

I'll hand it over to Sridhar to talk about specific areas which he feels or aspects.

Sridhar Mantha: Thanks, Joseph. Just to add a little bit more, right, before the ChatGPT or the whole world started embarking the AI journey, the biggest

Happiest Minds Technologies Limited

July 28, 2026

Page 23 of 28

advantage we as Happiest Minds had was the digital foundation that was created and the specialization around digital. So, one way or the other, as you can very clearly see, the AI is the new tip of the iceberg and underwater is completely the digital set of technologies. That way, even three years back also, customers were looking at us for the digital transformation as the niche player at our size, right, in the marketplace.

That's one of the reasons that is really helping and the same positioning is helping with our customers and the new customers we are acquiring.

The second and last part is, of course, as part of our earlier tagline, it used to be the agile always and we still preserve it. So now with the way and the speed at which the AI technologies are changing, the agility as an organization for us to quickly change our investments, change our direction, I'm not saying it's 180 degrees, could be 5 degrees, 10 degrees, et cetera, right?

That agility as an organization also is really helping us to acquire more organizations with the needs of the customer. And of course, the best example Joseph provided was creating a business unit itself.

Rajveer Singh: Sounds good. Just a follow -up, how much of our current hiring is AI -

specific right now?

Sridhar Mantha: In terms of the hiring, how much is AI -specific is your question, right?

Sure. So, we are actually looking at the combination of both of both categories because now with the pace at which technology is changing, it is really difficult for us to find anybody more than six months experienced or even one year experienced with the AI skills.

So, we heavily created internally through our learning and talent management team complete in-house training process for the new hires that we have so that they become the AI native engineers, be it

Happiest Minds Technologies Limited

July 28, 2026

Page 24 of 28

on the SDLC side or creating AI solutions. This is in addition to training our own workforce on the AI side. So, I'll put approx...

Venkatraman N: Hi Vinesh, even I think I lost them. Sridhar? While Sridhar joins, Vinesh, Kuber, sorry, the point is we have got both replacement hire and fresh hiring. Fresh hiring is more accentuated towards people with AI skills and it's for the need, need of the project because if there is a project which requires a specific cloud skill, you need to hire for that, so you can't go and hire for ahead of time. So, it's all predicated between replacement, hiring for future, and hiring for the current projects which we have on hand.

If you really if you really split our total hiring under these three buckets, what we are doi

ng for the current projects, yes, is what is required, but with an accent on AI helps. For the future, we are obviously looking at people at the junior levels with AI skills, so that that something, so that they train to become more AI experienced engineers. And replacement is if you have lost a person who is doing cloud and security work, you have to have cloud and security work. Now if he comes with an AI as an additional experience layer, that's really good.

Rajveer Singh: Makes sense. That's all from my side. Thank you so much for answering my questions.

Venkatraman N: Thank you.

Joseph Anantharaju: Thanks, Rajveer.

Moderator: Thank you. We take the next question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, sir, thanks for the opportunity. My question is on the on the Gen AI business unit. So obviously that has been scaling very strongly for us and it's around 5.5% to 6% of revenues. And if I see in this quarter, bulk of the incremental revenue is coming from this unit. So, if you can, like

Happiest Minds Technologies Limited

July 28, 2026

Page 25 of 28

throw some like more light in terms of how things are progressing here in terms of the engagements that we are having in this segment is largely coming from the existing clients.

And last year also mentioned that some of the engagements are here in the POC stages which can move and scale up. And also, in terms of what investments are we doing in this like business units, and maybe two years down the line, how you see the mix changing from say broad engineering to Gen AI side? So that's my first question, sir.

Venkatraman N: Sure. So, I'll take it on while Sridhar joins in. See what's happened is GBS was the unit that we set up about a year and a half as part of the AI onslaught that we were having, right? Everybody was trying to get gear themselves up to meet the AI requirements and we had to call it out separately, so that we just like we had an identity in the during the digital onslaught, we have also now created an identity for the -- from an AI Generative AI standpoint.

Customers appreciated it market appreciated it, investors appreciated it, and it obviously has helped us go deeper into our existing customers and new customers. Now any BU that's created has to be 10% has to

have a to stand on its own feet should ideally be about 10%. So, the growth objective of that was also very clear. With all the mandate clear, they started going to new customers and also existing customers, started selling, as you rightly pointed out, we started with POCs which have then since slowly migrated to more sustaining larger size projects. But we are also seeing lot more demand coming in from existing projects, which is why the profitability, Aditi had asked earlier in the call that we are showing a decent level of profitability, that's because we are able to sell into our existing customers. When you sell into existing customers, sales effort is lesser, the turnaround time from prospect to potential to billing is short. So, all of that has helped us get Happiest Minds Technologies Limited
July 28, 2026

Page 26 of 28

us very quickly started on that BU. I just want to caution you, while I say all of this, AI within the company is not completely captured within the GBS bucket. It's there across the company. That's something that's been happening, and it would be unwise of us to say, no, if you do anything it has to be within GBS, otherwise it shall not be done. It's something which will stymie growth and development within the larger part of the organization. So, AI has taken over many parts of, just to take an example, security. Security, SecAIGenie is a platform that is used by us on our security delivery and it's now part of our security offerings. It has AI. Now this does not form part of GBS. Which is why we said that we have t

o look at our entire revenue stream, go by project, carve out not by technology but what is the impact or relevance of AI, carve it out and then give you this number which is called AI -led revenues of the total. So, if we are if we are INR625 crores this quarter, how many crores is led by AI? So that's the attempt that we have started, we have a plan that by end of September we will finish that exercise and give you in end of Q2. Yes, Joseph, Sridhar, I was answering while I guess you were disconnected.

Sridhar Mantha: Sure, sure. I kind of missed parts of Venkat's update, but I heard the last part, that makes sense. Yes.

Amit Chandra: Okay, sir. And secondly on the investments that we have made, obviously we have done some investments in terms of the sales engine and for better client engagements, account mining and all. So just an update in terms of what kind of benefits you're seeing from there. Are we seeing more larger deal sizes or the pipeline getting more like better? And in terms of better engagement with the existing clients, so any update on that would be helpful, sir.

Happiest Minds Technologies Limited
July 28, 2026

Page 27 of 28

Joseph Anantharaju: Sure, sure. So let me take the NN sales engine first and then I'll get into the client engagement part. As I mentioned in response to another question, we've had large deals that we've closed. One of them -- we had the customer little earlier in the year, but the large engagement, a pretty large TCV, that started in April and that's what contributed to the growth that you see in the High -Tech vertical. And as we speak, we've just signed another customer which is a which will again run into three figures.

So, we are we are getting large deals. Again, in the pipeline, we have several deals that are much larger, spanning across multiple years, and we're hoping that a couple of them would close during the quarter and help grow growth in the next couple of quarters. In terms of client engagement, if you see our repeat business, that's gone up from 92.4% to 94.5%, an indicator of how some of the investments we are making is helping with client retention.

And we're also seeing in some of our existing customers opportunities

that are much larger in size than what we typically get. We are, I would say, transforming our sales team because we initially had more of a hybrid BDs and we're segregating them into NN BDs and account managers. So, some changes and churn that's taking place out here, but I believe that our Hypo strategy that's coming together well, there are we're focusing on, we've decided to focus on six to ten accounts and give them a disproportionate attention with a goal of making them into \$20 million kind of accounts.

Amit Chandra: Okay, okay, sir. Thanks, and all the best.

Joseph Anantharaju: Thank you.

Moderator: Thank you. Ladies and gentlemen, with that we conclude the question - and-answer session. I now hand the conference over to Ms. Priyanka Sharma for her closing comments.

Happiest Minds Technologies Limited

July 28, 2026

Page 28 of 28

Priyanka Sharma: Thank you, Ryan. Thank you everyone for joining us today. We would also like to sincerely thank ICICI Securities for hosting this call on our behalf. We appreciate your continued engagement and support.

Should you have any further queries, please feel free to reach out to the Investor Relations team at ir@happiestminds.com. Thank you once again and have a great day ahead.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Please note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.